

Vedant Fashions (MANYAVAR)

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Call: Aug 2022

Manyavar

August 16, 2022

To, To,

Listing Department Dept. of Corporate Services

National Stock Exchange of India BSE Limited

Limited Phiroze Jeejeebhoy Towers

Exchange Plaza, 5th Floor, Plot No. C-1, Dalal Street, Fort,

Bandra Kurla Complex, Bandra (E), Mumbai - 400001

Mumbai - 400051

NSE Symbol: MANYAVAR BSE Scrip Code: 543463

Dear Madam / Sir,

Sub: Transcript of Earnings Call of Q1 FY 2023

Ref: Our Letter dated August 05, 2022 regarding prior intimation of

Conference Call for Q1 FY23 financial results of the Company

In accordance with Regulation 30 read with Schedule III of the Securities and

Exchange Board of India (Listing Obligations and Disclosure Requirements)

Regulations, 2015, we are enclosing herewith the transcript of the Conference Call,

organized and held on Tuesday, August 09, 2022 in relation to the operational and

financial performance for the Quarter ended June 30, 2022 (Q1 FY 23).

The transcript can also be accessed on the Company's Website, from the link given below

<https://www.vedantfashions.com/investor-presentation>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

For, Vedant Fashions Limited

Navin Pareek

Company Secretary and Compliance Officer

ICSI Membership No.: F10672

Vedant Fashions Limited (Formerly known as Vedant Fashions Private Limited)

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"Vedant Fashions Limited Q1 FY2023

Earnings Conference Call "

August 09, 2022

ANALYST : MR. NIHAL MAHESH JHAM - EDELWEISS SECURITIES LIMITED

MANAGEMENT : MR. VEDANT MODI – CHIEF MARKETING OFFICER – VEDANT FASHIONS LIMITED
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER - VEDANT FASHIONS LIMITED

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Page 2 of 18 Moderator : Ladies and gentlemen, good day and welcome to the Vedant Fashions Q1 FY2023 Earnings Conference Call hosted by Edelweiss Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nihal Jham from Edelweiss Securities. Thank you and over to you Sir!

Nihal Mahesh Jham : Thank you Ranjan . On behalf of edelweiss I would like to welcome you all to the Q1 FY20 23 Results Conference Call for Vedant Fashions Limited. From the management , today we have Mr. Vedant Modi – Chief Marketing Officer and Mr. Rahul Murarka – Chief Financial Officer. I would like to hand over the call to Mr. Vedant Modi for his opening remarks. Vedant, over to you.

Vedant Modi : Thank you Nihal. Good afternoon and a warm welcome to all the participants'. Thank you for joining us today to discuss the Vedant Fashions Limited Q1 FY2023 performance and results. I am joined by Mr. Rahul Murarka, the Chief Financial Officer of our company . I hope everyone got an opportunity to go through our financial results and investor presentation which has been uploaded on the stock exchange as well as on the company's website.

Vedant fashion is the category creator and market leader in branded Indian wedding and celebration wear industry. We have grown from modest roots to become India's largest celebration wear entity. We have strategically created a house of brands which caters to the need of different demographic and geographic segments. Owing to the efficient governance model , the performance of all our brands has been motivating in this quarter. As a c

ompany

our governance model is firmly based on 3 Ps. People: We invest in relationships, be it our customers, our employees, or any of our stakeholders. Products: Our mantra for product is twofold, superior quality and value for money, and finally profits: This P is a litmus test for the above two pieces, it indicates the health of the company .

Allow me to take you through the highlights for quarter ended June 2022. We are happy to report an efficacious and satisfying quarter in terms of retail sales, revenue growth, best-in-class margins, and return metrics. All of these despite an adverse and challenging macroeconomic environment and inflationary conditions leading to pressure on discretionary spends. We are witnessing growth momentum through increased efficiencies

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Page 3 of 18 and establishment of a variable model firm. We as a company have come stronger out of COVID and have surpassed pre-COVID levels. In terms of overall customer sales growth which stands at 60 % over quarter one of financial year 2020 and 119% over quarter one of financial year 2022. The SSSG growth has been 25% over quarter one of financial year 2020 which was pre-COVID levels and 105% over quarter one FY20 22.

The consumer demand for ethnic wear is also showing great recovery and we are gearing up for a promising festive and celebratory occasions ahead in this year. On the network expansion front , in Q1 we opened new stores of around 10000 square feet and have a very strong and healthy pipeline for new rollouts planned for the financial year .

As of June 2022 VFL's EBO area stands at 1.28 million square feet globally across 603 stores . The national stock footprint tally is at 590 stores spread across 228 cities and towns. We have also opened one new international store in UAE in Abu Dhabi in this quarter and now has 13 international stores spanning across three countries .

Efficient and innovative marketing has been the lodestone in our journey to building great brands . Keeping to the same tenet , we are glad to share an instance in which our marketing campaign for Mohey, DulhanWaaliFeeling targeting brides to be featuring Ms. Alia Bhatt was a huge success. We have witnessed greater acceptability for all our brands, which is a hypothesis that is supported by a strong traction and positive sentiment. Going forward we are optimistic of having a favorable year ahead.

With this, I would now hand over to Mr. Rahul Murarka to take you through the financial performance of our company.

Rahul Murarka : Thank you Vedant, Namashkar and good afternoon everyone . I would like to highlight key financial performance for Q1 of FY2023 based upon the consolidated financial statements.

The company has continued to demonstrate strong financial metrics and return during Q1 of FY2023. Starting from comparisons between Q1 of FY20 23 and Q1 of FY2022. The company has reported revenue from operation of 325 Crores in Q1 of FY2023 delivering a very strong growth of 103 % compared to Q1 of FY2022. The company continues to report very high industry leading gross margin of around 68.8% during Q1 of FY20 23. The EBITDA margins were around 51 % and the EBITDA stood at 165 Crores for Q1 of

FY2023 with a growth of around 106 % compared to Q1 of FY2022.
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Page 4 of 18 The reported PAT during Q1 of FY2023 is 136 Crores which has significantly increased by around 122 % compared to Q1 of FY2022. The company reported best in class PAT margin of 31 % and the profit after tax stood at 101 Crores during Q1 of FY2023 with a strong growth of 123 % compared to Q1 of FY2022.

The company has a track record of generating significant cash driven by a healthy cash conversion ratio. During Q1 of FY2023 the company continued to generate high cash conversion ratio of approximately 146 %, which

has been computed based upon operating cash flow over PAT.

With optimization in working capital we have been able to achieve industry leading trailing 12 month ROC E of approximately 98 % during the period ended June 2022. After a long time during Q1 of FY2023 we have witnessed a normal quarter without COVID restrictions which synergized well with our robust ecosystem leading to efficiency in operations and resulting in improvement in working capital days from 94 days in FY2022 to 65 days approximately in Q1 of FY2023. This has been computed based upon the trailing 12 months revenue and internal MIS reporting format. The net receivable days based upon the trailing 12 months revenue has also reduced to 35 days approximately in Q1 of FY2023 from 53 days in FY2022. The net receivable days has been computed after reducing deposit receipts from franchisee and provision for sales return from trade receivables.

The sale of our customers were around 500 Crores during Q1 of FY2023 with a significant growth of 119 % over Q1 of FY2022. The company also reported very strong SSG growth of 105 % over Q1 of FY2022.

Now on comparing our Q1 FY2023 performance this pre-COVID levels of Q1 of FY2020 whose figure has been considered basis internal management MIS. Our revenue from operations significantly grew by approximately 58 % and we witnessed significant growth in PAT by approximately 81 % over Q1 of FY2020. Our sale of our customers significantly grew by approximately 60 % with a strong SSG growth of around 25 % over Q1 of FY2020.

Thank you and Namashkar everyone. We can now move to the Q&A session.

Moderator : Thank you. We will now begin the question and answer session. First question comes from the line of Gaurav from Axis Capital . Please go ahead.

Gaurav Jogani : Hi, and thank you for the opportunity Sir, and congratulations on a good set of results. My question is first on the strong expansion in the gross margins. We have seen the gross margins expand now to 68.8% and commensurately our EBITDA margin is also now 50 %

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Page 5 of 18 plus. So my question is how much of this is a phenomena of the season of the mix and what could be a steady state levels that we can expect going ahead.

Rahul Murarka : As a company our endeavor has always been to improve our gross margins and improve efficiency in margin. We have been able to do this in the past and our endeavor will also be to continue to do this in future to improve in our margins. However on a quarterly basis the gross margins may vary from one quarter to another quarter, and hence we should look at the gross margin level on an annual basis. As far as your question on steady state gross margins are concerned. No, we do not want to give any guidance, but historically we have seen that we have been able to achieve very high gross margin of 66 %, 67% and we do not find any challenge as of now that in achieving the similar levels in future as well.

Gaurav Jogani : But going by your Q1 performance itself, I mean, it looks like I might as well be reach the 66%, 67% gross margin levels at least for this year because if it has to go below that the rest of the nine months might do really bad in terms of the GM's.

Rahul Murarka : So as I mentioned our thought would be to look at the gross margin at an annual level because the quarterly gross margin may vary from one quarter to another. So maybe we can discuss on the gross margins when we achieve the year end gross margin levels.

Gaurav Jogani : Sure that is it and my next question is with regards to the store opening. So one we have added around 10000 square feet in terms of the stores whereas we have added 8 stores so average square feet comes to around 1250 square feet for the new stores. Also the number of store openings in terms of square foot addition has been only 10000, so

on the both the

fronts in terms of the store sizes and in terms of the square feet addition. If you can help us how can we look it going ahead.

Vedant Modi : When we talk about the 10000 square feet number which was the net opening for this quarter. There were about eight stores opened and some of those stores that were added in

this quarter were also SIS stores which are typically smaller on average about 500 odd square feet like we have been mentioning for a long time now that typically the newer stores which we will open which are exclusive brand outlet stores not the SIS version of it will be 2 000 or more than that typically unless it is a one-off tier 3 or a tier 4 city that we are entering. So the plan is to open larger stores as we move forward. Now with concerns to the 10 000 square feet number which we have added in this quarter typically because Q2 is a weaker season compared to the rest of the year. We tend to add majority of our stores by the end of Q2 or start of Q3 and we have an extremely strong and healthy pipeline which you

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Page 6 of 18 will start seeing in the coming few quarters. I think we are very well poised to open a lot of stores and a very high number of square feet in the coming seasons.

Gaurav Jogani : Sure that is helpful and just a follow up on this one. I also see that you have added five new cities during the quarter. So if you help us which are these cities, are these tier two, tier three towns. How are we looking in terms of the city additions, if anything on that.

Vedant Modi : Sure, so the cities we entered so the city with the highest population was Balasore, with a population of about 23 odd lakhs while we went down to a city called Bhimavaram which is at a population of 108000 from the last population records we have. I hope that once the new census gets updated which is I think in two years now the numbers for population will be a lot more accurate. So I think we continue to open stores in newer cities. There are some tier 2 cities that are left to come up, very few of them, but majorly it will be tier 3 and tier 4 towns that we entered as new cities.

Gaurav Jogani : And just one last bit if I can pull in. In terms of across the retail spectrum we have seen that this quarter was aided by a strong wedding season as well as some bit of pent up demand and also flowing through. So if you can highlight on the demand front how has these two aspects played out during the quarter.

Vedant Modi : I think demand was very strong across channels and we were able to witness a lot of walk-ins, we were able to witness good increase in volumes and a good increase in a merchandising mix. So I think all those levers like I mentioned in the last quarterly call also that this is the first quarter that we saw after almost eight to nine quarters of disruption when the big fat Indian weddings were not allowed. So it was great from all perspectives and we are very confident about moving into the future with such trends.

Gaurav Jogani : Sure, thank you and that is all from me.

Moderator : Thank you. Next question comes from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki : Hi! All, congrats on a good set of numbers. I just wanted to know your per square feet sales, which you do typically in a normal year in Q1. Is that what percentage higher or lower than the full year sales per square feet.

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Page 7 of 18 Vedant Modi : The way I would like to answer this question is typically when we look at an historical average of quarter one out of the year it is about 24 % of our business. So that is a metric which we can use to kind of calculate.

Percy Panthaki : This is the total sales or this is the sales per square feet you are talking about.

Vedant Modi : This is the total sales, so typically 2

4 % of the year's total sales would come from quarter one.

Percy Panthaki : Secondly can you give me an idea of whatever growth you have done this quarter Y-o-Y you have grown a 100 % plus. How much of the growth is from a pure price increase angle how much of it is a mix and how much of it is volume rough estimates of the breakup of this.

Vedant Modi : Sure, so about our overall SSSG was about 105.2 % when we break that down into volume and ASP, volume growth was at about 102.3 % and ASP growth was about 1.4 %. So this is at a company level, we witnessed very good growth in terms of our average basket size numbers and different sort of parameters that we track at the store level and at a product level. So all of those work in our favors.

Percy Panthaki : So basically you are saying that the average bill size has gone up. So people are purchasing either more number of items or more premium products. Is that the right way to look at it?

Vedant Modi : Not exactly because last year the same quarter was a COVID impacted quarter. So the walk-ins were left. So of course we saw tremendously a lot more walk-ins coming in from last year and that is why you will see that because a lot more customers walked in we were able to have very good sales. So when we look at average basket size internally we break it down into average basket size of a groom walking into our stores and the average basket size of a non-groom walking into our store. As this was a normalized year, the walk-in

numbers of non-grooms was higher compared to last year when it was a COVID impacted quarter and that is why we were able to witness good average basket size growth within these each segment. So overall each metric of the business was performing pretty well. So we were able to bring in more consumers and consumers within the segment that we operate in, which is groom and non-groom, we had a better basket size.

Percy Panthaki : And this 1.2 % or 1.4 % ASP growth that you are saying, that is your pure price increase or it includes a mix effect in this.

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Page 8 of 18 Vedant Modi : So, like we have been mentioning we do not usually incur a direct price increase into our products. It is almost entirely a change in merchandising mix that is a continuous effort.

Percy Panthaki : Because I thought that a lot of your products SKUs are long-running it is not fashion, it is not fast fashion or seasonal that your SKUs keep changing so whatever SKUs you had let us say two years ago a large part of them would still continue this year. So if that is the case then the price increase would have to be in those SKUs only right.

Vedant Modi : That is not exactly how the case is. In terms of change in mix, it does not happen let us say after two years it is a little quicker than that in typical fashion and especially in India wear that is what we see and apart from a White Kurta which is a very classic product, typical products do change within that time frame. So it is more to do with a change in mix and the kind of products we churn out.

Percy Panthaki : Understood and last question from me any color or flavor you can give on the three smaller brands that is Manthan, Twamev, and Mohey.

Vedant Modi : Sure. So when we talk about Mohey there are a couple of metrics that we track internally all of them have been very positive in nature and have been really encouraging to see the brand grow and the quality of Mohey as a brand has been improving in terms of all these numbers that we internally track. There is also one important metric that we keep seeing that Mohey's SSSG was higher than the company's average SSSG both compared to last year same quarter and also compared to pre-COVID quarter one of FY2020. So that was also very encouraging to witness. At the same time with Mohey we continue to open the flagship Manya

var Mohey stores and we will also experiment with standalone Mohey store this year. So I think those are overall things that excite us with Mohey and the nucleus category of Lehenga has been performing really well with very good high conversion numbers coming from the front end retail store level and sarees has also been picking up pretty well. When we talk about Twamev, Twamev has been a very, very phenomenal sort of a success story for us internally it has been beating all our internal numbers we are very hopeful and we are very confident of having great exclusive brand outlets of Twamev this year and we are very confident about the kind of success that Twamev as a brand will possibly bring for us in the future. Manthan is still in the incubation stage we have been trying out the brand on different online marketplaces and through the MBO channel. Again it has been growing very rapidly given the small base, but we would like to see the brand and work on the product categories a little more for the coming two to three quarters before commenting on Manthan.

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Page 9 of 18 Percy Panthaki : Okay that is all from me. Thanks and all the best.

Moderator: Thank you. Next question comes from the line of Abhishek Basumallick from Intelsense Capital. Please go ahead.

Abhishek Basumallick : Firstly congrats on a good set of numbers. I have two basic questions. One is probably an extension of what you just talked about. So can you just help me understand what are your plans on the Mohey brand in terms of scaling it up, and the second question is about what is the competitive scenario looking like in Manyavar overall those two questions.

Vedant Modi : In terms of Mohey, I think the plan in terms of a retail footprint expansion is to continue with a growth strategy of having Manyavar Mohey stores as the flagship concept of a company, which typically stores above 3000 to 4000 square feet will have a good Mohey section within them and because this TG is very similar for Manyavar and Mohey this is an additional benefit that we are able to achieve. At the same time in terms of Mohey we are also going to experiment with standalone Mohey stores. This was in terms of retail footprint. In terms of product category there is continuous innovation that is happening through our design and product teams and that is the result of which we are able to witness better conversion rates at this store. So overall all the metrics like I just mentioned which we track have been performing better and better over each quarter and I think in the next two to three quarters we should have a very good confidence of start to scale up the whole Mohey brand overall.

Abhishek Basumallick : Just to get a sense, I mean, could you share what kind of metrics you are talking about or is it just internal and something you cannot say.

Vedant Modi : So I think the three most important metrics which we track for Mohey internally are productivity, the dead stock levels, and the inventory turnover ratio and of course the conversion at the store level. So these are probably the four most important metrics for us which we track for any of our newer brands.

Abhishek Basumallick : And the second question that I had was about the competitive intensity in Manyavar and we have been seeing other brands also from the other large retail chains they are also starting to advertise a lot and especially in celebration wear. So what are your thoughts on how the competitive intensity is shaping up.

Vedant Modi : Overall I would like to comment on what we are witnessing as a brand. So every market we operate and we have been growing, there has been strong SSSG growth we have been

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Page 10 of 18 witnessing good retail footprint expansion across. So until now we have not witnessed any

such pressure and also given the kind of moats that exist in this industry it is a very sort of

protected environment. So when we talk about the industry moats, we started producing Indian wear in 1999, the journey since then has been very good with all our jobbers, our vendors and our artisans and handling them and understanding how they operate over the last two decades has been a phenomenal sort of learning for us and that is why we are able to produce Indian wear directly, which is a tricky task for larger players and when we talk about India as a country consumer preferences change every 50 kilometers that means the number of designs that are required the kind of technology and inventory replenishment stack that is required to manage operations in an Indian celebration wear brand is very complex. So we have been able to achieve and be very productive on all of these spheres. Lastly talking about the brand modes themselves Manyavar as a brand is one of the most aspirational yet valuable for money brand that people are connected with that too emotionally. So that creates an edge and until now given the kind of brand power and brand equity Manyavar has the brand has almost become synonymous with the category. So overall these are the kind of defense mechanisms that the company has however all of that said we operate in a much, much larger industry which is about 1.8 lakh Crores and there is definitely room for more organized players to enter and operate alongside with us.

Abhishek Basumallick: Sure, thanks.

Moderator : Thank you. Next question comes from the line of Satvik from Generational Capital. Please go ahead.

Satvik : Thank you for the opportunity. So first question is for Vedant. Out of this 320 odd Crores revenues could you give the breakup of how much of it was from Mohey and also could you share the per square feet revenues of Manyavar and Mohey both if that could be possible.

Vedant Modi : We have decided that strategically we are not disclosing the numbers of our brands separately as of now. Once they scale up and are larger in nature we will definitely start to do that. So it would be difficult to comment on this. Talking about productivity numbers which you ask, so about in FY2022 we saw productivity of about 12,800 plus and that is the kind of productivity we witnessed. The first quarter one of this year beat the last year's quarter quite phenomenally with a 105% SSSG so it would be quite exciting to see the kind of productivity numbers we are able to achieve in this financial year, and in terms of brand split I think you can refer to our DRHP which mentions the kind of split that our brands have dated quarter two for financial year 2022.

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Page 11 of 18 Satvik : Okay sure that was helpful because I think in the last call you were mentioning that once we scale up to like say 10,000 per square feet in Mohey then we can look at possibly scaling up that massively so I think that was the key metrics you were tracking for the Mohey specifically.

Vedant Modi : So I would like to reiterate my point. While Mohey so Manyavar Mohey stores which is a flagship concept they have a very good productivity level and even Mohey within our newer stores is achieving very good productivity levels what I mentioned or I meant by the 10,000 productivity level in Mohey is that we are experimenting with standalone Mohey stores this year. We have not done that before and once we experiment and kind of understand the numbers we are able to give out it is the expansion strategy for the standalone model concept rather than the Manyavar Mohey flagship concept.

Satvik : Okay that was very helpful. So the second question is for Mr. Murarka, am I correct in my understanding that sales are booked basically when the products are shipped to the franchise

and not

when the actual purchases are done to the customer.

Rahul Murarka : That is right. So our primary revenue which we see in the PL is built upon the replenishment which we make to our franchise.

Satvik : Perfect that was very helpful all the best.

Moderator : Thank you. Next question comes from the line of Rushabh Doshi from Nirmiti Investments Advisors LLP. Please go ahead.

Rushabh Doshi : Actually we met couple of your retailers so from them what feedback is what was that they expect the kids segment to do very well. So if you just throw some light on this and also like maybe around 60 % of the retailers they were a bit conscious of thinking of adding Mohey because firstly it takes a lot of space and secondly they have to take a lot of inventory upfront. So how are we addressing these issues or are we going to give them higher or gross margin here. So like these are the two questions.

Vedant Modi : If I got the first part correct you were talking about kids right.

Rushabh Doshi : Yes.

Vedant Modi : So internally we have created a separate vertical for kids and there has been a lot of work that has gone on in terms of product and our team has been calling and training about kids has been talking about how can we solve which is I think that is why the whole retail

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Page 12 of 18 network is also excited about kids and we have been witnessing good growth. So again kids as a category has been doing good SSSG business as well for us. So we are also very confident the only sort of concern with kids really is that Manya var as a brand is so productive that sometimes we find it difficult to give the whole kids section more space in our stores which would immediately increase the business for kids and that is I think the one major thing which we are able to achieve by opening much larger stores. On your other side of question so as a company even though we are in a buy and sell model the entire inventory is managed by the company by ourselves. So even though the franchisees give us our security deposit which takes care of more than the cost of goods that we send to them it is not really their responsibility to take care of the product and liquidate it. If the product does not sell well in the store as a company and as part of our policies we bring it back to the company and we send it to another store and we kind of try to use the entire supply chain technology system that we have created in order to make sure that the product gets sold and that is what the key USP of a company. While on the other hand this might be the reference to a lot of retailers asking us to add Mohey but as a policy we have decided that we do not want to add Mohey in stores that do not have this space and capacity to kind of show the women the entire plethora of our collections. So the store is less than 3000 to 4000 square feet typically we do not want Mohey to be in that store. So I think it is more of that point than anything else.

Rushabh Doshi : And this could you even share like what percentage would be our kids piece on an overall company level.

Vedant Modi : Sorry can you please repeat that I could not hear you.

Rushabh Doshi : What percentage would be our kids segment on a company level.

Vedant Modi : So again we are not disclosing these numbers but right now it is a very small part of the overall company level in single digits in low single digit turnover.

Rushabh Doshi : Thanks that is all from my side.

Moderator : Thank you. Next question comes from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Ankit Kedia : Sir couple of questions from my side. First on the job work expenses. Why is there seasonality in job work given that the manufacturing would actually happen 365 days.

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Page 13 of 18 Rahul Murarka :

Yes, you were right. So as far as our production goes on, we carry out our production through out the year 12 months in a year it is done consistently based upon our targets for the entire year. This is the consistent thing which happens. So the job charges also you will see that consistently it is incurred all around the years it is not that in a particular part of the year or a quarter the job charges would be very low or a particular quarter it would be very high. So we carried out production throughout the year on a consistent basis.

Ankit Kedia : Sir the reason why I am asking because if you look at job charges in quarter 4 was about 25 Crores and this quarter it is around 20 Crores. So the difference in gross margin is actually coming on back of job charges being low in the quarter.

Rahul Murarka : So the gross margin is a combination of different things actually if you see there are two,

three components which becomes part of the gross margin when you compute from our financials. We add three, four component one is the job charges, then we add consumptions, the raw material consumption, the accessory packing material consumption, and then we add up all the change in inventory. So combination of all that has an impact on the gross margin and COGS. So by combining all of that we get the COGS and then by reducing from revenue we get the gross margins. So job charges typically higher or lower does not have any impact on the gross margin per se because it is the cost of goods sold which we compute and the gross margin is based upon whatever we had sold.

Vedant Modi: Also I would just like to add one point so another reason of job charges being slightly lower than Q4 is that a festival of Eid is in a quarter one of financial year 2023 and that is why we typically see a few days of holidays and that is why production quantity is slightly lower in some of these quarters and that is another reason why you might see this discrepancy from quarter four to quarter one.

Ankit Kedia: And the second question is regarding the employee expenses there also quarter four to quarter one we are seeing some decline in employee expenses. So why that difference also.

Rahul Murarka: It is mainly on account of decrease in the director remuneration which is reviewed periodically by our board members and the NRC Committee.

Ankit Kedia: So for FY2023 overall will the director remuneration be different compared to FY2022 or 2021. Is there a board resolution for that or it is a quarterly thing every quarter is being...

Rahul Murarka: Yes we have asked a board resolution also for that based upon which the director remuneration would be different in FY2023 compared to FY2022.

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Page 14 of 18 Ankit Kedia: Sir can you quantify that.

Rahul Murarka: So it is a combination of aspects I would say there is a fixed component and there is a variable component. Variable component would depend on the profitability. So difficult to give you any number on that because of the variable component of that.

Ankit Kedia: Sure that is helpful thank you so much.

Moderator: Thank you. The next question comes from the line of Vikas Mistry from Moonshot Ventures. Please go ahead.

Vikas Mistry: Sir I have only single question mainly the question is on rental outfield for celebration how this is going to cannibalize your market.

Vedant Modi: Could you please repeat your question.

Vikas Mistry: My question is that the rental market for the celebration outfits how this market will going to impact our business.

Vedant Modi: So this is the market that we continuously analyze and study and as far as India as a country is concerned culture here is very strong and still for majority of our events and celebrations we have seen a trend of people tending to buy new clothes as it is part of our cultural

her

heritage and that trend continues however as a company we continue to monitor and see the rental market and how that kind of evolves over the coming years.

Vikas Mistry: If it evolves are we thinking in direction to just be pivoting to that part also.

Vedant Modi: I think it would be very premature to comment on that the whole idea is business is very dynamic we try to keep a track of the overall industry what the consumers are thinking what the consumers want and we take decisions accordingly. So right now we do not see any such trends happening in the rental market that is of any concern to us of this stage.

Vikas Mistry: My final question is on Mohey. So how we are thinking to scale that up and any guidance further understanding on it how we try to scale this up it coming to three, four years.

Vedant Modi: So I think with Mohey as a brand we started the brand in 2016 we took about three years to understand that Lehen gas will be the nucleus of a category supported by sarees and gowns.

We launched independent marketing initiatives with Alia Bhatt as a brand ambassador in 2019 and immediately the brand picked up and so we were able to witness very good

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Page 15 of 18 growth it was one of the fastest brands to reach 100 Crores of customer revenue in just five years in India and so all of these trends that we saw were very positive and even now the brands underlying metrics which we track are all in a very good and positive direction. I think over the next three to four quarters we should be in a very comfortable position to start scaling up Mohey and start to see benefits out of the brand. In terms of our retail footprint strategy like I mentioned before in the call we will continue to open up flagship stores of Manyavar and Mohey which are very profitable stores for our franchisees and for the company and we will continue to start the experiment with the standalone Mohey stores this financial year.

Vikas Mistry: Thank you that is all from my side.

Moderator : Thank you. Next question comes from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki : Hi! Just some accounting questions. So one is the employee costs are down in quarter -over-quarter that is versus Q4 they are down materially any reason for that .

Rahul Murarka : It is mainly because of decline in the director remunerations. So director remuneration has reduced in Q1 compared to Q4.

Percy Panthaki : So is this just a phasing issue or I mean what is the reason for this decline.

Rahul Murarka : The director remuneration are decided by the board and we have an independent NRC committee which is there comprising of all independent directors. They periodically review and revise the director remuneration . So as an annual revision and director remuneration it was revised and as a result of which the revised remuneration has been booked in the current quarter.

Percy Panthaki : It has been revised downwards.

Rahul Murarka : Yes.

Percy Panthaki : So this is like a permanent saving which will accrue for the remaining three quarters as well.

Rahul Murarka : Yes it is for the entire year and as I mentioned it is a mixture of a fixed and a variable component the variable component would depend upon the profitability as well.

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Page 16 of 18 Percy Panthaki : Secondly can you give some idea on margins your EBITDA margin is in excess of 50% so is there some particular set of conditions which is resulting in this being so healthy like is it that you have got some inventory gains on raw materials or there is some phasing of the ad spend or there is some normal seasonality or something like that or this is like something which is sort of the factors are recurring factors and this kind of margin can continue for the rest of the year.

Rahul Murarka : In last two years if you will see we have been able to consistently deliver around 50% of EBITDA I think one of the major aspect which has happened is the introduction of Ind AS 116 the lease rental accounting which was introduced with effect from April 1, 2019. Now as a result of which earlier than this new standard which has come all my rental expenses used to come before EBITDA as a lease cost and after this 116 accounting has come majority of this cost is appearing as a depreciation in my profit and loss account which has in a way resulted in a change if you see our EBITDA levels prior to 2019-2020 and after that there has been some impact because of that accounting I would say but otherwise I think we have been able to deliver consistently around 50% of EBITDA in the recent times and we are confident as of now and we do not find any challenge also towards it.

Percy Panthaki : Is there any seasonality here also in terms of like typically in a normal year your Q1 margin would be higher or lower than a full year margin.

Rahul Murarka : So on a quarterly basis and as Vedant was also mentioning our quarterly split of revenue does vary from one quarter to another typically we have Q3 is the best quarter for us with around 33%, 35% of revenue coming from there q1 is around 24%, 25% Q4 is around 25 %, 27% and Q2 is around 12 % to 14 %, 15%. So that is the range that comes so of course the operating leverages which we get on amount of the fixed overhead that increases in the quarter in which we have higher revenues so in those quarters you will get maybe a higher PAT margin because of the operating leverage s on account of the fixed overhead cost and in the quarters which are having the lower revenue makes in both quarters you will have a lower PAT margin because of the lesser operating leverage of the fixed overhead cost. So those variations you will be seeing from one quarter to another.

Percy Panthaki : Got it. So there will be a variation in EBITDA margin quarter -to-quarter but there is no reason to believe that gross margins would vary from quarter -to-quarter right.

Rahul Murarka : That may also very the gross margin also look we can see the gross margin of 68.8 % in the current quarter as we mentioned improving the gross margin has always been the endeavor

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Page 17 of 18 of the company in the past and in the future also, but in quarterly basis it may vary because of various factors but so that is why...

Percy Panthaki : The random variations you are saying I am saying there is no systemic variation that this quarter has to be higher and this quarter has to be lower as far as gross margins are concerned would that understanding be right.

Vedant Modi : So that is correct to an extent because unlike other peers in the industry we do not have any end of season sales or discounts that come up in a quarter two or a quarter four. So the range of our gross margin which we expect to be about 66 %, 67% which is what we are comfortable seeing at this time will continue to happen in the coming quarters as well and

that gross margin levels do not change significantly at all.

Percy Panthaki : Okay that is all from me. Thank you very much.

Moderator : Thank you. Last question comes from the line of Ankit Kedia from Phillip Capital . Please go ahead.

Ankit Kedia : Two questions from my side again. One is you said non-groom related footfalls were higher in the quarter. So does the Kurta and non-groom related sales have similar gross margins in the system or they would be slightly lower in the system as your advertising campaign is also towards the non-groom related sales to drive that.

Vedant Modi : So gross margins within the Manyavar brand are pretty similar, there is slight variance in different products even within let us say Kurtas because we believe in pricing according

to

the consumer's eye. So while we as a company use science in almost all our aspects pricing is something where we brought in art. So we price our products without looking the cost and then we look at the cost and see if this product makes sense and should we send it to our flow. So overall while there is some variance within each category themselves overall margins within the Manyavar brand are pretty similar.

Ankit Kedia : My second question would be on online this quarter in the presentation you have not shared the share of online or the revenues. So what is happening on the online side this year we were expected to see revamp of digital things so where are you on the progress front on that if you can just highlight.

Vedant Modi : In terms of numbers compared to pre-COVID levels of quarter one financial year 2020 we are about 3.7 times when it comes to our online revenue the CAGR has been about 55 % for

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Page 18 of 18 three years. In terms of our overall digital strategy we have hired good companies with one of the best in class software technology platforms and the overall digital revamp is in place and we are quite excited and should be out sometime in quarter four of this year.

Ankit Kedia : And one last thing you mentioned this quarter lot of shop in shop was opened now the presentation again does not have the number for that while earlier presentations used to have that if you can consistently give us this data point it will help us analyze online and shop in shop where are the EBOs open. So just a feedback on that.

Vedant Modi : Sure, we will take that into consideration for next time. Thank you.

Moderator : Thank you. Due to time constraints we have reached the end of question and answer session. I would now like to hand the conference over to the management of closing commands.

Vedant Modi : Thank you everyone for the participation and hope we were able to reply properly to all your queries and please feel free to connect with us in case you have any further queries or questions separately. Thank you so much.

Moderator : Thank you. On behalf of Edelweiss Securities that concludes this conference. Thank you for joining us, you may now disconnect your lines.

Call: Nov 2022

Vedant Fashions Limited (Formerly known as Vedant Fashions Private Limited)

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November 17, 2022

To,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C -1,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001
NSE Symbol: MANYAVAR
BSE Scrip Code: 543463

Dear Madam / Sir,

Sub: Transcript of Conference Call of Q2 FY 2023

Ref: Our Letter dated November 08, 2022 regarding prior intimation of
Conference Call for Q2 FY23 financial results of the Company

In accordance with Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (as amended), we are enclosing herewith the transcript of the Conference Call organized and held on Monday, November 14, 2022 regarding discussion on operational and financial performance for the Quarter and Half-year ended September 30, 2022 (Q2 FY 23).

The transcript can also be accessed on the Company's website from the given link:
<https://www.vedantfashions.com/investor-presentation>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

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"Vedant Fashions Limited Q2 FY-23
Earnings Conference Call"

November 14, 2022

MANAGEMENT : MR. VEDANT MODI – CHIEF MARKETING OFFICER ,
VEDANT FASHIONS LIMITED
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER ,
VEDANT FASHIONS LIMITED

MODERATOR : MR. GAURAV JOGANI – AXIS CAPITAL LIMITED

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Moderator : Ladies and gentlemen good day and welcome to the Vedant Fashion's Q2 FY23 Earnings Conference Call hosted by Axis Capital Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gaurav Jogani. Thank you and over to you sir.

Gaurav Jogani: Good afternoon, everyone. On behalf of Axis Capital, it's my pleasure to welcome you all and Vedant Fashions management for today's conference call. We have with us today Mr. Vedant Modi – Chief Marketing Officer and Mr. Rahul Murarka – Chief Financial Officer. The management will start the call with a brief about the quarter and then we can open the floor for the Q&A. Thank you and over to you.

Vedant Modi: Thank you Gaurav. Good afternoon and a warm welcome to all the participants. I'm Vedant Modi, Chief Marketing Officer of the Company. Thank you for joining us today to discuss the Vedant Fashions Limited Quarter 2 and H1 2023 results. I'm joined by Mr. Rahul Murarka the Chief Financial Officer of our Company. I hope everyone got an opportunity to go through our financial results and investment presentation which have been uploaded on the stock exchange as well as the Company's website.

Let me take you through the quarter ended and half yearly performance. We delivered another good quarter. In this quarter we increased the number of EBOs which is the dominant channel for the Company. As of September 2022, VFL's EBO area stands at 1.34 million sq ft spanning 626 stores in 244 cities and towns globally. The national EBO footprint tally is at 612 stores spread across 235 cities and towns. In Quarter 2 we opened net square feet area of around 62,000 sq ft and 23 exclusive brand outlets in India. We have also opened one new international store in the US in Chicago, and we now have 14 international stores spanning across three countries. We're also happy to share that we have a strong and healthy pipeline for new rollouts planned for the remaining part of the financial year. Our overall customer sales growth stands at 73.1% over Quarter 2 of financial year 2020 and 20% over Quarter 2 of financial year 2022. The SSSG growth has been 35.1% over Quarter 2 of financial year 2020 which was pre-COVID levels. If we exclude the stores under renovation, we saw SSSG growth which stood at about 4.1% which is including the stores under renovation and at about 6.7%. If we exclude the renovations which is in comparison to Quarter 2 FY22.

In addition to the network expansion, I would like to highlight our marketing and branding campaign with Mr. Ranveer Singh during the quarter. The '#TaiyaarHokar Aaiye' campaign was built around saving the truest sense of a wedding in your favorite Indian attire. The campaign was targeted to connect with the wedding attendees and close family members of bride and
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groom. The overall idea is to drive a behavioral shift in Indian men to catch up for Indian weddings. In this quarter we also ran a 360-degree Rakhi campaign which targeted the non-wedding occasions and the festival market. We received a positive response from the market and this was a good step towards reinforcing Manavara as a celebration wear brand. Overall, we can see that the fundamentals of the business have been sound, robust and the Company has been encompassing growth. With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of our Company. Thank you.
Rahul Murarka: Thank

you Vedant. Namaskar and good afternoon, everyone. I would now like to highlight the key financial performance for the quarter and half year ended 30th September 2022 based upon the consolidated financial statements.
The Company has continued to demonstrate strong financial metrics and returns during this

period. Starting from H1 of FY23 update, the Company reported revenue from operation of Rs. 572 crores during H1 of FY23 delivering a strong growth of 59% compared to H1 of FY22. The Company continues to report industry leading gross margin of 67.8% during H1 of FY23 as compared to 66.1% in H1 of FY22. The EBITDA margin was around 49% and the EBITDA stood at Rs. 281 crores during H1 of FY23, a growth of around 60% compared to H1 of FY22. The reported PBT during H1 of FY23 is Rs. 228 crores which has significantly increased by 72% compared to H1 of FY22. The Company continued to report best in class PAT margin of around 30% and the profit after tax stood at Rs. 170 crores during H1 of FY23 with a significant growth of 73% compared to H1 of FY22.

The Company had a track record of generating significant cash driven by a healthy cash conversion ratio. Based on TTM (trailing twelve months) September '22 the Company continued to generate high cash conversion ratio of approx. 85% which has been computed based upon operating cash flow over PAT. With optimization in working capital, we have been able to achieve industry leading trailing 12 months ROCE of approx. 84% during 12 months period ended September '22. Scale of our customer was around Rs. 793 crores during H1 of FY23 with a significant growth of around 68% over H1 of FY22 along with a SSG growth of around 54%. Due to COVID FY22 was an abnormal year, having an impact on performance across all the quarters. Hence it is relevant to compare our performance with pre-COVID level figures of FY20 basis internal MIS. Our revenue from operation significantly grew by approx. 70% and we witnessed significant growth in PAT by approx. 140% in H1 of FY23 over H1 of FY20. Sale of our customer also significantly grew by around 65% along with a strong SSG growth of around 28% over H1 of FY20.

Now coming to Q2 of FY23 performance update:

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The Company has reported revenue from operation of Rs. 247 crores in Q2 of FY23 delivering a very strong growth of around 23.5% compared to Q2 of FY22. The Company continued to report industry leading gross margin of around 66.5% during Q2 of FY23 against 65.9% in Q2 of FY22. The EBITDA margin was around 47% and the EBITDA stood at 116 crores during Q2 of FY23 with a growth of around 21% compared to Q2 of FY22. The reported PBT during Q2 of FY23 is Rs. 92.5 crores which has increased by around 30% compared to Q2 of FY22. The Company reported best in class PAT margin of 28% and the profit after tax stood at Rs. 69 crores during Q2 of FY23 with a strong growth of 30% compared to Q2 of FY22. The sale of our customer was around Rs. 294 crores during Q2 of FY23 with a growth of over 20% over Q2 of FY22, along with SSG growth of around 4.1%. The SSG growth excluding impact of certain stores under renovation during the period was around 6.7%. Net EBO store area of 62,000 sq ft was added in Q2 of FY23 with total presence of 1.34 million as on 30th September 2022. Now I'm comparing our Q2 FY23 performance: With pre-COVID level of Q2 of FY20 whose figure has been considered basis internal management MIS. Our revenue from operation significantly grew by around 89% and we witnessed significant growth in PAT by approx. 359% over Q2 of FY20. Our sale of customers also significantly grew by approx. 73% with a strong SSG growth of around 35.1% over Q2 of FY20.

Thank you and Namaskar everyone. We can now move to the Q & A session.

Moderator: Thank you very much. We will

now begin with the question-and-answer session. We take the first question from the line of Mr. Nihal from Nu vama.

Nihal: I had three questions. First was on the quarter, just on the gross margin improvement you've seen, I know it's 60 bps versus YOY. Just wanted to understand is that a mix driven improvement or some price hikes you may have taken in the quarter versus the last one?

Rahul Murarka: So, our Q2 FY23 gross margin was 66.5% compared to 65.9% which was there in Q2 of FY22.

If you see our historical trend of gross margin, we have seen improvement in gross margin due to the efficiencies we have been able to build over the model. That is the main reason, efficiency is not only in one aspect but in various aspects, we have been improved efficiency and as a result of it which we are seeing improvement in gross margin but on a quarter level it can vary. It is always better to look at an annual level which is around 66%-67% historically which we saw.

Nihal: The second was comparing your SSG of 35% versus 4% on a YOY, it gives us a sense and it was known also that last year there was a bunch up of weddings which would have seen a strong Q2 of last quarter. Is it that the last Q3 also saw a significant bunch up of weddings or say the festive period which could potentially have an impact on the YOY growth as we're looking at this quarter, just to understand that better?

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Vedant Modi: So, Nihal, just to answer your question, the relevant way of looking at this would be that when we compare the numbers to FY20 Quarter 2, we were able to see SSSG growth of almost 35% and that on a CAGR basis also at 10.5%. So, if we look at it that way the health of the business seems very right. Looking at how Q3 goes given that weddings start at 22nd November, once we start seeing the trend, we will be in a much better position to answer this question in the next earnings call. For now, all we can say is that Quarter 2's performance has been very encouraging for us given the kind of CAGR numbers we've been able to witness based on a pre-COVID level as well.

Nihal: Absolutely Vedant. If I just ask for Q2 also, as you rightly said there's a 35% works out to a CAGR of ballpark 10%-11% kind of SSG and last year was 4% even if you say not considering the stores which were under renovation. It basically says that Q2 of last year would have been a very strong performance and now we're seeing a reasonable performance. That's what I just wanted to understand that. Is that inference right when I'm comparing these two numbers that you've highlighted or there is something that I would want to know about?

Vedant Modi: Sure, that's one way to look at it. That last year was really good and that's why we see numbers like these this year. On the other hand, I would also just like to mention that because we have come out of COVID, there's a large fleet that was under renovation in Quarter 2. That's why we also mentioned that if we exclude the stores that were under renovation, the actual SSSG numbers come to be 6.7%.

Nihal: I just have one last question. If it is possible to give any qualitative or quantitative commentary on Mohey, how it has performed and any metrics in terms of how the business is progressing?

Vedant Modi: In terms of Mohey, the SSSG again has been beating the Company level and we've been seeing very good positive feedback from the customers on the store level. Each and every metric that we track from a retail point of view has been improving be it conversions, be it productivity. We are very excited about the brand and the Manyavar Mohey concept, which is of having Mohey in the flagship Manyavar stores has proven to be a success and we continue to roll that out. While on the other front, like we discussed in the last earnings call as well, we

are also working out on

the standalone Mohey concept which we plan to roll out very very soon in the coming quarters.

You will start to see these stores going live in the coming quarters and we're excited about witnessing the results of those and then taking a call on how fast you want to scale up the standalone model from that point on.

Nihal: Just very quickly one last thing, the SIS count for Mohey and the EBOs if possible, to share that.

Vedant Modi: For Mohey, there would be no SIS. That is not something which we do. In terms of overall store count in the range of (+100) stores. It would be somewhat about 103 odd stores.

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Moderator: We take the next question from the line of Percy Panthaki from IIFL.

Percy Panthaki: My question was also on Mohey. Just wanted to understand the optimism that you're having in the brand is when Mohey is selling inside your Manyavar store, I mean, side by side or whatever you call it. Do you have any test or a pilot where Mohey is a separate standalone store and what kind of experience you have or what kind of KPIs does that store kind of generate? Do you have that yet or not?

Vedant Modi: Percy, we do have what we call an exclusive brand outlet store on Mohey in Kolkata. However, the catch there is that it's next to a Manyavar store. That's why from a metric point of view, what you're requesting, I don't find it correct to refer to this store. This particular store would only happen once the standalone stores open starting quarter four of the current financial year. This is what we are working on currently in the pipeline and you will start to see these stores coming up in quarter four and that is what we intend to study and how scalable that as a model would be, once we have actual data of those stores coming in.

Percy Panthaki: What are the parameters you would track for these standalone Mohey stores to decide whether they are ramping up properly or not?

Vedant Modi: The important measures for the standalone stores would be the most important one, which kind of talks about the scalability of the business would be productivity. While there are a lot of other supply chain measures which we would take into account such as inventory turnover ratio and what kind of conversion levels we are able to see at this store level, which all leads to a better productivity in some sense or the other. The idea is to make sure that our franchisees are getting good ROI and that the business is also profitable if we have good supply chain efficiencies built in. These would be the kind of ratios we would monitor and track.

Percy Panthaki: What has changed in the Mohey brand over the last 12 or 18 months to give you more confidence that now we are getting it right.

Vedant Modi: See, I mean, as a business we've always been confident and it's just a result of improved merchandising mix and improved conversion rates at the store level, which has just been a result of better data efficiency and better data management that leads us to having better merchandising

at the store level. As we've been explaining across the IPO process and across the earnings call that, our entire supply chain is very tech driven and that basically results in the more data we have, the better we can perform at a brand level, which is what we are able to now witness with the Mohey brand as well.

Percy Panthaki: Second question on your overall store rollout, can you give me some idea in terms of square feet, what is the percentage addition that you would target every year for the next two, three years?

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Vedant Modi: So, the way we look at it, in the past we've been able to grow our retail footprint at a CAGR of 16% odd. We are quite confident that we will continue scaling up our retail footprint at a similar

kind of growth level when we look at it at a CAGR level. So, 16% CAGR is what we expect to see over the next two to three years.

Percy Panthaki: What stops you from taking an accelerated path here that for the next two to three years you accelerate your store roll out and thereafter you ratchet it down? Why not front end it?

Vedant Modi: See, it's a matter of both planning the demand and planning the supply chain. We have to as a business, I have to look at all sides of things and only grow stores at a level we're able to supply, number one. Number two, it's also a matter of being very controlled from a cost point of view also. We want to open stores that are very profitable, and that can only happen when we understand areas better, and that is why we are comfortable saying 16% sure. If we can grow faster, we'll try to do that as well.

Percy Panthaki : And last quick question, if I might. Any comments on the competitive landscape and any changes in the competitive landscape that you're witnessing with some of the large players having big ambitions in the ethnic wear space or wedding space?

Vedant Modi: We have access to our own data and that shows us that business health is extremely positive. We've been able to grow very well both from SSSG and from an overall fleet perspective. Given the kind of industry we operate in, so the overall Indian ethnic market is about 1.8 lakh crores where there is room for definitely more than one player. And the way we see it is that there's a lot of moats in our industry, given that Indian wear takes a lot of time to produce. So, demand planning has to be done six months in advance. And given the kind of data we've collected over the past two decades; we have an advantage on understanding consumer preferences of India which varies every 50 kms given the dynamic cultural nature of our country. And these are the kind of moats that our Company enjoys. Furthermore, with the Manyavar brand, it's a brand that has almost become synonymous with the category given the kind of branding initiatives we've taken over the past decade. So, with all of these things said, sure there is room for more than a player, but we are very confident about our brand continuing to scale up.

Moderator: We take the next question from the line of Priyanka Trivedi from Antique Stock Broking.

Priyanka Trivedi: My first question would be on our international business. If you could give a sense on how the demand scenario has been in that market and could be the contribution of this business?

Vedant Modi: Our international business has been doing really well and has been growing fantastically. The growth has been almost triple digit when we talk about quarter two compared to FY20. We've been growing about 128% if the growth level compared to financial year 20, quarter two. All of these metrics are very positive in terms of international business. While at an overall level the

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contribution from our international business is still pretty low, we are still working out on different strategies, how do we convert it into an omni business and take the international business forward from that point on. Multiple new stores are in the pipeline and soon to be rolled out. And franchisees continue to enjoy a very high ROI from an international perspective as well. So, we are very confident of the international business and see it growing quite rapidly.

Priyanka Trivedi: My second question would be on what has been the price led growth and the volume led growth over the pre-COVID and on year-on-year basis also.

Vedant Modi: When we see from pre-COVID, we were able to achieve 35% SSSG level, of which there was a fair balanced mix between volume and ASP. So, that is the kind of growth we saw at a Company level. That is how the SSSG was derived.

Priyanka Trivedi: Lastly on

the online share, what has been the share of online business?

Vedant Modi: So, from a share perspective, our online business directly contributes about (+) 3% odd to our total revenue. And there are multiple strategies that are in play with our online business. With our new digital initiative project still in the pipeline, we plan to launch it in quarter four. We have partnered with the best of tech companies to create one of its kind omni channel digital

experience. What we're trying to achieve is that both our online business take-off from this digital project and secondly, we are able to provide a very different experience to our physical consumers as well by planning a phygital journey for them, which connects the digital world with the physical world. We plan to roll out the new experience with the new formed design sometime in quarter four.

Moderator: Next question comes from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia: A couple of questions from my side. First is on the new advertising campaign. With Taiyaar Hoke Aaiye campaign, how do you see the inventory in the stores changing and how has been the initial response? Are we increasing the non-groom side of the inventory at the store level? How is the shelf area at the store changing because of that?

Vedant Modi: To answer the first part of the question, 'Taiyaar Hoke Aaiye' is a long-term play for us. What we're trying to do is drive a behavioral shift in Indian men so that they dress up to Indian weddings and the overall per capita consumption of Indian wear increases as a whole. However, that said, it's not something that would happen in the short term. So, we have to keep nudging the consumers with 'Taiyaar Hoke Aaiye' to actually be able to drive such a shift, which is a long-term play for us. On the other part, which is how does inventory move in the store? The benefit to that is that products like kurta and jackets, they don't actually require so much of a shelf space because they can be stacked. Rather, wedding inventory like a sherwani needs hanging space so they end up occupying slightly more area. And given the kind of inventory

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replenishment system we have, given our current fleet, we're able to manage stock very beautifully where big stores are almost replenished three to four times in a week and smaller stores are replenished one to three times in a week.

Ankit Kedia: On the kurtas, are we increasing the lower ASP kurtas say Rs. 1,000 to Rs. 1,500 range as well or we are playing in the Rs. 2,000 to Rs. 3,000-Rs. 4,000 range?

Vedant Modi: So, when we talk about the Rs. 1,000 to Rs. 1,500 kurtas the main brand that would cater for that demand would be Manthan. In the Manyavar brand we aspire for the pricing to start at Rs. 2,000 while there are some casual kurtas available below that as well. However, as you mentioned the range would be (Rs. 2,000+) in Manyavar while Manthan would continue to cater the Rs. 800 to Rs. 1,500 kurta bucket which also contributes to our online business.

Ankit Kedia: And my last question is on Twamev. We were expected to launch few EBOs this year. What is the status on that and how is the pricing strategy differential between Manyavar and because demand for premium sherwanis and groom is high at the moment. How do you plan to capture that?

Vedant Modi: So, number one with Twamev we are absolutely in the pipeline. The two stores have been signed. We are about to kind of, we are planning how to launch it. The design work has also been done. We were able to bring in a French design agency to design the entire retail experience for Twamev. So, everything has come out beautifully. We are super excited about the brand being launched sometime in Quarter 4. However, given that one of the stores is in Delhi and there are some construction prohibitions

by the Delhi government, we will have to see how that store, if we are able to manage to launch it in Quarter 4 or will that spill over to Quarter 1. That is still a question based on the guidelines of the government, rest everything is aligned. From a pricing strategy perspective, the Company believes in the aspect of perceived value. We price our products based on how a consumer would perceive it. From an overall gross margin level, even though it would be slightly lower than Manyavar, we are still very confident of scaling it up to Manyavar levels in the future and at the Company level in the future. And yes, overall demand from a Twamev point of view and the conversion rate that we see in the Manyavar store gives us a lot of confidence for the brand.

Ankit Kedia: What is the shop-in-shop number overall for the Company for this quarter?

Vedant Modi: The total shop-in-shop number that we opened this quarter, in total.

Rahul Murarka: In total we are (100+) shop-in-shop as on 30th September 2022.

Ankit Kedia: And this number was 77, end of Quarter 4, right?

Rahul Murarka: It was around yes; it was around 75-80 right.

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Ankit Kedia: Bulk of the store opened in this half is shop-in-shop, right? Is that a good assumption to make?

Vedant Modi: No so we opened about 17 shop-in-shops, actually 16 shop-in-shops while we opened seven exclusive brand outlets in this quarter.

Moderator: We take the next question from the line of Mr. Santosh Kumar from Shivansh Holding.

Santosh Kumar: I just want to understand that for example, if you see your quarter-on-quarter number, there's a

slight decline. I just want to understand that for example, in general when there's a quarter -on-quarter improvement or there's decrease, what is the main reason which you attribute for or if you take this quarter as an example also ?

Vedant Modi: If I had to explain our business , it's not a business to be looked at quarter -on-quarter . Given that our primary market is the wedding wear market currently, so our business moves as the wedding calendar moves in a typical year. To just give you an example , if we look at historical averages of how our quarterly business moves so Quarter 1 typically would give us 24% of our business , Quarter 2 13%, Quarter 3 37% and Quarter 4 26%-27%. That is a typical way our business moves and progresses. Quarter -on-quarter would not be a right metric to judge our business by and that is why what we tend to do as a business is look at it from a YoY perspective. Because last year was still, we were coming out of the shadows of COVID and we were still in shadows of COVID , we are also comparing it with FY20 quarterly numbers.

Rahul Murarka: Furthermore, what Vedant mentioned like these are approximate range numbers. It's not specific that this will be 24 or 13. There can be 2%-3% plus -minus within quarters but we have broad ranges which Vedant mentioned .

Santosh Kumar: My last question is on the Mebaz brand, so it is mainly concentrated in South India. What is going on with the brand? Can you just give some light on that?

Vedant Modi: Mebaz is a brand we acquired in 2017 and the brand has been doing very -very well. It has a very strong heritage background and a very strong cultural connect with the consumers of AP and Telangana . So yes, we've been able to witness very good SSSG growth in the brand this quarter and we continue to kind of build that brand in those markets. The strategy is to remain in AP and Telangana with Mebaz and continue its growth in those markets.

Moderator : We take the next question from the line of Anush Mokashi from Yadnya Academy Private Limited .

Anush Mokashi: My question is about this franchisee model we have, right? Essentially, I understand that we operate on 18% and 29% channel margins so just want

ed to understand from you , are you

indifferent in giving franchisee at 18% and 29% or is it that one of it is more beneficial to you?

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Rahul Murarka: Actually, you're right , we have two models 18% and 29.5%. It's not that one model is more beneficial than another. In 18% model we are paying the lease rent and generally it happens wherever we have a strategic location , where we want to take the lease. So that is one difference and 29.5% the franchisee is having both is paying the lease as well , lease cost as well. We have derived the model in such a way that a differential margin between with or without lease cost easily takes care of the incremental lease cost. It's not about who is getting more benefited with the different franchised model. It is equally I would say computed so that it is beneficial for both the franchisee as well as the franchisor .

Anush Mokashi: So, none of it is like margin accretive. That is what I'm trying to get on to ?

Rahul Murarka: Yes, it doesn't have any impact on the P L or anything like that. It has been neutral enough based upon our historical trend and experience.

Anush Mokashi: My next question was about these margins. These margins are pretty healthy and just wanted to understand from you like what is causing them to be maybe that high ? Is it that a pricing which we are in play or is it a cost advantage and if you can just explain us what is the cost advantage you're having?

Vedant Modi: To put it correctly it's neither price nor cost to an exact definition. What we have been able to or what the Company 's biggest USP is its supply chain technology. We're able to plan our demand correctly and we're able to supply just enough that allows us to never have sold a single product on discount in the Man yavar brand. So, from a pricing point of view, we price our products very similar , on a similar multiple on cost as other players and other peers of the industry. Yet because we never sell a product on discount and there's high demand and there's high demand planning efficiencies, we are able to do away with discount and that is what leads us to such good margins. That's the main reason if I have to put it that way.

Anush Mokashi: Just last question is about the international business. In terms of the internationally if you are expanding then the per capita international ly is higher so are you able to price the product higher outside as compared to domestic pricing?

Vedant Modi: Yes, so given the kind of cost the franchisees have to bear outside India , we do a pricing strategy model for each of the country we open and the pricing changes for the country based on the kind of costs , the franchisee is going to incur in the country. So yes, they are definitely higher than Indian prices and as a result, we are able to maintain franchisee ROI across different countries because Indian wear as a segment is a one -on-one shopping experience. So even in the US you will find that one fashion advisor would be dealing with one customer. To deal with those reasons the price hike is taken given that employee expenses are a lot more than India.

Moderator : We take the next question from the line is Mr. Gaurav Jogani from Axis Capital.

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Gaurav Jogani: My question is with regards to is it better to look at the current quarter performance more on sales per square feet metric? Because when we do it on a sales per square feet basis , it seems that your sales per square feet has increased 8% YoY despite the fact that you had a high base and also the fact that you had a large number of store openings which would have not contributed fully. So, do you think that would be a right metric that once to look at the overall performance?

Vedant Modi: Sure, so absolute ly point take

n that revenue per square feet which we call productivity internally is one of the most important metrics from a retail point of view and that is what leads to a good profit for the franchisee and for the Company overall and thus those numbers have been very encouraging for us. Our current productivity stands at about Rs. 13,200, which has significantly grown over the years and in fact it's even grown from the F Y22 numbers which stood at about Rs. 12,700. So yes, those numbers are very encourag ing for us and hopefully the idea is that we continue to grow this from here on .

Gaurav Jogani: My next question is with regards to your employee cost . If we see the employee cost, it has remained kind of flatt ish in an absolute level on a QOQ basis. If you can help us out how we should look at it given in the context in the first quarter, there was also some (Inaudible) (37.31) in the management remuneration as well that we have already took. If you can guide us how we should look at this number going ahead, what is the guideline here?

Vedant Modi: So, because the Company does not hire employees on the front end which is on the retail stores ; majority of the employee cost you see is all the employees that sit out of the he ad office and that work at a corporate level. The major reason like you mentioned is because of lowering in director remuneration which we took in Quarter 1. In terms of guidance, we don't want to give any particular guidance however as the Company is movi ng forward from being a one brand , majorly led by one brand which is Man yavar to being a house of brands with five brands internally , we are building up our verticals in a similar sense now and we will start to see some of the HR costs from that aspect in the long term. But I don't want to give any particular guidance and as you know efficiency is in the DNA so we will do as much as we can to keep building on efficiencies in the business.

Gaurav Jogani: One last question from my end is in terms of we have seen that you have also added five new cities more during the quarter and even the city addition has been robust. If you can just give us some sense on how you're looking to open the stores across the various Tiers of India and how if you give some example , how the metros are performing versus the rural, the Tier III -Tier II towns kind of performance , something you can help on that part?

Vedant Modi: Sure. So overall like you said yes, we saw a very robust opening in terms of new cities. We entered some Tier II cities like Bara sat and Pondicher ry while the remaining were all Tier III cities, and these continue to do really well for us. Fro m overall metro versus non -metro growth perspective , when we compare the numbers to F Y20 we see that all Tiers have grown very well ,

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pretty much equally , metros being at a slight advantage when compared to F Y20. However, when we compare it to COVID impacte d years then we see that the growth from Tier II and Tier III was very high in the COVID impacted years where we believe that people were staying back in their towns and cities and purchasing in those areas. However, as COVID is normalized and we are out o f it, we're seeing that the trend of good share coming out of the metros has returned.

Moderator : Thank you . Ladies and gentlemen that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Vedant Modi: Thank you very much for all the encouraging words and it's always a pleasure interacting with all the analysts and looking forward to the next quarter and a very happy festive season to all of you. Thank you very much and Namaskar.

Moderator : Thank you . On behalf of A xis Capital Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

Vedant Fashions Limited (Formerly known as Vedant Fashions Private Limited)

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February 3, 2023

To,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C -1,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001
NSE Symbol: MANYAVAR
BSE Scrip Code: 543463

Dear Madam / Sir,

Sub: Transcript of Earnings Call of Q3 FY 2023

Ref: Our Letter dated January 25, 2023 regarding prior intimation of
Conference Call for Q3 FY23 financial results of the Company

In accordance with Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the transcript of the Conference Call organized and held on Monday, January 30, 2023 in relation to the operational and financial performance for the Quarter and Nine -Months ended December 31, 2022 (Q3 FY 23).

The transcript can also be accessed on the Company's Website, from the given link
<https://www.vedantfashions.com/investor-presentation>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl – As above
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“Vedant Fashions Limited
Q3 FY '23 Results Conference Call ”
January 30, 2023

MANAGEMENT : MR. VEDANT MODI – CHIEF MARKETING OFFICER –
VEDANT FASHIONS LIMITED .
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –
VEDANT FASHIONS LIMITED .

MODERATOR : MR. VARUN SINGH – ICICI SECURITIES LIMITED

Vedant Fashions Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the Vedant Fashions' Q3 FY '23 Results Conference Call, hosted by ICICI Securities Limited. As a reminder all participants lines will in the listen -only mode, there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varun Singh from ICICI Securities Ltd. Thank you, and over to you, sir.

Varun Singh: Yes, thank you, Dorwin . On behalf of ICICI Securities, we welcome everyone on the call to discuss 3Q results of Vedant Fashions. We are honored and feel thankful to the top management of Vedant Fashions to have provided us the opportunity to hold this call.

So with this, I request the team at Vedant Fashions to please take over the call and proceed with the conference. Thank you.

Vedant Modi: Thank you very much. Good afternoon, and a warm welcome to all the participants. I am Vedant Modi, the Chief Marketing Officer of the company. Thank you for joining us today to discuss the Vedant Fashions Limited Quarter three and nine months financial year 2023 results. I'm joined by Mr. Rahul Murarka, the Chief Financial Officer of our company.

I hope everyone got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchange as well as the company's website.

Let me take you through the quarter ended and 9 -month performance. In this quarter, we increased the number of EBOs, which is the dominant channel for the company. As of December 2022, VFL's EBO area stands at 1.4 million square feet, spanning 640 stores in 252 cities and towns globally. The national EBO footprint tally is at 626 stores, spread across 242 cities and towns . In quarter three, we opened net square feet area of around 58,000 square feet and 14 exclusive brand outlets in India. We are also happy to share that we have a strong and healthy pipeline for new rollouts planned for the remaining part of the financial year.

Our overall customer sales growth stands at 29.6% over quarter three of financial year 2020. The SSSG growth has been 4.2% over quarter three of financial year 2020. Our nine -month overall customer sales growth stands at 47.6% over nine months of financial year 2020. While the nine -month SSSG growth has been 16.9% over nine months of financial year 2020, which was all pre -COVID levels. Our nine -month overall customer sales growth stands at 28.2% over nine months of financial year 2022, while the nine -month SSSG growth has been 19% over nine months of financial year 2022.

An important point to note is that wedding season is spread over November to February, and dates can move in any given financial year based on astronomy. This particular quarter, we witnessed significantly low wedding dates compared to previous year quarter three. However, Vedant Fashions Limited
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we also noticed that there is a sharp recovery in Jan as there are relatively more wedding dates in Q4 compared to the previous year, thus resulting in a little bit of a spillover.

I would also like to highlight our marketing and branding campaign with Mr. Ranveer Singh during the quarter. The #TaiyaarHoKarAaiye campaign was built around saving the truest essence of a wedding in your favorite Indian attire. The overall idea is to drive a behavioral shift in Indian men to dress up for Indian weddings. In this quarter, we also ran a Diwali ad campaign featuring Ranveer Singh. We received a positive response on the market, and this was a good step towards reinforcing Manya var as a celebration wear brand.

Overall, we can see that the fundamentals of the business have

been sound, robust, and the

company has been encompassing growth. We have been witnessing very positive trends in January and with the wedding season on full swing ahead, we are very optimistic and fully prepared and geared up to capitalize upon the same.

With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of our company. Thank you.

Rahul Murarka: Thank you, Vedant. Namaskar and good afternoon, everyone. I would like to highlight the financial performance for the quarter and nine months year ended December 31, 2022, based upon the consolidated financial statements.

Starting from nine-month FY '23 update, the company reported revenue from operation of INR 1,013 crores during nine months financial year '23, delivering a strong growth of 36% compared to nine months of FY '22. The company continues to report industry-leading gross margin of 67.8% during nine months of FY '23 as compared to 67% in nine months of FY '22. The EBITDA margin was around 50%, and the EBITDA stood at around INR 507 crores during nine months of FY '23, with growth of around 35% compared to nine months of FY '22.

The reported PBT during nine months of FY '23 is INR 430 crores, which have significantly increased by 42% compared to nine months of FY '22. The company continues to report best-in-class PAT margin of around 31.6% and profit after tax stood at INR 320 crores during nine months of FY '23, with a significant growth of around 42% compared to nine months of FY '22.

With optimization in working capital, we have been able to achieve industry-leading ROCE of approx. 89% during 12 months period December '22. The net working capital days is at 89 days in December '22, based upon trailing 12 months revenue. The sale of our customers were around INR 1,378 crores during nine months of FY '23 with a significant growth of around 28% over 9 months of FY '22, along with a strong SSG growth of around 19%.

Now I'm comparing our performance with pre-COVID level figure of FY '20, basis internal management MIS. Our revenue from operations significantly grew by approx. 55%, and we witnessed significant growth in PAT by approx. 94% in nine months of FY '23 over nine months Vedant Fashions Limited

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of FY '20. Sale of our customers also significantly grew by approx. 48%, along with SSG growth of around 17% over nine months of FY '20.

Now coming to Q3 of FY '23 performance update. The company has reported revenue from operation of INR 441 crores in Q3 of FY '23, delivering a strong growth of around 15% compared to Q3 of FY '22. The company continues to report industry-leading gross margin of around 67.8% during Q3 of FY '23. The EBITDA margins were around 51.2%, and the EBITDA stood at INR 226 crores during Q3 of FY '23, with a growth of around 14% compared to Q3 of FY '22. The reported PBT during Q3 of FY '23 is INR 202 crores, which has increased by around 18% compared to Q3 of FY '22. The company reported best-in-class PAT margin of 34.1% and the profit after tax stood at INR 150 crores during Q3 of FY '23, with a growth of 18% compared to Q3 of FY '22.

The company has a track record of generating significant cash driven by a healthy cash conversion ratio. The company continued to generate high cash conversion ratio of more than 100% in Q3 of FY '23, which has been computed based upon operating cash flow over PAT during the period. The sale of our customer was around INR 585 crores during Q3 of FY '23, which was impacted due to significantly lower number of wedding date in Q3 of FY '23.

Company has witnessed very sharp recovery since January, and the business is progressing in lines with the expectations of the management.

Now I'm comparing our performance of Q3 FY '23, over pre-COVID levels of Q3 of FY '20, whose figures have been considered, basis internal management MIS. Our revenues from operations significantly grew by approx. 38%, and we witnessed significant growth in PAT by approx. 59% over Q3 of FY '20. Sale of our customers significantly grew by approx. 30% over Q3 of FY '20.

Thank you, and namaskar everyone. We can now move to the Q&A session.

Moderator: The first question is from the line of Percy Panthaki from IIFL.

Percy Panthaki: I have a couple of questions. My first question is on competition. So customer has opened up, I think, around 20 stores across India. So just wanted to understand from you where you have a store in the same micro market, say, within a two, three kilometers of that store. What has been the impact on your sales per store for those stores, which are in the same micro market?

Vedant Modi: Thank you for the question, Percy. So the way we track this internally is that we very closely monitor wherever any organized competition is opening up stores. So what we do is we compare the performance of that particular store with the city average in terms of same-store sales growth to give us an idea of what is happening. Now what we witnessed over this quarter and also previously is that actually these stores are -- have a pretty good alpha when it comes to the city average and state average. So even in the locations where we continuously see organized retail competition entering, our stores continue to perform well in adherence and in relation to the city

Percy Panthaki: So Vedant, are you saying that basically, what happens is that there is no impact on your store and whatever sales that the organized competition is generating is coming completely at the cost of either other organized players or at the cost of unorganized? Is that understanding, correct?

Vedant Modi: I won't be able to answer that exactly. However, I only have access to our own numbers, which shows a positive trend. So that is all I can see at this moment that in terms of our own financial numbers of those stores, we continue to grow in those particular markets in relation to the city average and state average.

Percy Panthaki: So those particular stores are growing at the same rate as compared to the city average growth?

Vedant Modi: Slightly higher, actually. So there's a delta, which is higher than the city average.

Percy Panthaki: And why do you think it's actually higher? Any theories behind that?

Vedant Modi: I mean, again, these are strong markets where there is good footfall, and that is the reason I think we continue to see a positive trend along with a lot of work being done on different metrics, such as average bill value, and different metrics that we sort of witness at the store level, which are improving in these particular stores.

Percy Panthaki: Second question is on wedding dates. So would it be possible to give me the exact number of wedding dates in second half of this year versus second half of last year?

Vedant Modi: Sure, I can give you an approximate. So wedding dates change basis location and change also along with the way you're calculating them. But approximately, according to the Hindu wedding calendar, there are eight to 10 dates in Q3 that we saw compared to last year, there being about 20-odd wedding dates in Q3. In Q4, we are going to see approximately 26 to 30 wedding dates.

And I will also share with you how many wedding dates they were in Q4 last year, which is about 40% to 50% lower than this number of what we have this year.

Percy Panthaki: So you're saying this year, it is eight plus 26, which is about 34. And last year, it was -- sorry, how much?

Vedant Modi: It was -- I can share the numbers with you after this call. ..

Percy Panthaki: 20 plus 13, so about 33.

Vedant Modi: Overall basis, the major spillover is Q3 to Q4. The dates have simply moved more towards January and February.

Percy Panthaki:

So basically, you're saying in Q4 this year, the number of wedding dates are actually 3x that of Q3?

Vedant Modi: More or less, yes. That's correct.

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Percy Panthaki: And in the past, have you seen that your sales is proportional to the number of wedding dates?

Vedant Modi: It's not an exact proportion, Percy. So let me explain it in a different way. So people, what we understand, tend to prefer getting married in the November, December period, right? So what happens is that even though wedding dates like 16, 17, 18 days are enough number of dates to cater to those marriages.

However, when this number falls short to eight to 10 days, then the infrastructure of the country is just simply not able to serve that many number of weddings. That is when it gets spilled over to Q4. So, it is not in direct proportion. However, there's a limit that the wedding infrastructure of the country can support in a given number of wedding dates. So there will definitely be spillover, but definitely also not in the same proportion that the dates are in.

Percy Panthaki: And in the past, whenever you have seen Q4 having so many more dates than Q3, historically, what has been the sort of secondary sales performance of your company relative in these two quarters. Like in the past, you would have seen, maybe three or four or five years ago, that Q4 has double or triple the wedding dates of Q3. In that year, did you actually see that Q4 secondary sales was, in fact, higher than Q3 or something like that?

Vedant Modi: So typically, what we've seen is it's not higher, but it reaches closer to the levels of Q3, and it's higher than the typical 27% that we see. So typically, like we've been mentioning, it's 35% approx. in Q3 and about 27%, 28% in Q4. So that number comes closer to each other. Typically, that is what happens, but we don't see Q4 increasing higher than Q3.

So let me give you another sort of data point that will help you understand this whole phenomenon better. So the kind of numbers we've already witnessed in January, so from October up until 28th of January, based on our internal MIS reporting, our SSSG has already become flat from the minus 8.7% reported in the numbers compared to FY '22 quarter three.

Percy Panthaki: And last question on the general macro environment. Are you seeing any kind of sort of slowdown in terms of discretionary spending in urban, semi-urban India or not?

Vedant Modi: So from our perspective, we feel the major shift in terms of our business has been predominantly because of wedding dates. Every other metric that we track on the front end, be it average selling price, be it average bill value or conversion dates, all of them have been in a positive direction. So from our perspective, we don't see anything on those lines. However, it's just a matter of wedding dates shifting from one quarter to another.

Moderator: We have the next question from Nihal Mahesh Jham from Nuvama.

Nihal Mahesh Jham: Vedant, the first question was you alluded to the fact that the buyer growth this quarter was around 29% versus pre-COVID. So is it fair to assume that as you rightly said about the number of wedding dates being lower that most of these buyer growth was more in the non-wedding related segment, is that a right understanding?

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Vedant Modi: So Nihal, what -- so in terms of wedding dates as well, right, what I will kind of explain this is that we feel that the kind of category growth we witnessed in this quarter was a lot to do with a mix of wedding and non-wedding. And even within wedding, I would say we grew faster when it comes to the non-groom segment through -- led by our behavioral shift through #TaiyaarHoKarAaiye campaign.

So it's not that there weren't wedding in this quarter. It was just less number of wedding

ings. And

while people wanted to get married -- more number of people wanted to get married in Q3, they just had to spill over in Q4 because of the infrastructural boundaries that we have. So overall business grew across the segments. And it was not that wedding was slow or anything as such.

Nihal Mahesh Jham: The second question was on the accounting bit. Now if I look at our primary to secondary conversion for this quarter, it is at around 75%. Would it be right to understand, as you mentioned about the Jan number also, that in the expectation of a strong season given how the wedding dates have shifted, there was a significant placement of inventory that has happened as a franchisee.

And potentially, this number could normalize in the next quarter that there is a strong secondary sale, but the primary may not apply given we've already placed a big portion of the inventory requirement for the Jan-to-March quarter.

Rahul Murarka: So Nihal, considering the nature of our business, it would be more appropriate to compare the primary and secondary revenue at an YTD level instead of a quarterly level. So, this quarterly, it may vary. So at an YTD level, if you will see, our primary revenue has grown by 36%, and our secondary revenue has grown by 28%. And the difference is mainly on account of the new stores we have opened. So the right way of looking at it is at the YTD level instead of quarter, we would suggest.

Nihal Mahesh Jham: And as per you, what is the long-term average that you think is the right number to believe for this?

Rahul Murarka: The primary, secondary ratio you are saying?

Nihal Mahesh Jham: Yes.

Rahul Murarka: It would be in the range of 70%, 71%. That is the range, which would be there.

Nihal Mahesh Jham: Understood that. Just one last question from my side. You did allude to SSG becoming flat if you consider the month of Jan also from October. In your expectation, what are the kind of SSGs that you would target longer term? And then maybe you may want to bring in the expectations from Mohey also, which is a growing part of the business inside the store itself?

Vedant Modi: Sure, Nihal. So, the way we look at it is that as a company, we aim for good single-digit SSSG growth in all of our stores. So that is the kind of aim we try to achieve. And there is also another caveat to this whole piece, which is where if any store is actually witnessing very, very good

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growth, then the idea is to quickly either add another store in that particular market itself or look for a much bigger store if there is infrastructure for that in that market. So there is both of these strategies that we play in. So the idea is good single-digit growth overall at a company level. But wherever we see higher SSSG growth or a very high productivity level in a store, we tend to open larger stores.

Nihal Mahesh Jham: If I may just slip in one last question would be that, Mohey, would you look at it as a part of a store or that's a separate business that you will try bifurcating?

Vedant Modi: So the way we look at it, if we look at the stores business, where we have to encapsulate Mohey,

and that is accounted for in any SSSG number that we gave out. And on the other hand, when you are doing any other studies we do it at a brand level internally. But at a store level we count it -- we count Mohey as part of the store itself.

Moderator: The next question is from the line of Sandeep Agarwal from Naredi Investments.

Sandeep Agarwal: Sir, my question is regarding the square feet area of our EBOs. Our average square feet is approximately 2,200 square feet per store. But in Q3, we opened 14 store, so the average square feet area is approx. 4,100 square feet. So we have changed any average size of our EBO? And any...

Vedant Modi: So the strategy actually is to open larger stores as we move forward.

And we've been seeing

significant traction towards our flagship concept. So that has been the strategy, and we've discussed with investors before as well that we would ideally like to move towards opening more flagship stores and more super flagship stores. In some certain quarters, what can also happen is that we open a high number of EBO -- sorry, SIS. And when we open a high number of SIS in a given quarter, then that average square feet per store can start to look bleak, but the idea is to open larger stores as we move forward.

Moderator: The next question is from the line of Rushabh Doshi from Nirmiti Investments Advisors LLP.

Rushabh Doshi: Yes. So in the first question, you mentioned that the ratio for Q3, Q4 was 35% and then 27 %. So is this for our reported sales or retail?

Vedant Modi: So what I was actually referring to is that has been the long -term historic average of Q3 versus Q4. But like in this financial year, we are noticing, sometimes wedding dates can spill over from one quarter to another because the typical wedding calendar in India is November to February. So...

Rushabh Doshi: Yes. I got that point, but this...

Vedant Modi: Yes, I was referring to that in terms of secondary sales, not in terms of primary sales based on historic average.

Rushabh Doshi: And last year, like did we experience some pent -up demand? Or was it like a normal quarter?

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Rahul Murarka: So yes, last year, FY '22 -- as you are aware that Q1 was significantly affected because of COVID. So of course, FY '22 was a distorted period as far as -- because of the COVID. So the numbers would be, to some extent, affected because of that.

Rushabh Doshi: Correct. And like in terms of inventory with our franchisees, like, let's say, last year, Q3 had 100 -- let's say, the base was 100. So like in this time, Q3, was it -- like could you just tell us like how much was it? Is it historically higher the inventories with our EBOs?

Rahul Murarka: So we record in our balance sheet the inventories lying -- whatever inventories lying at our warehouse that is what appears in our balance sheet. So as on 31st of December, around INR 179 crores of inventory was lying at our warehouse as per the balance sheet.

Rushabh Doshi But -- no, I'm just talking like the ones which we've already built to our franchisees. The reason I'm asking is because this time, of course, because of the wedding dates, but the delta between the primary and secondary revenue was quite large. So I just wanted to understand like in terms of the inventory with our EBOs, like is the -- does that also have a delta of around, let's say, 18%?

Rahul Murarka: So I mean, the right way of look -- to read it is there are two things. One is, as we discussed over this call, the right way to compare the primary, secondary would be that we compare to YTD level instead of quarterly level. And when we compare at YTD level, there's only difference in growth is around 8%, which is also primarily on account of new stores we have opened.

Coming to the inventory lying at the franchisee stores, what we can refer is the receivable day.

So if you'll see the receivable day is same around 50 days of receivable day we have in December, which is similar to what we had earlier also. So receivable days is something which is more relevant metric when you compare the inventory, which is lying at franchise store.

Rushabh Doshi And lastly, for Mohey, how is this wedding season from a more qualitative standpoint -- view?

Vedant Modi: Mohey has been doing very well in terms of overall numbers. If I were to talk about Mohey, the SSSG growth of Mohey was again higher than the company average comparing quarter 3 of this year versus last year. And so all of those numbers are very positive for us. The main reason being the kind of work that has happened on the back end side of the

whole process, where we

significantly understand how does the lehenga and saree market work given the kind of data we've collected over operating the women's business over the past 5, 6 years.

And that is why our merchandising mix is continuously evolved, resulting in better conversion rates at the front end and a better inventory turnover ratio and a better productivity at the store. So overall, the numbers were pretty good, and qualitatively, we've been getting very good

feedback from the consumers as well.

Moderator: The next question is from the line of Ankit Kedia from PhillipCapital.

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Ankit Kedia: Just wanted an update on the stand-alone stores of Mohey and Twamev end of quarter 4, we were expecting to launch. Is that on track?

Vedant Modi: Yes. So, with -- for Twamev, we will -- absolutely we're on track to launch one EBO in quarter 4. While there are three more already signed and in the build phase. So we will see them coming up probably in early Q1 or by late Q1 the remaining 20 stores. And with Mohey as well, we've already signed a few stand-alone Mohey stores. However, given that it's a completely new design that we are trying to cater with a new Mohey store, it might be early Q1 or late Q4. So that's about as late as it can get. So about early Q1 is, I think, what we'd be comfortable seeing for the Mohey flagship EBOs that they're coming up with.

Ankit Kedia: And when you mentioned on the last question, the merchandising is getting evolved in Mohey. Can you explain it a bit better in terms how is the mix changing? What changes have you brought on the table? Are the numbers of SKUs higher pricing has changed? What is it that's getting evolved in Mohey now?

Vedant Modi: Sure. So, the way we've actually built a supply chain, it's completely data backed. So what we do is when there is any product that our designers design and then our merchandisers believe it's strong enough to go to the store, we make note of all the attributes and dimension that a product has to offer. So this the kind of fabric used, the kind of embroidery done, the kind of stitching done on that particular piece of fabric.

So we account for all of these things, the color and so on. Then what we do is we use our data models to understand which attributes are working in which markets and then a merchandising team over the years has understood the attributes which are working in certain markets, and then we use this when we are designing newer products.

So that is what I meant that our data-backed supply chain is now able to understand the merchandising of women's wear a lot better, simply because with women's, we have about 6 years of data now compared to Manyavar, where we've actually gained data over two decades. So that will always be a difference, but with scale and size of Mohey increasing, we're able to get much more data and thereby being able to improve our merchandising.

Ankit Kedia: So is it fair to assume the slippages of provisioning, which we do in Manyavar of around 3%. This number for Mohey, historically, would have been slightly higher. And now over the next couple of years, it will move to the Manyavar average of around 3% or it's still going to be higher?

Vedant Modi: So again, this is a little tricky to answer at this point of time because what Manyavar is being able to do is a worldwide success in terms of dead stock management with no discount ever given. So it will be hard to comment if Mohey will be able to reach that stage of 3% or less than 3% with no discounts ever given in a brand. So -- but the idea is we will still be able to beat market estimates by a lot when it comes to dead stock management and what the current industry averages, even in terms of Mohey, we are already doing that. And the idea is to build on

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e

efficiency from this point onwards, but that will always be the kind of goal that we have in mind to bring it to Manyavar levels over a long-term period.

Ankit Kedia: And that could also mean the inventory per store in Mohey, assuming both the store sizes are same Manyavar and Mohey? Or you will have more inventory in a Mohey store?

Vedant Modi: So currently -- again, inventory turnover ratio of Mohey is slower than Manyavar. That is there today. But the idea is to work on it and make it as efficient as Manyavar in a long-term period of time.

Ankit Kedia: Sure. My next question is on the A&P spend. Can you just say what was the quarterly A&P spend? And over this year, next year, if you have done the budgeting, what are you guiding for A&P?

Vedant Modi: So this year, what we've been referring to is about 5% to 6% A&P spend overall on a financial year basis. And this quarter, again, was about 5.96%, which is the kind of A&P we've done. For next year, we've still not concluded what we would like to do or kind of talk about it right now.

So I think we'll be doing that in the next quarter, and that's all I can tell you right now.

Ankit Kedia: And lastly, on the digital transformation, which was expected to come in quarter 4. Can you talk about that? Is that also on track? Or has it already been completed?

Vedant Modi: Yes. So there are two phases with our digital transformation. And the first phase is currently in testing. So, we are hoping to launch it sometime in quarter 4, so it would be late quarter 4. We launched the first version of the overall digital transformation. And about 2 months from that, we launched the second phase of it, which is the physical transformation, where the digital world starts to interact with the physical world. So everything is on track, and we are already witnessing great feedback from our employees who have it for testing already.

Ankit Kedia: And can I just share, what are the...

Moderator: Sorry to interrupt, sir. Sir, If you do have any further questions, we request you to kindly rejoin the queue?

Ankit Kedia: Sure, I'll do that.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: My first question, Vedant, is with regards to the October to January number that you mentioned, that the SSSG has now become flat. So just wanted to get your thoughts because last year also January had -- was impacted by Omicron. So do you think there is any base effect, or it's purely this is the kind of sales growth that you're seeing in January is driving this growth?

Vedant Modi: Sure, Gaurav. So, there was impact of COVID in terms of January. However, it's difficult to say what was the level of impact because what we recall from a business point of view that January

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last year was still growing as per our business plan. And even though there was the wave that was there, yet people were still going out to weddings and the weddings were happening as per the trends and there was lockdown down in very, very few markets as far as we remember. So overall, the gatherings were happening, and the business was continuing even in January last year. So therefore, we were comfortable in saying that overall at an October to January level, SSSG has now become flat.

Gaurav Jogani: Okay. Okay. Sure. And my second question is with regards to the transformation that you are driving in terms of this, Twamev and Mohey, wherein you were trying to get the merchandise right and you're trying to get the Mohey piece also correct. So if you can help us and carve out some of the key learnings there, what is helping you and how confident you are versus 1 year back, maybe when we're initially doing this? So anything on this front will be really helpful.

Vedant Modi: Sure. So in terms of Twamev, I mean, the biggest advantage that

we had is that we were able to

use the same data model that we had created for Manyavar. The only major change that we had to do was change the kind of fabrics and the kind of styles we use on top of those data models. And that is why we were able to come out with a very strong premium product from the very early on stages that has been successful at the floor level and seeing very good trends from a supply chain perspective as well when it comes to inventory turnover ratio or productivity that we see on the front end. So with Twamev all of those was pretty great, and we continue to see a phenomenal performance.

In terms of Mohey, as we gain more and more data, we started to understand what products sell well on the front end. So in terms of lehengas, we've identified what is the kind of core price point which we'll operate in, which is the INR 20,000 to INR 40,000 kind of -- INR 15,000 to INR 40,000 kind of lehenga price point.

In terms of sarees as well, we found the sweet spot, which works for gifting and the kind of sarees that work in terms of wearing it for the wedding itself. So we've been able to identify what is working for a brand and we continuously are improving depth in it, while we're also identifying categories within the larger categories of sarees and lehengas, where we want to increase our width and further go into those particular categories.

Gaurav Jogani: Sir, just one follow-up on the Mohey part. So if you can help what kind of positioning you are looking at Mohey, because Manyavar being an affordable fashion kind of a brand, while Twamev is a bit more premium in that sense. So what kind of positioning are you targeting for Mohey?

Vedant Modi: So Mohey will be positioned very similar to Manyavar, which is an aspirational yet value-for-money brand. And that is the idea that we want to kind of bring to Mohey. So the idea in India, there are high-end fashion designers that women aspire to wear. However, majority of the women can't afford to spend a few lakhs on lehenga. While the other alternatives you have is the local market that does not give you the aspiration or fulfill your ego in terms of the kind of

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wedding purchase you want to make. That is where Mohey steps in where we bring in a store in

a very aspirational area like a South Ex in Delhi or a Lower Parel in Mumbai.

We have flagship brand ambassadors, like Alia Bhatt and Kiara Advani, as the face of the brand, adding to the aspirational value, yet the pricing is very tight and our average selling price for a lehenga, for example, is about INR 22,000. So all of this adds up as a combination of providing an aspirational yet value for money experience for our consumers.

Moderator: The next question is from the line of Varun Singh from ICICI Securities Limited.

Mr. Varun Singh, the line for you has been unmuted. You may go ahead with your question.

Varun Singh Yes, sorry. Vedant, I just wanted to understand that how are you thinking about retail expansion when we are adding EBO stores. So, I mean, if you can give some kind of longer-term guidance with regards to, for example, some x percentage on existing base? Or how should we think about the EBO expansion plans?

Vedant Modi: Sure. So in the past, we've grown at about 16% retail footprint CAGR. The idea is to continue on a similar trend for the coming 2 to 3 years. And that's what we aim to achieve from a retail footprint perspective. And like we've also advised before that as a company, we've moved to look at square feet and not number of stores because we are continuing to open larger stores, and we are also consolidating smaller stores into larger stores, which is also increasing our overall business. And hence, the right way to look at it is in terms of square footage. And so if I also have to discuss in terms of strategy, there are three strategies.

The first

strategy being entering new cities that we're currently not present in. So this quarter, we entered seven new cities, all Tier 3 cities, where we were -- where we entered. The second strategy is to enter newer markets in existing cities where we are currently not present in. And we had a few examples this quarter as well of the new markets being entered in existing cities. And the third example is of a very different kind of a model that Manyavar follows, which is any area where we have very good productivity and SSSG, we tend to open a much larger store or a newer store. So this, again, the penetration model, which we follow has been a very good success for us, and we continue to follow this model as well.

Varun Singh Understood. Okay. And second question is on operating leverage benefits. So, I mean, despite 8% to 9% negative year-on-year SSSG, we see that our operating margins have been kind of highest ever. So how -- I mean what drives this improvement -- meaningful improvement in margins? And how should we look at this number for, I mean, a 2- to 3-year time frame?

Rahul Murarka: Yes. So in Q3 FY '23, the PAT margin was 34.1%, right? Typically, when we look at a financial year, because Q3 generates the highest revenue, so we get the highest operating leverage in this quarter. And as a result, we have got a PAT margin of 34.1%. Last year in Q3 of FY '22, we were at 33.2%. So this improvement in margin is because of, again, improvement in operating leverage on the fixed overhead expenses.

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Historically, at the annual level, but this 34% is because of the higher revenue, which we generate in this Q3. At an annual level, historically, we have been able to generate around 30% of PAT margin. So -- and I don't want to give any particular guidance on what can be the numbers in the future, but our objective is to always improve our efficiency by some basis points every year.

Moderator: The next question is from the line of Manish Poddar from Motilal Oswal Asset Management Company.

Manish Poddar: I do have three questions. One is, if you can highlight what is the share of kids in your total revenues and let's say, list the share of kids in the total or let's say, inventory share in the total, if it is a way to do this?

Vedant Modi: So kids currently stands at about 3% of our overall revenue. And inventory levels would also be at a similar percentage.

Manish Poddar And when did you foray into kids, Vedant?

Vedant Modi: Sorry, I couldn't get that question.

Manish Poddar When did you foray into kids? Is it a 3-year-old phenomenon? Or was this from day 1? [inaudible 0:42:02].

Vedant Modi: We've actually been in kids for a long time. And the idea was that -- we started opening flagship stores back in 2010. So a few years here and there is when we actually launched kids as a small piece. However, that renewed focus and attention on kids began sometime in 2019, 2020, which is when we started to build a vertical for kids internally and also started working on the merchandising that we want to do for kids as a separate function. So all of those have positively impacted our overall kid's business, which has been growing pretty rapidly.

Manish Poddar And kids would be available across the higher traction markets? Is that how it is?

Vedant Modi: Approximately. So, it would be plus/minus 10% of that.

Manish Poddar Okay. Just the second question, if you can. Probably from coming -- can you probably highlight

because a lot of data is collected in my understanding. So would you be able to highlight, let's say, wedding growth versus not wedding growth, let's say, on a 3-year basis because -- one can get a sense because you [inaudible 0:43:12] where you show that it's a destination store for Taiyaar Ho Kar Aaiye. So is there a way you all can look at -- I understand there will be some queue

estimate on that, but is there a way to figure out wedding versus not wedding growth, like a groom versus non-groom growth?

Vedant Modi: There are two versions to it. One is when we talk about the overall number of people walking into the store, we've seen a growth in non-grooms and non-brides walking into our stores as a result of #TaiyaarHoKarAaiye to some extent. However, I would still get back to the point that Vedant Fashions Limited
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#TaiyaarHoKarAaiye is a longer-term play, and a behavioral shift is something which takes time to bring in. And a behavioral shift will obviously take a little longer.

On the other hand, what we witnessed is a higher number of non-grooms walking into the store. And therefore, the kind of purchases linked to non-groom aspects have also increased. However, in proportion, what we witnessed that the groom's basket size has increased proportionally, which is where a lot of training effort is focused on. So, it's a mix of both. So, while more non-grooms are walking in, we are trying to increase the basket size of grooms. So, the overall increase in our business has come from all sides of verticals.

Manish Poddar And one last one, if you can, sir. For Mohey, this number, which was 3% for Manyavar, what does that number start now?

Vedant Modi: So in terms of what -- in terms of you referring to kids?

Manish Poddar In terms of dead stock. Manyavar is about 3%. What is the number now for Mohey?

Vedant Modi: We don't give that number specifically out, but it's larger than Manyavar. So, it's higher than Manyavar. However, we don't give this particular number out, right now. What is important to note is that it's improved by a few basis points every single year. So when we started off, it was in double digits, and now we've come down to single digits, and it's continuously improving.

Manish Poddar Should this just -- should this number be in line with Manyavar over the medium term? Or this will be at least a couple of percentage higher than Manyavar because of the [inaudible 0:45:26] which is there?

Vedant Modi: Like I discussed these pieces in the previous question. What Manyavar is doing is a global success in terms of dead stock management. So, it is very difficult to say if a new brand will be able to come to the scale of Manyavar in terms of the overall dead stock percentage. However, that is what we aim to do over the long term. And we are already at a very good position compared to the industry average, even with Mohey. And the idea is to grow from here on and bring it to a very, very decent dead stock number. But of course, the aim and endeavor is to bring it to what is the company average today.

Moderator: Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Vedant Modi: Thank you very much to all of you for attending the quarter 3 earnings call. I would like to finish off by saying that we've had a good quarter 3. And while we saw some wedding dates spilling over to quarter 4, we saw a sharp recovery in January, and we're really optimistic, and business is moving as per management's expectations.

Thank you very much for attending the call. See you all next quarter.

Rahul Murarka: Thank you.

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Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2023

Vedant Fashions Limited (Formerly known as Vedant Fashions Private Limited)

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May 5, 2023

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1, Block -G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
Dept. of Corporate Relations
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001

NSE Symbol: MANYAVAR
BSE Scrip Code: 543463

Madam / Sir,
Sub : Transcript of Conference Call of Q4FY23 and FY23
Ref : Intimation under Regulation 30 of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended
("Listing Regulations") for schedule of meeting with analyst(s) /institutional
investor(s) in relation to our earlier intimation dated April 27, 2023
In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform
you that the transcript of the Conference Call organized and held on Tuesday, May 02, 2023 in
relation to the financial performance for the quarter and year ended March 31, 2023 ("Q4FY23 and
FY 23") is hereby enclosed and the same is being made available on the Company's website.
The transcript can be accessed on the Company's website from the link given below:
<https://www.vedantfashions.com/investor-presentation>

We request you to kindly take the aforesaid information on record and disseminate the same on your
respective websites.

Thanking you,
For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl – As above
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"Vedant Fashions Limited
Q4 FY'23 Earnings Conference Call"
May 02, 2023

MANAGEMENT : MR. VEDANT MODI – CHIEF MARKETING OFFICER –
VEDANT FASHIONS LIMITED

MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –
VEDANT FASHIONS LIMITED

MODERATOR : MR. NIHAL JHAM – NUVAMA WEALTH MANAGEMENT

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY23 Earnings Conference Call of Vedant Fashions Limited hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded and will be for a duration of 45 minutes. I now hand the conference over to Mr. Nihal Jham from Nuvama Wealth. Thank you and over to you.

Nihal Jham: Yes, thank you so much. On behalf of Nuvama Institutional Equities, I would like to welcome you all to the Q4 FY23 Earnings Conference Call of Vedant Fashions Limited. From the management today, we have Mr. Vedant Modi, Chief Marketing Officer, and Mr. Rahul Murarka, Chief Financial Officer. I would now like to hand over the call to Mr. Vedant Modi for his opening remarks. Over to you Vedant.

Vedant Modi: Thank you very much Nihal. Good afternoon and Namaskar to all the participants. I am Vedant Modi, the Chief Marketing Officer of the company. Thank you for joining us today to discuss the Vedant Fashions Limited Quarter 4 and Financial Year 2023 results. I am joined by Mr. Rahul Murarka, the Chief Financial Officer of our company. I hope everyone got an opportunity to go through our financial results and invest or presentation which have been uploaded on the Stock Exchange as well as the company's website.

Let me take you through the fourth quarter and full year performance. We are pleased to report that we have achieved strong growth in the financial year. Our growth strategy is focused on expanding our retail outreach both domestically and internationally. We have expanded our international presence and we are now present in four international countries USA, UAE, Canada and the UK. In this quarter we increased our exclusive grand outlet footprint which is the dominant channel for the company.

As of March 2023, VFL's EBO area stands at 1.47 million square feet spanning 649 stores in 257 cities and towns globally. The national EBO footprint tallies at 633 stores spread across 245 cities and towns. In this quarter we have opened net square feet area of around 75,000 square feet which includes 7 EBOs in India and 2 international EBOs. In financial year 2023 we expanded our retail footprint by 2.04 lakh square feet with 54 net EBOs opening. This expansion highlights the commitment to provide our consumers with the best possible shopping experience thereby increasing our market share with the largest share of the consumer's wallet.

In financial year 2023 our overall consumer sales growth stands at 26.3% over financial year 2022. Our SSSG growth has been 18.1% in financial year 2023 over financial year 2022. In quarter four financial year 2023 our overall consumer sales grew by 21.2% over quarter four financial year 2022 and the SSSG growth has been 14% over quarter four of last year. In financial year 2023 our consumer sales growth stands at 47.1% when compared to pre-COVID financial year of 2020 while the financial year 2023 SSSG growth has been 17.6% over the pre-COVID financial year of 2020. In the fourth quarter of the financial year 2023 our overall consumer sales growth stands at 45.8% compared to quarter four financial year 2020.

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In quarter four financial year 2023 the SSSG growth has been 16.2% over the quarter four of financial year 2020. We continue to run our flagship campaign built around the theme #TaiyaarHoKarAiye. The campaign features Ranveer Singh in a new avatar and was targeted to wedding-centric audience. We ran the campaign across all channels, and it was a 360-degree campaign. In

addition to this I would also like to highlight that we have launched Kiara Advani as the new face of the brand Mohey.

We ran a campaign featuring around the theme #DulhanWaliFeeling and it depicts the saga of a modern-day bride and how weddings are a big day for them. This campaign beautifully encapsulates the theme and strongly connects with all modern-day brides. We saw tremendous performance across the digital channels that we made this campaign lighter. With this I will now

hand it over to Mr. Rahul Murarka to take you through the financial performance of our company. Thank you.

Rahul Murarka: Thank you, Vedant. Namaskar and good afternoon, everyone. I would like to highlight the key performance for the fourth quarter and financial year ended March 23 based upon the consolidated financial statement. Starting from Q4 of FY23 performance update, the company has reported revenue from operation of INR342 crores in Q4 of FY23, delivering a growth of around 15.3% compared to Q4 of FY22. The company continues to report industry-leading gross margin of around 66% during Q4 of FY23. The EBITDA margins were around 50.2% and the EBITDA stood at INR171 crores during Q4 of FY23 with a growth of around 17% compared to Q4 of FY22.

The company reported best-in-class PAT margin of 31.9% and the profit after tax stood at 109 crores during Q4 of FY23 with a strong growth of 23% compared to Q4 of FY22. Our sale of our customer was around INR 483 crores during Q4 of FY23 with a significant growth of 21.2% over Q4 of FY22 along with strong SSG growth of 14% in Q4 of FY23 over Q4 of FY22. Now comparing our Q4 FY23 performance with Q4 of FY20 whose figures have been considered basis internal management MIS. The revenue from operation significantly grew by approx. 31% and we witnessed very strong growth in PAT by approx. 53% compared to Q4 of FY20. Sale of our customer grew by approx. 46% over Q4 of FY20 and we recorded SSG growth of 16.2% in Q4 of FY23 over Q4 of FY20. Now I would like to summarize FY23's full year performance. The company reported revenue from operation of INR1,355 crores during FY23 delivering a very strong growth of 30% compared to FY22. The company continues to report industry leading gross margin of 67.4% during FY23 with an improvement of 0.5% compared to gross margin of 66.9% in FY22. The EBITDA margin was around 50% and the EBITDA stood at around INR678 crores during FY23 with a strong growth of around 30% compared to FY22.

The company reported best in class PAT margin of around 31.7% and the profit after tax stood at INR429 crores during FY23 with a significant growth of around 36.3% compared to FY22. Moreover, the PAT generated during the year is approx. 140% of net working capital deployed as on 31st of March 2023. With optimization in working capital, we have been able to achieve industry leading ROCE of approx. 95.3% during FY23. The company has a track record of generating significant cash driven by a healthy cash conversion ratio. The company continues to Vedant Fashions Limited

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generate high cash conversion ratio of around 83% in FY23. This has been computed based upon operating cash flow over PAT during the period. Moreover, the operating cash flow generated during the year is 116% of net working capital deployed as on 31st of March 2023. The company also witnessed improvement in net working capital days from 94 days in FY22 to 83 days in FY23 which is computed based upon internal MIS. The sale of our customers was around INR1,861 crores during FY23 with a significant growth of around 26.3% over FY22 along with a very strong growth of around 18.1% in SSG compared to FY22.

On comparing our performance with figures of FY20, basis internal management MIS, revenue from operation significantly grew by approx. 48% and we witnessed very significant growth in PAT by approx. 81% in FY23 over FY20. Sale of

our customers also significantly grew by approx. 47% along with SSG growth of around 18% over FY20. Thank you and Namaskar everyone. We can now move to the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah: Hi, thanks for the opportunity. So, first question pertains to largely kind of trying to reconcile your SSG numbers with the traditional method of store addition or square footage expansion which is 16% and if I reduce the revenue growth from there then the SSG does not actually look very high number. So how should we reconcile this number with what you have given?

Rahul Murarka: Hi Tejash. So basically, as far as reconciliation is concerned, the pure maths would never work because the square foot area which we add upon in a particular year is around the year, it's not in the beginning of the year. So, the revenue which also gets generated is for a part of the year in that year in which you open the store, and the full year revenue comes in the next year only. So, if you see the trend of store opening like in FY23, out of 2,04,000 square feet which we opened in the entire financial year, 75,000 which is a big chunk will be opened in Q4 only. So around 60% -65% of the area which we opened was in H2 compared to 40% which we opened in H1. So obviously the revenue of those square feet areas additions which have happened, the full revenue would come in the next year only. So that is why the total, I mean if we add upon the square foot addition, plus the SSG will never come across, will never match with the overall revenue growth.

Vedant Modi: If I may add to that Tejash, if you look at it, our SSSG for financial year 23 over 22 was 18%, while consumer sales growth was at 26.3%. Now we added about 16% to our overall net area. And because that was throughout the year, if you just take half of that which is 8% and add it to the 18%, it almost adds up to your 26.3%, which is a ballpark figure of how this whole derivation works.

Tejash Shah: Perfect. I see SG&A efficiency in the last two, three years. It has been very good. In fact, employee cost in particular, we have again this quarter also we have reduced it Y-o-Y and sequentially both and then the same is true for the whole year as well. I just wanted to know how should we think about the SG&E efficiency going forward and where would you like it to settle so that the business also doesn't suffer but profitability also improves or remains steady.

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Rahul Murarka: So as far as the employee cost is concerned Tejash, one of the major reasons why the employee cost decreases at a financial level is because of the restructuring of the Director's remuneration. So total, I mean, if you see the director's remuneration, the director's remuneration has reduced from 2.1% of revenue to 1% revenue in FY23. Because of the restructuring of the director's remuneration, I'll be explaining earlier. So that is one of the reasons why, on an overall level, you are seeing a decline or similar numbers of HR costs and not the growth.

Vedant Modi: And just adding on to that whole piece, when we talk about the overall efficiency of our company, I think we've been able to demonstrate extremely high gross margins throughout the year. And we're comfortable in saying that 66%, 67% gross margin is what we expect the long-term trend to be. When we talk about PAT margins, while we deliver 31 plus percent in some quarters, we are comfortable in saying a 30 plus percent number. And as you're aware, Tejash, these are some of the numbers in terms of efficiency are a global benchmark now. So, we've been able to do tremendous stuff. The idea is to maintain it as we move forward in the numbers just mentioned.

Tejash Shah

h: Very much clear. And the last one, if I may, looking at the healthy cash flow generation and a very capital efficient model that we have created, how do you want to allocate capital going forward? Because that question will keep on, it will gain materiality as we go forward. So how do you think about allocation of capital going forward?

Rahul Murarka: So, Tejash, the company is debt-free and whatever cash you are able to generate on a particular financial year, which is 83% of that significant number, that is sufficient enough to run the business per se. And you have seen that we have also believed in distributing the excess cash which we have to our shareholders. Like last time also we had declared a net of INR 5 per share. And this year also based upon the performance of the company, the Board of Directors have decided to propose INR 9 per share as dividend. So unless we have any M&A which we are not sure when it will happen or it will happen or not in future, cash we will use for the business for expansions, of course to the extent required and always the endeavour would be to give it back to the shareholders.

Moderator Thank you. We have our next question from the line of Varun Singh from ICICI Securities.

Please go ahead. Mr. Varun Singh, your line is unmuted. Please go ahead with your question.

Varun Singh: Yes, sure. Thank you very much. So, my first question is on revenue growth. So, if I look at the yearly revenue numbers and compare it with FY '19 numbers, so we see that roughly 13% to 14% is the revenue CAGR which is coming up. So, Vedanta, my question is, how do you look at this number? Do you think that we could have done much better? And even going forward, how should we be looking at the revenue growth given this context?

Vedant Modi: Thank you for the question, Varun. So, the number which we strongly follow when we look at let's say, a three year or four-year CAGR. So, the number in our reference is currently the FY '23 to FY '20 SSSG number which was at 17.6%. So that comes to a 5.5%, three-year CAGR. Now while we may not be exuberant with that number, we are not unhappy either given the kind of environment we are operating in currently. However, the endeavour is to be a good single digit SSSG number as going forward.

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Varun Singh: Okay. And sir, my second question is how do you see competition from, for example, ethnics in the pockets where, that the store would have opened up?

Vedant Modi: So, I won't be able to comment on a single organized retailer. However, in totality, with all the organized retail competition that is opening up across the country, what we've also kind of spoken in our last call, is that everywhere we are seeing organized retail open up next to our

stores, the performance of that store is actually better than the state average when it comes to SSSG. So, this is a phenomenon we are witnessing across the board. And in most of the stores. So that is really fantastic to see that the overall market is growing, and it is most likely a faster shift from unorganized to organized, which is what we understand currently. And in addition to that, as we've mentioned, that the moats that entail in our industry are very large. Given the fragmented supply chain, the very difficult understanding of consumer preferences as it varies every 50 kilometers. And then the kind of brand moat we have created with Manyavar. So many recent studies that we conducted with one of the best market research surveyors revealed that Manyavar's in its TG has a 98% awareness, while we have a 95% to 96% consideration. So now again, from a brand perspective, these are unheard of numbers in the fashion retail space. So, we are very confident about our brand and the kind of moats we have. And as the internal numbers suggest, business is strong, and we are continuously expanding.

derator: Thank you. We'll move on to the next question from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir: I had a question on the performance of Mohey and Twamev. So, we have done the heavy lifting over there and we've been saying that the confidence in the three-four key measurables that we have been tracking has also been doing well. I think we also now open the independent stores over there. So just want to get a sense of what is the feedback on the ground, what is the situation in those key measurables that we've been tracking in the flagship stores. How have they been doing in the independent stores? Do you see the confidence here to now scale this up very quickly in a good period of time, maybe 30 stores, 40 stores in a couple of years?

Vedant Modi: Thank you for the question. So, the independent stores for Twamev are planning to start doing live by end of this week. So, first flagship in Bangalore has its soft launch on Friday, with Delhi and Hyderabad being followed very closely and also Pune. So Twamev is set for four flagship stores in the coming quarter or so. While when it comes to Mohey, again, flagship stores are in the pipeline, and they will start to open extremely soon. So, I can't comment on how the performance has been on those independent stores yet because we are going to go live with them extremely soon.

However, when it comes to the performance of Mohey and Twamev within the flagship outlets, we have seen tremendous growth. And both the SSSG growths have been faster than the company average in the financial year. And all the frontline data that we're getting, which is feedback on product, be it conversion rate, inventory terms that we're able to achieve with both of these brands, they've continuously improved over the years. So, we are very confident regarding the independent store concept as well. However, there will be new interesting things that we understand in terms of how do we market the brand separately. So, we'll be able to bring

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in footfalls to the exclusive stores, which would be an interesting space to kind of see over the next few quarters.

Aliasgar Shakir: Okay. So, scalability from here will be dependent on how these stores perform or you know, I mean, we have a pipeline to already add 30 stores, 40 stores cumulatively on these brands?

Vedant Modi: So, take for example we are expecting about 8 stores to 10 stores in Twamev and 10 stores to 15 stores in Mohey as the pilot and based on the results we gain from these pilots is when we take the decision on scalability of the model. However, we are very confident and what we have done with our business development strategy is divided the stores into different pockets of regions and at the same time also divided them into multiple business development strategies.

For example, trying out a high street where consumers walk versus trying out a high street where consumers enter with a car versus a mall store that is extremely famous in the city. So, trying out every single permutation and combination to understand the model as well as we can in the first few quarters itself.

Aliasgar Shakir: Right. And they will be in FY '24, new store additions?

Vedant Modi: Correct. That's the method.

Aliasgar Shakir: Got it. Second question is on the digital transformation we spoke in last quarter, which was likely to see a launch of Phase 1 in this quarter. So, can you share in detail about that what are the areas we should see benefit as the launch happened and things about that?

Vedant Modi: Absolutely, thank you for that question and the Phase 1 launch has already happened. So, if any one of you are interested, you can just go to manyavar.com and see the Phase 1 come to live. And we have seen tremendous numbers on the backend. However, I don't want to comment too much on it currently

because it's only two to three weeks of data where we've seen a significant rise in conversion rate, significant rise in average time spent on our website. So, we are seeing

the experience having grown phenomenally.

What we are really interested in is the Phase 2 which kicks in two months to three months from now, where we will start to connect the digital and the physical world. What that will kind of entail at that time is, let's say, what we witness is a lot of grooms search the website before they end up in the store. So, what we're trying to do is create a profile of that groom which is what kind of Sherwanis are they interested in for example. Do they like brocade or which colours do they like and then we pass on this information to the store when the person ends up booking an appointment. So, all of this is going to start coming to live on our new platform in the coming two months to three months.

Aliasgar Shakir: Understood and the Phase 1 you mentioned will be on manyavar.com where you can as a customer build your profile and things like that?

Vedant Modi: Absolutely. So, Phase 1 is the starting point where the new skin is live, a very fast website using all the global practices. So, the Page Speed Insights, etcetera, which Google offers you, we've seen tremendous scores there. And our SEO is also improving after the launch of our first Phase.

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Moderator: Thank you. We have a next question from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: Hi, sir. And thanks for taking my question. First question is that if I look at the secondary sales growth performance on our second half basis, which is clubbing the previous quarter and this one, I see a Y-o-Y growth of only 7%. And this is over a retail area addition of 16%. So, growth has been kind of weak if you include both 3Q and 4Q, which takes in a whole wedding calendar. So how are you so confident of still achieving a high single digit SSS growth going forward? And what is going to drive this improvement in the near term?

Vedant Modi: Thank you for the question. We've discussed this before, that overall, what we have witnessed is that last year, Q1 was heavily impacted. That's why weddings moved from Q1 to across the year, which spilled over the dates throughout the financial year 2022. However, because financial year '23 did not have much of a COVID impact, and typically the entire year was clean, that's why weddings were happening normal in Q1, Q2 and Q3, Q4 also normalized. Typically, what we see in a given financial year is we do 36%, 37% of our business in H1, while the remaining happens in H2. However, this year, that figure moved to 42% and 58%. So, what we are expecting is those numbers will normalize and it goes to a one-year thing to happen this year.

Sameer Gupta: That answers, so thank you. Second question is on the EBITDA margin. If I look at full year EBITDA margin, it is at 49.5% on a post-Ind AS basis. This would be around 41% on a pre-Ind AS basis. Historically, the highest. Are you comfortable with such high margins, first of all? Second is that going ahead with Mohey, Twamev-plus pricing competition, how do you look at this margin? I mean, is it safe to build some contraction at this point on such a high base?

Vedant Modi: So a gain, commenting on the PAT margins, while we've delivered more than 31%, we are comfortable in seeing a 30% in the short term as we move forward. Even with our newer brands, we've been building efficiency with scale so that the margins are able to match up to the company's average margin when it comes to gross margin. So that as these brands scale up, they're not eating away from our company's margins. On the other hand, when it comes to Manyavar, we have a very strong cost efficiency inbuilt in that brand. So, we are able to produce anything almost 25% to 30% cheap

when it comes to other organisations in the market. Now that gives us the breathing room in terms of having very tight prices, yet being able to have the kind of margins that we offer.

Rahul Murarka: And just to add upon, Vedant is giving reference of PAT because post Ind AS 116, PAT has become more relevant than EBITDA. I mean your question was on EBITDA. So that's why I will just clarify that when internally also we review, we feel that it is more relevant to compare on PAT level rather than EBITDA after the introduction of Ind AS.

Moderator: Mr Gupta? Yes.

Sameer Gupta: Yes, fair enough. So yes, I'm done with my questions. Thanks.

Moderator: Thank you. We have our next question from the line of Priyanka Trivedi from Antique Stock Broking. Please go ahead.

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Priyanka Trivedi: Yes, thank you for the opportunity. So, my first question is if you could give us a sense on how your international stores have been performing and what is the contribution to your revenue from these stores?

Vedant Modi: So, while the contribution to our revenue would be very low, it would be the 1% to 2% range. What we've witnessed over the last couple of years is very good traction when it comes to our international stores. We've grown at a 26% CAGR from pre-COVID levels. And the growth was extremely good during the COVID years. However, as we moved out of COVID, what we've seen is the international buyers coming back to India as NRIs and shopping here. So that growth has slightly plateaued, but still the kind of CAGR we witnessed, we are very confident in expanding to much newer countries and to much newer cities that we haven't explored in the international cities yet. So yes, the path from here when it comes to countries we've already entered in, such as the US and the UK, look very good to us.

Priyanka Trivedi: Okay. Got it. And so, my second question would be, what would be the contribution of groom versus non-groom sales during the quarter?

Vedant Modi: So again, during the quarter is something which we don't give out as a number which is groom versus non-groom. But on a typical yearly basis about 45% to 50% of our business comes from grooms or brides.

Priyanka Trivedi: Okay. Got it. Yes. That's it. Thank you.

Moderator: Thank you. We have our next question from the line of Perna Jhunjhunwala from Elara Capital. Please go ahead.

Perna Jhunjhunwala: Thank you for the opportunity. I would like to understand the channel mix as well. How do we see the contribution from the other channels like, MBO and LFS and online channel as investing to your platform? How is that share moving?

Vedant Modi: So just breaking it down into two components which is MBO and LFS one and e-comm being the other one. So as a company the dominant channel for us is EBOs. And strategically, EBOs are a much more important channel compared to MBOs and LFS because we are able to give consumers the kind of experience the brand wants to give to them and the kind of sizing of the stores that we are opening now is truly able to cater to their needs with a much higher average bill value that we have seen from any other format.

On the other hand, when we talk about online, online is a very strong channel for us when it comes to non-wedding sales such as a festive buying for Diwali or even wedding attendees buying online. So that channel is continuously growing from a business perspective. However, as we were discussing earlier with the new digital experience going live, we feel omnichannel and digital experiences will become a very big component as we move forward into the future. So that is why manyavar.com would really hop onto all of those sorts of nuances and we have seen a 40% sort of a CAGR in our online channel over the last three years which is compared to pre-COVID levels. So that has been good and with large format stores in

MBO as well, we
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continue to expand yet it is relatively slow when it comes to the commitment, we have towards EBOs.

Perna Jhunjhunwala: Okay, so and second thing we are opening our larger and larger format sizes. Do we see same store sales force for the company increasing much higher than today's at least in the near-term?

Vedant Modi: I mean the size of the store does not play any role there. As we mentioned, a high single digit, good single digit kind of a SSSG what we endeavour to achieve. And that is what our targets are. With higher stores what we are able to do is increase our average bill value and provide a much better experience to our consumers. And typically, we only open larger stores in areas where we see the potential to already exist.

Perna Jhunjhunwala: Okay, okay. So, this quarter this year when we have opened very large stores is the highest two than our average size is a coincidence. Maybe it will normalize next few years?

Vedant Modi: So strategically we are opening larger stores and that will be the strategy moving forward. So, while this quarter may have been slightly abnormal in terms of the average, however the typical average we've had of about 24-2500 square feet is also going to increase from here.

Moderator: Thank you. We have our next question from the line of Archana Menon from Morgan Stanley. Please go ahead.

Archana Menon: Hi, thanks for the opportunity. My first question was to Vedant. You mentioned market share gains in your opening remarks. So, could you share some numbers around that? Where is the market share currently and where was it say last year?

Vedant Modi: Yes, so in terms of market share, we don't have exact numbers, right, in terms of what kind of market share that we have. Whatever kind of referring is that with our expanding reach of stores and square footage, that is what we endeavour to do. So, while there is no exact market research report that we've done over the years, I won't be able to comment on that. But if I refer back to financial year '20 numbers, then either men's industry, men's ethnic wear industry, scale and size, we were doing about 8% to 10% business. While talking about organized, we were at about 35%, 40%.

Archana Menon: Okay, any your sense is that could have grown from there?

Vedant Modi: Sorry, I couldn't get you.

Archana Me non: Sorry, so that number from 35% would have should have increased in the last two years?

Vedant Modi: That is our endeavour , however, I won't be able to comment on it exactly as we've not done any research on those lines in the current year. However, fr om our understanding, we always try to increase our market share.

Archana Menon: My second question was in the wedding season for the upcoming year. Are you seeing or expecting any seasonality there or change versus the normal in the upcoming quarter?

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Veda nt Modi: So again, I think this year that we had just concluded, which is financial year 23, was again slightly, we were coming out of COVID, and things were still not normal. And the year was still, we were trying to understand how post -COVID things would impact. However, we see next year is now that we're completely out of COVID, would return back to normal terms with about 36%, 37% of our business happening in H1 and the remaining in H2. And while April has slightly low weddings, May and June have very g ood wedding dates in the coming quarter. And across the year, we are very confident with Q3 having good wedding dates, Q4 having good wedding dates. So, it all looks like the historical trends we've been operating in when it comes to the current new financ ial year.

Archana Menon: Got it. And would you like to share any comments on how Twamev and Mohey scale up in FY'23 in terms of numbers? Is it fair to assume

that they could be between 22% to 25% of your revenues now?

Vedant Modi: No, so they are not 22% to 25% of our revenues because Manyavar has been scaling at a rapid pace by itself as well. When we talk about other brands, when we had done our IPO back in those days, we had given out that, at that time about 15%, 16% of our revenue came from other brands and Manyavar contributed 84%. And the other brands have been scaling faster, so that number has slightly increased. But that encapsulates Mebaz in it as well.

Moderator: Thank you. We have our next question from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Ankit Kedia: Sir, do you think, in the market, we have seen in the kurtas category you have taken some price increases, the entry -level product prices have increased. So, can you just elaborate on that? Given the push we are seeing in Kurtas, why has the entry -level pricing increased in that category?

Vedant Modi: So, Ankit, if you refer to the entry -level pricing at a company level, we have not really increased the entry -level pricing. However, at a store level, because of th e way merchandising mix changes, those entry -level prices could have changed. So, let's say a very premium store like Lower Parel, the entry -level might have moved from a ■2,000 a kurta to a ■2,800, ■2,700 Kurta. However, when it comes to the whole fleet, the entry -level price points have remained the same.

Ankit Kedia: Sure. And, you know, you alluded to the bigger stores. Now, we are opening, 20,000 square feet stores, what we have done in Hyderabad, Delhi. So, how does the footfall in that store move and the smaller stores around in the area? How are they impacted? Because a 20,000 square feet store is really a big flagship store which will pull the crowd.

Vedant Modi: Absolutely. So, the typical move that we make is if the productivity of an area is extr emely high, we've created a scientific understanding of how big a store we should open in that area. So, take for example, a 20,000 square feet we just opened in Jubilee Hills, and it used to have a smaller store next week and that smaller store continues to perform really well. So, while it may not be doing those tremendous numbers that it used to before, it still continues to beat the company's average when it comes to productivity.

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So, the store is still self -sufficient in terms of operating itself and c ontinues to be very profitable.

And the newer stores, on the other hand, are able to attract newer consumers as well and the average value that they're able to provide is unheard of when it comes to the rest of the fleet.

Ankit Kedia: So, is the inventory also very different in the smaller store versus the big stores?

Vedant Modi: Yes. I mean, there is less inventory and, in some areas, where there is a very big store next to a smaller store, we also are taking calls of changing those stores to carry only k urtas and jackets versus having, let's say, everything from sherwani to an Indo -Western as well. And if a consumer walks in, then the staff of that store themselves take them to the newer store, which carries all the inventory.

Ankit Kedia: Understood. And my last question is for Rahulji. Rahulji, the other expenses in the quarter have

hardly grown on a Y-o-Y basis. Can you just share, you know, given that wedding season had also shifted partly from quarter three to quarter four, have we curtailed our A&P spends in quarter four? And can you share the pre-index rent for fully FY'23?

Rahul Murarka: So, the quarter spend for marketing cost is 3.6% of revenue. And in the previous year also, in Q4 FY'22, it was 3.6% of revenue. So, from a percentage of revenue perspective, it has not changed.

From absolute value terms, it has increased from quarter-to-quarter.

Vedant Modi: And Ankit, I would just like to add on top of that, it's also

because marketing calendar in our

organization is planned at an annual level. So, Q3 is when we kind of have all the campaign launches planned for. And we also did big events in quarter three. For example, we did a sponsorship in the World Cup as well. And thus, all of those properties carry the higher absolute value. So, at a yearly financial level, we closed A&P at about 5%, which is what we had planned for. And yes, so we don't kind of look at marketing at a quarter level, but rather at an annual level.

Moderator: Thank you. We have a next question from the line of Yajash Mehta from Kotak Mahindra AMC. Please go ahead.

Yajash Mehta: Hi, thanks for the opportunity. My apologies if I've missed this. On a quarter-on-quarter basis, we've seen the revenue go down. As per my understanding, didn't Q4 have a higher number of wedding days? And if that was the case, then why did we see a decline in revenue? And secondly, if you could just give a sense of the cash conversion cycle.

Vedant Modi: Thank you for the question. I'll take the first part. So, we had kind of explicitly explained this in our last earnings call as well, that people tend to actually get married in quarter three, which is the November-December period. However, because the number of wedding dates were extremely low, that's why there was a slight bit of spill over from quarter three to quarter four. Wedding dates are not exactly proportional to the number of weddings that will happen in a quarter. It's a spill over. So, that's why we had also said that the numbers might come closer, but there is no chance that Q4 would actually be higher than Q3. And this is a historical trend in the life cycle of our company where I don't think there has been a single Q4 that has done better than Q3.

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Rahul Murarka: Because there are festivals also, like major festivals like Diwali, that also happens in Q3 only. So, because of the festivals and weddings, Q3 is the heaviest for us as far as Q3 comes in.

Yajash Mehta: Got it. Thank you. And my second question, as I mentioned, if you could just give me a sense of the cash conversion cycle?

Rahul Murarka: Yes. So, cash conversion ratio, the OCF by PAT is, we have been able to generate INR358 crores of operating cash flow during FY'23. And OCF by PAT has been around 83%. So, this is the cash conversion ratio which we have been able to generate in the current year and similar historically as well.

Yajash Mehta: Okay. Thank you.

Moderator: Thank you. We have a next question from the line of Aman from Carnelian Capital. Please go ahead.

Aman: Sir, thank you for the opportunity and congrats on a good set of results. So, my question was on the retail space. Like, currently we are going for larger new stores, like around 4000 square feet. So, if you can give a rough idea, like how much is the mix for Manyavar, Mohey, Twamev, like any idea on that?

Vedant Modi: Sure. Thank you for the question. So, Mohey would typically be, depending on the size of the store, somewhere between 25% to 30% -35% of a store. While Twamev is not given any specific area in the EBO, it's kept along with Manyavar products. So, Twamev does not require any spacing of its own. So, that's the kind of split we have in any flagship store that is larger than 3000 square feet.

Aman: Understood, sir. A follow-up question on that, sir. Like, when we are talking about around 16% kind of retail space, so like, does that include this Mohey area also, the standalone Mohey and Twamev stores we are opening? Because, if we look from just Manyavar standalone point of view, like, even with the higher number of stores, the actual retail space growth for Manyavar would be lower, right? Like, it will be in low double-digit kind of a number.

Vedant Modi: So, again, any retail growth numbers that we've given have always been at a company level.

level.

That's the way our format has always been up until now, which is the Manyavar-Mohey flagship concept and the standalone Manyavar concept. However, as we have more formats moving forward, we don't expect the 16% CAGR to change too much. The endeavour is always to beat that number. However, given the kind of supply side and demand side that we have to maintain

and the kind of cost efficiencies we keep in mind, that's a good target that we've set for ourselves internally.

Aman: Understood, sir. Just one more question on demand outlook. Like, are we seeing any slowdown? Because lots of players in the consumer sector are seeing some slowdown in their businesses. So, any slowdown we are witnessing in our business?

Vedant Modi: It's very difficult for us to comment on any slowdown or anything on those lines. Our business is heavily dependent on wedding dates as one big factor. And typically, what we've seen

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throughout the years, even in cases of a very large slowdown or a very good consumer behaviour, the change is plus minus 2% at a SSSG level, which is the kind of effect our business may have.

But at an overall level, the big dependency that we have is on wedding dates, which seems very good for the overall financial year that is upcoming.

Rahul Murarka: So, as far as weddings are happening, we are a kind of essential category.

Aman: Great, sir. Thank you. Thank you for your answer, sir. It was really helpful.

Vedant Modi: Thank you very much.

Moderator: Thank you. We have our next question from the line of Rajesh Vora from Jainmay Venture Advisors. Please go ahead.

Rajesh Vora: Good afternoon, gentlemen.

Vedant Modi: Good afternoon.

Rajesh Vora: Congrats on a pretty good set of numbers. One question we don't think you touched upon was a non-Manyavar – Manyavar brand at the time of IPO was close to 84% of revenues. Twamev was launched in 2002 but acquired in 2017. Mebaz, Manthan. So, is there a challenge to create another Manyavar set of brands for you? How do you look at it from 30,000 feet?

Vedant Modi: Thank you for the question. So, again, you know, as a company, we've always been calculative in our steps, and we are focused on achieving efficiency with any of the brands. So, we don't want to scale at the cost of efficiency. So, with all the newer brands that we have, be it Mohey, Twamev, or Manthan, we've gotten them to position, especially Mohey and Twamev at this moment, but they are now ready for the next level of leap.

And that is why we've taken the strategic call of starting to open exclusive brand outlets, which will start to pour in over the next quarter. We would ideally like to study those exclusive brand outlets that we open, understand the kind of potential that this model has, kind of fix if anything requires fixing, and from that point on, move on.

And what we've really gained over the years is the synergy from the brand Manyavar. So, building Manyavar has allowed us to understand how to manage supply chain in this industry. We've built extremely strong data models that are now being able to use across our brands and therefore improve all of their efficiencies.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Vedant Modi: Thank you very much to everyone for joining us for the quarter four earnings call. It's always a pleasure interacting with all the analysts. It's a very good learning for all of us. Thank you very much. Hope to see you next quarter.

Rahul Murarka: Thank you.

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Vedant Modi: Namaskar.

Rahul Murarka: Thank you and namaskar.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us and you may now d

isconnect your lines.

Call: Aug 2023

Vedant Fashions Limited (Formerly known as Vedant Fashions Private Limited)

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Aug 1, 2023

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1, Block -G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
Dept. of Corporate Relations
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001

NSE Symbol: MANYAVAR
BSE Scrip Code: 543463

Madam / Sir,

Sub : Transcript of the Conference Call of Q1FY24

Ref : Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated July 21, 2023

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call organized and held on Thursday, July 27, 2023, in relation to the Unaudited Financial Results of the Company for the quarter ended June 30, 2023 (Q1FY24), is hereby enclosed and the same is being made available on the Company's website. The transcript can be accessed on the Company's website from the link given below:
<https://www.vedantfashions.com/investor-presentations>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you,
For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl – As above
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"Vedant Fashions Limited
Q1 FY '24 Results Conference Call"
July 27, 2023

MANAGEMENT : MR. VEDANT MODI – CHIEF MARKETING OFFICER –
VEDANT FASHIONS LIMITED .
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –
VEDANT FASHIONS LIMITED

MODERATOR : MR. GAURAV JOGANI – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Vedant Fashions Q1 FY '24 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gaurav Jogani from Axis Capital Limited. Thank you, and over to you, sir.

Gaurav Jogani: Thank you, Seema. Hello, everyone. At Axis Capital, it is our pleasure to welcome you all to Vedant Fashions Q1 FY '24 Earnings Conference Call. From the management, we have with us Mr. Vedant Modi, Chief Marketing Officer; and Mr. Rahul Murarka, Chief Financial Officer. Thank you, and over to you, Vedant.

Vedant Modi: Thank you, Gaurav. Good afternoon, and a warm welcome to all the participants. I am Vedant Modi, the Chief Marketing Officer of the company. Thank you for joining us today to discuss the Vedant Fashions Limited Quarter 1 Financial Year 2024 results. I hope everyone got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchange as well as the company's website.

In this quarter, we continue to increase our retail footprint, which is the dominant channel for our company. As of June 2023, Vedant Fashion's EBO area stands at 1.56 million square feet, spanning 662 stores in 260 cities and towns globally. The national EBO footprint tally is at 646 stores spread across 248 cities and towns. In this quarter, we opened net square feet area of around 85,000 square feet across 13 exclusive brand outlets in India.

We've also opened company's largest flagship store of around 22,000 square feet in the Bangalore city. We have a strong and healthy pipeline for new rollouts planned for the remaining part of the financial year. We feel proud to share that we have launched Twamev. Twamev empowers individuals to extend their true selves through captivating attires and the philosophy of being uniquely you. We have opened 3 Twamev exclusive outlets in this quarter as well, aggregating to 22,000 square feet area cumulatively. These Twamev EBOs have opened across 3 cities as per our strategic market expansion plan.

We have brought in French consultants to design the experience in these stores to provide an atmosphere of elegance and individuality while considering consumers' psychographics of the target group. We have also launched women's wear in Twamev. The product mix and operations for Twamev have been built on the tried and tested algorithmic data sets of Manyavar and Mohey utilizing the 2 decades of data we've been able to collect.

We are seeing great response from the customers, which furthers our confidence in the strategy that was planned for Twamev. Vedant Fashions is India's largest wedding and celebration wear company and the branded Indian wedding and celebration by market. It is pertinent to note that we are predominantly a wedding focused business. In a given period, wedding dates can shift over months or quarters based on astronomy. In this particular quarter also, as expected, we

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witnessed significantly lower wedding dates compared to the same quarter in last year, which got reflected in our performance as well.

Since last year, quarter 1, rather H1, being the first clean normal period after COVID had a very strong surpassing effect as well, coupled with promising wedding dates as well, which resulted to a very good H1 of last year, doing around 42% of full year business, which is typically a lot higher than any other normal year. We expect this to normal

ize in the current

financial year and majority of the sales will be driven by a strong H2 period.

In this quarter, we have strongly focused on further enhancing our business dynamics in line with providing better consumer experience through a renewed digital interface website, larger than life super flagship store launches, brand launch of Twamev and further expanding the retail footprint in existing dense and new markets strategically. We have also focused on category-specific marketing for our kids category and for our womenswear brand Mohey by partnering with marquee events like Femina Miss India and a lot of influencers as well. These efforts, coupled with the strong moats, which we have established over a period of time have continuously led us to maintain industry-leading margins and return metrics. We have reported PAT margins of 29.5% in the first quarter of financial year '24 as well. We are very positive with the business outlook and are optimistic and fully prepared for this financial year as a whole, with wedding and festive seasons ahead in this year.

With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of our company. Thank you.

Rahul Murarka: Thank you, Vedant. Namaskar and good afternoon, everyone. I would like to highlight the key financial metrics for Q1 of FY '24 based upon the consolidated financial statements. During Q1 FY '24, the company reported revenue from operation of around INR312 crores and sale of our customer is around INR422 crores. The revenue and related metrics during the quarter got impacted due to significantly lower wedding dates compared to Q1 of FY '23.

Moreover, Q1 FY '23 was the first full clean year after COVID coupled with full-fledged wedding season. Hence the base period of Q1 FY '23 was not a normal period to compare performance in Q1 of FY '24. On comparing our performance in Q1 of FY '20, which was a normal quarter coupled with high wedding dates, our revenue from operations grew by approx. 52%. The company continues to report industry-leading gross margin of around 66.8% during Q1 of FY '24. The EBITDA margins are around 47.7% and EBITDA stood at around INR149 crores during Q1 of FY '24.

The company reported strong PAT margin of 29.5% during Q1 FY '24, and the profit after tax stood at around INR92 crores. Moreover, the PAT generated during the trailing 12-month period of June '23 is about 135% of net working capital employed. Further, the company also witnessed growth in PAT by a cross 65% in Q1 of FY '24 over Q1 of FY '20 based upon internal management MIS.

The company continues to generate significant cash driven by a healthy cash conversion ratio. During Q1 of FY '24, the company reported cash conversion ratio of approx. 78%, which has Vedant Fashions Limited

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been computed based upon operating cash flow over PAT. We have been also able to achieve industry-leading ROCE of 91% during the trailing 12-month period ended June '23.

We have continued to maintain efficient working capital days of around 85 days based upon TTM and June '23 period, which is computed based upon internal management MIS format. It would be more relevant to review our business performance metrics at an annual level. Since performance in a particular quarter may vary based upon spread of wedding dates across the year. We are hopeful and positive for H2 and full year as a whole, owing to wedding and festive seasons in H2 during this financial year.

Thank you, and namaskar everyone. We can now move to the Q&A session.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Mr. Tejash Shah from Aventus Spark.

Tejash Shah: A couple of questions from my side. Vedant in your opening remarks, you spoke about the 2 decades of data that we have. So I was just curious

to know that in past in the years where we

have the Adhik Maas in Hindu calendar. How does the demand play out in the balance part of the year? Do we see a very unusual pent-up demand for the balance part of the year? Or it's a kind of a business which gets lost and it kind of devolves into the next year wedding season.

Vedant Modi: So I guess the last time this happened was quarter 1 of FY '17. So in FY '17, what we saw that again, May, June had a bad wedding period and there were low wedding dates, and we saw a double-digit degrowth in Q1. However, we ended the year quite strong with almost 16%, 17% approximate of revenue growth in that particular financial year as well. So there was a double-digit degrowth but ending the year with a positive note. So yes, there was a spillover effect in H2 of that particular financial year and almost 65% of the business, 66% of approximately of the business was done in H2 compared to H1 in that particular financial year.

Tejash Shah: And second and last question, you spoke about Twamev. So just wanted to understand a bit of KYC on Twamev clientele, usually, which income group or with Strata, they come from? And how do they discover the brand and how you discover them as a customer because route to market won't be the usual one? And how does the branding and designing philosophy changes

versus our rest of the portfolio over here? And that's the last question.

Vedant Modi: So in terms of Twamev in terms of our clienteling, from a marketing perspective, Manyavar's TG stands at about INR5 lakhs to INR50 lakhs, whereas we see that the Twamev target audience would have an annual income of about INR50 lakhs upwards of INR3 crores to INR4 crores. So that is the kind of Twamev target audience we want to cater to. And in terms of reaching out to the consumers -- for the starter, the stores that we are opening in itself are the most amazing stores that we've ever opened.

So if any one of you have time, I mean, I really think you must visit our store in South ex - Delhi, which has very recently opened. And that store shines in the best wedding market of India. And so these stores in itself are the best from of marketing, in my view. On the other hand, we've also hired the best of the creative agencies, and we're going to be out with the Vedant Fashions Limited

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brand film well very soon. So we will have a digital/offline presence for the brand that we will target the higher income strata of each of these cities in order to get them to visit the store. If you visit Twamev social media as well, you will find that we had an amazing launch event for a Bangalore store, which was the first one we did, and we were able to bring in almost 100 - plus high -net-worth individuals who all came in and circles typically for HNI group in a city are small. So even bringing in 100 of them can do a lot of noise. And we've seen that sort of store opening having great results from the kind of store sales, we're now able to achieve and Bangalore itself.

From a design philosophy point of view. I think we continue to follow the methodology of a bottoms up approach. So the consumers' demands in Twamev are slightly different, but we continue to learn from the consumers to develop those designs in -house and then serve them to our stores. So that's a very similar strategy of a bottoms -up approach designing, which is something we will continue with.

Tejash Shah: Sure. And then just on associated question. So this client ele requires a very comes with a very different service aspirations and luxury as a theme is relatively new to India. So where do you go to hire the talent for this kind of engagement? And -- or are you planning to kind of develop that organic team within the talent pool that we have already?

Vedant Modi: Absolutely, great question. So given the fact that this talent is very scarce, what we are looking

for is individuals who have great communication skills. And then what we are able to do is teach them out to the art of selling Indian wear and teach them the art of service. So we are actually scouting for people from across places like hospitality, etcetera.

And I must say that the best way to explain this is if you visit the store itself, you will find that Manyavar has always been a one -on-one experience where you have one fashion advisor catering to one client. However, in Twamev, it's a 2 on 1 experience. So what we are trying to do is you have one fashion stylist along with a fashion advisor to help you with your purchase decision. And the whole idea is to only inspire you and selling is an outcome of inspiring you. At the same time, from a hospitality perspective, we've worked a lot in terms of the kind of service levels you want to have at the store. So we brought in hospitality experts to be available at the store. We have a very good refreshment menu and sector, which has also been worked upon. So I think the best way would be to show it to you practically -- and if you have to get any chance, please to visit any of the stores that have already opened up.

Moderator: The next question is from the line of Mr. Sameer Gupta from India Infoline .

Sameer Gupta: Firstly, I have two -- so firstly, on this 22% same -store sales decline. Just wondering is there a wide divergence where you can -- in stores where there is some organized competition form that has come up in recent times versus stores where there is no such organized competition in the vicinity. Can you give some color on that aspect would be helpful?

Vedant Modi: Absolutely. Thank you for that question. So we monitor organized competition extremely closely. And from the perspective of anywhere there is organized retail that has opened next to Vedant Fashions Limited

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our store, the impact is not at all different from the other stores that are in our fleet this slowness was seen overall across the industry, across the fleet of stores. I think one very interesting piece of data here is that traditional markets are typically the most impacted in a weak wedding date quarter? So these are markets like Bihar, Orissa, Andhra Pradesh. Now in these markets, actually, none of the organized retails have even entered. Maybe there's 1 or 2 stores, but primarily, they have not even entered these markets, which were the highest

impacted markets for us for this quarter.

Sameer Gupta: That's very helpful, sir. Secondly, on this pickup in 2H in the hope, is this more of a statement of hope at this point because the discretionary consumption across the board is struggling. And apart from wedding dates, is there any other trigger that you're hopeful for? And are we still good with our mid - to high single -digit SSS growth guidance for the full year?

Vedant Modi: So in terms of saying that this is a hope, I mean, definitely, we are hoping for the best. But at the same time, this is a trend we've seen in multiple years across the past. And our business is more focused on wedding dates, because wedding is one event where this is not a purchase decision being made like in the short term.

This is something that families plan for years before the purchase decision has been made. That being said, it is not that a business. It does not have any impact at all of low consumer sentiment. There is definitely some impact, but it is much lower compared to the rest of the consumer discretionary players. In our case, it's more to do with the wedding dates.

Also, in terms of we, as a company, do not give any guidance -- our endeavor is always to achieve mid - to good single -digit sort of a SSSG number. And that is something which we will endeavor to achieve in the long term.

Rahul Murarka: Just to add upon, I mean, when it comes to weddings, we are part of essential category. And as

it has been evident during COVID years also, demand in our case, does not get destroyed. It only gets deferred. So that is one positive situation in case of our business, which will play a very important role in H2, which we have been also focusing on.

Moderator: The next question is from the line of Mr. Saumil from Kotak Life.

Saumil: Two questions from my side. One is for the quarter. And going forward, how should we look at Mohey's contribution? And now do you believe it's a format where it can actually stand by on a well be addressed in and basically invest that into that part of the business for the next 3 to 4 years?

Vedant Modi: So in terms of Mohey, like we've been talking about in our previous earnings call as well, we've been seeing increasingly better demand for the product at our stores. The consumers have been responding to Mohey in a very good way. Our conversion rates have improved and so have our supply chain metrics. However, all of these trends have been seen in the Manyavar and Mohey retail concept. When it comes to the Mohey exclusive brand outlet concept, that is something that we are aggressively working on in terms of coming out with our first flagship Mohey EBO. It's in the pipeline.

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The whole idea and our research was that for a bride, the magical moment of when she puts her first lehenga is extremely important. And so we've been truly trying to create a fantastic store in order to give her that feeling because this is the retail ID, which we will be then expanding and taking into other cities and different sort of business development strategies. So we continuously are working on it. And hopefully, we will be out with the first EBO in early Q3 and be able to see the H2 season with that flagship along with a few other pilot stores that we will open in the financial year as well.

So once we have data of how the exclusive brand outlets are performing, that is when we will be a little more comfortable in saying how we want to expand Mohey as a stand -alone concept. However, we are very confident of the brand now, and we see great potential in the overall industry and the brand itself.

Saumil: So for the quarter, which went by Vedant not getting into specific numbers, but between the 3 large formats, Manyavar, Twamev and Mohey, which parts are more set over the other are the qualitative that would be of retail property.

Vedant Modi: So I couldn't get you properly, sir. Can you please repeat the question?

Saumil: So in terms of, obviously, the quarter which went by, we had a decline both in revenues as well as terms of SSFG between the 3 formats, what we have, Manyavar, Mohey and Twamev, which did well versus others in terms of which part of the [formats] saw more stress and decline?

Vedant Modi: Sure. So in terms of Twamev because we opened 3 exclusive brand outlets for the first time spanning 22,000 square feet area Twamev definitely saw a good level of growth in the quarter as well, just from the pure having a small base last year and us opening 3 EBOs and also increasing store presence. On the other hand, Mohey also had decent growth, slow but decent growth, and that is also because Mohey's presence got increased in 7 new flagship stores as well.

So that is how I would put it. So the contribution of our other brands apart from Manyavar is definitely increasing. However, not commenting on this particular quarter itself, but overall, Manyavar itself is also growing extremely rapidly. Therefore, commenting on the proportion

of how it will play out with other brand versus Manyavar is difficult. But yes, other brands will definitely grow faster than Manyavar itself.

Saumil: Sure. And my last question, we saw gross margin compression both on a Q-on-Q as well as Y-o-Y. While I understand a part would be because of mix because we sold less of wedding wear. But

I mean, is this a new normalized gross margin we should expect over the next few quarters or probably the further separation and probably will get back to a 65% and 70% gross margin on a sustained level -- that's my last question.

Rahul Murarka: Sure. So in FY '23, the gross margin was 67.4%. And in Q1 of FY '24, we have achieved 66.8%. Now quarterly, the gross margins can always vary so it is also important and relevant according to us, we compare the gross margin at an annual level. So I mean that is why reference to FY '23 would be more relevant compared to Q1 of FY '23. And as far as the Vedant Fashions Limited
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stability of gross margin is concerned, we have been able to historically achieve more than 65% of gross margin. And we don't see any challenge as of now why we'll not be able to achieve in future.

Moderator: We take next question from the line of Ms. Priyanka Trivedi from Antique Stock Broking Limited. Please go ahead.

Priyanka Trivedi: So my first question is with regards to our Twamev new stores that we've opened. So could you give us a sense on how the ASPs would pan out versus the Manyavar in the menswear category and Mohey in the womenswear category? And how of the store, what would be the store allocation to the womenswear space in the overall space?

Vedant Modi: I mean while I try to give you some estimates, it is still very early for the brand Twamev to sort of be commenting on how the ESP would span out over the year because it's a new brand, and we work on bottom up sort of data where we try to learn what consumers are liking and then making more of that. So currently, the ASP in each of our product range approximately ranges between 2x to 3x compared to Manyavar or compared to Mohey. In our womenswear line, it's slightly higher, more towards 3, while in the menswear line, it's more towards 2. However, what is interesting to kind of notice is that the average bill value which we've been able to achieve at the store in the last couple of weeks in itself is 3x or slightly more than 3x that of the concept that we -- the kind of bill values we achieve in Manyavar-Mohey. So that is very positive. And overall, we will be able to continue to kind of see in the next 1 or 2 quarters, be able to understand this data a lot better with more consumers walking in and more bills being made.

Priyanka Trivedi: Okay. And how many stores do we intend to open in the next 2 to 3 years on an annual basis? Any estimates or any forecast made on that side?

Vedant Modi: So again, as a company, we believe in being very efficient. So the way we plan out stores is basis how the pilot will perform. So up until this point, the 3-store pilot has been giving us a lot of confidence. So we've already signed 2 new stores, which we will be opening within 3 to 4 months at max. And at the same time, we will be signing 3 to 4 more stores in this financial year itself. And then bases the performance of the 10 store pilot, which we do, we will kind of take a call on how many stores we would want to open over the next 2 to 3 years.

And from a womenswear perspective, you had that question as well. To be very honest, women's in Twamev from few weeks of data we have surpassed our expectations. So as we would achieve kind of thinking it would be slightly less than the menswear, but it's actually been performing very well and almost it's been a 50-50 split, almost 45-55 between women and men. And so we've been seeing tremendous response from all the female consumers also walking in for Twamev product.

Priyanka Trivedi: And my second question was on the wedding days front. So could you give us a guidance on how the wedding dates in the second half before versus the last year?

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Vedant Modi: So again, this is something which with kind of changes with the source -- but

the kind of

philosophy which we follow, we see that in Q3 itself, there's about 50% more wedding days, even though I would like to mention that revenues/number of weddings don't proportionately change basis wedding dates.

Overall, H2 has a decent number of wedding dates, which is what we see in a typical financial

year, historically. Last year's Q3 had lower wedding dates. This year's Q3 has the normal wedding dates like any average financial year does. So we are looking for a very strong H2 and almost 30% to 40% overall higher wedding dates compared to last year in H2 itself.

Moderator: We'll take the next question from the line of Mr. Nihal Mahesh from Nuvama.

Nihal Mahesh: The first question was on the quarter. Approximately, what will the lesser number of wedding dates in this quarter versus last one just to get an understanding? And if you could give a bifurcation between the wedding and non-wedding revenue growth that would just be helpful?

Vedant Modi: So about the source which we follow according to that, about there were 37 wedding dates in the last financial year and about 22, 23 wedding dates in the current financial year. But more importantly, I mean, more than the dates, the larger factor which played out was having no weddings at all in the month of April and almost no weddings at all in the month of July, which impacts June in our case, to some extent. So that was the larger kind of point of view, which impacted.

Nihal Mahesh: Basically, these are months where you end up seeing a higher ASP in terms of the collection that get sold on website?

Vedant Modi: Correct. And there was another big feedback, which we were able to get from the string of sweet shops, event organizers, wedding portals online that we talk to that a lot of people are preferring not to get married anymore in the months of June, especially because of the extremely high heat. So the preference is continuously moving towards the latter half of the financial year for people to get married and they prefer to get married into winter as compared to the summer season.

Nihal Mahesh: Then just a related question there was that what would have been a contraction on the secondary level in the non-wedding wear revenues? I think that will then give us a sense of what is the impact of the ballpark consumer sentiment rather than the wedding date mix impact?

Vedant Modi: Sure. So actually, we don't really have any particular data that allows us to know wedding versus non-wedding because the product is relatively similar. Q1 as a quarter does not have a lot of festivities. So the only big festivities that Q1 has is Eid and Bakri-Eid, where sales in our case are extremely low anyways. And that is why it's not a fair quarter to give you an estimate on non-wedding sales. However, what I can tell you is that the growth in the non-groom segment was faster than the groom segment, right?

And that is how the things played out this year. However, when it comes to the groom segment, what our training team has been able to achieve is we are continuously working on

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our average basket size and average bill value when it comes to the groom segment and being able to continuously ensure the proportion of the revenue continues to stay the same even though more non-grooms are walking into the stores.

Nihal Mahesh: And would you associate to the recent "Taiyaar ho kar Aaiye" campaign?

Vedant Modi: Absolutely. That is the entire idea of driving those non-groom walk-ins.

Nihal Mahesh: That is helpful. The second question was, if we look at the way you have gone ahead and accelerated the scale-up for Twamev, which is a brand which launched, I think, 4 years later than Mohey. And while you speak of data, the point is that Mohey has been an SIS concept for you in more than 100 stores and there is an enough understanding. Would it be

right for us to

believe that in terms of pecking order, and maybe that's obvious also in terms of the store expansion that right now you are looking at scaling Twamev, and that is the priority for the next couple of years. And Mohey will scale up at its own gradual pace?

Vedant Modi: No, I don't think that is the right way to kind of look at this. It is because Twamev as a brand was in pilot in Manyavar stores so that we get merchandising right. As a company, we want to remain extremely efficient. So if we launch a brand with no understanding of how the product would play then it's very difficult to set up a brand.

That is why the whole strategy from the very beginning was that we launched Twamev products in Manyavar stores, understand how this sort of product price range behaves, and then we start opening EBOs in Twamev EBOs is a lot more important than having Mohey EBOs because the customer we are trying to cater to is completely different.

These consumers are high end, they require a different level of service, a different level of clientelling solutions. On the other hand, with Mohey, our Manyavar Mohey concept continues to be successful. The only reason of going into Mohey standalone concept so that we can scale up Mohey faster rather than getting Mohey to more people just through this particular concept, right?

So I guess it's more about having different strategies for both the brand rather than having different pecking orders. Internally, both of them have different verticals and Mohey has more

people working on them. So I would like to believe that there's a lot of work happening on both the brands simultaneously.

Nihal Mahesh: If I could ask one final question. I think you mentioned Twamev the last 2 months of data that's available that around 40%, 45% of the sales of womenswear, which is pretty interesting, and I'm guessing this is much more than what Mohey contributes to Manyavar Mohey. So is it right to believe that there is a -- first of all, what could be the reason for this? And is there a case that maybe Mohey at a higher price point could end up having a better market than where it is now?

Vedant Modi: Well, again, like I said, it's never right to comment on data from what we've collected over only very few weeks. So I guess we would like to give it more time. And typically, there's also one big factor in play here that we are now, again, in off-season. So in an off season, what
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typically happens is women's start to purchase product a lot earlier than men. That is why I would kind of not like to comment on this straight away, rather watch the entire quarter 3 before kind of strategizing on anything based on this particular data.

So typically, what we understand is women in Mohey's market itself starts to shop 45 days to 60 days earlier. However, at the Twamev's pricing, they start to shop 90 days to 100 days earlier in some cases. So it's just a matter of time that we will start to understand this segment better and these consumers better. So we would rather let some more data come into us before commenting this.

Moderator: We take the next question from the line of Mr. Varun Singh from ICICI Securities.

Varun Singh: Sir, just wanted to know that which calendar do you follow to track wedding dates?

Vedant Modi: I mean there's quite a few. But I guess, just to make it easy, there's one called Drik Panchang that is relatively easy to follow. And there are many other sources which we track and then we kind of average it out.

Rahul Murarka: I mean that is what Vedant mentioned, which you can easily refer to and is easily accessible. But when we try to understand the wedding dates and weddings, we use multiple channels and multiple methods to understand that. But when it comes to your reference, maybe that is one of the easy reference. That is what Vedant wanted to say.

Varun Singh: And any correlation analysis historically that you have done with regards to number of wedding days and the consequential impact on our business, especially on revenue, if you can share that?

Vedant Modi: The thing is this is something which we attempt every year at a planning stage. Now what we are trying to understand, so weddings -- number of weddings are directly correlated to our business. However, number of wedding dates are also directly correlated to the number of weddings that will happen, but not to the same extent as the thing I mentioned prior to this. So this whole formula of understanding how many wedding dates would lead to how many weddings is a very difficult sort of concept even for us today. We try to get it right. And in some cases, we miss it by 5%, 10%. However, typically in the financial year, what we have seen is that overall number of weddings within a financial year don't really change unless in some rare cases where weddings have moved from Q4 to Q1. So in very rare circumstances that has happened in about 1 to 2 years in the last two decades, but typically the financial year, number of weddings have always been covered.

Varun Singh: I mean where I was coming from is to understand that how do we measure ourselves with regards to in case there is an underperformance. So if the underperformance is explained by a lesser number of or lesser count of wedding? Or is that also because of not getting price product, etcetera, may write out, I mean, because of market share loss or value migration or because of impact on consumer wallet shares due to inflation or other economic slowdown, etcetera. So how do we bifurcate between the 2? I mean do you -- and if you can give some thoughts on that?

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Vedant Modi: Sure. So I mean, historically, what we've seen any quarter like this, we have been able to see -- it's mostly because of wedding and less weddings happening across India. Another very interesting fact, which I would like to kind of point at the data is that our MBO channel actually we grew by almost 40% in this particular quarter. And this particular channel gives us a trend of how the entire traditional market of the country has been operating.

So just this figure, which is extremely small in our case, it's under 2%, under 2% to 3% of our revenue, which is the MBO business, but it gives us a good sense of what is happening in the

overall wedding traditional wear market of India. And that kind of also explains signs that this particular quarter was weak across the board for every retailer that kind of is working in this industry.

Varun Singh: And secondly, you mentioned in FY '17, when we did the 66% of the business in the second half. I mean just curious to know that in that financial year, like what was the kind of retail expansion also? I mean why I'm asking this question because in the current context, this quarter itself, our retail expansion was 22%. And still revenue growth was minus 4%, I mean, of course, negative 22% stable decline in SS G, because of the wedding reasoning, etcetera. But I mean, since now we are adding much more flagship stores, the big size stores, I understand is more of an opportunity, operating less benefit, but the negative side also works in the similar order. I mean, it's not higher because we are also forced to keep much, much higher inventory when if it is not selling I mean, having said that, the costs are always or almost at the cost are fixed in nature.

So in FY '17, the way we grew revenue and margins because of 66% business in the second half, minus the information on retail expansion that we don't have. I just wanted to understand how do you look at this higher fixed cost structure of doing business flagship stores into picture now compared to the historical example that you shared with us?

Vedant Modi: Sure. So there are

multiple points here. Unfortunately, I do not recall the exact retail opening in that particular financial year, what we had. But in those particular years, we were rapidly scaling up as well. So the retail growth wouldn't have been too different. That's the first thing. The other thing is we don't take the call on a flagship/super flagship concept without any data. It is a very data-driven approach where only if a store is performing extremely well, showing high productivity level numbers. Only then do we go ahead and open a larger store, which might be a flagship or a super flagship. So there's signs behind it, and that is how we have always progressed within markets as a company. We don't enter a new market with a super flagship store ever. So it's a very efficient form of making decisions.

And we kind of taste strong in terms of the whole concept, which we are expanding with. We see great response from our consumers walking in. There are many big benefits, which we are able to see from -- especially from the perspective of average bill value, which is a lot higher in any flagship or super flagship store.

We are also able to see different kind of cost efficiencies in build both for the franchisee and us because in a large stop, when there's a whole team of people running the store, you're able

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to bring down cost of operating it. And at the same time, when we sign a larger store, we were able to bring in operating leverages through a slightly relatively lower lease cost.

Moderator: We take the next question from the line of Mr. Nikunj Gala from Sundaram AMC.

Nikunj Gala: Just want to understand the point of consumer behavior. So when we look at the data from the jewellery sector for the quarter, even if I exist, I understand there is some investment element to it. Gold prices were higher for the quarter, INR2,000, pulling back might have gained in jewellery sector per se, but even if I adjust that, wedding demand was relatively as compared to the April was okay, was not that bad.

So was there any apart from the wedding dates, more element to the discretionary spend by the consumer hurting us? Because on the other hand, if you look at the apparel side, across the price point, there has been pressure for the entire category. So we are part of that apparel category. So that is also hurting us in this year, particularly considering the discretionary spend by the consumer or the weak sentiment?

Vedant Modi: So firstly, I do believe that the lower consumer sentiments are definitely hurting us, but that is not the major reason of the slow quarter. The major reason still continues to be the fall in the total number of wedding that happened in the country. And consumer sentiments play a role, but a very sort of negligible role in our case. It's a small role that it kind of plays -- on the other hand, when it comes to the jewellery sector, like you mentioned, I personally as well follow a lot of those earnings calls.

And over the past also, the largest of the companies have mentioned that wedding is about 20% of their overall business. So it's a very miniscule percentage. And on the other hand, we conduct a lot of consumer journey researches. So typically, jewellery as a component is not even bought a month or 2 months in advance, but many months in advance basis our internal research guidelines also. So these are some kind of facts, which I would also like to raise.

Moderator: We move on to the next question from the line of Mr. Manish Poddar from Motilal Oswal AMC.

Manish Poddar: I have three. So first one is, both this Twamev three stores and the larger stores which you've opened are all those franchise and are these under the understanding where the company pays

the rent?

Vedant Modi: Yes. Thank you for the question, Manish. So yes, all the three stores are franchisee owned stores. And bec

ause all of the three stores are based in a very prime location. So strategically , just like any other sort of retail concept, these are on our leasehold.

Manish Poddar: This is the same for the 22,000 square feet store, which we opened in Bangalore.

Vedant Modi : Absolutely.

Manish Poddar: And the second thing is for Rahul. So, this primary to secondary conversion, which you have on sales, how should one think of this number? Because if this quarter was lacklustre , and the

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second quarter is generally lean, why would franchisees stock up inventory? Or how should one read into the sum?

Rahul Murarka: So basically, your historical trend also has been around 70 -plus percentage when it comes to primary, secondary. In this quarter, it is -- it has been around 74%, mainly because of 85,000 square feet, which we have opened. So I think this is the largest square feet area which we have opened in Q1. 85,000 square feet, and that is why when you open a new store.

So there is -- that is the reason why the reported revenue is slightly higher than the customer revenue. But otherwise, if you see it is in the similar range, customer revenue and reported revenue. So whatever difference you are seeing between INR71, 72 to 74, it is because of the new store square feet expansion which we have done in this current quarter.

Manish Poddar: Okay. And the last one, in the other expenses. So how much of other expenses, let's say, if one has to look at us is variable in nature or, let's say, which can be controlled by you?

Rahul Murarka: So in terms of other expenditure of majority of our expenses, as we have mentioned, because our manufacturing work is also pretty much outsourced to vendors and job workers. So majority of it is variable in nature because our other expenses include job cost, which is a real part of manufacturing cost. It includes carriage freight and forward which is again dependent upon the sale.

It includes marketing expenses, which is again not a fixed cost. It depends upon business strategy from one quarter to another. So I mean -- and it has a lease cost. So lease cost is one component, I would say that, that is, of course, one fixed cost nature. Irrespective of the business, we need to pay that. That is one of major cost. Apart from that, there would be small admin expenses, which would be there. But by and large, it would be variable, I guess.

Manish Poddar: So just one clarity, if you can give me, in this lease cost of the entire rental cost, if I look at both from pre-IndAS per se, how much of this is revenue share in nature?

Rahul Murarka: Very less. I mean in terms of percentage, revenue share is mostly in case of malls and not in case of high street very few. So -- I mean it's not major revenue share. It is there, but it is not major.

Moderator: The next question is from the line of Mr. Ankit Kedia from Phillip Capital.

Ankit Kedia: Sir, two questions from my side. First is, a lot of the Twamev inventory we have seen in Manyavar -Mohey stores as well as our flagship stores. So how different is this inventory going to be compared to the Twamev, EBOs which we have now?

Vedant Modi: So actually, it's not per se a different inventory. In Twamev EBOs, we have even more higher -priced product as well. But the product of Twamev, which is available in Manyavar stores is also available in the Twamev EBOs as well. However, there's slightly more collection and you're able to see the entire collection of one store, which you would rarely be able to see in a Manyavar store.

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Ankit Kedia: And given that the manpower, which we spoke of initially, now do you think the franchisees have mature enough to hire this talent? Or how is the employee recruitment process being done from the company side? And are the margins for the franchis

e is similar to Manyavar

franchisee, given that the expenses would be more higher for these from Twamev stores?

Vedant Modi: So from a franchisee perspective, we have only sort of opened Twamev -exclusive stores with the best of franchisee partners we have and the partners that have been operating with us for many, many years now. So it was basis opening with partners who have a great mindset only. So I guess from that perspective, they have been able to do a phenomenal job, and our teams have been very supportive. And we've worked alongside in terms of creating the entire

infrastructure for the store team, etcetera. And the training and hospitality, etcetera, as being kind of being taken care by the company itself.

From a margin perspective, I mean this is something which we are kind of stuck to the Manyavar -Mohey model for now. But again, it's a very young brand. So there are certain things which we will strategically see as and how the brand grows.

Moderator: So we have some participants waiting for their turn. My we request you to come to the question queue. We'll take the next question from the line of Mr. Nikunj Gala from Sundaram AMC.

Nikunj Gala: Just a follow-up on the previous question. We had INR422 crores of retail sales. Can you help us like what's the consumer behavior you saw any different from the earlier purchase a number of articles per bill or per family was very different or maybe from the product which they bought from your assortment very different from the previous quarters or previous years in this quarter?

Vedant Modi: No. Actually, from the perspective of average basket size and average bill value within each of our segments, which is groom and non-groom, we actually saw a decent growth. So that is what I was referring to when in terms of consumer sentiments also that having spent some time in the store as well and seeing how consumers are behaving. We saw small growth in all the retail metrics, which we follow such as ASP, ABB, ABS within each of our segments of groom and non-groom.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Vedant Modi: Thank you so much, everyone, for your continued trust and support in us. It is always very nice to interact with all the analysts looking forward to the next quarter and interacting with all of you. Thank you very much, Namaskar.

Rahul Murarka: Thank you.

Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

Vedant Fashions Limited (Formerly known as Vedant Fashions Private Limited)

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November 6, 2023

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C-1, Block -G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
Dept. of Corporate Relations
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q2FY24

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated October 25, 2023

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call organized and held on Wednesday, October 31, 2023, in relation to the Unaudited Financial Results of the Company for the quarter and half-year ended September 30, 2023 (Q2FY24), is hereby enclosed and the same is being made available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investor-presentation>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you,

For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl – As above

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"Vedant Fashions Limited Q2 FY24 Earnings
Conference Call"

November 01, 2023

MANAGEMENT : MR. VEDANT MODI – CHIEF REVENUE OFFICER ,
VEDANT FASHIONS LIMITED
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER ,
VEDANT FASHIONS LIMITED
MODERATOR : MR. SAMEER GUPTA – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Vedant Fashion s Q2 FY24 Earnings Conference Call hosted by I IFL Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Samee r Gupta from I IFL Securities Limited. Thank you and over to you, sir.

Sameer Gupta : Thank s, Yusuf. Welcome everyone, goo d afternoon and without further ado, let me pass the line to the management . We have from Manyavar, Mr. V edant Modi – Chief Revenue O fficer and Mr. Rahul Murarka - Chief Financial Officer . Over to you, Vedant.

Vedant Modi : Thank you very much. Good afternoon and a warm welcome to all the participants. I am Vedant Modi, the Chief Revenue Officer of the Company . Thank you for joining us today to discuss the Vedant Fashions Limited Quarter 2 and First Half Financial Year '24 Results .

I am joined by Mr. Rahul Murarka – the Chief Financial Officer of our Company . I hope everyone got an opportunity to go through our financial results and investor presentation which have been uploaded on the Stock Exchange as well as the Company 's website.

Let me take you through our Quarter Ended and First Half Yearly Performance of Financial Year '24:

In this quarter, we continued with our network expansion strategy and have successfully rolled out approximately 35,000 square feet of net retail area in the second quarter Financial Year '24 , aggregating to 1.2 lakhs of square feet net rollout in the first half of Financial Year '24 . As of September 2023 , Vedant Fashions E BO area stands at 1.59 million square feet, spanning across 669 stores in 260 cities and towns globally. The national E BO footprint tally is at 653 stores spread across 248 cities and tow ns.

In line with our strategic market expansion plan, we have successfully opened four exclusive Twamev stores in the first half of Financial Year '24 . We have a strong and healthy pipeline for new rollouts planned for the remaining part of the financial year. Ve dant Fashions is predominantly a wedding centric business with a special focus on Indian wedding and celebration wear apparels. It is pertinent to note that our business is highly concentrated on the Indian wedding calendar . As discussed earlier also, i n any given period, wedding dates can shift over months or quarters based on astronomy. This quarter also, particularly July month, was an extension to quarter 1 and as expected, we witnessed significantly low weddings in H1 largely as compared to last year, which also impacted our performance. However, with the onset of Navratri, we have noticed good traction and positive trends on comparable days basis last year.

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Moreover, since last year, first half of financial year 23 was a clean period after COVID without any restrictions . It had a spike effect coupled with good wedding calendar in the first 6 months. Hence Financial Year '24 , both Q2 and first half numbers are not identically comparable with last year. We expect this to normalize in the second -half period driven by higher wedding dates and festive seasons ahead.

Further on comparing our performance with normalized pre -COVID of Financial Year '20, our overall customer sales grew by 58.9% in Quarter 2 Financial Year '24 versus Quarter 2 Financial

Year '20 . We are strategically planned to use this sluggish period of Quarter 2 Financial Year '24 to upgrade and renovate our existing retail stores to the tune of 1,00,000 square feet being fully renovated this quarter .

This upgradation helps us to match with the new retail brand identity, providing our guests a unique brand experience.

We witnessed SSSG growth of 21.3% in Quarter 2 Financial Year '24 over Quarter 2 Financial Year '20 excluding the stores under renovation. In this quarter, we focused on further enhancing our brand dynamics and business dynamics, which store upkeep and renovations and by adopting a 360 degree marketing approach through initiatives ranging from category based marketing for Manyavar Kids, brand campaigns for new brands such as T wamev, collaboration with multiple influencers, digital marketing to increase our campaign effectiveness for our women's wear brand Mo hey. We also effectively ran Rakhi and Independence Day campaign to foster further growth to the celebration wear category and received very positive response thereby further reinforcing Manyavar as a celebration wear brand. We have recently partnered with Global Star , Mr. Ramcharan as our brand ambassador, having a massive appeal in South India.

Overall, we have left no stones unturned in the form of best network expansion via store rollout in first half and have done 360-degree marketing campaigns and have even gone regional with on boarding of South based celebrities for the first time .

Also, in terms of merchandising, we have fully geared up with the best inventory on the floor backed by strong modes of our world class auto replenishment system and robust backend dynamics to further foster our growth in second half filled with wedding season and festivities ahead.

With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of our Company .

Rahul Murarka : Thank you, Vedant . Namaskar and good afternoon, everyone. I would like to highlight the key financial performance metrics for the quarter and half year ended 30th September 2023 based upon the consolidated financial statements .

Starting from H1 FY24 update :

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The reported revenue from operation is around Rs. 530 crore and the sale of our customer is around Rs. 691 crores . The revenue during the period including Q2 got impacted mainly due to significantly lower wedding date compared to last year. H1 FY23 was the first full clean period after COVID coupled with full -fledged wedding season. Hence the base period of H1 FY 23 was not a normal period to compare performance.

On Comparing our H1 FY24 performance with H1 of FY20, which was a normal period :

The Company's revenue from operations grew by approx. 58%. The Company continues to report industry -leading gross margins of around 66.6%. The EBITDA margins are around 46% and EBITDA stood at around Rs. 244 crore . The Company reported a healthy PAT margin of 26.5% during H1 of FY24 and the profit after tax stood at around Rs. 141 crore . Moreover, the PAT generated during the trailing 12 month period of September 23 is about 108% of net working capital employed.

Further, the Company also witnessed significant growth in PAT by approx. 99% in H1 F Y24 over H1of FY 20 based upon internal management MIS. During TTM September 23, the Company continued to report a healthy cash conversion ratio of approx. 75%, which has been computed based upon operating cash flow over PAT during trailing 12 months.

Now , coming to Q2 FY 24 performance update :

The Company reported revenue from operation of around Rs. 218 crore s and sale of our customer is around Rs. 270 crores . On comparing our Q2 FY24 performance with Q2 of FY20, which was a normal quarter, our revenue from operation grew by approx. 67%. The Company continues to report industry -leading gross margin of around 66.4%. The Company reported a PAT margin of 22.3% during Q2 of FY24. This was impacted on account of negative operating leverage due to lower revenue and the profit after tax stood at around

d Rs. 49 crores. Further, the

Company also witnessed significant growth in PAT by approx. 224% in Q2 of FY24 over Q2 of FY20 based upon internal management MI S.

Since we are a wedding centric business, our performance in a particular period may vary based upon the spread of wedding dates across the year. We are hopeful and positive for H2 and the full year as a whole owing to wedding and festive seasons in H2 during this financial year.

Thank you and Namaskar , everyone . We can now move to the Q&A session .

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Nihal Mahesh J ham from Nuvama. Please go ahead.

Nihal Mahesh Jham : Thank you so muc h. The first question is Vedant, you alluded that the comparable days in

Navaratri have seen a decent growth , if you could just give a sense of how that is and as you look into Q3, at least in we see the wedding calendar, we see that the data are reasonably higher
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versus last year , so that is a tailwind for the quarter , but I just wanted your thoughts on how you are looking at the festive and the upcoming wedding season also ?

Vedant Modi : So, like I mentioned, when we compare our performance for the last 15 days of October with the onset of Navratri starting at about 15th of October this year, we have seen a very good traction at the store level , every parameter that we track from a retail perspective, be it footfalls , average bill value , average basket size , everything has seen a good uptake. Overall, a very exciting last 15 days we have had , while I can't share any numbers because this is something we would share in our next earnings call. Qualitatively , things have been very good, and this gives us a very good hope for the second -half of the year and the way things should pan out and exactly as you mentioned, there is definitely some level of tailwinds from a wedding date perspective and also from the number of wedding perspective. So, the string of people we talk to in the wedding industry, everyone looks very optimistic about the number of weddings that are bound to happen in the current quarter, we are operating in which is quarter 3 and also quarter 4 after that, so overall exciting times to come.

Nihal Mahesh Jham : So, just to understand better from you, I think last year what had happened is that there was some shift of weddings to Q4 based on how the wedding calendar played out , in this year are you expecting that Q3 will see a maximum share of the weddings and the business we do or there could still be some adjustments that could end up playing out?

Vedant Modi : So, Nihal, to be very frank on this question, this is something we always at the beginning of the year try to estimate , but this is one very tricky question for us to even kind of try to figure out . From a date perspective there are 12 dates in Q3 and about 29 dates in Q4, however, people typically prefer to get married in Q3, but sometimes what happens is the infrastructure of the country can't support the number of weddings that are prone to happen. However, on the other side, there are also mega festivals like Diwali which bump up our revenues in Q3. So, all in all, it is a very difficult question to answer , but H2 as a whole, we are very confident on having a very large number of weddings happening .

Nihal Mahesh Jham : Vedant, second question was on receivables , I do understand we have seen a higher store addition in terms of 1.2 lakh square feet versus 8.7 that we did in H1 of last year , but just considering that the festivities are a little later than what they were last year, is this receivable build up a normal phenomenon or there is something you may just want to highlight just for clarity ?

Vedant Modi : Receivable days according to our working, it is 64 days based upon trailing

12 month September

23 numbers. So, basically, if you see that compared to last September 22, we have opened around 2,52,000 square feet. Now , as you open store , it results in to increasing trade receivable as a onetime impact. So, that is one of the reasons why we compare our receivable days around 30th September 23 with 22 , we see higher receivable days. Also due to lower revenue , we see that it has impacted into higher receivable days, but otherwise, from our inventory build up prospect
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generally there is an inventory buildup in September, but this time because the weddings and festivities are later in mid of November and hence it has been lower compared to last September, I would say.

Nihal Mahesh Jham : If I may just take one last question that if you could give any comments on how Twamev and Mohey are performing and if the rollout of say Mohey EBO that we had discussed a few quarters back is something you plan to scale up anytime soon ?

Vedant Modi : From a Twamev perspective, the whole management actually spent a lot of time interacting with consumers and the Twamev EBOs and the entire momentum looks very positive. Consumers have great things to say about the product, about the retail experience and we see very good numbers coming in, better than we expected initially. So, overall, Twamev seems like a very good brand and profound to grow over the coming quarters. So, right now , we have about 4 EBOs , we are about to sign about 4-5 more EBOs in the coming months and the idea is to have about 8 -10 EBOs, properly study a model and then take a call on scaling to the next set of EBOs and overall Twamev has been performing really well. From a Mohey perspective, very similar to Twamev, all the things that we track for Mohey have been improving. So, if I break it down into three things, overall sales , SSSG and the rollout of Mohey in the current Manyavar Mohey concept, all the three numbers are very strong, much higher than the Company average , conversion rates at this store level have been increasing, so has all the other metrics, including

inventory turnover ratio and the kind of feedback we received from consumers. So, we are very happy with how Mohe y is performing . From a Mohe y EBO perspective, we have rolled out the first smaller set of E BOs, so M all of Asia and Bangalore (Bengaluru) has opened up. We have also had a smaller Mal I EBO opened up in Patna. However, the major flagship that we are about to open in Jayanagar , Bangalore (Bengaluru) is still in the works . Due to some construction related inefficiencies, it has taken a little longer than we anticipated, and the idea is to have it go live as soon as possible and that is the main store that we are kind of banking on to understand the Mohe y EBO model and then take the call from that point on.

Moderator : Thank you. Next question is from the line of Gaurav J ogani from A xis Capital. Please go ahead.

Gaurav Jogani : Sir, my first question is with regards to the sales breakup generally between H1 and H2, in normalized scenarios, we have seen that H1 typically contributes to around 36% to 38%, whereas H2 will be the balance , given there has been a shift of the festive season in H2 now , so do we anticipate a shift in the contribution from H1 to H2 towards more the H2 side? And if any percentages that you can help us guide , what have you seen the percentages in the earlier years when there has been a wedding season shift?

Vedant Modi : If I kind of talk about th is typical average which we have seen over the years ha ve been 36 %-37%, in some years where the H1 has been weaker due to seasonal demand shift , we have also seen years where it ha s been 35 %-36%. So, it is very difficult for me to tell you and as a Company , we don't give any guidance per se t o tell you what it exactly will be in the coming

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year, but typically in bad sort of H1 it is about 35% of the year's contribution, while in good ones it is typically 38. Last year was a very different phenomena for us where it was 42%, which was more of a one off scenario and the idea would be to work on a lot of our non -wedding focus areas such as building up Rakhi , Independence Day over a mid to long term horizon and build up the H1 business as well as we move forward , but talking about the past, those are the kind of numbers we witnessed.

Rahul Murarka : But given that we are very positive and confident on H2, we have to see how much deviation is there from the historical period what we have observed in relation to 35 % to 37%. There is a possibility that there would be, we will have to see how we progress in the H2 period accordingly.

Gaurav Jogani : And sir, in terms of the contribution from the online, if you can guide us how the contribution from online has been shaping up over the past couple of years and in the past, Vedant, you have talked about t certain initiatives that you hav e been taking to drive the higher salience of the online sales , so anything on that front if you can highlight or any initiatives that you can highlight there?

Vedant Modi : So, we actually went live with the new Manyava r.com web site in April and since then we ha ve seen a great growth when it comes to our B2C channel and we have been witnessing phenomenal growth rate as of now as well and overall, our conversion rates have improved, our SCO ____ has improved , our overall market share in the keywords we operate has improved . It has been our best performing channel in terms of growth over the last 6 months. From a share perspective, the channel share is still very small, which is about 3 % odd. The way we internally track this data is that e-commerce, the share we actua lly track is products under Rs. 4,000. So, over there the share is almost 8 % to 10% is led by e -commerce. So, that share has also been performing well and been growing and with Manthan's strategy also coming in which gives us that support in the Rs. 800 to 2000 price range helping us in marketplace growth. So, all in all , overall e -commerce business has been growing really well in a very high positive trend and given the fact that the next 12 days is Diwali, all our teams are very excited to see what the ne w website can do in terms of bringing massive number of Diwali consumers to our platforms.

Moderator : Thank you. Next question is from the line of Manish Po ddar from Invesco Asset Management. Please go ahead.

Manish Poddar : I just had two questions. First one was, have you taken any price inc rease this quarter ?

Vedant Modi : Manish ji, as you know that we don't take any direct price increases per s e. The endeavor is to continue on our task of adding more value that we provide to our guest s and in that endeavor, we have continued to invest in our products, come up with better merchandises and drive our overall ASPs for products by introducing better merchandising. So, there is no price hike per s e, but ASPs within each category have been growing as we move into the festive season.

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Manish Poddar : Let us say in the like for like number which you have , the declined number, I am just trying to understand in that how much would be mixed led growth if you have to , any sense you one can get up there?

Vedant Modi : Overall, from a like -to-like perspective, the degrowth was majorly led on the accounts of

volume. From a ASP perspective, things were quite good and on account of when you talk about mix, it was a similar story where we track at a POS level, grooms versus non-grooms and overall, the non-groom business was better off than the groom business owing to the fact that the business was slow due to less

number of wedding dates, at least for the first half of the year.

Manish Poddar : Just last one, Vedant, if any sense you can get, given a lot of peer set or both unlisted and listed players are scaling up in this category, any sense would we have that, are we losing share or just actually demand not that primarily because of weddings and this date shift?

Vedant Modi : So, there are multiple perspectives here, so one is at a city level wherever, let us say, organized competition has opened beside us, those particular stores compared to the city average have not changed too much and at the same time, there are multiple cities and states where no organized competition has even entered, but the sort of slowness we saw was similar across those cities and states as well. So, I think it is more from a demand angle and the market is very large to host more than one player and it is not really a fact of newer peer set entering the market, but more of fact of the entire wedding industry shifting and to some extent also on overall slowness in the consumer discretionary space.

Moderator : Thank you. Next question is from the line of Karan Gupta from Varanium Capital. Please go ahead.

Karan Gupta : So, my question is related to the inventory management system, you said you are making them better management system, inventory management systems, what our peers are not doing right which makes us different from the peers doing anything like ?

Vedant Modi : Apologies, Karan, we can't completely understand what you are saying, if the question around our automated replenishment system and how that works ?

Karan Gupta : Yes, something related to that, but any steps we are taking which is better than peers in terms of inventory management system, not the auto replacement system, that is the thing what the activities we are performing, right, this kind of activities like the global players are performing to fast replenishment of our inventories in terms of designs or in terms of special trends, that kind of thing ?

Vedant Modi : So, I mean the way I would break up this question is into multiple parts. So, in our case we have about 20 years of consumer preference data across India and as Indian wear category is slightly different, consumer trends and behaviors change basis city and state. So, we have identified what sells where in which part of the country. Our designers have access to that data and we ensure

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that we follow scientific method of designing where we utilize all that data to come up with relevant designs and then those designs are planned well in advanced basis, what sells where and which part of the country and then they are replenished to those respective stores only. So, just because the whole process is slightly confidential in nature, I can't talk about it in a much deeper way, but at an overarching way, some of the data points I can share with you is that our overall dead stock is typically always less than 4%, less than 3%, which is an industry-leading number globally. So, this is one of the lowest numbers for any brand across the globe and that is what leads to our profit margin numbers, which are on a normalized year about 29%-30%. So, in a nutshell, that is the system we use from the basis of how it is differentiated. In an organized retail space, we are the only ones or one of the only ones that uses an in-house built replenishment system completely developed by our internal teams and with our internal strategies. Most people use productized versions of this replenishment system available for anyone to buy, whereas we have customized this solution to how the Indian wear market works and function and it is based on that from ground job.

Karan Gupta : Next is, overall globally if you see some of the brands are trendsetters, so we are fashion setters, we can say just refe

r, are we like wanted only into the wedding centric segment or we are trying to perform like you said in the Holi, Raksha Bandhan, so these are also entering into the event kind of segments where the different parts of India, have different festivals around the year, so we are entering into this segment, that's one thing and another related to previous part which is related to the trendsetter?

Vedant Modi : From a trendsetting perspective, we have a large creative design team as well. So, any possible trends that we understand from a global perspective which might be based on colors or different cuts that is happening or that might be happening in India, we test out all of those particular design themes and we try to see what is working in our case. That is first and secondly what I understood from your question is, is our merchandising fit for festive wear. So, absolutely, we work a lot on the festive merchandising of things, having a great product range for people to wear across Raksha Bandhan, Diwali, Independence Day and so on and there has been a large push in our entire Kurta set range where we have invested a lot from a design perspective and

really up the game in the overall Kurta set game and at the same time , I think I also heard a little bit about kids in your question. So, from a kids perspective as well, we have been building up our merchandising and the presence of kids has been growing from a retail perspective as well with us having larger flagship stores that gives us the ability to give kids a good enough presence in all our stores and that whole design piece is already taken care of from the backend and we continue to invest in better merchandising and adding more value to our guests.

Karan Gupta : Sir, so the basic question is the behavior if you notice , the state of the consumer behavior, like if you have limited stock of any of your brand, let us say Kurta set or Saree, if you have the limited brand, if you have limited stock, then the consumer behavior is like this is limited stock with Vedant Fashion , I have to buy this as soon as possible, otherwise it will get replenished in 15 days , that is one point so I have to buy this and this behavior , I am just asking ?

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Vedant Modi : Yes, I mean in our case, the way it works is that we try to ensure whatever products are selling in whichever part of the country get replenished as soon as possible. If not, then the closest product to that gets replenished to that particular store as soon as possible. So, that is the kind of mindset we try to work on. From a consumer perspective, I think the route we take is we want to comfort our consumer whenever they walk into a Manyavar Store, they will find something for themselves and having the promise of having relevant products for every guest walking into a store, which ensures a great conversion rate, I think some of the references which you might be referring to is of Veblen goods wear, there is a sort of need of demand created by limiting supply of certain products which is not the kind of area where we operate in with Manyavar as of now and in the future if this is of interest, we will explore how something like this would work .

Moderator : Thank you. We will move to our next question from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal : So, Vedant, wanted to check H1 has been slow for us , so any signs of stress that you are seeing at the franchisee relationship level ? Also, as a Company , what steps do we generally take to provide some comfort to our partners when there is a weak demand scenario ?

Vedant Modi : To be very honest, I think all our partners understand the fact that H1 last year was slightly better off than it usually is, and I think everyone understands the fact and is really geared up for H2 and that has been

one of the common themes across our partners. Majority of our revenue comes from partners that have been operating with us for more than 5 years, 6 years now. The top 50 partners actually contribute to 80% of our business and we have a very close relationship with them in order to have a dual line of communication between how business will perform. So, I think everyone is really excited about H2 and that has not been an area of concern at all. Typically , when you ask me from a closure perspective, right, we would have 1% to 2% of stores closing in the given financial year and of those stores , in many cases, these stores are actually run by larger franchisees who have multiple stores, so at the franchisee group level even those stores don't hurt the franchisee at all. So, from that perspective, if there is a one-off case, we definitely add on a marketing level of support for that particular store and try to push up the sales of that store and the endeavor is to work on our stakeholder growth where franchisees actually act as a very important stakeholder to our Company .

Devanshu Bansal : Any additional incentives, etc ., also that you provide or maybe some historical precedents is there which you can highlight wherein the growth slowdown and you sort of ended up giving higher incentives to your partners?

Vedant Modi : So, from our perspective, this has never happened. We have always stuck to our model. We are a very transparent Company . Every single franchisee in our system has the same franchisee model, which is either 18% or 29.5% plus GST model. There is no comma , full stop difference also between anyone 's agreements and we stick to the same incentive model, no matter the Vedant Fashions Limited
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conditions and in our entire history of the Company , we have seen very good sales , we have seen very happy partners and from the perspective of incentivization, we have a franchisee scorecard system. So, any franchisee that scores above 80% on our scorecard are the partners we prefer to grow our fleet with and they are the first ones who get access to any new store that they are about to open and given the high ROI that our Manyavar franchisee makes out of any of the stores that are opened , then that in itself is a very large incentive for people to work hard with us and grow within our Company .

Devanshu Bansal : Secondly, wanted to check from our product innovation point of view , if I picked it right from your commentary, you indicated that you have sort of certain time has gone into merchandising

for this upcoming festive wedding specifically, can you highlight few innovations or product innovations that you have specifically come out for this festive, which will sort of give better product value proposition to customers versus peers?

Vedant Modi : Absolutely , so product innovation is something which is a continuous process in our case. So, we have worked on the quality of the fabric we offer , we have tried to make it softer , we have tried to make it more resistant from all possible angles and at the same time we have also really worked on things which are trending. So, let us say this particular year, Chikankari has been in high fashion, Mirror Work has been in high fashion , so we have worked on our range for those products. So, product innovation in our case is a weekly affair where decisions are made on a weekly basis, and we try to upgrade our product quality every single week as we move further and that will always be the endeavor for our Company .

Moderator : Thank you. Next question is from the line of Mr. Sameer Gupta from IIFL Securities. Please go ahead.

Sameer Gupta : First question is that, I understand that first half this year has suffered a high base effect, but just to hypothesize even if you have to clock a double digit growth in FY24 as a whole, this would imply a sharp 27% kind

of secondary sales growth in the second -half, now based on your history in years where wedding dates have search queues, do you think this is a number which is not an issue and it will be solely driven by the wedding date mismatch this year or will it still require some amount of pickup at the overall consumption level which we understand has been kind of weak for most players that are operating in the overall apparel retail phase that will be the first question?

Vedant Modi : From the perspective of numbers , as a Company we don't give any guidance , however, you are very right with those figures in order to achieve double digit growth at the financial year level, those are the numbers which we would have to achieve. Definitely , our endeavor would be to get to those numbers and we will do everything possible and that is why as a Company , we have left no stone unturned in terms of opening the most amount of square feet we can in the first half of the year having a great merchandising plan, having great marketing initiatives and so on . So, that is the entire endeavor of our Company in order to have great growth during the second half

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of the year , but I won't be able to comment on those exact numbers . From a historical perspective, we have definitely seen Q3 numbers being very good and there definitely is that level of hope of continuity and that said over the last 2 quarters, we have felt a little bit of slowdown from a consumer discretionary aspect and with festive on setting into India, I think the hope will also be that those things turn around and consumers get back to going to retail stores to the full extent as it was in the last couple of quarters before the slowdown actually started.

Sameer Gupta : Secondly, on Mohey, so just trying to understand the broad strategy here now, is it going to be very similar to how you are doing with Twamev, opening some marquee 10-12 stores and then looking at it as a pilot or here, we have actually a very large kind of experience because the brand is in place since 2015 and we already are present in around 120 Manyavar stores if I understand correct , so can we just from the first day itself roll out our EBO s like without a pilot or it will still be a cautious wait and watch approach and looking at the results of the EBOs, then decide the further strategy here?

Vedant Modi : So, definitely we will always take a more cautious approach and the reason for that is while our confidence on the brand is very high, the way both the models work would be very different. So, in Manyavar Mohey, there are certain advantages which come in. So, you have the ability of cross selling to the Manyavar consumers that are anyways walking into the store . On the flip side, in Mohey, you have the advantage of giving a very special experience to the brides walking in who will then spread the word of mouth of that magical experience . So, from a retail perspective, both the models will actually work slightly differently and that is why we will take a cautious approach of piloting with a couple of marquee stores, understanding the model before we push the button of going high on opening those number of stores.

Sameer Gupta : One last question, if I may squeeze in , have there been any price cuts this quarter? Have you taken any price cuts?

Vedant Modi : No, absolutely no price cuts were taken. In fact, our ASP is as healthy as ever and we have been performing well on that perspective from every individual category perspective also. So, we are quite happy with the work that is being done on the value addition side of things and the overall premiumization story for our Company .

Moderator : Thank you. Next question is from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh : Sir, my question is on the retail area expansion , so give

en that now we are adding more of flagship

stores, so our total area expansion has been quite healthy over the last 2 quarters , so given that context, would you like to revise our annual store retail area expansion aspirations for medium term?

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Vedant Modi : Actually , Varun on the flip side , this year we were very cautious and we changed our business development strategy , almost 2 years ahead of time because we were already anticipating some sense of slowness in H1 overall and that is why we had geared up to open a larger share of stores in H1 and in October as well as a month , so that these set of stores are able to bring in all the business during the festive season of H2. So, this is business development planning is 2 year, 3 year sort of a horizon that we work on, and these decisions were actually taken ahead of its time rather than it being something which was more of a short-term decision making. So, we would ideally like to stick with our guidance of about 16% retail footprint growth at a CAGR level, which is what we work on, and while we would like to grow faster, there are certain limitations from the supply side as well. So, as a Company , we want to stay efficient from the perspective of cost and efficient from all supply side angles and that is how we want to take growth forward without compromising on any other metrics that we track.

Varun Singh : And secondly , on Twamev , if you would like to share any insights given that we have scaled up this format to now around 6-7 stores?

Vedant Modi : So, from an insight perspective, I think what I can tell you is that consumers are really liking the product , we are seeing very high conversion rates better than we were anticipating for a new brand , so that has been a very positive side of things. The second thing like I had mentioned in my last earnings call as well that the women's split to men's we were expecting it to be slightly more towards men, but rather it is more towards 45% women and 55% men to 50 % each. So, that is the kind of horizon we are playing at, which is very positive overall and that has also given us the confidence of continuing to open larger stores because we have to give ample amount of space both to men and women offering. However, that said, men business is expected to pick up in this month as men even in the case of Twamev seem to shop closer to the festive season, while women might actually be shopping slightly ahead of time . So, there are a lot of things which we need to understand over a period of one full financial year for each store before we actually turn those insights into strategies for the Company .

Moderator : Thank you. Next question is from the line of Perna Jhunjhunwala from Elara Capital. Please go ahead.

Perna Jhunjhunwala : I would like to understand how much would be the groom versus non-groom sales in any financial year for you?

Vedant Modi : So, actually we don't share that particular number on quarter-to-quarter basis , but on a typical average, if I have to say that, let us take the last financial year number that the groom's average bill value is much higher , so almost 45 %-50% of our business was derived from grooms at a revenue level while the number of bills were relatively lower.

Perna Jhunjhunwala : And given that you were expanding the Twamev stores initially partnered in Mohey, could you just help us understand what the challenge is in Mohey , which is why you are going slow on

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Mohey ? And also, some insights on the dead stock data given that you are operating this brand since last 7-8 years now, so whether dead stock in women business is higher than men and how are you dealing with the changing fashion in women versus men?

Vedant Modi : So, taking the first part of it, both the brands have

very different teams internally, so different

set of team works on for Twamev and a different set of team works on Mohey and both the teams, we are working on them parallelly . So, it is nothing as if one brand is being prioritized over the other . In the case of Mohey, we face certain constraints from a construction and overall real estate perspective, which was out of our control that led to this delay and from a focused perspective, the focus on Mohey is extremely high and that is why we have actually rolled out some certain smaller EBO stores. The flagship will also come to light extremely soon. From a dead stock perspective, Manyavar has set an industry-leading number across the globe. So, while the entire women side of things is definitely higher than Manyavar in terms of dead stock , but if you compare it to the industry average, it is still a very good number that we operate on and from a trendsetting perspective, we have a very talented design team working on Lehengas and Sarees and we have been updating our overall mood board for Mohey every single quarter and you could check out Mohey Social Media to see how the brand is progressing in terms of its design and the kind of language it speaks.

Perna Jhunjhunwala : And if I want to just understand , the ASP of brand Mohey as compared to competition where

we are placing it and where do we actually want to target Mohey, will it be premium , super premium , luxury , how do we see Twamev versus Moh ey in women?

Vedant Modi : From a Lehenga perspective, Mohe y's ASP for a Lehenga is about Rs. 20,000 to Rs. 23,000.

Twamev, it is much higher than that , it would be in the range of 3 to 4x of that and that is because the brand's positioning and the target audience were going after is very different. Again, from Mohey, this number is very difficult to compare because Mohe y actually operates in a very sweet spot where if you look at the market, there is unorganized players operating out of let us say markets like Chandni Chowk in Delhi and then there are the Super high -end designers. Moh ey is one of the only established national brands that operates in the mid premium price points offering the Lehengas in those particular price points. So, it doesn't really have a proper comparable to it. However, we feel base d on our market study that Rs. 22,000 to Rs. 25,000 Lehenga ASP price point is a very sweet spot for any working bride looking to get married and this is something that does not hurt their pocket at all, while fulfills all the aspiration they might have of walking into a great and beautiful store in a great location backed b y celebrity ambassadors and so on.

Prerna Jhunjhunwala : And Twamev women , how are you positioning it?

Vedant Modi : So, Twamev is absolutely a bridge -to-luxury brand, and the idea is to operate on a price point where L ehenga starts at about Rs. 50,000, go up to Rs. 2,00,000 and thereby the ASP would range between Rs. 70,000 to Rs. 80,000, but it is really soon to comment on how this would

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shape up over the next 6 to 7 months because we are very new to Twamev women's merchandising play and we are also learning that part of the business and working on the same, but the overall positioning is different from entire , the way the store is designed to the kind of marketing we are doing on it. So, it is aimed more towards a luxury designer wear segment with the prices being much lower compared to what designers operate at.

Moderator : Thank you. Ladies and gentlemen, we will take this as the last question for the day, I now hand the conference over to the management for the closing comments.

Vedant Modi : Thank you very much to all the analysts for joining the call. It is always a great learning to hear all the questions from you, really looking forward to meeting again post a festive season of

Q3

and thank you very much for attending.

Moderator : Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2024

Vedant Fashions Limited (Formerly known as Vedant Fashions Private Limited)

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February 02, 2024

To,
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C -1,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001
NSE Symbol: MANYAVAR
BSE Scrip Code: 543463

Dear Madam / Sir,

Sub : Transcript of the Conference Call of Q3FY24

Ref : Information under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended and our earlier intimation dated January 19, 2024

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call organized and held on Monday, January 29, 2024 in relation to the Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2023 (Q3FY24), is hereby enclosed and the same is being made available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investor-presentation>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thank you.

For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl: A/a

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"Vedant Fashions Limited
Q3 FY2024 Results Conference Call"

January 29, 2024

ANALYST: MR. GAURAV JOGANI – AXIS CAPITAL

MANAGEMENT : MR. VEDANT MODI – CHIEF REVENUE OFFICER –
VEDANT FASHIONS LIMITED
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER
- VEDANT FASHIONS LIMITED

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January 29, 2024

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Moderator : Ladies and gentlemen, good day and welcome to Vedant Fashions Limited Q3 FY2024 Results Conference Call hosted by Axis Capital Limited. As a reminder, participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gaurav Jogani from Axis Capital. Thank you and over to you Sir!

Gaurav Jogani Thank you Tushar. Good everyone. On behalf of Axis Capital it is my pleasure to welcome you all to Vedant Fashions Earnings Conference Call. Today we have with us from the management Mr. Vedant Modi – Chief Revenue Officer and Mr. Rahul Murarka – Chief Financial Officer. Thank you and over to you gentleman.

Vedant Modi : Thank you very much Gaurav. Good afternoon and a warm welcome to all the participants. I am Vedant Modi the chief revenue officer of the company. Thank you for joining us today to discuss the Vedant Fashions limited Q3 and nine months ended financial year 2024 results. I am joined by Mr. Rahul Murarka who is the chief financial officer of our company. I hope everyone got an opportunity to go through our financial results and investor presentation which have both been uploaded on the stock exchange as well as the company's website. Let me take you through the quarter ended and nine month performance. In this quarter we continued with our network expansion strategy and have successfully rolled out approximately 52,000 square feet of net retail area in the third quarter aggregating to 1.72 lakhs of square feet net rollout in the nine months of FY2024. As of December 2023, Vedant Fashions EBO area stands at 1.64 million square feet spanning across 673 stores in 262 cities and towns globally. The national EBO footprint tally is 657 stores spread across 250 cities and towns. We have a strong and healthy pipeline for new rollouts planned ahead. In Q3 FY2024 our overall customer sales grew by 11.1% over Q3 of FY2023. In Q3 period October month was significantly impacted due to inauspicious start period however with the onset of festivity and major wedding season, we witnessed a much accelerating trends. Our EBO customer sales grew by about 30.7% and SSSG sales grew by 17.3% during the period of 60 days starting from Navaratri as compared to last year, 60 days comparable periods starting from Navratri in this quarter. We witnessed a good Diwali season and also recorded the highest ever daily EBO sales in the history of the company. In this quarter we have also added another feather to the Taiyaar Hoka Aaiye marketing campaign. With our strategic partnership with megastar Ram Charan we have successfully launched a unique campaign depicting a timeless tale of the relationship between a father and a son during his son's wedding.

We have also launched a festive based Diwali ad campaign during the quarter. We are thrilled to announce our entry into the tapestry of South India with the introduction of the Vivaham collection, Panchakacham and veshti sets, via our marketing campaign
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with Ram Charan and celebrity actress Sobhita Dhulipala. This collaboration and launch is a testimony to our commitment to authentically embracing the cultural richness of South India. This strategic move not only allows us to cater to region specific unique

preferences but also reinforces our brand's dedication to diversity and inclusivity. We have also leveraged brand building for Mohey with celebrity associations, real brides, and leading stylists. Our nine months period performance is majorly a reflection of our first half performance. This is majorly attributed to the sign

ificantly lower weddings in

the current year coupled with the general economic slowdown impacting consumer sentiments and also a higher base effect of last year post COVID. Overall our preparedness in terms of every aspect of business and market consciousness like network expansion, multi-dimensional marketing, adequate and appropriate inventory, and merchandising management backed with robust auto replenishment systems and backend dynamics have helped us effectively maintain strong financial margins and profitability metrics reflecting resilient fundamentals of the business. With this I will now hand over the call to Mr. Rahul Murarka to take you through the financial performance of our company thank you.

Rahul Murarka : Thank you Vedant. Namaskar and good afternoon everyone. I would like to highlight the key financial matrices for the quarter and nine months period ended 31st December 2023 based upon the consolidated financial statements. Starting from Q3 of FY2024 performance update, the company has reported revenue from operation of around 475 Crores delivering a growth of around 7.5% as compared to Q3 of FY2023. The company continues to report industry leading gross margin of around 67.8% during Q3 of FY2024. The EBITDA margins were around 51.1% and the EBITDA stood at around 242 Crores with a growth of around 7.4% compared to Q3 of FY2023. The company reported best in class PAT margin of around 33.2% and the profit after tax stood at around 158 Crores with a growth of around 5% compared to Q3 of FY2023. Sale of our customer is around 650 Crores with a growth of around 11.1% as compared to Q3 of FY2023. During Q3 FY2024 October month was significantly impacted due to in auspicious shraddh period. However our EBO customer sale grew by approximately 30.7% and SSG growth was around 17.3% during major wedding and festive period of 60 days starting from Navaratri as compared to last year 60 days comparable period starting from Navaratri. Now coming to nine months FY2024 performance update. The company reported revenue from operation of around 1004 Crores and the sale of our customer is around 1342 Crores. The company continues to report industry leading gross margin of around 67.2%. The EBITDA margins are around 48.4% and EBITDA stood at around 487 Crores. The company reported healthy margin of around 29.7% during 9 months of FY2024 and the profit after tax stood at around 298 Crores. Moreover the PAT generated during the TTM December 2023 is about 123% of networking capital employed based upon internal MIS. On comparing our performance with nine months of FY2020 which was a normal period not having any impact of pent up demand, the Vedant Fashions Limited
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company's revenue from operation grew by approximately 53% and the PAT grew by across 80% based upon internal management MIS. The company had a track record of generating significant cash driven by a healthy cash conversion ratio. During TTM December 2023 period the company reported strong cash conversion ratio of approximately 85% which has been computed based upon operating cash flow or PAT and internal management MIS. During nine months of FY2024, the company's overall performance got impacted due to significantly lower weddings nationally. General slowdown impacting consumer sentiment coupled with higher base effect of last year post COVID. However, the company has been able to effectively maintain strong financial margins and profitability metric reflecting resilient business fundamentals.

Thank you and namaskar everyone. We can now move to the Q&A session.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta : Sir firstly the last 12 months if I look at the customer sales growth has been around 2.7% and even if I take an average of the SSS over th

e last four quarters it is around -7 so just

wanted to get some trends based on your performance are there any specific trends related to category segments which are witnessing more pressure maybe lets say groom related or immediate family members wider end to range which of these is seeing more pressure, non-wedding related and any bifurcation between stores where you have opened new stores in the vicinity or older store versus newer stores age wise is there any performance divergence that is happening any trend would be help to understand.

Vedant Modi : Thank you for your question Sameer so broadly if you look at our business when we

look at different categories because there has been a large marketing driven focus on our wedding attendee business the overall growth has definitely in the last two, three years come from that segment so if we talk about segments the non groom segment has definitely worked better for us more from a marketing angle as well which has led to better footfalls at the store over the last two, three years if I talk about it overall and from a new store perspective typically stores take two to three years to mature and we see similar patterns as things continue. Even when we open larger stores next to our already existing well performing stores typically these are in areas where the stores productivity is extremely high and we continue to witness very good productivity in the older store as well even though it might take a small hit, the overall number is still very, very good from all angles of profitability for the company and the franchise partner of that particular store.

Sameer Gupta : Got it Vedant so next corollary to this question would be that over the last 12 months maybe wedding dates may be lower but typically number of weddings might not be dropping down so what is really happening are we losing share to unorganized smaller players are back any sense of these numbers would be great to understand.

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Vedant Modi : So our overall take on the situation is that it is a mix of two main things, one is there was slight bit of pent up in last year and that is well coupled with Adhik Mass plus lower number of wedding days in this overall year has led to total number of weddings being slightly lower in this year. When we talk to all the people in the industry this includes banquet hall owners, five star hotels, event organizers we see an overall trend where everyone is kind of commenting that the business this year has been lower than last year. The other factor also which is more impactful to our newer categories which is our festive based sale and our overall non groom business is also the fact that we do see a bit of economic slowdown across the board especially in tier two and tier three which is what we are witnessing.

Sameer Gupta : Got it. I will come back in the queue for any followup on this. Second question would be on Mohey so I mean see we had been given a commentary that it will be 6-7 stores in FY2023 itself if I go back let us say to previous quarter calls and it is January 2024 now so I mean we are yet to open the flagship store so what really is taking this long in any case this is going to be a pilot for the first few years why not launch these and try to understand or get learning's rather than keep delaying and getting the perfect store, just your thoughts on this.

Vedant Modi : I completely understand your point here and this is something which was slightly out of management control. The overall delay was something which was a mix of parties and it was slightly out of our control otherwise we would have definitely liked to have achieved it earlier. The store would be rolled out any time in the upcoming quarter and we have already actually piloted with three smaller EBO for Mohey which are already live in different parts of the country and the flagship will also be live very

soon.

Sameer Gupta : Got it that is all from me. I will come back in the queue for any followups, thanks.

Moderator : Thank you. The next question is from the line of Nihal Mahesh from Nuvama. Please go ahead.

Nihal Mahesh : Thank you so much and good evening to everyone. My first question was for this quarter you alluded specifically say to the period of October 15 to December 15 let us say starting Navratri and two months down where the SSG was obviously very strong at 18% whereas for the full quarter as a whole it ended up being negative -2% despite the fact that last year's base was a negative 9% in terms of SSG so was it primarily the start period of the first 15 days of October or even the last 15 days of December were muted because of which the overall performance ended up being so divergent to the two months that you are highlighting.

Vedant Modi : So the thing that majorly hurted us was the first 15 days of October primarily because these first 15 days are typically never a shradh period. The shradh typically takes place

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in Q2 which is anyway a lull period and is completely okay given the current business dynamics however last year and the preceding years typically the first 15 days of October is also a pretty good decent time of doing business that being heavily impacted the idea was for us to overcome that entire stress in the remaining 75 days however even the last 15 days when there is another mass that kind of is put in the last 15 days of December

and it is typically always a weaker period we expected this time for it to be better off but that was not the case. However the 60 days which we got clean which was festive and auspicious shopping period the performance was very good during those 60 days.

Moderator : The next question is from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh : So Vedant my question is this quarter I understand first 15 days and last 15 days in December impacted by shradh and Malmas etc but like if we compare base quarter compared to this quarter so number of wedding days has been kind of 2x so given this context I mean how would you be judging the current SSG number that we have clocked.

Vedant Modi : So you know there are couple of things here, firstly wedding dates are higher by two, three number of days higher in this quarter. The second perspective is while there is a good correlation between the number of weddings that happen in the country and the wedding dates it is not directly correlated or directly proportional to an R square of 100%. There can always be years where there are slightly higher dates but less number of weddings happening and that is something which we have been noticing from the overall pattern of the country and this is quite evident when we talk to the network of MBO distributors and dealers or be it any banquet hall owners, anyone related to the wedding industry so while there were slightly higher dates compared to last year we still feel that overall number of weddings were still muted or slightly lower than overall last year and on top of that there was an effect of slightly lower spending on consumer discretionary items which was witnessed across consumer companies.

Varun Singh : But having said that the category where we belong and the kind of discretionary consumption that it caters to there I think little bit of whatever slowdown in other discretionary thing etc., because frequency of buying is extremely, extremely low in our category so I mean do you really think that the sector slowdown has any correlation or direct correlation with the slowdown in revenue growth in our case.

Rahul Murarka : We are not talking about the sector per se we are talking about general consumer sentiments which we felt based upon our ground surveys that it was kind of soft which we also felt that one of the reasons why the Q3 did not deliver

as per our expectations as well.

Varun Singh : I mean in that context next quarter number of wedding days I mean which is the only trackable number that we have fortunately, unfortunately whatever so like next quarter

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it is hardly 7-8% more or almost equivalent to last year wedding I mean what are the kind of expectation that you are building for the fourth quarter in terms of business.

Vedant Modi : Varun ideally we would like to see the entire quarter before commenting on this but overall the quarter this year is slightly more spread out compared to last year so we feel that the tail end of this quarter should be slightly stronger but at the same time given that we have seen about a month of January things look relatively soft and not as per overall expectations which you would have.

Varun Singh : And your reasoning for the softness is that consumer sentiment.

Vedant Modi : So like I mentioned our overall understanding is there is a mix of couple of elements here, overall consumer softness from a sentiment perspective the second point also being slightly lower number of weddings which is a result of pent up last year and overall the hit of Adhik Mass, Malmas overall that we have in this year on top of low number of wedding days.

Varun Singh : Actually Vedant my question is meant only for fourth quarter not for financial year.

Vedant Modi : So fourth quart there are two things like I mentioned we would ideally like to see the entire quarter in play and then comment on the quarter because this particular quarter stretches till the end of March unlike last year so the expectation is that March overall will be much better than what we have seen last year but at the same time January as a month has been slightly slow.

Varun Singh : Okay got it thank you very much. That is it from my side, all the best.

Moderator : Thank you. The next question is from the line of Nihal Mahesh from Nuvama. Please go ahead.

Nihal Mahesh : I just have one question to Rahul that if I compare the gross margins also versus last year there has been a contraction so is this because of the mix of maybe as you highlighted a higher share of the non-groom segment does that explain this reduction in gross margins versus last year.

Rahul Murarka : Q3 if we compare then the gross margin is 67.8% which is similar to Q3 of FY2023 however on nine month period last year it was 67.8 and now it is 67.2 on a periodic basis

Nihal it can always vary from one period to another because of various reasons like product mix is one of the reasons I would say. Like in FY2023 also it was at 67.4% so

as a management we feel that anything 65% and above we are comfortable with that but on a periodic basis it can always vary.

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Nihal Mahesh : Got that just one final question you did allude to bifurcating the business with the non-groom segment growing faster for you, was it that the festive business has seen a much weaker performance versus the overall business you did partially allude to it but just to clarify the same.

Vedant Modi : So if I talk about Diwali, particularly Diwali did pretty well for us in this particular financial year as well. When we look at our overall kurta sales preceding 10-15 days before Diwali it was at an all-time high so I think overall festive led by Diwali in the last quarter was pretty good for us.

Nihal Mahesh : Sure that was helpful. Thank you so much.

Moderator : Thank you. The next question is from the line of Manish Poddar from Invesco Asset Management. Please go ahead.

Manish Poddar : Just trying to understand two things one is when you talk that this quarter is still running soft are you looking at absolute sales done in this quarter and wanting to clock a similar number or you looking at growth Y-o-Y. Let us say you did 475 Crores sales this quarter and given pent up nine

months have been soft a lot of shift happening in marriages and stuff like that do you look at absolute number as 475 plus or you are looking at growth let us say this 7.5% that number is still know running at let us say 4, 5, 6%.

Vedant Modi : Manish overall what I would like to say here is that as a company we do not give guidance per se, what we are trying to do is qualitative commentary at this current point of time we would ideally like to see the overall three months before giving out the results probably approximately same time one quarter later.

Manish Poddar : Vedant I am not asking for a guidance, what I am trying to understand is when you look at performance in Q4 would you look at absolute sales done this quarter versus next quarter to look at whether it is a good number or bad number or you look at growth which you did 7.5% this quarter versus the growth next quarter, so let us say if you did 12% growth next quarter is that a good number in your view or do you look at let us say season was spread out this quarter is heavier than the last quarter in terms of wedding days then the absolute sales should be at least more than 475 Crores is what I am trying to understand, not any specific number as such to be very honest.

Rahul Murarka : So Manish typically when we talk about growth or when we compare numbers like in case of Q4 we will compare Q4 of FY2024 with Q4 of FY2023 because Q3 and Q4 are never comparable historically however this year we will have to see how the trends emerge because we also expected H2 to be slightly other than normal of what we have seen in earlier historical years and as far as growth is concerned again growth for quarter we will look and compare with Q4 FY2023.

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Manish Poddar : Okay and just last one, in terms of let us say inquiries of franchises what is the sense on ground are we still looking for this 14 to 16% odd space expansion for FY2025 or that number we want to calibrate it given what the demand environment looks like.

Vedant Modi : Commenting on overall business development and retail footprint expansion I would say for now our FY2025 estimates would be still at around 15-16% and that is how we are looking at overall store openings and yes from a franchise inquiry perspective it's again never an issue and we have a great number of franchises already in the queue across multiple locations.

Manish Poddar : Okay thanks so much.

Moderator : Thank you. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Ankit Kedia : Vedant just a question follow up on the store opening if I look at this quarter itself our shop and shop we opened around five stores but the net EBO expansion was only four stores so definitely the store closures have been high this quarter while the overall area expansion is 50 odd thousand square feet so we are opening more bigger stores, can you just tell us in last 9 months why the store closures whatever the number has happened and going forward what would be the average size because we have multiple store sizes from 20,000 to 8,000 to 2,000 as well.

Vedant Modi : Overall when we kind of look at our business development strategy what has happened over the last I would say almost two years is we have continuously churned out very

small stores. Typically these stores are under 1,000 square feet and not representative of the new Manyavar anymore and at the same time continue to open larger stores. Typically I would say the average of new EBOs which are being opened is between 3000 to 3200 square feet that is the broad average and you are correct in saying that the net opening was only four, but broadly we have opened almost 74 odd stores this overall nine months while we have churned 50 but all very small stores from an area perspective these 50 stores would not even add up to 1.5% of our total area.

Ankit Kedia : Just a fol

low so how many more of these smaller stores are yet to be churned in the system so that we focus more on the area and not on the store addition which you always ask us not to look at stores but given that it is a data point we need to monitor. Vedant Modi : So it is a continuous dynamic process. I would say the large chunk of what had to be done is already being done maybe there is about 20 odd such very small stores left, but again the dynamics also depend on the market so market where there is great potential even a 2000 square feet store can become relatively small and demand a larger store so when that eventually opens up we will end up closing the smaller store so it is a dynamic Vedant Fashions Limited
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process but I would say from the larger exercise about 15-20 very small stores are still left to be churned out.

Ankit Kedia : Sure my second question is on south versus north given that we have a proper south campaign with a brand ambassador now how big is the south market for us today if I have to look on revenue terms or number of store terms however we call it and from a Mohey perspective do you think having a separate inventory for south would make more sense also now given that their women are wearing sarees instead of more lehnga or how is that market also moving in south today.

Vedant Modi : So overall south is now our largest market when we are looking at it at a company level which is including Mebaz and overall that is why there is an increased focus on south and also a focus on merchandising specifically for south India so there is a lot of investment that has been happening from all fronts of design, marketing and retail in that particular region on the front of Mohey we are already actually taking this up. There are multiple saree ranges which are only currently being delivered in south India and this is a continuous design process for us where we look at design levels and what sells in particular regions and according to particular cultures and as an attempt to be a more diverse brand and a more inclusive brand we will always try to add more and more categories in our portfolio that is able to justify the cultural heritage of any particular area.

Ankit Kedia : And last question is on Twamev. How is the performance of the first couple of stores of Twamev been in the festive and the wedding season gone by, are you happy with that, it is work in progress and from a next year perspective what is the store opening guidance for Twamev.

Vedant Modi : Overall we are very happy with how Twamev has been performing. In fact we have recently done the marketing launch of our Twamev south X store where we had a celebrity ambassador launch the store and things have been looking very well for all the EBOs that we already have opened. From a guidance perspective now it is a continuous business development task where we are trying to find the best properties and the best markets of the top 10-15 cities of India and that is the focus at least for the next two financial years where we want to cover all these markets with the best in class stores that we can find there. Broadly we have two three stores signed and in the pipeline on top of the four stores we have already opened and in addition to that like I mentioned 10-15 best cities and best markets of India is what we looking at from a short term perspective to grow on Twamev.

Ankit Kedia : And the stores would also be the 4000 square feet stores or they would be a larger store. Vedant Fashions Limited
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Vedant Modi : So I would say in the case of Twamev the minimum would be a 3500, 4,000 but the average would be slightly higher more in the lines of 6,000, 6,500.

Ankit Kedia : Understood. Thank you so much Vedant and all the best.

Moderator : Thank you. The next question is from the line of Nikunj Gala from Sundaram AMC. Please go ahead.

Nikunj Gala :

Good evening everyone. Thanks for the opportunity. My first question is with respect to sales which we have done in Q3 and the key performance indicators which we track, have we seen deterioration in those parameters like the number of articles per bill would be lower or some product mix deterioration those kind of a key metrics, have you seen any deterioration there.

Vedant Modi : Thank you for the question. We have actually grown in every single retail metric that we follow such as average basket size, average bill value, and the overall kind of feedback we are getting from the customers, all of these things have been on a positive trend so overall from a merchandising and product perspective also things look very sorted and like we have been mentioning sometimes it is a bumpy road in a long journey and what we kind of understand from at least from a mid to long-term perspective we are doing everything which is right for the business and as things kind of move forward and improve and there is higher footfalls in our stores then the business should also increase in the same perspective.

Nikunj Gala : Because if you see there is a weaker sentiment across when we are seeing as one of the reason for the lower growth then the person who have bought the 33:55 to 34:08 (not audible) so weaker sentiment would have impacted those people who have bought also so these are two disconnect which we were trying to reconcile that here you are saying that all metrics are better but lower growth is weakness in the consumer sentiment so how do you see this two different commentary.

Vedant Modi : Your voice was slightly breaking but what I understand from the question what you are trying to say is if consumer sentiments were weak then there would have been a down trading happening right.

Nikunj Gala : Yes.

Vedant Modi : The take here is the reason why our ASPs have actually increased is because of higher availability of Twamev in a lot more of our stores. Earlier we never used to deal in slightly higher ASP products but now Twamev is available across 70-80 plus Manyavar stores where lot of our business already being demanded by consumers is now being fulfilled so that is where the major chunk of ASP improvement has come from and these
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are people already who were willing to buy slightly higher priced items who wanted pure fabric but we were not able to serve them in earlier times not from the perspective of down trading at all and that is one take on ASPs improving. The other perspective also is from a consumer's perception overall shopping is also one area which they do not at all 35:55 to 36:30 (not audible) .

Nikunj Gala : So Twamev would be contributing I think in a overall scheme of things I was trying to understand from Manyavar to Manyavar perspective the stores which are purely Manyavar stores have we seen some deterioration but anyways I will take it later. So second question would be from FY2025 perspective correct me if I am wrong whether wedding dates are still lower than FY2024 base going into next year is that a scenario you are also looking at.

Vedant Modi : The overall wedding dates when we look at next year overall what we kind of understand is H1 is slightly soft and H2 is very strong so that is the overall qualitative understanding of next financial year when it comes to wedding dates. However, as these things are based on astronomy as we get closer to dates the things will get finalized.

Nikunj Gala : Sir I was just referring on annual basis not H1, H2 but still I think they are lower right as compared to FY2024 also.

Vedant Modi : No it is broadly the same or I think two to three dates are higher compared to this year.

Nikunj Gala : Okay sure. Thanks Vedant. Thanks for your time.

Moderator : Thank you. The next question is from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah : Hi Vedant.

Hi Rahul thanks for the opportunity. Couple of questions. Vedant when we started this quarter and this is for the whole sector there was a strong popular narrative that we had some 3.8 million weddings packed in just 30 days and hence a lot of expectations by media and by investor community was built around this quarter turning out to be very good so two questions on this point alone, first is there an authentic way to kind of get this data or is it is just garbage and garbage out data so that we do not do such mistakes in future A and B is there any forecasting value or we keep on asking number of wedding days and dates every time is there any forecasting value to it is just a kind of hygiene point that we should keep in mind.

Vedant Modi : So Tejas our learning over the last decade or so since we have been trying to track the number of weddings that happen in the country, there is no true source of this data which is the actual number of weddings that are happening. Majority of the comments made

that we have seen in the press are also not backed by a large research but rather a
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qualitative understanding of people which is what we understand, the second take here we internally are now trying to do it. We try to talk to a lot of people in the industry who have bookings six to nine months in advance so this includes hotels, banquet hall owners etc., but again the tricky part here is that the wedding dates are actually different in India based on where you are based so Hindi belt follows one set of wedding dates, Telugu market follows one set of different wedding dates, again different for Tamil so now as our company is growing and we operate in almost every single part of the country it is slightly difficult to track what is happening across the different parts of the nation but we are starting to track the Hindi belt numbers a little more carefully and closely.

Tejas Shah : This was very helpful and second last question just wanted to understand so you called out that consumer sentiments are relatively tepid so just wanted to understand more the character of the slowdown or tepidness is it uniform across geographies and within your vintage stores are you seeing some divergence in demand sentiment within your own network as well.

Vedant Modi : I would say the pattern which we see is it is very similar across geographies but tier one is still a lot better off compared to tier two and tier three so there we feel the pressure is slightly higher on our business, while tier one overall continues to perform better relatively, but from a geographic perspective it is pretty much similar.

Tejas Shah : Any more read on this tier two pressure, competitively are you placed well or you see unorganized because we are seeing the trend in many other categories in consumer basket that unorganized is actually bouncing back very strongly in the recent past so any observation there.

Vedant Modi : See our personal understanding is that from a merchandising perspective we are extremely data focused so all the price points that were working well for us last year and the year before we continue to be strong on those particular price points even though we might have evolved slightly higher price points that does not mean that we have left our smaller price points and there is also continuous effort from a marketing front from the perspective of also improving our overall design mix, be it a tier two or a tier three store so from a input perspective we see no challenge and another factor which I would like to add is one business internally which gives us a sense of how unorganized is doing is our MBO business so even when we look at a nine month perspective our MBO business is one of the most majorly hit channels for us so that and also discussing business with our MBO partners gives us an understanding that MBO overall as a channel has been a

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ot more hit compared to our EBO business so I do not see a narrative where we feel that unorganized is bouncing back it is mostly a road bump of multiple other factors as per our understanding.

Tejas Shah : Quite clear Vedant thanks and all the best for coming quarters.

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Moderator : Thank you and the next question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta : Thank you just a small followup. Employee cost is down 10% Y-o-Y is there any one of here are we downsizing, is it an effort to save margins, payroll shifting to franchises anything on that line item would be helpful.

Rahul Murarka : It is mainly because of decrease in the director remuneration so in June, July this year we had revised the director remuneration so as a result of which we can see overall employee benefit expense going down but other than that normal employee expense has actually increased by more than 20% but because of decrease in director remuneration the impact is coming like that.

Sameer Gupta : Is not it something that we also did last year same time around.

Rahul Murarka : No last year we did revisit in April sometime and there was a further revisit this time in July so that is why we see a difference in director remuneration, but otherwise the normal employee cost has increased actually.

Sameer Gupta : Okay so this is more towards variability of director remuneration is that what you have done.

Rahul Murarka : You are right.

Sameer Gupta : Okay cool. That is all from me thanks.

Moderator : Thank you. The next question is from the line of Lakshya Jain from Flyer Investment.

Please go ahead.

Lakshya Jain : First of all Sir we are new shareholders in the company and we feel proud as shareholders of Vedant Fashions Limited hats off to your business model Sir. First question taking into consideration the huge amount of cash pile in our balance sheet where are we standing when it comes to in organic growth Sir, do we plan to stay with our same product line or we are open to anything related to wedding.

Vedant Modi : See our overall 5 to 10 year strategy is more around apparels and that is what we are currently focused on however from a very long-term perspective I would say business is dynamic and never say never sort of a piece here, while we have never explored non apparel side of weddings it is something which we would only look at in a very long-term perspective. The other piece is like you mentioned the cash pile is large. The way we kind of look at disbursement is in the form of dividends and for the last two financial years we have been doing almost 50% of PAT in the form of dividends and we continue Vedant Fashions Limited

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to invest in our newer segments of growth such as Twamev, such as Mohey and this will be followed by project Manthan in the course of one to two financial years and the very good part about our business model is we do not require significant capital investment to launch any new brand. It is actually a model which can enable us to make profitable brands from the very first financial year itself.

Lakshya Jain : Are we expanding in sarees apart from lehngas under the brand Mohey.

Vedant Modi : Yes actually there is a very high focus on our saree category. It enables us to capture both the gifting category in a wedding and also capture the family members of the groom who might be accompanying him for the shopping and it also acts as a great bridge for people to start interacting with Mohey as a brand and it has been one of the best performing categories for us this financial year.

Lakshya Jain : And Sir was competition also one of the main reasons for lower growth apart from shradh in Q3. Do we see this competition as a speed breaker in our short term growth Sir.

Vedant Modi : We very carefully monitor competition across the country and what we

will acknowledge

is that the number of stores from competition has definitely increased over the last two financial years and there is a lot more stores now. However given the kind of modes our business enjoys what we have seen is while majority of these stores have opened in tier one, the major impact has actually been in tier two and tier three for our business. The last part to that answer is also that tier one is where we have seen still relatively less impact over tier two and three and majority of stores that have opened up is actually in tier one so we feel the other factors are in higher play versus competition as of now.

Lakshya Jain : So tier one we are much better compared to the competition like we are not facing that much issue in tier one.

Vedant Modi : So majority of the competition stores have actually opened in tier one so just the fact that tier two and tier three is more hit, we are able to comment saying that the other factors are actually in higher player versus actually instead of competition.

Lakshya Jain : All right. I will be in the queue Sir. Thank you so much Sir.

Moderator : Thank you and the next question is from the line of Prerna Jhunjunwala from Elara Capital. Please go ahead.

Prerna Jhunjunwala : Thank you for the opportunity. Just wanted to understand what is making tier two, tier three cities more impacted when we see that e-commerce channels or Flipkart, Myntra not due to this category per se because the consumers expenditure has slowed down across the categories then tier two, tier three are more hit against e-commerce players

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who are talking where they are witnessing higher growth in tier two, tier three so just wanted to get some colour on category slowdown per se in geography dynamics.

Vedant Modi : I would say Prerna here that this particular comparison is very difficult to do in our case because e-commerce from an India perspective is still a very young industry and as there are more number of smart phones available, more people accessing the internet that industry will continue to grow and hence I do not see particularly a big correlation here and what we understand is from the overall consumer business community is that the tier two, tier three pressure felt and even in cities where we have good presence across retail and overall from an operations perspective we have still felt that the overall number of consumers walking in was slightly lower primarily led by lower consumer sentiments and the good part about our business you could say in some senses that still people prefer

to feel the product before they buy one because Indian wear is not something that men especially buy on a very regular basis hence the penetration of e-commerce is still extremely small in the overall scale of the industry.

Perna Jhunjhunwala : Okay and if we want to see this business differently than other apparel categories because people prefer to purchase for their wedding and they would not like to compromise over here and stuff do you think a rental business could pose a risk to this business going forward on a longer term basis.

Vedant Modi : We continuously evaluate newer forms and dynamic forms of business opportunities that may be there but overall our consumer research says that wedding clothes is of cultural significance and at least for the groom and the immediate family culturally buying a new product and wearing that and actually storing it as a treasure in their wardrobe throughout the lives is a big part of the overall consumer journey when we refer to clothes being worn during the wedding, so at least from a short to midterm perspective we do not see this trend being large.

Perna Jhunjhunwala : One more question if I can continue we visited few tier two, tier three cities during the quarter end to understand this slowdown but what we understand is lot of new stores per se have opened up in tier two, tier three also in competition to Manyavar, any colour on

that would be helpful because people are saying I mean the market is not so big as the number of stores are opening up so some colour on maybe market opportunity for us in tier two, tier three cities where we see opportunities and what could change and maybe some lead indicators for us to understand because number of wedding dates and all these parameters which we were looking for is actually not making much, giving more colour to the sales growth.

Vedant Modi : Point well taken so overall our understanding is that even in tier two cities where there might have been newer players that have opened up stores our overall impact has not been any higher than in a city where stores have not opened up in comparison and that
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is why overall our understanding is the effect of other elements of the business are slightly higher this year compared to any other factor per se.

Perna Jhunjhunwala : Any lead indicators that you could highlight apart from wedding dates and number of weddings that we can follow.

Vedant Modi : One was number of weddings and the other overall consumer sentiments across board so these are the two main points that we understand. A bit of pent up was there last year overall from a nine month perspective.

Perna Jhunjhunwala : Okay this is helpful. Thank you Vedant.

Moderator : The next question is from the line of Akhil Parekh from B&K Securities. Please go ahead.

Akhil Parekh : Hi thanks for the opportunity. Just to hop more on the demand side right and we are clearly seeing a dichotomy in the sales of life of Titan versus Manyavar right given that we both target similar customer segment and the demand is a function of wedding and festive season. While on one side we are seeing that Titan jewelry sales is growing very well while we are kind of relatively underperforming so if you can please help understand the dichotomy if the cooperative intensity also has not increased then what could be the possible reason for the difference in the performance.

Vedant Modi : Our overall understanding here is that the two categories are very different, one is also the purchase cycle what is evident to us is apparels is bought much closer to the weddings while jewelry is actually purchased maybe even one year before the wedding in a lot of cases and thus this is quite a different business for us to kind of evaluate or compare to and the other also piece is that majority of the jewelry businesses that we have kind of seen and heard about only 20-25% of their total business is wedding related and the other is more related to daily consumption or investments.

Akhil Parekh : Sure this is helpful and if I can squeeze one more question you have given the reasons for delaying the opening of Mohey flagship stores I do not know if I missed that part and how does the pipeline of new store opening for Mohey look like.

Vedant Modi : Overall the reason for the flagship being delayed was more of a construction element and more of a handover element from our real estate partners which led us to have a delay which was slightly out of our control and that was the primary reason and the second piece also from a store opening element is we are looking at trying out multiple different models by mid to late next financial year. We want to experiment with new forms of Mohey and try different kinds of stores and pilot different business development strategies.

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Akhil Parekh : Sure thanks Vedant and best wishes to the team for coming quarters.

Moderator : Thank you. Ladies and gentlemen due to time constraints that was the last question. I would now like to hand the conference over to management for closing comments.

Vedant Modi : Thank you very much for all the analysts for joining our call. It is alwa

ys a pleasure

interacting with all of you and always a good learning for us thank you very much hoping to interact soon again in the financial year ending earnings call.

Moderator : On behalf of Axis Capital limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

Vedant Fashions Limited (Formerly known as Vedant Fashions Private Limited)

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May 07, 2024

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block -G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
Dept. of Corporate Relations
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q4FY24

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended
("Listing Regulations") and our earlier intimation dated April 25, 2024

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call organized and held on Wednesday , May 01, 2024 , in relation to the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and year ended March 31, 2024 (Q4FY24) , is hereby enclosed and the same is available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investor-presentation>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you ,

For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl – A/a
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"Vedant Fashions Limited
Q4 FY '24 Earnings Conference Call "
May 01, 2024

MANAGEMENT : MR. VEDANT MODI – CHIEF REVENUE OFFICER –
VEDANT FASHIONS LIMITED
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –
VEDANT FASHIONS LIMITED

MODERATOR : MR. VARUN SINGH - ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Vedant Fashions' Q4 FY '24 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varun Singh from ICICI Securities. Thank you, and over to you, sir.

Varun Singh: Yes. Thank you, Sagar. On behalf of ICICI Securities, it's our pleasure to host Vedant Fashions' Earnings Conference Call . So today, we have with us from the management, Mr. Vedant Modi, Chief Revenue Officer; and Mr. Rahul Murarka, Chief Financial Officer. We can kick start this conference with the results discussion followed by Q&A. So yes, that's it from my side. Thank you, and over to you, Sagar.

Vedant Modi: Thank you. Thank you very much. Good afternoon, and a warm welcome to all the participants. I am Vedant Modi, the Chief Revenue Officer of the company. Thank you for joining us today to discuss the Vedant Fashions Limited Quarter 4 and Financial 2024 results. I'm joined by Rahul Ji, who is the CFO of our company. I hope everyone got an opportunity to go through our results and investor presentation, which have been uploaded on the stock exchange as well as the company's website.

Let me take you through the quarter and full financial year performance. In this quarter, we continued with our retail network expansion strategy, which is the dominant channel for the company and have successfully rolled out approximately 62,000 square feet of net retail area in the fourth quarter.

We are pleased to announce that we have successfully launched the first EBO of Mohey brand, measuring about 7,500 square feet in the city of Bengaluru. It is a unique piece of architecture that provides an ideal blend of tradition and contemporary state -of-art thereby enhancing the shopping experience of our consumers. We have also launched another EBO of Twamev in this quarter.

In the financial year 2024, we have successfully expanded our retail footprint presence by about 2.34 lakh square feet. This expansion highlights the commitment to provide our consumers with the best possible shopping experience. As of March 2024, Vedant Fashions' EBO area stands at 1.7 million square feet spanning across 676 stores in 268 cities and towns globally. The national EBO footprint tally is 660 stores spread across 255 cities and towns.

In the fourth quarter of FY '24, our overall customer sales grew by 5.9% over quarter 4 financial year '23. In this quarter, we continue to run our flagship marketing campaign with Mega Star Ram Charan, built around the timeless tale of the relationship between a father and his son. We also launched across channels, a 360 -degree campaign with Bollywood actress Kiara Advani, highlighting the theme of Dulhan wali feeling that embodies the spirit of a bride and executes the charm a bridal lehenga holds in every women's life.

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We also partnered with India's leading celebrity stylist, Tanya Ghavri, for a campaign on #DreamDulhanLook, where she guides brides to be through the perfect ensemble choices across a wide range of products with different draping styles to be unique, timeless and being oneself. We have also launched several campaigns across platforms on various festivals celebrated across different geographies of India, thereby strengthening us as a celebratory wear brand. With the introduction of our Vivaham collection, that is Panch akacham and Veshti, we have successfully extended our reach to authentically embrace the cultural richness of South

h India.

These initiatives reinforce our brand's dedication to diversity and inclusivity. This has been a one-off year, and our performance was majorly impacted due to significantly lower weddings coupled with muted sentiments of consumers and higher base effect of last year, which was post COVID.

However, we are confident as a business entity and our preparedness in terms of every aspect of business including market consciousness, like network expansion, multidimensional and multiregional marketing, adequate and appropriate inventory and merchandising backed with a robust auto replenishment system and back-end dynamics. These have helped us effectively maintain strong financial margins and profitability in matrices, reflecting resilient fundamentals of our business.

With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of our company. Thank you.

Rahul Murarka: Thank you, Vedant. Namaskar and good afternoon, everyone. I would like to highlight the key financial performance metrics for Q4 and FY '24 based upon the consolidated financial statements. Starting from Q4 FY '24 performance update. The company has reported revenue from operations around INR363 crores, delivering a growth of 6.3% as compared to Q4 of FY '23. The company continues to report industry -leading gross margin of around 67.1%. The EBITDA margins were around 49%, and the EBITDA stood at around INR178 crores. The company reported best -in-class PAT margin of 31.9% and the profit after tax stood at around INR116 crores with a growth of 6.4% compared to Q4 of FY '23. Sale of our customer is around INR511 crores with a growth of 5.9% as compared to Q4 of FY '23.

Now I would like to summarize FY '24 full year performance. The company reported revenue from operation of around INR1,368 crores and sale of our customer revenue is around INR1,853 crores. The company continued to report industry -leading gross margin of a round 67.2%. The EBITDA margins are around 48.6% and the EBITDA stood at around INR664 crores. The company continued to report best -in-class PAT margin of 30.3% during FY '24 and the profit after tax stood at INR414 crores. Moreover , PAT generated during FY '24 is about 126% of the net cost of working capital employed computed based upon internal management MIS. On comparing our performance in FY '20, which was a normal period not having an impact of pent-up demand. The company's revenue from operations grew by around 49% and PAT grew by around 75%. The company has been able to efficiently maintain working capital at 88 days and has been able to achieve healthy ROCE of approx. 85.3%.

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The company has a track record of generating significant cash driven by a healthy cash conversion ratio. During FY '24, the company reported healthy cash conversion ratio of approx. 81.4%, which has been computed based upon operating cash flow over PAT and based on internal management MIS. The cash conversion ratio, excluding finance income from PAT is approx. 96% computed based upon internal management MIS.

During FY '24, the company's overall performance was impacted due to significant lower weddings nationally, muted consumer sentiment, coupled with higher base effect of last year post COVID. However, the company has been able to effectively maintain strong financial margins and profitability metrics, reflecting resilient business fundamentals.

Thank you and Namaskar , everyone. We can now move to the Q&A session.

Moderator: Thank you very much. The first question is from the line of Sameer Gupta from India Infoline. Please go ahead.

Sameer Gupta: I have 2, and I'll come back in the queue for any follow -ups. So firstly, I noticed that the receivables on a full year basis have gone up from around 130 days to around 150 days this year. Any change in policy regarding credit for t

he franchises? Or is it just that you had a better March versus previous year EBITDA, any other factors I might be missing out?

Rahul Murarka: Thank you, Sameer, for your question. So as far as internal MIS, receivable days is around 64 days as of the year end. It has increased compared to last year because of the new square feet area which we have added around 234,000 during the year. However, t he improvement in revenue was not to that extent. And hence, we can see the net receivable days increasing. If you will see our increase in primary revenue and secondary revenue are in the similar direction. And also, the operating cash flow/PAT is around 81.4%. And we have been able to efficiently maintain working capital at 88 days. So that is the overall reas on we wanted to explain.

Sameer Gupta: Rahul, just a follow -up there, since primary and secondary revenues have grown in a similar way, receivable should also typically grow in a similar rate, but there has been an acceleration, just wanted that clarification.

Vedant Modi: So, I'll just add on to that, Sameer Ji. If you look at the way we function as a company, the

business fundamentally is we take a security deposit from our franchises and they pay us as and when the actual product gets sold in the store. As this was a weaker financial year and our SSSG degrew, basis that receivables have increased because the product is at the store level. And at the same time, we've opened about 234,000 square feet net area in this financial year that adds receivable on top of this.

So that's the overall business logic. At the same time, as a company, we have worked very hard on ensuring that inventory days are made more efficient. And that is why while we had a weaker year, our overall working capital days only moved from 83 days to 88 days despite having a weaker year, and that is why we have been able to maintain a PAT of -- PAT/working capital of about 125%.

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Sameer Gupta: Got it. Got it. I'll probably come -- take it offline. Second is the -- second question is that I noticed there, the rent from computed from the cash flow statement and the ROU assets in the balance sheet they've also seen a higher growth versus overall retail area that you have added. So, is there an increase in the proportion of stores where you basically pay the rent? Or am I reading this data incorrectly?

Rahul Murarka: No, you're right. So basically, whatever square feet addition we have done on that basis, majority, I would say, or more than 80% has been on account of the lease stores. So that is why you are right. You can see that impact.

Sameer Gupta: So right now, as a total area, how much proportion of revenue or proportion of stores is where Manyavar is paying the rent?

Rahul Murarka: Around 65% of proportion of revenue comes from stores where we are paying the rent.

Sameer Gupta: And this number was 60% last year.

Rahul Murarka: No, no. It is around 65% consistently. This year, it may be 67%, last year it was around 65%.

Vedant Modi: Broadly, if you look at this year as a whole, what we saw as a trend is that Tier 1 was outperforming Tier 2, Tier 3. Even from a business development perspective, that is why there was a higher focus on entering core markets of India that give us results now. And that is why a majority of these stores that we don't pay the lease in -- are in Tier 2 minus Tier 3, Tier 4 towns. So, it's also a result of the overall fundamentals of the way the economic cycle has been happening in the country across tiers of towns as well.

Sameer Gupta: And a large part of your store addition has happened in Tier 1 this year, is it?

Vedant Modi: It's a mix of both, but this year, you could say that a lot of growth has come in Tier 1 and Tier 2 plus cities where the stores are in our own lease.

Sameer Gupta: Got it. I'll come back in the queue for any more q

uestions.

Moderator: Our next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: So, my first question is with regards to the overall demand environment. If you can just give a sense of how the demand environment panned out in the last quarter? And how are you looking the demand environment in the year coming ahead?

Vedant Modi: Thank you for your question. So overall, as per our understanding, if we comment on the full financial year, there were a mix of 3 elements playing for us. One is overall lower number of weddings happening in the country. Secondly, there was also weaker consumer sentiments in the particular target audience we cater to. And lastly, the base effect of the previous year. So, these were the 3 things that were happening overall in the financial year. We are quite hopeful the way India is growing, the way the mid - to long -term of India looks like, I think we are very confident about the business from that perspective. Broadly, Q 2 onwards, we feel that

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things should hopefully normalize. But given the scale our company operates at, this is something we will have to look and understand.

Gaurav Jogani: Sir, just a follow-up. Generally, we as an analyst look at the total number of weddings in a particular year and then correlate it with the total number of weddings. So, would that not be a right assessment given that last year the number of wedding days were higher?

Vedant Modi: Apologies, Gaurav. I couldn't fully listen to your question.

Gaurav Jogani: So, I will just repeat that. What I was trying to ask is, last year, that is FY '24, the number of wedding days were higher. And I think despite that, the number of weddings were lower. So, is this a unique phenomenon that you noticed last year? And given that in FY'25, relatively, the number of wedding days would be lower. So how possibly this could impact the revenue growth for FY'25?

Vedant Modi: Gaurav, as we mentioned, while there is definitely a correlation between wedding dates and the number of weddings happening in India, it's not 100% directly proportional. The big change when you look at last year is that FY'23, because the country had come out of COVID, there were a lot of weddings. And that is why when we look at last year, the number of weddings look to be slightly weaker when compared to FY'23.

Hence, it has also got a big connect to coming out of COVID and that whole relationship playing out, which is something we saw for the first time in our sort of history with the company. The way we look at things moving forward is FY'24, the base has definitely normalized. And as we move into FY'25, while Q1 as a particular quarter has almost no weddings, but after we move out of Q1 and move into H2, Q3 and Q4 have a good number of wedding days. So, we are quite hopeful about how things move into the future.

Gaurav Jogani: Sure. And my second question is with regards to the Mohey store that you added. What gave you the confidence to go ahead and open the Mohey store? And if you can give any first early nuances of the Mohey stores how the operational metrics have been? And how these are panning out in that particular brand?

Vedant Modi: Sure. So, with Mohey, even in the newer Manyavar -Mohey stores which we are opening, Mohey is continuing to perform much better than it had ever done. That gave us the confidence that if the layout and the overall store is created of thinking of a woman in mind, this can yield too much better results. Hence, with Mohey EBO being piloted, we have already seen great sort of consumer feedback at the store level even the sort of conversion numbers we are seeing are very positive, and we are quite happy with the way the store has been performing.

While it has only been 30 -35 days that the store has been operational. I think we would like to see a couple of more quarters

to fully give you feedback on how Mohey EBOs are performing.

But we are quite confident, and we would like to pilot with more stores as we move into the next few quarters.

Gaurav Jogani: Sure. And just one clarification, what is the size of this Mohey store that is added this particular quarter?

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Vedant Modi: This particular store is about 7,500 square feet.

Moderator: The next question is from the line of Rishi Mody from Marcellus Investment Managers.

Rishi Mody: Rahul, just a quick question. Firstly, can you explain the other income amount. It seems to have jumped a bit this quarter versus, say, the previous 3 quarters. Any particular reason for this?

Rahul Murarka: So, it is mainly because of increase in the finance income. So, if we see the quarter -wise breakup Q4 versus Q4, it has increased by INR107 million. And the finance income actually has increased by INR113 million. So, it is mainly because of finance income, broadly because our cash balance has been improving over the years. So, the average investment has improved compared to last year. And also, the yields over the investment income has improved compared to last year. So, finance income is the main reason why we see a higher other income.

Rishi Mody: So, there is no exceptional income in this where some stores sold to franchises or some lease cancelled and nothing of that sort in there?

Rahul Murarka: Out of INR113 million -- out of INR107 million growth in other income, INR113 million is out of finance income only.

Rishi Mody: Okay. All right. Second, I wanted to understand that we are opening bigger stores now. We are opening 3x to 4x per company average size stores now, but the new stores are not coming in at productivity levels, which were coming in till FY'23, coming in at about 50% productivity versus 70% of the older stores that used to come in pre-FY'24. So just trying to understand how are you all tracking this? Or do you all see the strategy working out? Or there's not enough depth in consumption to be able to support this bigger stores?

Vedant Modi: I think there are a couple of things here. Firstly, we've not 3x -ed or 4x the size of our store. The store size has moved from an average of about -- you could say the last year average was about 2,400 or some 2,250 square feet. And the stores that we've opened this year have been at an average of about 3,050 square feet. So, it's definitely grown but about -- by about 35%, 40%.

At the same time, when we talk about productivity, while the newer stores have been lower this year, this is majorly on account of that newer stores take about 2 years to mature as we've mentioned in our previous calls. And this year being a slightly weaker year, they have taken a little more time to sort of get to their typical first year levels. But the whole understanding is that majority of the stores that we've opened are futuristic decisions and right calls. So, as we move forward and consumer sentiments bounce back, these stores should pick up and perform better.

Rishi Mody: All right. So, we can chalk it up to a one -off this year. But the concept you're saying is still viable that bigger stores will give a better...

Vedant Modi: We've definitely increased the size of the stores, but all I'm trying to say is it's not 3x, 4x. It's

moved from 2,250 to the average store being opened this year being at around 3,050 square feet.
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Rishi Mody: All right. Also, like last few quarters, we've opened we slowed down our run rate of new store openings. Is this just to be cautious until the market recovers or we're facing some issues from the franchise and where they're not willing to invest given the weak macro environment?

Vedant Modi: So, Rishi, if you look at it from a perspective of store openings, we comment on square feet because that's

it's a more relevant metric in our case. So, on a base of about 1.45 million, we have opened 2.37 lakh square feet at a financial year level. So, we've continued to demonstrate robust store openings across the financial year.

We definitely did consolidate a lot of the older stores in terms of replacing them and relocating them with larger stores. So that was a strategic drive that has happened over the last 2, 2.5 years. And as we move into the future, we might continue doing the same with some of the sub 1,000 square feet stores that we have where more potential lies for our business.

Rishi Mody: All right. Okay.

Vedant Modi: However, the way next year is placed, I think we will be a little slow when it comes to the early parts of the year because, as I mentioned, Q1 is with -- has almost no wedding dates. So, the way we are looking at business development is to place a majority of our stores in later part of Q2 and early part of Q3 from an opening perspective.

Moderator: The next question is from the line of Ankit Kedia from Phillip Capital.

Ankit Kedia: Vedant, just a question on store opening again. You mentioned this year, you opened stores now in metros, Tier 1 and some Tier 2 cities. So, FY'25, where do you see with geographies you're planning to open stores? And would these stores also like FY'24, 80% of the rent would be paid by the company?

Vedant Modi: So, Ankit, just on this question, some of these decisions are very dynamic. So, I can comment on a 3 - to 5-year basis, we feel that -- from an overall 3 - to 5-year basis, our overall openings would be split between Tier 1 versus Tier 2, Tier 3. And the mix of lease paid by us versus lease paid by franchises would continue to be at similar trends as it is now about 65%, 66% being borne by us, remaining by franchise partners. So, I think 3 to 5 years, we feel it's going to move in a similar trend. But in a single year, there are many dynamic calls that we have to make. So, it might move couple of basis points here or there.

Ankit Kedia: And the bigger stores, 15,000 -plus square feet stores, is it safe to assume that the rent for all these new stores are being paid by the company because these will be flagship stores at select locations?

Vedant Modi: So broadly, strategically, the thought process is any flagship store is a store where the company bears the lease cost. So typically, majority of the flagship stores would be on our lease.

Ankit Kedia: Sure. The second question is on Twamev. Now we have seen more than one year for Twamev store being there. Anything to highlight on the feedback from the consumer, how has been the acceptance in this festive because Q4 was better than Q3. And how has been the overall

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response? And going forward, any change in strategy on Twamev or it continues the way it is and it's getting better?

Vedant Modi: Twamev is performing very well when it comes to the exclusive brand outlets, and the only execution task that we have to take up is to open a store in the best markets of the country. As we look for only the best properties in the best markets, and we don't want to sort of compromise at all. This might take a little more time than a typical Manyavar store does. But the idea is to be present in all the best locations with the best possible store. So, we will continue on that execution strategy and move as fast as we possibly can.

At the same time, from a consumer feedback angle, things are looking very positive for a premium brand, we've seen good conversion rates happening on the store level. We've been getting great feedback. We've understood the needs of the premium consumer a little more, having operated Twamev for a couple of quarters now. We've also changed a lot of CRM practices that we followed. And basis those, we are kind of poised to grow well with Twamev. And as in more new stores open, I think

the model is quite set for us to continue growth with.

Ankit Kedia: And my last question is on the unorganized market. Are you seeing because inventory for the unorganized would have been higher given that the wedding demand has been muted in the last

couple of quarters, are you seeing them deal discount and under cart organized brands and gain market share in the last few months?

Vedant Modi: So, I think there are two pieces here. So, when it comes to discounts and kind of cutting the market, I think that is something we would not be able to comment, particularly on the unorganized segment. But when it comes to the market share gain, when we look at our own MBO data, that was the most affected channel in our company. At the same time, qualitatively speaking to the top multi-brand outlet partners, everyone is severely down.

So given that the top 20, 30 people are down in the unorganized segment. From our perspective, it doesn't seem that that market has grown at all. So, from our understanding, there is definitely not a market share gain of unorganized. However, this is based on a sample size of about 20 to 30 top MBO dealers of the country.

Ankit Kedia: And last question, if I may ask on the digital piece from Manthan where last one year, you have been doing that project, what's the status on that? And when can we see scale-up of that coming in?

Vedant Modi: We are very excited about the new strategy for Project Manthan. There is a lot of exciting work that has happened. We will be presenting it to all of you over the next 1 or 2 quarters. And we are quite well ready to take the project to the next level, and that is what the plan is. So, we are internally quite excited about the same, and there has been a lot of work that has been put into place. And we will be rebranding the whole piece and taking it forward from that point on.

Ankit Kedia: Looking forward to your Manthan.

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv.

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Sabyasachi Mukerji: So, my first question is how many ICs and the net rollout of stores in FY'24 is at 27. And if I just do a quick math, that 234,000 divided by 27 stores, average size of the store is somewhere around 8,500. So, has there been -- I mean, opening of stores, which is more than this 27 and there has been a closure as well, if you can give the number?

Vedant Modi: Yes. Thanks for that question. So broadly, as a company, we've taken a strategic call of consolidating a lot of our smaller stores and relocating them and converting them into much larger stores wherever the opportunity exists. That is why the right way to track our company is to follow square feet.

So, like I mentioned, the average square feet of the new store that we have opened is about 3,050 square feet this year. And at the same time, we've consolidated some of the stores to sort of move into better parts of the market into larger stores. So that has been an active drive. From a pure-play closure perspective, like we do almost every single financial year and is better than the retail benchmarking, about 1.5% of our retail square feet area is pure-play closure, while the remaining is all linked to relocation into better parts of the market.

Sabyasachi Mukerji: So basically, if I divide the 234,000 divided by 3,050, the number is somewhere around 76, 77. So there has been, I mean, almost close to I think, around 50 stores, maybe relocation or closure? Is the understanding correct?

Vedant Modi: Broadly, we don't want to comment on exactly the number of stores. But majority of the stores that were closed were on account of relocation. Maybe I can get back with the exact numbers post the call with you.

Sabyasachi Mukerji: Sure. No issues. Rahul Ji, I had a few bookkeeping questions. What would be the ad spends and job charges spend for the full year FY

'24?

Rahul Murarka: So, for FY'24, the ad spend was around 5.6% of revenue.

Sabyasachi Mukerji: 5.6%. Okay. And the job charges?

Rahul Murarka: Job charges for the entire year. Only job charges, are you saying?

Sabyasachi Mukerji: Yes.

Rahul Murarka: Okay. Only job charges would be around 5%, 5.1%.

Sabyasachi Mukerji: Okay. Vedant, I have a question on this ad spend. So last few years, obviously, we were spending a little lower than our normal in ad spends, and we have kind of bumped it up this year. But in an environment where there is a weaker consumer sentiment and then lower wedding days. Does this ad spend actually helped us in terms of reaching this number? I mean my question is, if we didn't do such ad spends, will our revenue would have been far lower? How should we read and your outlook on FY '25 as well on the ad spend number?

Vedant Modi: Typically, when we look at marketing and when you're trying to create a long-term brand, not doing marketing for 1 year might not make an effect. But the idea is if you continue to market, that leads to long-term growth. So, one-year marketing is almost impossible to attribute unless

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it's an online -based marketing for online business. But if it's marketing for the physical environment, we have to look at it from a much longer -term horizon.

As a company, we are trying to drive behavioural shift. We want Indian men attending wedding to dress up in Indian wear. So, this strategy is a 4 - to 5-year strategy where we've been putting in a lot of effort and money in order to drive this change. And we have seen this. So even in our numbers, over the last 4 to 5 years, we have seen a larger growth coming in from a non -groom segment. So, marketing does play a large role in driving long -term behavioural change in driving overall customer footfalls.

Sabyasachi Mukerji: Okay. Fair point. That's all from my side. All the best.

Moderator: The next question is from the line of Atul Mehra from Motilal Asset Management.

Atul Mehra: My question is in terms of the growth, obviously, we had a flat year in FY'24, but as we look forward and maybe internally the way you guys are thinking about and budgeting for growth in this financial year, if you can walk us through what is the thought I like because a lot of the low growth also is in the base and perhaps things could materially improve in Q2, Q3 and so on. So, if you can walk us through what is the internal thought process on growth for this financial year?

Vedant Modi: Thank you for that question. So, while we don't want to give any particular guidance. What I can tell you qualitatively is that over the last couple of years, we've built a very strong base of retail now standing at 1.7 million square feet. The idea is with rebounded consumer sentiments, we will be able to truly utilize the square feet that we've opened this year, coming in from a mix of all our brands. At the same time, we are continuously building for our medium -term growth in the form of Mohey and Twamev EBOs, which will bring in the next level of growth for us as a company.

At the same time, like I mentioned, Project Manthan is something that we will launch in the next 1 to 2 quarters, which again is a very exciting opportunity for us, bringing in a higher share of growth from online and also from the dealer network. And we also sort of are looking at more opportunities, horizontal opportunities in the Manyavar segment in the form of kids and accessories. So newer accessories that we launch in the market.

So broadly, we are well poised for growth. Anything that we can do internally, we are taking it up and trying to execute it in the best manner possible. And given all the retail we built up when footfalls are back to normalized levels of sort of -- that we would like to eventually see, then definitely results should be great as all the r

etail KPIs, even in a hit financial year like this, from

conversion to average basket size, average bill value, net promotor score all were actually in the green and growing. So just with footfalls rebounding, I think we should be in a very great space.

Atul Mehra: And then 1 follow -up to that, maybe not this year, but if you think about it from a 3 - to 5-year perspective, which is a more medium - to long term. If you can talk about that, like over there from a 3 - to 5-year perspective, how would you think about in terms of overall growth?

Vedant Modi: The idea for us as a company is the overall mission is to be a dominant player in the entire Indian -wear segment across categories, across genders, across price. So, in order to address that

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the idea is that we scale up Mohey, Twamev and a new brand that we will launch to the second phase of growth and to be a little more mature.

And at the same time, over the course of 3 to 5 years, identify newer categories that we would want to get into. So, the idea really is to execute in the best manner possible for the current new brands that we have, while growing Manyavar and incubating newer brands when and if required.

Atul Mehra: All right. Got it. One just final question on Mohey. You mentioned in one of the earlier questions that the exclusive format in a way, you guys think it's more suited and it's giving you better consumer feedback. Can you talk a little bit more about that? Like do you believe that in terms of Mohey as a segment as an offering, there is a fair bit of confidence on the formats now in an exclusive format maybe some more commentary or some more thinking on that would be helpful.

Vedant Modi: I think there are 2 pieces to this. We are already very confident about Mohey in the Manyavar stores. So, this is something we've been doing for many years now, and we've seen good results coming in from this. The overarching idea behind doing Mohey EBOs was to see how the whole perception towards the brand changes from a women's angle, where they see a store with just women's product. So, we are piloting a couple of stores, and we want to see what the results are before we take a call on how much we want to scale this up. But right now, the core strategy of the company has been the Manyavar Mohey stores, which has continued to perform really well.

Moderator: The next question is from the line of Yash from Stallion.

Yash: My questions are answered.

Moderator: Next question is from the line of Perna Jhunjhunwala from Elara Capital.

Perna Jhunjhunwala: I had 2 questions. One, just wanted to understand the growth for next year, how we should see because the number of days as per our calculation should be lower in next year than this year. And first half, as you mentioned, may not be that great. So, what is your thoughts on growth for FY '25?

Vedant Modi: Perna, while we don't give any guidance as such, what I would tell you is basis wedding days that we see in the Hindu calendar, Q1 is going to be weak given that there are close to no weddings happening in the first quarter of the year. However, quarter 2 onwards, we are very confident about the business, and that is when things should pick up. So that's our overall understanding. And like I mentioned for the questions earlier, given the kind of retail we've built and given the kind of growth strategies we have in place with also strong marketing efforts that we have thought of and put in place for this year, we definitely see good sort of things happening.

Perna Jhunjhunwala: Just a follow-up on this. Have you ever seen that when there has been such a weak demand over the last 6 to 8 quarters in any particular year, and there has been no major purchases, I mean the consumer sentiment has been weak for a longer time. How much time does it generally take to pick up in the overall consumer

sentiment. I mean from the wedding perspective, is there a

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recycle up every 2 years, 2.5, 3 years, 4 years, something on that side, that would help us.

Vedant Modi: The only relatively recent example that we have is FY '17 as a year was very weak in terms of wedding dates. And then FY '18 saw great growth in our case. However, when we look at this year, this is the first time when we've seen wedding has been weak for 5 quarters in a row. So that is something unique that we're seeing this time and how we come out of this would be something that even we see for the first time. So, it's difficult to comment, but the idea is that when we come out of 5 weak quarters, then typically the growth is better in the quarters after that.

Perna Jhunjhunwala: Sorry, I lost you 5 quarters and lost you there.

Vedant Modi: Sorry, I was mentioning that while we don't have any historical example of what is happening right now, there will be 5 weak quarters in terms of weddings in a row. And the anticipation is that the next 5 quarters are quite strong in terms of weddings. So, things should be good post that.

Perna Jhunjhunwala: Okay. Understood.

Vedant Modi: So again, this is a business where demand cannot get destroyed, but it can only move from 1 quarter or 1 financial year to another because weddings in India are poised to happen.

Perna Jhunjhunwala: Okay. And one last is a quick bookkeeping question.

Moderator: May we request you return to the question queue as there are several other participants waiting for their turn. The next question is from the line of Chanchal from Birla. Please go ahead.

Chanchal: Just 1 thing on the demand side and probably on the competition side. I know Tasva and Raymonds I'm quoting two competition. In a category like yours, when people are getting married, marriage is once in a lifetime occasion mostly, people would go out and search and look at various options. Do you think some people has gone to competition. They probably have gone. I don't know how much conversion. How do you see competition playing out?

Vedant Modi: So majorly, I think there are quite a few players that have entered the industry. However, that said, majority of the stores that have opened are in Tier 1, while we were majorly impacted in Tier 2, Tier 3. So, I think that is one big sort of data point for us that some of the things that are happening are not on account of competition, rather, if anything, that is one of the smallest compositions in the sort of numbers that we saw.

Rather the 3 things that we mentioned, one is overall lower weddings, secondly lower consumer sentiments and thirdly the pent-up effect that we had from the previous post COVID year. So, these 3 seem to be the biggest sort of factors in our case, while definitely new players have entered from a factor perspective, it seems to be the smallest factor overall.

Chanchal: No But I don't know whether Raymond has ethnics across Tier 2, Tier 3 or they are opening exclusive stores because having seen Tier 2, Tier 3 city very closely, normally for a marriage

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people would go to Raymond. And there if ethnics are present people would have a look. I'm just trying to understand, if I take a 3 - to 5-year view, will competition also play a role? Or one

way to look at it is the organized market will grow, but the surge cost in the category we're playing is very high. So, will competition be an important thing to look at?

Vedant Modi: I won't be able to comment on any particular player, but broadly, majority of the stores that have opened up are in Tier 1 to Tier 2 plus cities. At the same time, like we mentioned before, the overall Indian wear category enjoys very high moats, given that we've operated in this industry for 2-plus decades, we truly understand consum

er preferences. And that is why we are able to make relevant products for relevant pin codes of the country that allows us to have very low single-digit debt stock.

At the same time, given Manyavar brand being out there for 2-plus decades, our awareness levels are 99% plus basis last consumer market research we've done. So, with all of these strong moats that we enjoy, we are quite confident about our business. And yes, that's all I would be able to say at this point of time.

Chanchal: Sure. So that sounds very confident in thought. Just lastly, if I may, you sounded out that some categories you may look to enter. Have you made a list of other categories which may excite you? Anything you want to call it out?

Vedant Modi: Yes. So, like I mentioned one of the major things that we will do in this year is Project Manthan will be revamped and we will announce this in the next quarter or maybe 2 quarters from now.

And there are more categories that we are planning to enter horizontally through Manyavar brand. As and when we do it, we will definitely announce it. But as of this moment, it is quite strategic. So, we would plan to announce it once it's actually out in the market.

Chanchal: Sure. But mostly it will be wedding related, or it can be other lifestyle category also?

Vedant Modi: It would be wedding related and also relating to accessories that could be used on a daily basis.

Moderator: Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to the management for closing remarks.

Vedant Modi: Thank you very much for the interaction. It's always great interacting with all of you. Looking forward to meeting you in the next quarter. Thank you very much and Namaskar.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2024

Vedant Fashions Limited

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Email: info@vedantfashions.co m | Website: www.vedantfashions.com | CIN: L51311WB2002PLC094677

August 05, 2 024

To,

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Plot No. C -1, Block -G,

Bandra Kurla Complex, Bandra (E),

Mumbai – 400051

To,

Dept. of Corporate Relations

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Fort,

Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q1FY2 5

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated July 24, 202 4

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call with the Analysts/Investors on the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter ended June 30, 2024 , organized and held on July 30 , 2024 , is hereby enclosed and the same is being made available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investors -category/reports -results/earnings -call/>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you ,

For, Vedant Fashions Limited

Navin Pareek

Company Secretary and Compliance Officer

ICSI Memb. No.: F10672

Encl – A/a

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"Vedant Fashions Limited

Q1 FY '2 5 Earnings Conference Call "

July 30, 202 4

MANAGEMENT : MR. VEDANT MODI – CHIEF REVENUE OFFICER –
VEDANT FASHIONS LIMITED

MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –
VEDANT FASHIONS LIMITED

MODERATOR : MR. SAMEER GUPTA – IIFL SECURITIES LIMITED

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July 30, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Vedant Fashions Limited Q1 FY '25 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero, on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sameer Gupta from IIFL Securities Limited. Thank you, and over to you, sir.

Sameer Gupta: Thank you. Good evening, everyone, and thank you for taking time today to attend Vedant Fashions Limited 1Q FY '25 Earnings Call. Without taking more time, let me pass it to the senior management. Over to you, sir.

Vedant Modi: Thank you. Good afternoon, and a warm welcome to all the participants. I am Vedant Modi, the Chief Revenue Officer of the company. Thank you for joining us today to discuss the Vedant Fashions Limited Quarter 1 Financial Year 2025 results. I hope everyone got an opportunity to go through our financial results and investor presentation, which has been uploaded on the stock exchange as well as the company's website.

Vedant Fashions is India's leading wedding and celebration wear company, and our business is predominantly focused on wedding dates. Q1 FY '25 has been a one-off exceptional quarter, with extremely low and negligible wedding dates nationally, thus performing more like a non-wedding quarter.

Further, there have been no wedding dates in the month of May and June, particularly. Hence, we have envisaged the same and planned a retail expansion strategy accordingly spread across the remaining parts of the year. As of June 2024, Vedant Fashions EBO retail area network stands at 1.71 million square feet globally. We have a healthy pipeline for new rollouts planned for the remaining part of the financial year.

In this quarter, we have focused on further enhancing our back-end business dynamics like training, effectively administering our large fleet of retail network, including recent launches of Twamev and Mohey EBOs for providing better consumer experience. Thus, in spite of behaving like a non-wedding quarter also, our KPIs were marginally positive in Q1 FY '25, primarily what I'm talking about here, are core consumer-related KPIs reflecting business dynamics, which were very effective this quarter as well.

In this quarter, we also consciously calculated our marketing campaigns planned across the year, with some social media campaigns and certain category-specific marketing campaigns across brands in this quarter. Further, as expected in this quarter, we witnessed extremely low, almost no wedding dates nationally as compared to the same quarter in last year, which also got reflected in our performance as well.

Sales of our customers for the quarter ended 30th June 2024 was INR3,293 million, respectively. However, with a resilient business model, the company has been able to effectively maintain healthy financial margins and profitability metrics, reflecting robust financial fundamentals. We Vedant Fashions Limited

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expect business to normalize from here on and are optimistic with festivities and wedding season ahead.

With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of our company. Thank you.

Rahul Murarka: Thank you, Vedant. Namaskar and good afternoon, everyone. I'd like to highlight the key financial metrics for Q1 of FY '25 based upon the consolidated financial statements. Q1 of FY '25 was one of an exceptional quarter, with extremely low or negligible wedding dates nationally resulting it to behave like a non-wedding quarter for us. As a r

esult, the business performance during this quarter got significantly impacted.

During Q1 of FY '25, the company reported revenue from operation of around INR240 crores, and sale of our customer is around INR329 crores. The company continues to report industry-related gross margin of around 67.7%. The EBITDA margin is around 47.8% and the EBITDA stood at around INR115 crores during Q1 of FY '25. The company also reported healthy PAT margin of 26.1%, and the profit after tax stood at around INR62.5 crores. Further, the pre IND -

AS 116 PAT margin is approx. 27.8%, computed based upon internal management MIS.

The company has been able to consistently and efficiently maintain strong financial margin and profitability metrics, reflecting resilient business fundamentals. As mentioned earlier, the quarter was very exceptional since it had extremely low or negligible wedding dates, hence it behaved like a non-wedding quarter for us. However, we are hopeful that the worst is over. And now we expect business to be normalized from here onwards, with wedding s and festive season ahead in H2 during this financial year.

Thank you and Namaskar , everyone. We can now move to the Q&A session.

Moderator: Thank you very much. The first question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: Thank you for the opportunity, sir and good job done on the margin front despite the sharp decline in the turnover. So, my first question is with regards to the network expansion. In this quarter, we have also seen not only the absolute store network going down, but we've also seen some cities also being closed. So, in that context, I wanted to understand, one, whether that -- these cities -- we entered these cities quite earlier before the evolution? And the second question with related to this is, are there further store closures planned in the coming quarters ahead?

Vedant Modi: Thank you for your question, Gaurav. So, I'll take this in 2 parts. So, commenting on the first side, the cities that we left technically are Tier 3 cities, right? And the reason we took a call on leaving these is because, in a lot of cases, these Tier 3 cities are dependent on a larger Tier 3 city or, in some cases, a Tier 2 town, where we've opened an especially larger store. So, in one sense, the business has actually moved into the city center, which is not a long drive from the 5 cities we've actually decided to take exit from as of now.

On the other side of things, commenting overall, every retail business has to churn out some of their retail fleet in order to keep the fleet updated and in relevant markets. As part of that exercise, Vedant Fashions Limited

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we closed almost 2%, 2.5% of our retail fleet, and that is the sort of number that we see this year as well that is going to happen.

And as I mentioned in the last earnings call, we already knew that business is going to be sluggish in the first quarter and quarter 2 anyways is a non-wedding season quarter for us. So given these facts, we took a call as a company to majorly focus on store openings, starting in the later part of Q2 and early Q3, which is when a major chunk of our openings are planned. Hence, these numbers are something that we had internally taken a call that this is how we should efficiently manage openings for this year .

Gaurav Jogani: Got it. And the next question is with regards to how the season has been panning out, especially Q2, given the fact that this time around we have around 6 to 7 wedding days in Q2, which normally, there are no wedding days there. So that is one. And the other thing is the update on the new brand that -- the new festive brand that you were planning to launch. Any updates when can we expect that?

Vedant Modi: Sure. So, when it comes to July, we've seen a pretty good July. And overall, this reinforces our confidence in

the remaining 9 months of the year. So, things have been good in July, especially with the couple of wedding dates that also fell in the month. And coming to the festive brand side of things, there has been a lot of work. And internally, the strategy, the product, the brand, everything is ready.

And we expect to launch it before the next time we are meeting on this earnings call post quarter 2. So, within the next 2 to 3 months, we plan to launch the brand. And -- the launch is, in itself, going to be a little soft, mostly focusing on marketplaces and the dealer network. But we will share all the exciting news we have with that brand with all the analysts in the next earnings call.

Gaurav Jogani: Just a follow-up on this one, the festival brand. So, will it be mostly an online and an MBO-led brand? Or will it be also launched in some of the EBOs?

Vedant Modi: So, to start with, for the first year or so, we will only focus on the online part of things and the dealer network. And as the brand kind of gains momentum and we understand exactly the products that are working, we will also definitely evaluate an EBO strategy for the same.

Moderator: The next question is from the line of Sameer Gupta from IIFL Securities Limited.

Sameer Gupta: Sir, firstly, on the wedding dates part in 2H. Now when I look at these various sources available online, I see there are a total of around 45 wedding dates in 2H, and this number was roughly around 42 last year. So, is it just the difference of 3 days which is exhibiting in the confidence? Or is it also a tepid consumption environment, which was there last year, and you don't foresee that happening this year? Just a little bit of clarification on this part, sir.

Vedant Modi: I think there are 2 sides to this answer. Now like I've been mentioning continuously, wedding dates is not directly proportional to the number of weddings that happen. And I'll explain some more nuances to this side. If you look at last year, last year, there was -- shraadh was in October.

And weddings were also in the later part of November, I think the first wedding date started from 24th, 25th November. And because this year, things are normalized, the first wedding date actually starts in the early part of November, which is 11th November or so. And hence, the business will also flourish in the entire month of October.

So, it's not just on the exact date, but how spread out the dates are as well. So last year, we only got about 4, 4.5 months to do business. Whereas this year, we will get a complete 6 months to do business in quarter 3 and quarter 4. So that is a more important point for us than just the pure quantity of dates, which are quite sufficient if you look at H2 overall.

Sameer Gupta: Got it, sir. Is there a difference in consumer behaviour also, where dates are like bunched up together versus spread out?

Vedant Modi: Again, this is very difficult to answer exactly. But when the dates are bunched up, this leads to a very high traffic in a shorter amount of time, which is unfavourable in some cases. So, it is always better when things are slightly more spread out. So not getting October as a season for shopping is very rare in our case.

Because typically, we see a great October, followed by an amazing November and a decent December, which was not the case last year. However, as I mentioned, Diwali is early, and hence, the wedding season starts early, so we should see good traction in October as well, helping things be a little smoother and longer overall.

Sameer Gupta: Got it, sir. Just one more question from me. We've seen a sharp decline in other expenses, even if I call out job work, it's around a 22% decline this quarter. And a large part of this is ad spends and variable trends. So -- which would imply that you might have cut down on ad spends materially this quarter

and this amid rising competition in this space. Just a color on that.

Vedant Modi: Sure. I'll take the ad spends part. So, we had a strategic thinking around overall branding and marketing. And we've, this year, decided to hire a new partner. So, we have one of India's best creative agencies that has now come on board as a partner to help us strategically rethink our positioning and the way we do our campaign. And we wanted to kind of focus on the core hygiene pieces of A&P in the first quarter, from 2 perspectives: one, as we get the strategy right, for the largest season; and two, as we already knew that the wedding quarter is not something which is great.

So, we wanted to save money for the later part of the year. So that's how we've kind of thought of marketing budget this year where we'll heavily spend in the remaining parts of the year and focus on only the hygiene sides of A&P in the first quarter. Rahul, would you like to add anything on the other side?

Rahul Murarka: No, I think that was the major reason for decrease in other costs advertisement.

Vedant Modi: Okay.

Moderator: The next question is from the line of Ayush from Shravas Capital.

Ayush : Sir, I just had one question. This was mainly , right? So, do you see any consumer slowdown across the wedding segment, like from unorganized players as well, because you've been in touch with other people as well, right, from your industry? Or is it just that maybe we are losing share is what I'm trying to understand.

Vedant Modi: Well, if you look at -- so we work with the top dealers across the country. And I think these top dealers are the best representation of the unorganized side of things as well. So, I'll take your question in 2 parts, right? If I look at how the dealer network of -- our own dealer network was performing in the last couple of quarters, it was always a lot weaker than our EBO performance. So, our MBO is about 3 % to 4% of our sales, compared to 92% of it being from our exclusive brand outlets. The 3% to 4% channel was always weaker throughout the year and last couple of quarters.

However, based on the booking that we saw last quarter, that shows us good confidence in the dealer network as well for all the orders that will be shipped pre -Q3. So, I think that sense of excitement is also coming back across segments in markets showing that things should be positive as we move ahead.

But from your perspective, as we saw our ASPs only rising in the last year and the last few quarters also. There was no down -trading. People were buying slightly more and buying decently more expensive things at our stores. That gives us confidence that there was most likely no market share loss to the unorganized segment.

Ayush : Understood. Also, just one more question. The new stores that have opened, right, like, let's say, Mohey and Twamev, the stand-alone stores that you have opened separate from the main brand, could you just give me an idea or flavour as to how in July they are coming through -- how the sales are coming through in those stores, just to get an idea as they're actually coming through and revenue throughput is coming through?

Vedant Modi: So, all the stores that we've opened when it comes to Twamev and Mohey, we've tried to focus on the best wedding markets of India. And these are markets that we truly understand. So, across the new doors, performance has been pretty good. Especially with Twamev, Twamev being a premium offering, that is where people tend to shop throughout the year as this target audience actually purchases a little more well in advance compared to the Manyavar audience. So, we are seeing pretty decent numbers coming in from all the new stores that we've opened.

And qualitatively, as well, we've seen great conversion rates, especially looking at it from a new brand perspective. On top

of that, consumers have had great things to say about our stores. The average Google review of the new Mohey and the new Twamev stores are all averaging at about 4.8, 4.9. So, from all consumer metrics point of view, things have been very good when it comes to the new brands.

Moderator: The next question is from the line of Varun Singh from ICICI Securities.

Varun Singh: Sir, just wanted to understand on the number of store closures, if you can -- if you want to highlight like absolute number of stores that we would have closed, given what you understand is net closure stands at around 26, 27 in India.

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Vedant Modi: Right. So, if I speak about the overall closures, there were about 23 stores that we've closed. But most of them were actually replacements that were either replaced in the last year or the new store will be opened in the next 2 to 3 months. The actual absolute closures that we've done were typically stores under 800 square feet, where we felt that the market has shifted from the area, we were operating in, and it did not make sense to replace this with a larger or a better experience store in the same market.

So as I was mentioning earlier, in any retail company, there has to be a very small percentage, in our case, which is about 2%, 2.5%, that remains the kind of fleet size that we will close every year because the market dynamics can shift from making the market move from, let's say, one older market to a relatively new market in the city.

Varun Singh: Understood. Understood. In that context, like the retail expansion aspirations that we have of 14% to 15%, I mean, is there any change to that context on net area addition basis, if you want to highlight?

Rahul Murarka: So, we have planned our -- as Vedant had explained earlier, we have planned our expansion majorly in the later half of the year. That is from H2 onwards. So -- and we feel that we will be able to achieve our plans and target, what we have targeted for the H2. And Q1, we have kept it -- we have not opened much because we knew that it will behave like a non-wedding quarter as we were expecting. So, we feel that we will be able to achieve what we have planned for the financial year in H2.

Vedant Modi: So again, like it comes to business development, we have a 3 - to 4-year plan when it comes to business development. So, things might move from 1 quarter here and there. But at an overall macro level, things are pretty well aligned.

Varun Singh: Got it. Understood, sir. And just one last question on Mohey, like incremental -- incrementally, how is the stand-alone store is doing? Sir, if you can give some color on that.

Vedant Modi: Yes. So, in terms of the Mohey EBO that was opened in Jayanagar, we've seen great response from the consumers. The conversion rates are very healthy. And on top of that, we've seen good inventory turn ratio as well. And overall, all the retail KPIs that we've been witnessing have been positive.

However, as the store has only seen a few months, and all these few months in relative terms were not the best of the wedding season we've seen, I think we will be in a much better position to comment on the overall performance as we even see 1 full quarter of great business. So, after seeing Q3, we will be in a much better position to speak about how the overall performance of the EBO is.

Moderator: The next question is from the line of Nihal Jham from A mbit Capital.

Nihal Jham: One question was that we've obviously exited 5 cities. I just wanted to get a sense from you that when you look at, say, brand Manyavar, what is the kind of city potential that you see. Because at least say for a brand which is still 15 years old, wouldn't believe that you may need to leave certain cities. So, I just wanted to get your comments on that.

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Vedant Modi: Yes. Sure, Nihal. So, there are 2 sides to this question. So broadly, what we understand is the potential today lies in any town or city with more than 1 lakh population or a catchment of towns and cities that give us more than 1 lakh of population. So that is the kind of focus market that we have. Today, I believe this number would add up to about 250, 300. But as the new census report comes out, I think this number should be somewhere closer to 400. So that is our overall understanding as of today within India.

On the other side of things, like I was explaining, that we have taken a strategic call to not open a lot of stores in Q1 and early parts of Q2. And the 5 cities that we've left per se is majorly on account of having a better store in the nearby market of a town. So technically, the residents of the towns we left were going to another town. So technically, while it shows we've left 5 cities, it's actually a replacement in practical terms. And these replacements had taken place before this quarter.

Nihal Jham: Understood. And just final question on this was that in your plan for, say, the next 6, 9 months, what would be the approximate number of new cities that you are seeing...Just a follow-up to that was that in your plan for the next 6 to 9 months for FY '25, how many more cities are you planning to enter into, if you have that at this moment?

Vedant Modi: At this moment, I will not be able to comment on exactly the number of cities we are planning to add. But overall, what we've been kind of commenting as well is that Tier 1 has shown decent performance, whereas the major laggard has been Tier 2 and Tier 3. So, it is the kind of movement that we're seeing in the industry. And just adding on top of that, July is actually the first time that Tier 2 and Tier 3 has actually outshined Tier 1.

So, this is giving us great hope in terms of the potential that Tier 2 and Tier 3 is bringing back. So, because of the earlier months, we were kind of slowing down openings when it comes to Tier 3 and Tier 4 cities. However, if the trend that we see in July continues, we will definitely try to enter a larger number of cities than planned initially for the year.

Moderator: The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities.

Tejas Shah: Just one question on competitive landscape, I believe you briefly touched upon competition from unorganized. Just wanted to know how the competition from organized segment is shaping up and what's your read of being that competition around for at least a year now?

Vedant Modi: Sure. So, I would like to highlight an internal study that we have taken up. So, we evaluated every single organized retailer in this industry that has more than 10 stores, and we plotted every store that has opened in the last couple of years across India. And what this study showed us is that when we compare the performance of our own stores that are next to any competition that has opened up, versus the performance of the city from a like-to-like perspective, then the stores that are actually next to the competition have a 4% delta. At the same time, there is about 15% to 20% of our cities where competition has opened up.

Even when we compare the performance of these 15% to 20% cities versus the remainder of our fleet, what we see is that these cities where competition has entered again has a 4% delta, which is positive in terms of like-to-like. So, these stores were actually less impacted. So majorly, what

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we understand from this data is that the entire sort of reason why we've seen impact has been on account of weddings majorly. And there is definitely a little bit of impact of consumer sort of behaviour and the overall economic conditions that we've seen in the last couple of quarters, but majorly on account of weddings.

Tejas Shah: O

kay. And just one question, it's more of a seeking an insight from you rather than a question. We have seen it in Tanishq journey of last 20-odd years that when we opened very large stores initially, consumers were daunted, or it was intimidating for at least upper middle class to kind of step into the store.

When we are consolidating our smaller stores in fear of large stores, what is your observation? Is this -- are you thinking that there's a marginal customer who is kind of not coming because he is not used to such larger stores?

Vedant Modi: I think this is a very interesting question that you've asked. And this is something which we typically also hear from some of our traditional partners as well. But when we kind of track data of moving from a smaller store to a larger store, we've not seen this happen practically as much. Even when we have a smaller store next to a larger store, what we see is more about ticket size. So, someone who just wants to buy a kurta, might be going to the smaller store still. But anyone who wants to buy anything more than a kurta wants to experience the larger store.

So that is the kind of thing which we witnessed right now. But people who are in the wedding market are buying brand in many cases for the first time. So, they are expecting the grand experience. And I think the Indian consumer is a lot more confident than they were in the last decade or so. And their entire mindset has also evolved.

Moderator: The next question is from the line of Archana Menon from Morgan Stanley.

Archana Menon: Just a few questions from me on the store closure part. Firstly, do you think -- while I understand the shift because of the demand environment, do you think for the full year you will still sort of maintain the 15% to 17% retail area addition that you usually do? The second point to the store closures also, how does this impact the franchisee level relation. Are these the same franchisees who have opened stores in the larger towns? Also, would there be any inventory write-down that you would need because of this?

Vedant Modi: Sure, I'll take the couple of first parts of the questions. So, when we look at the full year, we have a very decent pipeline for store openings starting at the later parts of Q2 and then overall in H2. However, while the overall expectation from our end is to ensure that all the stores are open, things didn't move from 1 quarter to another.

However, at the midterm level, if I wasn't talking 2 to 3 years or 3 to 4 years, the pipeline is very healthy, and that is sort of the 14%, 15% sort of a number is where we aim to be when it comes to store openings from a square feet percentage perspective.

From your second question perspective, there are 2 kinds of stores. One which is majorly replacement. So, in a lot of cases, these are the same partners that are replacing the store, moving

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to a better place in the market or moving to a better part in the city. And in some case, that we've taken a call to move out of a very small Tier 3 town.

These again are stores where we've been operating for more than 6, 7 years. The partners have made decent money and now we've taken a call to exit that market and move to a slightly more modern market, where consumers are now willing to go over the market we've exited.

Archana Menon: Understood. And on the inventory write-off?

Vedant Modi: Rahulji, if you would like to kind of...

Rahul Murarka: So, we have been able to efficiently monitor and maintain the inventory levels effectively during all the periods, even in Q1. And our dead stock has been pretty negligible. So, from that prospect, we don't see any change at all.

Archana Menon: Got it. Just one final question from me. Just a bookkeeping number. Would you have an update on the number of franchisees or share of revenue from franchisees who have more than, s

ay, 2

stores?

Vedant Modi: I don't have the number at the top of my head. We are happy to share it with you after the call. But it has increased over the last couple of years, because we've had a very large focus on growing with our existing partners. So, this number has definitely grown, but we will share it with you after the call.

Moderator: The next question is from the line of Chirag Lodaya from ValueQuest.

Chirag Lodaya: My first question is on Mohey. So, what is the EBO rollout plan for this year?

Vedant Modi: Sorry sir, I couldn't fully understand your question, because I couldn't fully listen to it.

Chirag Lodaya: What is the EBO rollout plan for Mohey brand?

Vedant Modi: So, we've opened on a high street flagship EBO for now. And at the same time, we've opened a couple of mall EBO stores for Mohey. And the pipeline for Mohey and the focus for Mohey is to find the best stores in top 5 to 6 wedding markets of India. So, by the end of the year, we expect to open a few, and some of them will be opened in early parts of next year. So that is the kind of focus we have.

The goal is to be available across different regions and across different tiers so that we're able to understand how the Mohey EBO performance will be from a future perspective. So, the goal is to try out every kind of business development opportunity out there as part of the pilot for Mohey EBOs.

Chirag Lodaya: Okay. And in terms of composite stores, in how many stores you would be present today?

Rahul Murarka: 150-plus stores would be there.

Chirag Lodaya: Okay. And there -- are there any plans to add more in existing locations?

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Vedant Modi: Yes. So, if you look at last year, Mohey -- so Manyavar Mohey, when we look at that concept and we look at the square feet that was opening in Mohey, so Mohey grew by 40% in terms of

square feet last year.

Chirag Lodaya: Okay. So out of total square feet addition, 40% was towards Mohey?

Vedant Modi: No, sorry. That's not what I'm saying. I'm trying to say if Mohey was x square feet in FY '23, then in FY '24, we were 1.4x.

Chirag Lodaya: Got it. And second, I just wanted to understand, out of the total network, what percentage of network would be on COCO or FOCO, where we would be paying the rent?

Vedant Modi: So, COCO is very negligible. There's about 5, 6 stores in Calcutta (Kolkata) that are still on COCO. These are the older stores that we have, and we've kept them more from a traditional aspect and the historic angle. Majorly what we operate on is FOCO and FOFO. And when we talk about the store where we pay the lease cost, about 65 % of our revenue comes from these stores. And the remaining 34%, 35% revenue comes from stores where it's a full FOFO model.

Chirag Lodaya: Got it. Got it. And just lastly, on A&P and pricing. So, is there any pricing change you would have taken this year?

Vedant Modi: So, there have not been any direct pricing as such. But at the company level, our ASPs have slightly grown. This is majorly on account of Mohey and Twamev being on a lower base and growing faster, and both these brands have a higher ASP than Manyavar.

Chirag Lodaya: So, like-to-like pricing is similar?

Vedant Modi: Like-to-like pricing is very similar, yes.

Chirag Lodaya: Right. And just lastly on A&P, if you can call out the number, what was the spend in this quarter versus base quarter?

Vedant Modi: This quarter was a negligible sort of A&P. We did about 2.5%, 3% in terms of A&P. And typically, this number is 5% to 6%. And the major reason is because we were not expecting a very grand wedding season, so we wanted to save up and focus majorly on H2.

Moderator: The next question is from the line of Mithun Aswath from Kivah Advisors.

Mithun Aswath: Just wanted to get a sense of what kind of opportunity size do you see in Twamev because it's catering

to a higher -end sort of market? And what are the current revenues you're getting from that segment? And where you see this going over the next 2 to 3 years?

Vedant Modi: Well, if we look at Twamev, Twamev caters to an audience that typically falls in the income bracket of about, you could say, INR50 lakhs to about INR4 crores rupees annually. And this segment in India, while small, has a lot of spending power.

So overall, we estimate about 15% to 20% of the overall market in the next 3 to 4 years falling in the Twamev PG audience. That is why we've planned to invest a lot of money and time into Vedant Fashions Limited

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this brand. And we've been seeing very good numbers over the last couple of quarters since especially we started to open EBOs.

While we don't give out to Twamev's numbers, particularly, what I can tell you is that the growth has been a lot faster than the company average. Hence, the share of Twamev as a percentage of company's revenue has been increasing quarter -on-quarter and year-on-year.

Mithun Aswath: Yes. Also, I just wanted to understand, are the margins also higher here?

Vedant Modi: Well, there are 2 sides to it. While you could say the absolute margin, we make on any product is higher, however, the gross margins today are slightly lower than the company average. And as the brand starts to scale up, the goal is to reach the company level average.

Mithun Aswath: Right. But do you scale up plan in terms of number of stores of Twamev from currently to where you want to get to over the next 2 to 3 years.

Vedant Modi: Absolutely. So today, we stand at about 5 -odd stores. There are 3, 4 more stores in the pipeline currently. And the goal is to first start operating the store in the top 30 wedding markets of India, which is a position we want to be in the next 2 to 3 years. And when we say 30 markets, all these stores are super flagship stores, so very big in size and have a grand facade and ideally positioned in the best place of the market. Hence, finding these stores is a little more difficult. But the idea is when Twamev enters the market, we want to be the largest premium wear brand in that market.

Mithun Aswath: Sir, last question. I really need to commend your kind of your service quality in your store.

Moderator: I request you to come back for a follow -up question. The next question is from the line of Prateek Pareek from ICICI Prudential Life.

Prateek Pareek: So, my question is on specifically your July performance, which you've said that July has been better. And if can you quantify how has been the SSSG performance in the month of July only?

Vedant Modi: Unfortunately, this is something we will have to wait for till the next earnings call. But qualitatively, it has been pretty good.

Prateek Pareek: Can we say it has turned positive, if not quantitatively?

Vedant Modi: Yes. I mean from a July -to-July perspective, SSSG right now is positive. But I don't want to get into the specifics of it at this time.

Prateek Pareek: All right. All right. And second question is on Q2 performance. Obviously, I'm not asking for

the forward -looking statement. But since this time around we've seen that the festive is a bit early. So, isn't it that your performance improvement expected to improve from Q2 itself rather than hopes hinging on the performance improvement from H2? What's your sense?

Vedant Modi: Yes. So actually, there are 2 sides to it. While definitely, we are striving towards improving the numbers starting Q2 itself. The reason we are mentioning H2 a little more is, if you look at the base of Q2, the base in itself is small. So even if there is growth, the major chunk of numbers

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actually lies in H2. And that is where even a little bit more growth is more important to be delivered, hence, the more focus on H2 numbers versus

Q2.

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj FinServ AMC.

Sabyasachi Mukerji: I have a question. Just to understand a bit more on this wedding dates, how spread out it is or how bunched up they are and its effect on sales and consumer behaviour. I presume we have around the bride plus groom sales about 45% odd, with the non -groom sales is about 30%, 35%, and balance, 20%, comes from about festivals.

So just to kind of connect the dots. Let's say, if the wedding dates are bunched up, then the non -groom sales go down, that 30%, 35% sales go down because people are probably not able to attend more weddings because multiple weddings are happening on the same day. And hence, it is better to have a well spread -out marriage season rather than a bunched -up season where sales might -- from our prospective sales might get impacted because our non -groom, non -bride sales get impacted. Is that a fair understanding or...

Vedant Modi: So partly, yes, I would say. But see, the thing is that even when we say that it's wedding attendee -related sales, these sales are more focused on the very immediate family today. Those are the guys who are buying new clothes when we talk about the kind of TG that we are catering to, not the casual wedding attendees. That doesn't make the larger chunk.

So, the only benefit that spread out dates give us is that there are more days to serve consumer, and hence, the stores are able to cater to a higher number of individuals overall. So that is the advantage of that.

And -- but at the same time, I would not say that because people are not able to attend weddings which are on the same day, because typically, people who are just attending a wedding and not the immediate family, today are not buying new products to go to a wedding. That is the endeavour of our company, that we get to a position where everyone attending a wedding is also wearing Indian wear.

Sabyasachi Mukerji: Okay. Okay. So just a follow -up to this is -- when you say that -- when wedding dates are bunched up, then people turn out in the store and there is obviously a capacity constraint. Maybe at this particular time, a store of yours can't hold a certain number of people more than that. And that is why we are probably opening up larger store. Is that the thought process?

Vedant Modi: Correct. Especially -- so the mindset that we have with larger stores is that we have a benchmark number in our systems. If productivity of a certain store is hitting certain thresholds, that means we are losing out on a certain percentage of business. And that is when we take the call of opening a larger store in that market.

Sabyasachi Mukerji: Got it. Got it. Very clear. Lastly, on the July trends that you mentioned that Tier 2 and 3 has somehow come back in terms of wedding sales and all. Any more colour on this? I mean compared to Tier 1 or metro, how good the Tier 2 or 3 sales have been in July?

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Vedant Modi: As much as I would love to speak a little bit more about it, I think the only reason I would kind of not give more details on this is because July is a very small period to make assumptions on and plus the base is also pretty small. But overall, what we've seen in July, qualitatively, Tier 2, Tier 3 has outperformed Tier 1. And overall, all 3 tiers have grown.

Moderator: The next follow -up question is from the line of Mithun Aswath from Kivah Advisors.

Mithun Aswath: I was just trying to commend you on the kind of service quality is there amongst your stores, they are much, much better than their competition. I just wanted to understand how do you maintain that service level amongst your staff, which is kind of homogeneous across your stores. Because I've tried to do a survey amongst your competition as well, you still stand out quite a bit. So -- I'm just saying that

is a big differentiator. How do you maintain that? And do you see some sort of stress because of people being poached? Or -- just wanted your thoughts on that. I

just wanted to understand.

Vedant Modi: Thank you very much for the compliment. And I think it's majorly because of the mindset with which we do retail. Our entire training is around consumer service, and that has been the major focus from day 1. And we've sort of adopted a lot of internal policies. So, this is something we picked up from one of the CEOs of a hospitality company and made it one of our mottos in retail training as well that the co-product that our retail team is actually serving for is a smile to the consumer. Anything else is a supplementary product.

So, we've kind of focused on certain ethos in the company that has allowed us to get to where we are. Plus, at the same time, with our franchisee partners, we behave like a family. We have very flexible policies. And what we understand happy franchisee partners result in happy fashion advisers, and happy fashion advisers result in great service to the end guests walking in.

Mithun Aswath: Yes. I'm just trying to understand how do you maintain that? How do you monitor this -- that consistency?

Vedant Modi: No, there are 3 sides to this as well. So one is that we have a large team of about 50 people on the ground by the company who are responsible for training all the people at the stores, and ensuring everything we learn from one store becomes a sort of a learning for all the other stores. So that is one side to it.

The second is we have a very strong franchisees scorecard system. And majority of the points in this score card are linked to consumer experience -based KPIs. So again, we monitor this very closely. And the endeavour is that every franchisee should be above 80%.

However, in case franchisees fall below 60%, then we put them in a training plan. And after multiple quarters if this plan does not help them improve, then we replace them with a franchisee who we believe will provide better consumer experience. On the third side of things, we also have our internal auditor do mystery audits. We also have a separate retail team doing just mystery audits. And on top of all of these, there's a lot of tech intervention that is happening now. So, what we've done is we've tied up with AI vendors to have our cameras now being powered by AI that throw back some consumer experience data.

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We've also now launched a training app. So, by the end of this quarter, we will have a training app in the hands of every single fashion adviser in the country, with new training being deployed to them on a daily basis. So that will also sort of remove all the Chinese whispers that exist in the retail industry, and the training team will be directly able to talk to our fashion advisers. So, a lot of initiatives overall from a mindset and execution perspective happening over the years that sort of lead to high service levels.

Moderator: The next question is from the line of Rishi Mody from Marcellus Investment Managers.

Rishi Mody: Just first on the accounting side of things. Your employee cost is down Y-o-Y. Is this something you want to highlight some qualitative comments on this?

Rahul Murarka: Yes, sure. So, there are 2 elements to the HR cost. One is normal HR cost and then there's a director remuneration. So, the normal HR cost is increased by 11%, and director remuneration has actually gone down because there was a revision in the structure from July onwards last year. So that is the reason. But overall, other than director remuneration, the HR cost has gone up by 11%.

Rishi Mody: Okay. Got it. And on the other expenses, you said the major component is ad spends being reduced to half their spend. So, any other expenses that you've backed? And secondly, for the full year, do we maintain

the 5%, 6% trajectory for ad spends, and hence, we go overboard in Q3? Or for the full year, we won't be able to spend that much, or we won't be needing to spend that much?

Vedant Modi: So, Rishi, again, we'll try to be as efficient as possible. But I would say that 5% to 6%, I think, is broadly something at a yearly perspective which we would still look at from an A&P perspective. But if we see something is not required, we will not do it. But I still think that from a planning perspective, 5% to 6% is a good number to assume for the year.

Rishi Mody: Okay. And apart from ad spends, any other costs that have come down on a year-on-year basis in absolute sense for the quarter?

Rahul Murarka: If we compare with Q1 FY '25 vis-a-vis Q1 FY '24, ad spend was the major component, I will say. It went down by INR98 million out of INR116 million drop in other costs. So majority was advertisement only, and there are other costs which are not very major, which has gone down.

Rishi Mody: Okay. All right. Second, I wanted to understand, you mentioned that you changed the ad agency. What's the reason for that? Because you all have built a pretty good narrative till date around your Taiyaar Hoka Aaiye and all those things that you all have built out in Manyavar Mohey and all. So just wanted to understand what's the rationale?

Vedant Modi: So, the thought process was to -- just more evolved. So, I think the way our marketing team used

to function earlier was we would collect strategy and insights internally and then our partners would help us create great ads. But we wanted to become more mature in our thinking, have multiple people in the room who are part of this conversation, who challenge us in our thinking. And that is the main reason why we decided to go ahead and move to a more strategic marketing partner overall.

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Rishi Mody: Okay. Any other clients that this new ad agency has worked with, some work we would have seen so that we can...

Vedant Modi: Yes. We have a large evaluation. We met probably every single top agency in India. And -- so we've signed up with McCann. I think you can check their work online. They work for a large number of global brands.

Rishi Mody: Okay. All right. Finally, just wanted to understand, you mentioned in the past calls, right, and I think someone also raised this issue, where when Q3 gets bunched up, the weddings actually don't happen in the same quantity because of some wedding hall infrastructure issue in the country and all.

So just wanted to understand, are we going to face the same issue in Q3, and hence, the expectation needs to be moderated for Q3, Q4? Or are you thinking that the infrastructure will be there, the new stores with the larger sizes will be able to handle the customer footfall, and hence, for the full year, we'll be able to go back to the INR10,000 sales per square feet? Just wanted your understanding on this piece.

Vedant Modi: Yes, Rishi. So, our understanding is that from currently what we hear from the market, the kind of confidence we see in all the people of the industry, we don't see any challenges for the remaining part of the year. I think we are quite hopeful, motivated and excited all at the same time for how things should be in the remaining 9 months of the year. Both from a number of weddings perspective, and I think we've invested a lot in our own infrastructure as well to cater through all the demand that possibly could come to us.

Rishi Mody: Okay. And we will be back to, say, FY '23 productivity levels? Because last year also, we declined in productivity, so just trying to understand whether the -- hello, can you hear me?

Vedant Modi: Yes, we can hear you.

Rishi Mody: Yes. I am just saying should we be taking FY '23 as the base to build on or FY '24 as the base to build on for the full year?

Vedant Modi: While I

don't want to give any guidance, I think our strive is to do every possible thing we can internally, be it the best -in-class assortment to the renewed, refreshed marketing plans, a lot more efficiencies in our media channels, the best -in-class retail operations team. So, I think we're doing possibly everything we can as management and overall, as a company, in order to drive towards that growth. But it is very difficult for me to give you a quantitative number to this.

Rishi Mody: So, like I'm just asking, what are you internally benchmarking your productivity against? Is it the FY '24 numbers or the FY '23 numbers?

Vedant Modi: I think the way we read reports is majorly Y-o-Y. So internally, that's how we look at things. So, it's more from a last year comparison rather than an FY '23 comparison. However, definitely, we would like to keep benchmarks from a productivity point of view as high as possible. Difficult to say if we'll get there this year. But the aim and the endeavour is always to have the highest possible productivity we can.

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Moderator: Ladies and gentlemen, we'll take this as the last question. I now hand the conference over to Mr. Sameer Gupta from IIFL Securities Limited for closing comments.

Sameer Gupta: Thank you, everyone, for participating in this call. I will just hand over to the management for any closing remarks that they have.

Vedant Modi: Thank you very much for attending. It's always great interacting with all of you. Positively, as a company, we will do every single thing possible in order to ensure that we make the most out of the remaining 9 months and looking forward to interacting with all of you again soon.

Rahul Murarka: Thank you.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

Vedant Fashions Limited

Registered office: 19, Canal South Road, Paridhan Garment Park, SDF-1. 4th Floor, A501 -A502, Kolkata: 700 015, Phone: +91 3361255353

Email: info@vedantfashions.com | Website: www.vedantfashions.com | CIN: L51311WB2002PLC094677

November 05, 2024

To,

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Plot No. C -1, Block -G,

Bandra Kurla Complex, Bandra (E),

Mumbai – 400051

To,

Dept. of Corporate Relations

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Fort,

Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q2FY25

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated October 23, 2024

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call with the Analysts/Investors on the Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half -year ended September 30, 2024 (Q2FY25), organized and held on October 30, 2024, is hereby enclosed and the same is being made available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investors-category/reports-results/earnings-call/>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you,

For, Vedant Fashions Limited

Navin Pareek

Company Secretary and Compliance Officer

ICSI Memb. No.: F10672

Encl – A/a

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"Vedant Fashions Limited

Q2 FY '25 Earnings Conference Call "

October 30, 2024

MANAGEMENT : MR. VEDANT MODI – CHIEF REVENUE OFFICER –
VEDANT FASHIONS LIMITED
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –
VEDANT FASHIONS LIMITED

MODERATOR : MR. ANAND SHAH – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Vedant Fashions Limited Q2 FY '25 Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anand Shah from Axis Capital Limited. Thank you, and over to you, sir.

Anand Shah: Thanks. Hi, everyone. And on behalf of Axis Capital, I welcome you all to the Vedant Fashion's Q2 FY '25 Earnings Con Call. We have with us from senior management, Mr. Vedant Modi, Chief Revenue Officer; and Mr. Rahul Murarka, Chief Financial Officer. So I'll just pass over to the management for opening remarks. Thanks, and over to you, sir.

Vedant Modi: Thank you very much. Namaskar, and a warm welcome to all the participants. I am Vedant Modi, the Chief Revenue Officer of the company. Thank you for joining us today to discuss the Vedant Fashions Limited Quarter 2 and H1 FY '25 results. I hope everyone got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchange as well as the company's website.

Vedant Fashions is India's leading wedding and celebration wear company. With the onset of the second quarter period, as expected, business has resumed to normalcy, which also got reflected in our performance. Sales of our customers for the quarter ended 30th September 2024 was INR3,341 million, which strongly grew by approximately 24% over the quarter 2 of last year. All retail KPIs also corresponded to the same with decent growth.

During the second quarter of FY '25, the company recorded strong SSG of about 17.3% compared to the last year's second quarter. Performance in the first half of the financial year '25 was not identically comparable due to the first quarter of FY '25 being a one-off exceptional quarter with extremely low and negligible wedding dates nationally.

In the first half of FY '25, sales of our customer was INR6,634 million. Moreover, in terms of our network expansion, we envisaged that we will have a weaker first quarter period, resulting to negligible rollouts in the first half of the year. However, we expect better expansion in the second half of the period, although there shall be certain rollouts getting spilled over to the next period.

As of September 2024, Vedant Fashions' EBOs retail area network stands at about 1.7 million square feet globally. Over the past few months, we have focused a lot on marketing strategy to further enhance our brand's positioning and appeal.

We have worked meticulously on our strategy and campaigns across brands and have onboarded prominent celebrity, actress Janhvi Kapoor, as brand ambassador of our women's wear brand Mohey. The new campaign, Jab Aap Taiyaar, Hum Taiyaar, also features other actors like Parul Gulati and reflect the shift in how marriage is perceived by today's women.

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It's more about personal empowerment, readiness and focuses not only on the bride but also on her bridesmaid's exploring their own thoughts and feelings about marriage. Mohey is a companion to every woman's journey, ready to celebrate her individuality and choices when she feels it's the right moment. This also empowers the movement of Mohey from being just a bridal wear brand to being a brand for wedding wear for all women.

Moreover, our Manyavar campaign have redefined Indian weddings along with its cultural richness, reflecting the truest essence of a wedding in an Indian ethnic attire by making the brand as synonymous with

h the category. With our new campaign, Aap Kab Ban R ahe Hain Manyavar?, it explores the emotions and transformations that men experience on their journey from a boy to a groom as they transition from being relatively adolescent to a more mature man with empathy and responsibility, thereby embracing love and deeper bond.

We are happy to announce that we have successfully launched our new brand, Diwas by Manyavar, catering to festivities and celebrations across. Diwas by Manyavar is designed for the young Gen Z India with hopes, dreams and aspirations at heart, thereby offering stylish and fashionable kurtas, so people can truly own their individuality.

We are proud to be a digital first brand available across leading marketplaces and our own D2C website. We've also received a very good response, traction and feedback from the market. With Diwas, it is just the beginning of a new chapter in the celebration wear space. And this, together with our other flagship brands, reinforces Vedant Fashions as a house of brands for all weddings and celebration wear needs of a family.

Thus with business normalizing and festivities around coupled with wedding seasons ahead, we are fully geared up with the best inventory, world -class auto replenishment system and robust back -end dynamics to further foster our growth in the periods ahead.

With this, I will now hand it over to Mr. Rahul Murarka to take you through our financial performance. Thank you very much. Wishing you all a very happy Diwali and hope you all are dressed in the best ethnic attire throughout the festivities.

Rahul Murarka: Thank you, Vedant. Namaskar, and good afternoon, everyone. I would like to highlight the key financial performance metrics for the quarter and half year ended 30th September 2024 based upon the consolidated financial statement.

Starting from Q2 FY '25 performance update. The company reported revenue from operation of around INR268 crores, delivering a strong growth of 22.7% over Q2 of FY '24. The company continues to report industry -leading gross margin of 67.9% and healthy EBITDA margin of around 45.4%. The reported PBT during Q2 FY '25 is around INR90 crores, which has significantly increased by 39.3% compared to Q2 of FY '24.

The company reported a healthy PAT margin of about 25%, and the profit after tax stood at around INR67 crores with a significant growth of 37.3% compared to Q2 of FY '24. During Q2 FY '25, sale of our customer was around INR334 crores with a strong growth of around 24% over Q2 of FY '24. The company also achieved strong SSG growth of around 17.3% over Q2 of FY '24.

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Now coming to H1 of FY '25 performance update. During H1 FY '25, the company reported revenue from operations of around INR508 crores while the sale of our customer is around INR663 crores. The company continues to report industry -leading gross margin of around 67.8%, along with healthy EBITDA margin of around 46.5% during H1 of FY '25.

The company also reported healthy PAT margin of 25.5% and the profit after tax stood at around INR129 crores. Further, the pre -Ind AS 116 PAT margin is approx. 27.2% computed based upon internal management MIS.

During trailing 12 months September '24, the company continued to report healthy cash conversion ratio of approx. 74%, which has been computed based upon operating cash flow over PAT during trailing 12 months.

As expected, with the commencement of Q2 of FY '25, our business has started normalizing, which also got reflected in our performance during the period. Considering the festivities around and wedding season ahead, we are very hopeful and positive for the upcoming period.

Thank you, and namaskar, everyone. I wish all of you a very happy Diwali. We can now move to the Q&A session.

Moderator: Thank you very much. The first question is from the line of Gaurav Jogani from JM Financial.

Please go ahead.

Gaurav Jogani: Congratulations on a strong set of numbers. My first question is with regards to how the Q3 has started for you. Given there has been a mixed feedback in terms of demand for most of the consumer companies, so any sense of how the festive period has started for you and how the season is looking ahead?

Vedant Modi: Thank you very much for the question. So as I kind of mentioned in my opening remarks, we feel that business has come back to normal, and we've seen a decent start to Q3 in October. And compared to last year, even the onset of Diwali is earlier, so that has given us a decent set of numbers in October.

And we are quite excited about what's to come in the future and as mentioned, our business is very much linked to wedding dates. And as the dates are quite decent as we move into November, December and the fourth quarter, we seem to be quite positive about overall business trajectory from hereon.

Gaurav Jogani: Okay. Sure. And the next question is with regards to the network expansion. So I do understand that the network expansion has been a bit muted in H1, but you also highlighted that you expect a decent store opening. So any guidance on that front would be helpful given that you generally open 15%, 16% network addition every year.

Vedant Modi: Sure. So there are multiple sides to this entire piece. So firstly, as a company, we had planned that given business will be relatively weak in H1, we will plan majority of our openings towards the end of Q2 and start of H2. However, there was Shraadh in the last couple of days of Q2.

Hence, as being a culturally oriented company, we avoided opening stores during the Shraadh.

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period and majority of the stores that was supposed to be opened in Q2 actually opened in the first week of October. So that is one side of things.

The second is we are quite well on track in terms of our gross square feet openings, where we feel we will be at a decent number. However, we typically close about 2%, 2.5% of our retail footprint area every year. However, once in every 5, 6 years, we have a larger cleanup that we do in order to sort of have a better midterm business prospects from our existing stores. So this year, we feel that number could go slightly higher to about 4% to 5%.

And we are just sort of ramping up on exiting from lower productive stores. And yes, so overall, gross numbers are well on track. And given there's a little bit of spillover from H1 to H2 in terms of openings, that's also there. So it's a mix of a couple of things. And yes, so that's where we stand.

Gaurav Jogani: And the last question is with regards to any sense that you can give on the competitive intensity because we have been hearing that there have been now store closures, not only by a few large players, but also some small seasonal players given that the last year was a bit muted. So any sense here on how the last 6 months have panned out on this front?

Vedant Modi: As we've been mentioning in the past, we feel that the moats of our brands are extremely strong.

And as data has also shown us that even when there are newer stores that open next to our stores, we don't see much of an impact. So when that is the case with newer store openings, it's a similar case with stores that have closed. So from a business perspective, newer competitors opening or closing don't have too much of an impact basis the data that we internally see.

But yes, I mean, there's all sorts of volatility happening in the market. There was a certain number of stores by a lot of newer players that had opened. Q1, Q2 did see a lot of consolidation as well from the newer players. So there is a lot of action happening on the floor from that perspective.

Moderator: The next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Congrats

on a good set of numbers. Vedant, just on the context of strong and spread out wedding calendar that is there in the second half, just wanted your thoughts as to what is that level of growth maybe overall or even SSS whichever way you track, which would, let's say, make it like you'll be satisfied or happy that, yes, the brand is in good shape, and we don't need to really recalibrate or reassess our strategy as to our brand. This is also given the context that last 2 years have not been as per expectations. So just I'll be happy to know your thoughts on that.

Vedant Modi: Thank you for the interesting question, Sameer. I think broadly, the way we look at it is we conduct a lot of researches and all the marketing-related researches that we've done so that our brand health is in the best shape possible, better than ever.

All the internal retail data that we kind of study suggest that conversions are better than ever, our overall merchandising mix is continuously improving. So like we've been mentioning in our previous earnings calls, we are very confident about our company overall.

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However, there are a lot of external factors, especially wedding dates and more importantly, the number of weddings that happen in the country, which drive growth for us. As we are already witnessing on the floor, that is coming back to normal. And as it comes back to normal, we were pretty confident that numbers will shoot up.

And hence, basis what we've seen in Q2 and what we've been seeing for the last 5 quarters that as weddings will happen in India, our numbers will improve. I think that is what we are kind of seeing. And given the kind of business we've seen in October, we are quite sort of decent -- decently sort of happy with the performance, and we expect that we as management can continue to drive decent growth over the next 2 quarters as well.

Sameer Gupta: So you don't want to share a number where you'll be happy.

Vedant Modi: If I'm being very honest with you, I would love to share it as our endeavour is to achieve the maximum number possible. But unfortunately, we've decided to not give any guidance per se as of now.

Sameer Gupta: Fair enough. I was not actually looking for a guidance, but that's okay. I'll take that as an answer. Second is the retail area. I understand Gaurav also asked this. But this year, especially might see a lower than your normal run rate of 15%. But all said and done, we are back on track and this 15% retail area growth should continue FY '26, '27 or you think there is a recalibration here because you're also exiting a lot of cities?

Vedant Modi: So broadly, from a midterm perspective, I would say, plus/minus 1%, 2%, we will be in that sort of a retail area expansion mode only. And as you mentioned rightly, this year, we've taken some harder calls, especially in terms of SIS for us is an experimentation model.

So there's a lot of experimentation that we do from that perspective where we enter newer cities from the route of SIS and actually exit them quickly as well when it doesn't work out for us. A new store is only opened after careful deliberation and careful research for that area. And hence, we are slightly pragmatic in our approach.

I would also sort of like to add one thing. In the last year, we've genuinely seen real estate rates shoot up throughout the country. And there are multiple reasons for that. But we've already kind of seen a little bit of it normalizing in certain parts. And the stores that we opened are 9 - to 12 - year lease contracts.

So we don't want to make aggressive short-term decisions that will actually impact us in the long term. So we already kind of hope that these rates will come back to its normal leverage, and that's when we will be a little more aggressive with our retail expansion as well.

Moderator: The next question is from the line

of Ankit Kedia from Phillip Capital.

Ankit Kedia: My first question is on the cash flow generation. For the first time, we have seen negative OCF on pre-Ind AS basis. Our inventory days and receivable days, both have increased substantially, especially the receivable days.

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So just wanted to understand, for the full year, what is the target on inventory and receivable days? And what's happened in this quarter, which led to the higher inventory and receivable days at the same time?

Rahul Murarka: So if you look at the trailing 12 months cash flow, OCF by PAT, it is coming to 74%, which is similar to what we achieved in TTM September '23 as well. But once we only look at the cash flow for 6 months period, because this year Q1 was an exceptional quarter. It behaved like a non-wedding quarter because of no weddings at all. So that is where we see a negative cash flow for H1. But from a TTM basis, the cash flow is similar to what we achieved earlier.

In terms of receivable days and as far as inventory days are concerned, look, this is a September month, wherein the season we have wedding and festivities ahead. So from that prospect, it would be slightly higher. But from a normal financial year prospect, we don't see any major -- what we have done earlier from a full financial year.

Vedant, you would like to add something?

Vedant Modi: Yes. So I would just like to add a couple of things here. I think one is we are definitely gearing up for the festive season and for the wedding season up ahead. And I think we've mentioned this in the past, as a company, our working capital days are about 110. That can be rotated almost 3.3x in a given financial year.

And typically, in a full financial year, we do 28%, 29% profit margins at a net level. So in a company where working capital can be rotated about 3, 3.5x, and profit margins are so strong, which leads to INR1 of working capital actually generating more than INR1 of PAT, our focus is to ensure that we always have inventory available for when business is there to come.

At the same time, what is also reflecting in our gross margin numbers, that our dead stock management system is as good as ever, we're actually continuously improving on that system.

So while working capital days are at par, dead stock levels are being managed and we have decent inventory for the H2, that is how we look at business, and we just want to ensure we have inventory at the right place, at the right time, managed efficiently, to ensure no business is lost in the upcoming 2 quarters.

Ankit Kedia: But why should the receivable days increase? And I can understand inventory at your warehouse level being higher for the upcoming season, given that the franchisee partners pay you twice a week, we have seen even on last year Q2 to this year Q2 nearly 15, 16 days increase in receivable days.

Vedant Modi: There is a simple reason for that, actually. If you look at Diwali, Diwali is about 2 weeks ahead this year. And we actually build up inventory at the store for Diwali. So a lot of buildup happens. So last year, that buildup actually started in October, which spilled over to Q3. This year, that

buildup actually happened at the end of Q2. Hence, that 15 -day difference is just a matter of Diwali being 15 days earlier.

Ankit Kedia: Second question is on Diwas. Given that the price points are very sharp for the D2C, how are the gross margins here being modelled ? And from a 2 -year perspective, where do you see this

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brand shaping up in the portfolio, given that you've stopped giving us the revenue breakup across brands? So 2 years out, will Diwas become bigger than your third menswear brand, which we have for the MBO market?

Vedant Modi: Yes. I mean by the third menswear brand, do you mean Manthan?

Ankit Kedia: Ye

s.

Vedant Modi: Yes. So I mean, strategically, Manthan was our incubation brand and the way Manthan has come to life and strategically as part of the company is in the form of Diwas. So that has been new approach for Manthan, to be honest.

And the second side of it, from a gross margin perspective is, today, it is slightly lower than the company average, but we feel because it's still in a relatively nascent stage as we scale up and volumes increase, we feel we will be comfortably operating at company level averages today.

So we don't see any challenges in that.

And yes, Diwas, we've been live on all marketplaces throughout the dealer network and our own D2C website majorly from 1st of October. And we've already seen very decent traction from a first month perspective for a new brand.

Ankit Kedia: So is it fair to assume that Manthan will not exist? And even in the MBO channel, we'll push Diwas going forward?

Vedant Modi: Yes. So the major strategy, at least from a 2 - to 3-year perspective, will be Diwas. And that is where the entire focus will lie.

Ankit Kedia: So both online and MBO channel, because currently, it's only on D2C and not in the MBO.

Vedant Modi: No, it is already in the MBOs. So this year, we have taken orders for both Manthan and Diwas because of our product planning being slightly longer in nature. However, sort of next year onwards, the focus will largely be on Diwas from an MBO perspective as well.

Moderator: Thank you. The next question is from the line of Tejash Shah from Avendus Spark. Please go ahead.

Tejash Shah: Vedant, previous few quarters were unprecedented in terms of slowdown, and you also called out multiple times on the call, previous calls also. So something likely unfamiliar to our franchise partner also, right, the way we saw first time that kind of slow down, franchise partners also would have been witnessed it for the first time.

So usually, we have seen that franchise is a very close knit community and then the word spreads around fast. So are you currently facing any challenge in recruiting new franchise? Or how are the inquiries going on, on that count?

Vedant Modi: From a franchisee perspective, we still don't face any challenges. Like I mentioned, from a store opening perspective, the only relative challenge, which has increased is rental costs, which we do see and hope will slightly come down in the future.

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From a franchisee perspective, there is no challenge. Actually, if I tell you internally, how the workflow happens is we sign a property. The business development team actually signs a property because we are always confident that finding a franchisee will actually not be tough at all given the kind of returns that they're able to achieve on their investment.

Tejash Shah: Okay, okay. Clear. Second, you mentioned also -- you mentioned about demand normalization from Q2 onwards. Could you provide some qualitative insights on any brand which is kind of doing better than average or some brand which is still struggling? Or any reasonable observation if you can share?

Vedant Modi: Broadly, if I tell you, if we look at the last couple of quarters, Tier 2, Tier 3 was overall performing relatively worse than Tier 1. That entire peak has sort of flipped in the last couple of months, which is very exciting to see. That is where the majority of the pain was sort of lying. And from a non -wedding wedding perspective, last couple of quarters, non -wedding was doing decently well and wedding, the groom bride segments were struggling. But in the last, again, couple of months, all segments are doing really well. So I would say some segments in our company was slightly muted, but they have also come back to growth, which is what is sort of exciting us and leading us to better expectations.

Tejash Shah: Sure. And the last one, if I may. If I rememb

er correctly, we had some change in our marketing or branding agency recently. So curious to know any anticipated pivots in our brand building approach. Could we see potential increase in branding investment, any insights if you can share?

Vedant Modi: Again, I think, Tejash, I think one thing which we did interestingly well is saved up a lot of money in the first half of the financial year. So H2 will be very aggressive spend from our end from our perspective. But at a financial year level, the sort of A&P spend that you see will still be normalized. So I think internally, we've been efficiently able to manage that.

But again, business is dynamic. If something really clicks for one of our new brands, we will not hesitate to scale it up. And yes, so it's difficult to say as of now. I don't per se sort of see anything happening in this particular financial year. But if business requires us to take a dynamic call, we won't shy back from that.

Tejash Shah: Sure. And just checking from our presentation perspective, have we -- do we have still any Bollywood celebrity or Tollywood celebrity for our Manyavar brand?

Vedant Modi: Yes. So we still have Ramcharan onboard, which we continuously promote in South India, whereas we've taken a relatively different approach for non-South Indian regions this year, and we are using a relatively known face which is Avinash, but still, I would call it a non-celeb led brand building campaign to actually focus on the core campaign, which is Aap Kab Ban Rahe Hain Manyavar? to signify what it means to be a Manyavar man.

And the moment you use a celebrity, the focus shifts from the campaign to the celebrity to some level. So as part of our overall strategic rehaul, we are focusing more on the tag line this year than on the face.

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Moderator: The next question is from the line of Nihal Mahesh from AMBIT Capital.

Nihal Jham: My first question was, in the strong SSG that we've seen for Q2, possible to call out if there was a strong contribution from the scale-up of Mohey?

Vedant Modi: Yes. So if we look at from an overall YTD perspective, Mohey SSG has definitely been better than the company average, and Mohey continues to do pretty well. And yes, so -- but if you ask me still because the scale of Mohey is not very high. Mohey's role in moving company level SSG average still does not work out that way. So Mohey did sort of help in the numbers, but it didn't significantly shift any number from an SSG perspective.

Nihal Jham: Understood. And just a question, Vedant, now on the brand preference list internally, Diwas, obviously, as you also highlighted from an MBO and online channel, has a decent TAM if obviously executed well. So is it that now in terms of pecking order perspective, what is the thought we have?

Because last year, obviously, there was aggressive campaign in terms of scaling up even in some of the other premium brands and we saw a lot of premium real estate openings happening there and Mohey has obviously been something that we've been working on since the last 8 years. So what would be the preferred pecking order internally in terms of scaling up these brands now?

Vedant Modi: Actually, it's interesting but a very difficult question to answer. I would say internally, if we look at it, Manyavar is given a different level of respect, for sure. But all the other brands have its own vertical, have its own teams from a marketing, merchandising and distribution perspective. So I would say all of them are treated pretty well equally.

But given that Diwas is a men's kurta brand, our expertise in this arena is already very high. So for us to turn around this brand was relatively easier than the other tasks that we've taken up in the past with the other 2 brands that we've launched.

Nihal Jham: Got it. So this is not a brand that you will be spending too

much of marketing budget on. That

will mainly be towards the Manyavar and a Mohey only?

Vedant Modi: We will be spending marketing budget, but actually, the marketing will be more BTL and performance led. So we won't necessarily be spending a lot of brand building money, but we will be spending a lot of sales or performance-oriented money on Diwas.

Nihal Jham: Understood. Just final question on Diwas. You do look at obviously scaling up in the MBO channel. Is a thought about the number of counters you expect this brand to reach over the coming couple of years?

Vedant Modi: Yes. So again, interesting question. We're actually doing that entire study in this financial year. Given that it's a new brand with sort of relatively limited inventory for this financial year, we are doing all the test and researches to understand the potential of counters and the potential of throughput from each counter that we can achieve.

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But the first reaction that we've received in October is very healthy. And we are quite excited for the brand in the next coming financial years. And I think we will be a lot better placed to answer this question by the end of quarter 4.

Moderator: The next question is from the line of Rishi Mody from Marcellus Investment Managers.

Rishi Mody: Vedant, just first question I wanted to understand, like you recently in the past 1 year exited a lot of cities, and you said it's a clean up exercise that you all do every 5, 6 years. So which kind of cities were these? And what was the pain point here that we had to exit these cities?

Vedant Modi: It's a mix of all things. It's number one, a mix of a lot of experimental SISs that we had opened. It's also a balance of Tier 1, Tier 2, Tier 3 markets. In Tier 1, the typical reason why this has happened is when a market moves from a certain locality towards certain areas.

I'll give you one example of Hyderabad. Abids used to be a very famous market, but Abids' traffic slowly is actually moving to Himayat Nagar. So now that's a market shift that we're seeing because of better roads being created in Himayat Nagar versus Abids. So these kind of trends actually play out from a 6, 7 -year perspective, leading to some store closures in one area while we actually invest more money in the other area where the market is moving towards.

In Tier 2, there are similar examples where we are opening very large flagship stores and you're kind of seeing traffic moving those. From a Tier 3 perspective, again, there are different reasons.

One is, again, focusing on opening nicer, larger experiential stores in certain areas and we've shut some of those smaller stores. But again, as part of a business development plan, we've either already covered the cities we've closed our store in or the plan is to cover them with a better experience store in the coming quarters.

So typically, we've actually fully consolidated nonproductive stores that wouldn't have led to great business anyways. From a midterm perspective, we actually think this was a very good decision from a company perspective, and we have a very healthy sort of store inventory now.

Rishi Mody: All right. So I understand the rationale of shifting markets and hence, shifting stores. Cities I'm quite not understanding here but I'll take it up later with you.

On the Diwas piece, right, what is the propositioning that you all are giving with Diwas? And does it cannibalize Manyavar? Thirdly, just I was seeing that Diwas is available on quick commerce as well, right? I think Blink It and Zepto or someone. And it was out of stock, often out of stock.

So just wanted to understand what investments are we making on the supply chain for ensuring that product availability as well as the SKU -- getting the right SKU because I'm guessing they won't allocate a lot of space for this. So just trying to understand

what investments are we making out there.

Vedant Modi: Sure. Thank you for this question. So from a Diwas perspective, the entire proposition is to address the festive opportunity that lies in India. Now with Manyavar, we are very focused on catering to the wedding market. What Diwas allows us to do is to focus our range of pricing

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towards the aspirational audience that wants to buy multiple kurtas for festivals across the country.

Now typically, one individual in India celebrates four to five festivals. While there are 50 -plus festivals, one person would celebrate four to five festivals. So the whole proposition is how can we offer the Gen Z and millennial audience of India a very fashionable product at decent pricing but with a very aspirational brand. And that is what the entire proposition is.

And secondly, getting to quick commerce, today, what the way our relationship with quick commerce works is we actually supply inventory directly to the main warehouses and what inventory lies in which city and which hub of theirs is completely taken care of by them as of today. But as we scale up with them and as we see quick commerce being one of the leading commerce platforms in India, we will have a better relationship with them, and we will sort of get into supply chain nitty-gritties and support them with our own data in terms of where should we keep which inventory, so that inventory turns are faster and that we don't face certain out-of-stock propositions that you might have seen. But today, that entire end customer experience is being fully controlled by them.

Rishi Mody: All right. Understood. And are they open? Like I'm guessing this would be a proprietary thing for them to not share what inventory is being placed or how do they do the inventory management thing. So they are open to you being able to access that data?

Vedant Modi: I think two parts. I think two parts. We are actually not going to be sharing any data per se. We will be utilizing our own replenishment model to guide them where they should keep which

inventory. So we will be helping them with our own data because I'm not sure if they would have the kind of data in the Indian wear industry to help us with this.

And secondly, I think from an open perspective, definitely the brands and the companies that we've sort of interacted with are the most open people we've ever made in our lives. So given that we work a lot with traditional market, for us, it was definitely a great experience working with the open mindset of these companies.

Rishi Mody: Understood, understood. Also, just to some hash out the Q2 numbers, right? So we had an early Navaratri, it started I think from this 3rd of October this year versus last year, it was around mid - October, plus there was a double Shradh versus single Shradh. So it's like a favorable Q2 for us. So if you had to quantify how much of the revenue jump in Q2 is because of these specific factors, which is like just a timing difference, how much would you say has come on more for you on this year -- this quarter because of that?

Vedant Modi: Yes. So I mean, overall, it's again, a very difficult question to answer. But I would say the quarter overall was decent because we had 6 wedding dates. We had a little bit of Puja sales happening in Q2 as well. But let's say, how we look at October has also been decent. And then November and December is when the onset of the wedding peak it will be.

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So this was what we call a normal Q2 period, which is how typically these quarters look like. And unlike last year or Q1 of this year, where we saw very different wedding dates and because of astrology, very different sort of impact on dates and Diwali being put together, we are not seeing any of those impacts this year. So I think it was

overall a normal thing which we saw this year.

Rishi Mody: Okay. And your wedding non-wedding mix, is it like it used to be before all of these date issues started like 2, 3 years back? Or have people also preponed the wedding purchase in Q2?

Vedant Modi: No. Actually, what we kind of see is that given how India is moving, people want everything very quickly. So we only see a trend that people will start buying closer to their wedding days rather than actually preponing any purchases.

So I think qualitatively, that's what we are seeing on the floor. But people actually visit the market to see the product a couple of months in advance where they just come in for a feel but the purchase is actually only happening very close to the date period.

Rishi Mody: Understood. Final, just bookkeeping question. How many Twamev and Mohey EBOs do we have right now?

Rahul Murarka: We have 150 -plus Twamev and Mohey stores. 150 -plus Mohey and 150 -plus...

Rishi Mody: EBOs, EBOs, Rahul?

Rahul Murarka: Only EBOs are 6 EBOs for Twamev.

Vedant Modi: So for Twamev, we have 6 EBOs. From a Mohey perspective, we have 1 flagship EBO and we've already opened about 7 to 8 mall stores. So these are relatively smaller in nature. So you could say 6 and 9. But broadly, for Mohey, we have a couple of flagship stores in the pipeline, which we will be opening over a couple of next quarters. And even from a Twamev perspective, we have a couple of more stores in the pipeline.

The core philosophy for Twamev right now is to enter the best 15, 20 wedding wear markets of India and then move on to the next set of markets. From a Mohey perspective, it's similar. We want to have a flagship store in the top 10 wedding wear markets of India decently spread out between the regions and the kind of high street markets to understand what business development strategy would be fit for the brand.

Moderator: The next is from the line of Chirag Lodaya from ValueQuest.

Chirag Lodaya: In terms of retail network expansion, you said you have done a lot of store closures and consolidation, which you keep doing every 5 years. So is it fair to assume that large part of consolidation is done and going ahead, we should see good amount of addition? Is it fair to assume?

Vedant Modi: Majorly, yes. Majorly, we've actually covered a good chunk of stores. There's still a little bit left, which we will cover in the next about 3 quarters or so, maybe post the festive season. But largely,

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this exercise is done. And gross openings, like I mentioned, are on track. We've been doing decently on that front.

However, given the kind of spillover that we've seen from H1 to H2, there might be a little bit of spillover to next year as well. But from a midterm perspective, we are quite confident about

keeping up with our retail expansion strategy.

Chirag Lodaya: Okay. And you also commented that Tier 2, Tier 3 markets have also picked up very well in the last few months. It was not the case 6, 12 months back. So is there more focus on Tier 2, Tier 3 markets when it comes to new store opening? Are we seeing any change in trend there?

Vedant Modi: So I would say, slightly, we were seeing a little bit of slowness in those markets, but we still continue to find stores and opening stores in those markets. But as business is back, I think definitely that will help us move faster with these markets as we'll.

But overall, if I talk about how we look at openings, our strategy is pretty decently spread Tier 1 versus Tier 2, Tier 3. And even on a net rollout perspective, if you look at last year, 44% -odd was Tier 1 and the remaining 55%, 56% was Tier 2, Tier 3.

Chirag Lodaya: Okay, which should remain similar more or less even this year, right?

Vedant Modi: Again, I wouldn't say similar, but 50 -50 broadly you could say is from a long -term perspective, what

we see right now.

Chirag Lodaya: Right. And Diwas, what is the price point? And how you think about Manyavar's entry level products versus Diwas? What gives you confidence that there would not be any cannibalization between both the brands when it comes to entry -level products?

Vedant Modi: Sure, I mean the price points are definitely different. Diwas operates in broadly the INR1,000 to INR2,000 kurta price points. From a Manyavar perspective, we primarily play in the INR2,000 to INR6,000 range.

What gives us the confidence is, I would primarily say two things. Firstly, the channels are very different. Online and MBO channels are not used by the wedding wear audience. It is typically used by people who want a kurta for daily wear, festive needs, quick needs per se. So with channel differentiation in itself is the biggest support of supporting any cannibalization thoughts. The second part is also the product is very different. The product you would want to wear for a Diwali versus a product you would want to wear in your own wedding or to attend your brother's wedding are two very different product offerings.

So it is actually helping us as a company to evolve our product strategy and understand what product we should make for festivals at certain price points versus the kind of products you want to create for weddings at certain price points.

Chirag Lodaya: Got it. Just one bookkeeping question. This quarter, other equity is down INR70 crores, INR75 crores versus March number. So what has led to that?

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Rahul Murarka: So because of payment of dividend. That is...

Chirag Lodaya: Dividend payout is INR20 crores in the cash flow.

Rahul Murarka: INR206 crores.

Moderator: The next question is from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: Congratulations to team for delivering a strong set of numbers. Vedant, my first question is on the SSG part. I mean, in 2Q we have seen a good SSG and you partly explained that has to do with probably some lower base and higher revenue [inaudible 0:46:00] in 2Q. But apart from that...

Vedant Modi: You are slightly less audible. If you speak slowly, I think we can hear you.

Akhil Parekh: I was saying have we taken any price actions or any other course corrective measures during last quarter which has also helped us to clock this SSG of double digits?

Vedant Modi: No, nothing like that. I would say it's a continuous effort with merchandising mix. In certain areas where we feel we need to premiumize, we've been continuously premiumizing. In certain areas where we feel we need to have better products at certain price ranges, we've actually developed those products at those price ranges. Overall at a company level, our ASP has slightly improved by about 1 -odd percent. So there's nothing led to sort of a big shift in prices anywhere, but I definitely feel we've worked extra hard on our merchandising mix for the varied areas of India we operate in.

Akhil Parekh: And second question is slightly from a midterm perspective. If I look at historically, FY '18 over '24, sales are roughly kind of compounded at 10% CAGR. As a brand, do you foresee that it is possible to maybe grow at a higher pace, probably at 15%, 18% compounding over the next 3 to 5 years? And what possible factors or levers would drive that kind of a growth?

Vedant Modi: Sure. Thank you for that question. As we mentioned, our endeavour as a company is always to sort of open decent network expansion and sort of operate at a plus/minus 2% at 14% sort of network expansion. Along with that, the endeavour is always to improve our product mix, lead to better footfalls, better conversions, higher basket sizes with product development and new product launches and leading to better SSG growth as well.

So our endeavour from a mid - to long -term perspective is always to achieve

ieve numbers like those.

But yes, I think broadly, we strive to achieve the best number possible, but I'll be unable to give any guidance per se on this.

Akhil Parekh: My third and last question. From channels, we are hearing that we have probably -- possibly launching any accessory items, maybe like perfumes and all. Any plans around those kind of thing?

Vedant Modi: Sorry, you weren't very audible. I heard dupatta and accessories.

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Akhil Parekh: No, no. No, I was saying accessories like perfumes. Are you planning to launch anything on that side because we were hearing something on that front from your channel partners?

Vedant Modi: Yes. So we've actually already launched perfumes last week on Monday, and we've already seen pretty decent traction in the first week of launch. So as I mentioned, a big lever for SSG is new product launches and category expansion, which is something we will continuously focus on and keep delivering.

Akhil Parekh: Is it a soft launch or across our stores?

Vedant Modi: So it's in our top 50, 60 stores to start with, but eventually seeing the first week of performance, I think we are confident to say that it will reach majority of our stores pretty quickly.

Akhil Parekh: And it will be under what brand?

Vedant Modi: This is under Manyavar brand. So we've named it Essence by Manyavar, but it's under Manyavar.

Akhil Parekh: And lastly, bookkeeping, just to crosscheck, in terms of net gross and net store openings, I missed that part, like what is the guidance we are providing for FY '25?

Vedant Modi: So we are not giving any guidance per se. But from an overall perspective, gross openings are as per our sort of planning. Overall -- but the closures were slightly heightened. Hence, it's difficult to give an exact number right now. But overall, from a mid term perspective, we are sort of hopeful of the numbers that we've been sort of talking about.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.

Vedant Modi: Thank you very much to all the analysts for participating and always asking exciting questions. Just a request to all of you to dress up in your best Indian attires and wishing you all a very happy festive and Diwali season. And yes, and we're also going to see a wedding quarter. So hope you all get dressed in Indian outfits when you attend weddings. Thank you very much.

Moderator: On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

Vedant Fashions Limited

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February 04, 20 25

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block -G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
Dept. of Corporate Relations
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q3FY2 5

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated January 24, 2025

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call with the Analysts/Investors on the Unaudited Financial Results of the Company for the quarter and nine months ended December 31 , 2024 (Q3FY25) , organized and held on January 31, 2025 , is hereby enclosed and the same is being made available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investors -category/reports -results/earnings -call/>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you ,

For, Vedant Fashions Limited

Navin Pareek

Company Secretary and Compliance Officer

ICSI Memb. No.: F10672

Encl – A/a

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"Vedant Fashions Limited

Q3 FY '2 5 Earnings Conference Call "

January 31, 202 5

MANAGEMENT : MR. VEDANT MODI – CHIEF REVENUE OFFICER –
VEDANT FASHIONS LIMITED
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –
VEDANT FASHIONS LIMITED

MODERATOR : MR. SAMEER GUPTA – IIFL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Vedant Fashions hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sameer Gupta from IIFL Securities Limited. Thank you, and over to you, sir.

Sameer Gupta: Hi. Good evening, everyone, and thanks for joining the third quarter conference call of Vedant Fashions. We have from the senior management, Mr. Rahul Murarka, the CFO; and Mr. Vedant Modi, the Chief Revenue Officer.

Without taking more time, let me ask Mr. Rahulji to start the conference call. Over to you, sir.

Rahul Murarka: Thank you, Sameer. Namaskar and good afternoon, everyone. I would like to start the conference with the key highlight performance metrics for the quarter and nine months ended 31st December 2024. Starting from Q3 FY '25 performance update. Revenue from operations during the period was around INR511 crores, with a growth of 7.8% over Q3 of FY '24. The company continues to report industry-leading gross margin of 67.3% and healthy EBITDA margin of 47.4%. The company reported best-in-class PAT margin of around 30.9%, and the profit after tax stood at around INR158 crores.

Sale of our customer during the quarter was around INR709 crores with a growth of around 9% over Q3 of FY '24. The company also achieved SSSG growth of around 2.6% over Q3 FY '24. During Q3, we witnessed strong recovery in Tier 2, Tier 3 cities.

Now coming to 9 months FY '25 performance update. The company reported revenue from operations of around INR1,019 crores, with a growth of around 1.5%. Sale of our customer during the period was around INR1,372 crores, with a growth of around 2.3%. The company continued to report industry-leading gross margin of around 67.5% and healthy EBITDA margin of around 47%. The EBITDA during the period stood at around INR479 crores. The company also reported healthy PAT margin of 28.2%, and the profit after tax stood at around INR287 crores.

Our YTD performance got majorly impacted because of very exceptional Q1 being a non-wedding quarter, coupled up with challenging market conditions. However, the company has been able to achieve healthy profitability metric along with positive retail KPIs.

Thank you, and Namaskar. Now I would request Vedant to please...

Vedant Modi: Thank you, and good afternoon and warm welcome to all the participants. In this quarter, we expanded our retail footprint by adding approximately 50,000 square feet of net retail area. As of December 2024, Vedant Fashions EBO area stands at 1.75 million square feet, spanning across 666 stores in 255 cities and towns globally. The national EBO footprint tally is 650 stores spread across 243 cities and towns. We also added 2 exclusive Twamev EBOs in this quarter.

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Sales of our customers for the quarter ended 31st December 2024 was INR7,088 million, which grew by approximately 9% over Q3 FY '24. We also recorded SSSG growth of about 2.6% in the third quarter of FY '25 as compared to the third quarter of FY '24. We also received satisfying response for our new celebration wear offering, Diwas.

During this quarter, we witnessed good recovery in Tier 2 and Tier 3 cities. During 9 months FY '25, sale of our customer was about INR13,722 million, which grew by approximately 2.3% over 9 months of financial year '24. The subdued performance in 9 months of FY '25 was largely attributed to Q1 of FY '25 being a one-off exceptional quarter

with extremely low and negligible

wedding days nationally. Even during the 9-month period, all our retail KPIs were positive,

reflecting healthy business dynamics.

During the quarter, we strategically ramped up our marketing initiatives across multiple channels and across brands, thereby further solidifying our brand positioning and appeal. As a customer-centric brand, we are always focused on enriching the customer journey. In line with this, we partnered with India's leading quick commerce platforms to deliver our Indian wear offerings, instantly thereby combining tradition with modern convenience. We also executed dedicated marketing campaigns on these platforms to build the category.

Moreover, we also scaled up campaigns across all our brands to drive greater consideration. Our flagship brand campaign, Aap Kab Ban Rahe Hain Manyavar was successfully broadcasted across various platforms thereby reinforcing brand recall of being synonymous to the wedding category.

Similarly, the enhanced focus on Mohey's new campaign, Jab Aap Taiyaar, Hum Taiyaar, gained widespread recognition, thereby also reflecting in brand's performance during the quarter. These campaigns resonated with both brides and grooms, along with their bridal and groom squad, capturing the emotions and transformations they experience on this journey.

We also leveraged brand building for Twamev with new campaigns that embody the essence of being truly you. Additionally, the introduction of new offerings for Diwas, our latest celebration wear brand, combined with fresh campaigns has already led to increased visibility and acceptance. Collectively, these campaigns across our brands are paving the way for next phase of evolution and growth.

As we look ahead, we are confident that we are structurally well positioned for continued growth with top-tier inventory and designs and excellent network of stores, world-class auto replenishment systems, along with a strong back-end infrastructure. These factors will enable us to thrive as market conditions improve in the coming period.

With this, I would like to open the call for Q&A.

Moderator: The first question is from the line of Tejas Shah from Avendus Spark Institutional Equities.

Tejas Shah: Vedant, despite festival wedding tailwinds that we would have thought initially, the quarter didn't materialize as we would have anticipated. So, between consumer behaviour, macro

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pressure, competitive landscape and perhaps any internal execution gaps, how would you kind of segregate the headwinds here?

Vedant Modi: Thank you for this question. I think we have been really retrospectively what we can do better.

And I think especially with the last couple of quarters, we didn't leave any stones unturned when it came into this Q3, be it from the most aggressive marketing quarter for us in the history of the company or be it adding new collections according to regional taste and demand at varied price points. So, for example, we did different collections for Patna, which required different taste.

We added different products for our regions in AP and Telangana. So, everything which we could have done as a company, which we understood we need to do, I think we were really focused and tried to implement. The second part sort of being competition. Like we have been mentioning, we have about odd 400 stores where there is no competition next to it, and we have about 250, 260 stores where there is competition next to it.

We don't see change in performance in either of these sorts of fleets. In fact, if you look at it from a longer-term 2-year period, the 250 stores would have actually done slightly better off than the remaining sort of the stores that we have which don't even have competition next to them.

And given the modes of the brand, we don't feel that competition per se has played

played a big role.

But yes, we do feel at a macro level, there are some headwinds where the middle class is definitely sort of not back at the level of consumption when it comes to apparel as they used to be. And so that definitely remains to be one of the strong cases.

Even one thing which I would like to highlight that we operate across India. However, AP and Telangana as a region is one of our strongest areas in terms of penetration and also the exposure we have in those 2 states. So, I think our performance in those 2 states particularly was pretty weak versus the rest of India doing pretty well in comparison to what was happening in those 2 states. So again, those 2 states have been a little bit of a laggard compared to the rest of the country.

Tejas Shah: Any reason for that?

Vedant Modi: To be very honest with you, what we understand again, there is some macro reason that is affecting the sales in AP, Telangana when we even try to cross-check data of any other brand, we see similar trends. However, versus other retailers, our exposure definitely is much higher in those 2 states. So, while there is no key answer that we are receiving, it seems to be something a little more macro, which we are trying to sort of figure out and understand the strategy, how

we can get business back to a decent level.

Tejas Shah: Perfect. Second, Vedant, the expansion plan or expansion so far has been tracking behind what we had initially kind of pencilled in. And given the current SSSG scenario, how are you managing franchise expectations? Are you fearing that after seeing 2 years of successive pressure on SSSG, there will be some disappointments on their side also on payback period? And then there could be -- even if we expand on gross basis, perhaps on net basis, we won't see that kind of footprint expansion?

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Vedant Modi: So, I think sort of I take this in 2 parts. When it comes to footprint expansion, like we had mentioned in the previous 2 quarters as well, this year, we have sort of streamlined our overall store fleet and overall closures have been relatively higher compared to previous years. So, at the gross level, we will be doing a decent amount of opening, close to about 1,70,000, 1,80,000 square feet, which is what we've been focusing on for the entire financial year. So, from a gross perspective, we are on track.

And yes, I completely agree that there is a certain sense of slowness, both overall for this year in terms of openings, and you know the core reason for this is the rental inflation that we have seen. So, we feel that any lease that we sign is a 9 - to 12 -year bet, and we want to ensure that all the stores that we open are correct stores and at the correct price. So instead of being aggressive at this moment, we definitely feel that these prices will stable with time. And once that moment arises, that's when we want to be aggressive again in terms of openings. So that's when it comes to the openings piece.

And the second, when it comes to SSSG and overall partners, I think majority of our partners have been associated with us for long term. So, they understand the dynamics of this business. And a lot of our partners also operate in different versions of retail, so they also understand what is happening in the different brands and markets.

So, I think given the kind of visibility that they have in the market, I think people are still decently happy with the kind of performance and paybacks they are getting. They might not be as high as they used to be, but they are still best -in-class when it comes to comparison with any other brand that offers this in the market. So, I think that moat still exists, and people are still very comfortable in expanding with us.

Tejas Shah: Understood. Vedant, last one, would there be any guidance, you would in a position to give guidance on expansi

on for next year?

Vedant Modi: Again, it's a very tricky question. I think the goal from a next year perspective is to have good amount of opening. However, that really depends on how the rental market plays out. If things stable earlier than we anticipate, then we will definitely try to open more stores. However, if the rentals remain at similar levels, then it is difficult to comment on the scale at which we will be opening stores next year. However, from a longer -term aspect, when things do stabilize, I think that's -- from a long -term perspective, definitely we should have stable store openings.

So, our pipeline, for example, is still pretty strong. We know the locations where we want to open the stores. It's just signing them right now just feels not the right time at a large level. However, there are still certain markets where the price that we are getting is decent and we feel comfortable. So, we will continue to open those stores.

Moderator: The next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: My question is with regards to Mohey. While we understand that the broader performance has been weak, if you can highlight how the brand Mohey has performed, and where are we on this journey of taking Mohey ahead as a brand and a separate EBO for the same?

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Vedant Modi: Thank you for your question. Overall, I think Mohey is one brand which we have been very happy with in terms of its overall performance. It grew significantly in terms of delta to company level averages. So, the traction has been very positive. The new categories that we have been focusing on such as suits and skirt top lehengas along with sarees have shown tremendous growth and opportunity to us. So, I think Mohey has been a very exciting sort of figure for us in this quarter as well. With productivity levels now rising tremendously, we are very confident about this trend.

On top of all of these sorts of points, I think the marketing campaign also worked, which we did this quarter. And we have seen pretty good footfalls coming from Mohey as well. So, all in all, Mohey is doing pretty well, great delta in terms of the company's performance. What we feel is

we will continue to open more and more Manyavar Mohey stores , giving more emphasis to Mohey in each of the stores that we open.

While the one flagship Mohey we've opened has shown decent performance, we have 2, 3 more stores in the pipeline. And while those open, we still feel that the total growth at the Manyavar Mohey concept has been doing in itself is quite high.

Gaurav Jogani: Sure. So, for example, if not the exact numbers, if you can give us some percentages. So maybe Mohey was contributing, say, to a Manyavar Mohey store, say, 20%, 25% at least in terms of productivity, that is, so is it now 50 -50 at par? How is it? Any sense that you can give there?

Vedant Modi: So rather, Gaurav, here what happens is that typically, I would say, Mohey gets 25% to 30% of the retail area in one of our stores, wherever we have Mohey. Earlier, it used to achieve close to 70% of Manyavar 's productivity within that area. But now what we are witnessing with all the new stores and even the older stores, we have reached almost Manyavar 's productivity.

So, if it has 25% to 30% area, then it's also doing 25% to 30% of the business. That's the case with majority of the stores now. Everything new which we are doing is mostly this. And a lot of the older stores have also reached this mark. So, it's closer to Manyavar. It's still not there, but it's much closer to Manyavar now in the same stores.

Gaurav Jogani: Sure. And Vedant, my second and last question is with regards to the competitive intensity that you said it's largely remained the same. And even it seems from your comments that the competitors are also struggling. So, would it be a fair understa

nding to say that the overall ethnic

market also would have not grown at the same pace and the slowness of the market is what is actually impacting the growth for you and for the entire category? And what can be done to revise t he category growth from your end, you being a dealer in the market?

Vedant Modi: This is a very interesting question. So, I think, yes, qualitatively, what we understand from the market is that while last couple of years, there has been a lot of competition brands that have opened a lot of stores. There hasn't been brands that have really excited us in terms of the kind of numbers that we have seen, what the competition is sort of bringing on the table.

And at the same time, this year has been difficult across the market, the MBOs we speak to and across retailers. So, while there is definitely some sense of slowness, we also feel that this is also the case with overall mid -premium discretionary spends. I think the problem, or the macro

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headwind seems to be a little larger in nature rather than it being something limited to men's ethnic or celebration wear industry.

Gaurav Jogani: Sure. So, if I infer it right, it is largely due to the macro situation that you're alluding this to rather than a category issue as such, if I'm understanding it right?

Vedant Modi: Correct. If I talk to you more from a sense of what we see, every wedding that we see now compared to earlier, we feel that the consumption of Indian wear is definitely growing from a longer -term or midterm perspective. So, we feel that the category will absolutely grow from a mid- to long -term perspective, as India becomes more aspirational, as we have more discretionary income to spend, with the influence of Bollywood and the influence of overall wedding that we want to ha ve. We definitely don't see any challenges in terms of the increase in consumption of men celebration wear. However, the last couple of quarters, we definitely see some sense of slowness and majorly on account of overall discretionary slowdown.

Gaurav Jogani: Sure. Sir, lastly, just one question here that given that you still have some scale, and you have been able to expand in a profitable manner, and that is what is keeping you afloat. But there are competition s who are running this business into deep losses, so -- and sustaining the business in such difficult times becomes all the more difficult. So, do you see further consolidation from other players, which possibly could play into your hands in the future?

Vedant Modi: It's a very difficult question to answer because I think that would depend on their strategy. But yes, I mean, I think we definitely do see pain in a lot of players that operate in the market. But what they will do is something which I will be unable to an swer.

Moderator: The next question is from the line of Sameer Gupta from IIFL Securities Limited.

Sameer Gupta: Sir, firstly again, drilling a little bit deeper into this macro consumption thing. So, sir, I mean, wedding is a category where typically people will still spend. I mean, they might spend lesser, but you still expect them to spend. So just wanting to understand from you the reasons behind this subpar SSSG. Like are people down -trading towards lesser -known brands, more regional brands, they are going back to unorganized? Or is it more like you've opened stores in the vicinity where now there is a cannibalization impact? So just trying to understand this aspect, sir.

Vedant Modi: Thank you for your question. So when I think about this, so from our product strategy perspective, what we have seen happening is very interesting. So in our premium markets, we are seeing continuous growth in terms of ASPs, by introduction of more premium products. While on the lower end of the market, what we are seeing is that we are making more value

products and seeing growth

there.

So at a company level, our ASP has grown by about 1% or 1.5%. But if you see from a market angle, this has been quite varied. So we see both the premium end growing and the bottom end growing from our company's perspective. So it's the middle where we see that there has to be a little bit of growth coming back. So that's the sort of overall trend which we are witnessing in the market with still single-digit sort of ASP growth, low single digit.

Sameer Gupta: So then anything...

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Rahul Murarka: Yes, Sameer, you were saying something?

Sameer Gupta: No, no, I'll let you finish first.

Vedant Modi: Yes. So overall, in terms of -- when we even talk about, let's say, down trading, we don't think that's happening because basket size is improving, average bill value is improving, but the trends are interesting to see how different markets are operating. And all in all, if you ask me, while the number of stores have opened a lot, which is something we've been mentioning from across different players, we still don't feel that we have been losing share, per se.

Because when we compare our data to players in our vicinity versus our stores where there are no competition next to us, we don't see much of a difference, rather the stores where there are players next to us have done slightly better off from a longer-term perspective.

Sameer Gupta: So Vedant, it still is a perplexing thing that middle, the growth needs to come back. Where exactly is this growth going right now? Wedding -- if you are saying that middle section, the weddings itself are happening lesser now, which doesn't seem logical, but it may be happening.

But otherwise, they're still buying merchandise from somewhere, right?

Vedant Modi: No, no, absolutely. I am not at all mentioning that middle, the weddings are happening less.

That's not at all what I'm saying. I was just mentioning about how our product strategy is trending out over the last quarter or so. But yes, like I was mentioning, even from our company's perspective, what we saw is, let's say, in the last 2 quarters, if we take all our regions but exclude AP, Telangana, then we have seen decent traction in both the quarters combined in all the other regions. The major pain that we sort of felt has been in these 2 regions.

Sameer Gupta: Got it. I get this. So second question, and you have talked about this, on the retail area growth. I understand right now, rental inflation actually has been called out by a lot of companies. But let's say, you have guided on a medium-term average of around 15% in retail area growth or mid-teens, do you like still see this happening, let's say, over a medium term despite rental inflation right now? Would you be comfortable in saying that?

Vedant Modi: Very difficult to answer for the next 1 to 2 years. But typically, what happens and what we have seen over the last 2 decades is the moment this slowness starts again in terms of the retail rental numbers, then we again become very aggressive. So the endeavour is to come back at those numbers, but it also depends on how the rental numbers will move in the next couple of quarters. So once we see those numbers coming down, that's when we will want to be aggressive again in our approach.

Sameer Gupta: And I didn't get the answer to the question on store splitting. So basically, if you have analysed like stores where there are Manyavar stores in the vicinity, is that cohort doing exceptionally -- on the lower side? Is that something that data is showing you?

Vedant Modi: No. So again, there's not anything like that, per se. So typically, this is something which we have always done. So historically also, if one store does really well, then it has been a strategy of our company to open either another store right next to it or make that store larger in size. So this is a strategy that we

have always taken. And when we do this, yes, the SSSG of the old store is

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impacted for the first year. But this is not something new which we've done. This is a strategy which we have been following for all the many years that we have been operating in the market. So I wouldn't per se sort of put our SSSG growth numbers to this particular point as much, but rather to the more macro level environment pieces.

Moderator: The next question is from the line of Anand Shah from Axis Capital.

Anand Shah: So just a couple of questions again on that slowdown. I mean can you call out ex AP, Telangana, what was the growth or maybe whatever the salience of AP, Telangana is?

Vedant Modi: Sorry, can you please repeat that question? It was slightly less audible for us.

Anand Shah: Just one second. Yes, you can hear me properly?

Vedant Modi: Yes, yes.

Anand Shah: Yes. So I was asking, basically, can you call out the growth that you saw excluding of AP, Telangana overall at the company average? Or maybe what is the salience of AP, Telangana in the overall business?

Vedant Modi: Yes. So broadly what we saw is about 10% growth in L2L when we see the last 2 quarters, excluding of AP, Telangana. So our SSSG was about 10% in Q2 and Q3 combined when we exclude AP, Telangana.

Anand Shah: When you exclude AP, Telangana. Okay. Okay. Got it. And I mean -- so your reported SSSG also would be similar, right, I mean, if I take Q2, Q3 combined, wouldn't it be? I mean it was 17% and 3% this quarter, right?

Vedant Modi: Yes. Yes, that's right.

Anand Shah: Okay. So then it was similar SSSG, I mean, if you exclude AP, Telangana also.

Vedant Modi: No, it is -- the delta is there. The delta is about 2%, 3% that we see.

Anand Shah: 2%, 3%, okay.

Rahul Murarka: If you are talking about this quarter, we reported SSSG of 2.6%, okay? And exclude AP, Telangana, then it is around 5%.

Anand Shah: Got it. So 2% to 3% SSSG delta. Got it. Got it. Okay. And secondly, I mean, can you share any data or insights on -- I mean, which part of the business is more impacted? I mean, your bride groom business, which is the core wedding business and the overall entourage that attends the other parts. Which part is seeing more stress here?

Vedant Modi: There wasn't much of a change. So there was just maybe a 1% delta positive towards the non - groom bride side overall from a 9 -month perspective. So not much of a change at all. And this is something which I think we have always been expecting that the wedding attendee business will grow slightly faster than the groom bride business. So it's broadly in line.

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Anand Shah: Got it. Got it. Now my second question is any insights you can throw on Twamev as to how it is doing and what are the expansion plans there? Or any salience, actually how much -- how Twamev contributes to the overall business?

Vedant Modi: Yes. So Twamev's contribution within the flagship stores has been continuously increasing, especially on the premiumization story in metro cities. So the traction has been very good. A lot of our growth has come from Twamev within the Manyavar Mohey stores . And Twamev EBOs, on the other hand, also continue to perform decently well.

So currently, we have about 7 EBOs with 2 EBOs opening this quarter. And we have a few more EBOs in the pipeline with one super flagship store also that will be opening sometime in the second quarter of next year. So this is the current plan for Twamev overall.

And we have also sort of started infusing Twamev women within our Manyavar Mohey stores, which is also going to be a good lever for our women's business part of the larger fleet. So that is also something which is quite exciting for us.

Anand Shah: Okay. Got it. So I mean, when you say 25% of space is allocated to Mohey,

I mean, is it what

5% to 10% for Twamev now that you open, the new stores that you do?

Vedant Modi: So very difficult to answer because Twamev, we don't give any particular area in the store.

Rather, let's say, if we have Twamev kurtas, then they will be alongside Manyavar kurtas in the same shelf space. And the interesting part is, let's say, a store like Lower Parel, which contributes almost 25%, 30% of its business through Twamev, the inventory would only be close to 8%, 9%, 10% because the ASP is about 3x compared to the rest of the brands. Hence, it doesn't occupy as much area but does a lot more in business.

Anand Shah: Got it. Got it. So I mean, both Mohey and Twamev are tracking much stronger than the company average, and expansion on both of them remains a big focus area in the medium term.

Vedant Modi: Absolutely, absolutely.

Anand Shah: Got it. Got it. And lastly on expansion, I mean, the consolidation or the store closures that you are doing, that is now completely done?

Vedant Modi: So again, like I mentioned, there was a large exercise that was done. There are a few more stores that we have to take a call on, but not to the level at which we were sort of going through before.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Vedant, first is on rental inflation. So there has been weak demand environment which has been prolonged, right? So typically, such environment does see a good amount of store closures, and we are also sort of consolidating our network. In such periods, rentals sort of tend to ease. So I just wanted to check the reason for these inflated rentals continuing. And are there still brands across categories continuing to open stores?

Vedant Modi: Yes. I think what we kind of witnessed is the rental prices are still hiked from our perspective.

And when we say that we have consolidated, the kind of markets where we have sort of left are
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Tier 3 markets majorly or very corner markets in a Tier 2 or a Tier 1 city. So the kind of markets we have left in terms of stores are markets where we can still easily find the store. The challenge lies in core markets where demand is already high, where the prices are becoming very difficult. So those are the kind of markets where the pain lies in terms of rental inflation.

And yes, I think there are definitely people signing up stores. And basis our network of people we talk to in the retail industry, I think there is definitely a lot of B2C offline brands who are signing these stores at very high rental levels because their rental OC benchmarks also for the beginning are very different. So I think there are brands which are signing, but definitely, I think people are more cautious than before. And any long-term retailer is definitely sort of going to take a step back at this.

Devanshu Bansal: Got it. Got it. And for Mohey, Vedant, you mentioned that revenue productivity is now more or less similar to Manyavar. I also wanted to check on the margin and working capital requirements for Mohey vis-à-vis Manyavar. So are they also sort of broadly similar or there is some difference between Mohey and Manyavar?

Vedant Modi: So Mohey's gross margins are lower than the company's average gross margins today. However, they have been trending pretty well for us. So we've been able to control our dead stock continuously while also improving on our overall merchandising mix. Working capital will broadly be in line with Manyavar. So working capital is pretty much similar. However, gross margins are slightly lower.

Devanshu Bansal: Understood. Last question from my end, you have indicated that Tier 2, 3 markets have done well for us, right? So excluding metros similar to the number that you have shared excluding AP, Telangana, so what would be the growth trends in rest of the region for us?

Vedant Modi: Broadly, I think Tier 2, Tier 3 has a 5% delta over metros. So that's the sort of improvement we've seen. But the encouraging piece is that the trend was the other way around for many quarters up until Q1. So a reversing trend was very sort of positive from our perspective.

Moderator: The next question is from the line of Rishi Mody from Marcellus Investment Managers.

Rishi Mody: So Vedant, firstly, just if you could give us an update on how, say, the January month has gone. Is it better? Have things improved? Or are they still looking the way they have been in Q3?

Vedant Modi: I think broadly, it's -- what we have seen is only 30 days, of which 15 days are always slower than normal period. So we have only seen about 15 days of January. But in the current 30 days, it's been similar to Q3. However, I think we would like to see a little more before we give a proper commentary by the next earnings call or so.

Rishi Mody: Okay. Got it. Second, just I have been noticing a trend in your -- so your purchase of stock in trade, right, as a percentage of COGS which is effectively, in my understanding, the pieces that you are buying from a third-party wholesaler, in the last 1 year or last 6 quarters has gone up consistently. It's now trending in the 70% range. Earlier, it used to be in the 40% range.

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Now from what I understand these pieces don't have a lot of differentiation when -- like the commonality between, say, an unorganized player and your piece becomes higher. So the pricing then becomes the determinant rather than the design and quality of the product or the finish of the product. So firstly, like, is that the case? Or am I reading this wrong? Secondly, if that is the case?

Vedant Modi: I think that's a good question. The range definitely is wrong. So it's not 40% or 70%. I'll let Rahulji get back with you on the data of that. However, if I explain to you what we are trying to do, like I mentioned, we are being very aggressive in terms of our product strategy in order to ensure we can do whatever is possible from a market perspective, so be it creating more value products for places where we need value or be it premiumizing at the top end.

Hence, you see that this percent has risen, which is just an explanation to our more aggressive strategy towards having more variety in different areas and different parts of the country. And at the same time, like I mentioned, Mohey is majorly purchased in trade and Mohey has seen very decent growth. So that's again another reason why this number has increased. Rahulji, do you have any...

Rishi Mody: Yes, but Mohey is, what, 20%, 25%, right? It's not as if Mohey has doubled in the last 1 year that as a percentage of your revenue that this sharper jump should occur. So like I'm looking at the Q3 versus Q3.

Rahul Murarka: Yes, Rishi. So a couple of things. One is as a percentage of COGS, there is job charges, which is a major part of the expense, which actually comes under other expense which, unfortunately the results which you see, you are not able to view that amount. Now if you consider that amount and then when you compute the percentage, so I mean, there's no major variation as such in the mix, per se.

Maybe a few percentages, okay, but not major what we are discussing. Because the major component of job charges, which happens to be a part of other expense. And considering the wedding season which is going on and all, so inventory levels have gone up, and the production has also gone up. So overall, all the consumption, job charge, everything has gone up, and so the purchase of stock in trade has also gone up accordingly. But yes, it has slightly increased in the proportion but not to the extent as you were mentioning.

Vedant Modi: I will give you one broad example. We will get back with the exact numbers to you.

But broadly,

if I am right, then we would purchase close to about 20%, 21% of our stock overall at the company level. That might be closer to 24%, 25% now. So we will get back with the exact figures, but that's broadly the change, which is 400, 500 basis points from an overall angle, just being a little more aggressive from a variety angle.

Rishi Mody: Okay. So localization, the incremental localization is what you're saying, you're getting it from the wholesalers rather than investing in the design...

Vedant Modi: Also just another part which you mentioned in your question, our vendors have an exclusivity deal with us. So any men product that we procure, we are guaranteed exclusivity on our products.

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So while that is not the case with most other players buying from the same vendor, if any product is purchased by us, we have exclusivity over that particular design.

Rishi Mody: Okay. All right. I wanted to understand the marketing piece, right? So we spent a decent chunk, we spent like INR50 crores extra in this quarter in other expenses. Now I don't know whether it's entirely attributed to marketing or not, but I am assuming it's largely attributed to marketing. So we are not getting the ROI against it, it seems. So where -- like what are your thoughts on what needs to be done on this front? Like earlier the strategy of hiring bigger stars, movies, ads and movies worked out very well, TVs, hoardings, all of that. Now we have changed the strategy to hiring lesser-known stars, more digital. So like I just wanted your thoughts on what needs to improve here to bring the footfalls back?

Vedant Modi: Yes. So I think, firstly, on the marketing spend perspective, so broadly, last year at a YTD level, we were at 5.6%. This year, we are at about 5.8%. So at a YTD level, spends have not actually changed...

Rishi Mody: Yes, but YTD doesn't matter, right? Because your Q4 this year is like more wedding dates than in Q4 last year. So you are going to spend more -- or ideally, you would have liked to spend more in Q3, Q4, right? So...

Vedant Modi: Yes, there might be a change, but it won't be significantly different to last year. Let's say, that could be a 40 to 60 basis point difference, maybe 70-point basis difference at a year level marketing percentage difference, but not significantly different. So I think that's the first piece.

And coming to the strategy part of your question, we changed our overall approach towards marketing.

We have a new partner onboard, quite regarded as the best marketing agency in India. And what we are trying to do is bring back focus on the brand and the tag line. So the focus shifts from, let's say, a large celebrity to the tag line itself, which is Aap Kab Ban Rahe Hain Manyavar?

And I think one thing which we have understood over the last 2 decades is any brand marketing that you do is not for the quarter or the next quarter, it plays a larger role in the many years that have to come. So I think judging how the spends bring results in 1 quarter is very difficult for most brands. So yes, I mean, there should be some sort of a delta that great marketing can give us. But in most cases, good marketing gives you delta for the many years to come rather than just the quarter itself.

Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management. As there is no response, we'll move to the next question, which is from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: My question was again with respect to marketing. Now given that we are in mix of a very strong -- I mean, generally a strong wedding season, is there more we can do around marketing? I heard your commentary around what all we have done, and I also understand we generally don't do discounting. But is there a need for us to revive the demand momentum back to do some kind of

activations or discounting in this quarter?

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Vedant Modi: So I guess, definitely, I would say there is need to have great marketing. There is no doubt about that. But discounting as a topic, we feel, is against the core philosophy on which our company has been built, which is when anyone is celebrating, I don't think it is easy to attract them with a discount in the first place. And the second place, discount majorly is a mechanism of liquidating dead stock, which is something we majorly don't have in our company.

So I completely agree to your point that there is need of great marketing and very efficient spending as well, which is something which we are striving to do and continue to focus our overall methodology on. You would have seen that in this quarter, we did some interesting smaller campaigns with Zepto and Blinkit, which both sort of saw some level of virality.

We also did a very large digital campaign with both Manyavar and Mohey achieving great visibility. So I think we are definitely on our jobs in terms of great marketing, but discount is never going to most likely be a part of our marketing strategy.

Another very interesting thing, if I kind of talk about, is marketplaces which tend to be a highly discounted methodology of selling apparels. Even there with Diwas, we were able to showcase pretty decent performance. And all the marketplaces in our sort of quarterly meetings with them were in line that there is no need to discount even a brand like Diwas.

So when that is the confidence which we are seeing with our products on marketplaces, I think when it comes to EBO, which is our major channel, there definitely is no need to be thinking on lines of discounting, per se.

Sheela Rath: Understood, Vedant. Now because we just touched upon the marketplaces, could you just remind us what is the share of the online piece for us now? And I mean, how are we seeing the trends there versus for other categories?

Vedant Modi: It's about 3% to 4%, but our growth has been very strong in the online segment. We have been growing probably the fastest in that as a channel. And overall, about 70 -odd percent growth is what we've seen in Q3 when it comes to online.

Sheela Rath: Understood. So probably, we will be focusing on this channel more aggressively going ahead, at least for certain type of our offering.

Vedant Modi: So actually if I am being very honest with you, I think our focus has been very high for the last 2 to 3 years, but with a large focus on Diwas. And having the kind of product offering that really moves online, has just given us the ability to scale things much faster. And even a very large focus on our in-house tech through manyavar.com has improved our conversion rate significantly, which also improves our ROAs, allowing us to spend more money and get better returns out of what we spend on performance marketing. So mix of both Manyavar and Diwas - led online growth, I think will set us for the long-term future. A lot of this online growth also came from our quick commerce channels as well.

Moderator: The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities.

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Tejas Shah: One follow-up, Vedant, and partly academic in nature of this question. But led by many media reports and other sources, last quarter was supposed to have a very loaded wedding season with some 4 million or 5 million weddings, depending upon which source you actually referred to.

So just to channelize our future effort in right direction, do you see any credibility or any right way or forecasting significance of some of these wedding dates in terms of understanding whether it will culminate into demand? Or these are just vanity metric or vanity signs which we use for our reports and then for general discussion

, but it may or may not turn out to be converting into demand later?

Vedant Modi: I think majority of the research that you see online is very biased. And if you go deeper and see the sample source, it would be very small. So sometimes there are data on how much people spend during their weddings and you will find that the sample was 1,500 people from Bangalore, which is very biased. And similar, with the amount of weddings that will happen will be based on a report with about a sample size of 1,000 to 2,000 people. So I think we don't, per se, take a lot of learnings from these reports. However, broadly at a macro level there will be 1 crore weddings in India.

And the formula that sort of -- I always see as an easy way of seeing it as 140 crores population, 70 years of life expectancy divided by a couple which is 2 people, gets you a number of 1 crore. So while there can be shift of wedding dates from one quarter to another, if we take 2 years as a whole, there will most likely be 2 crores weddings that will happen in the country. So I think from a 2-year perspective, we are very clear, but how number of weddings move from one

quarter to another, there is no clear data or understanding. Wedding dates are a great methodology of understanding approximately how many weddings will happen but not to a great sort of accuracy.

Tejas Shah: Sure. So if we just refer to the last quarter, where did the disappointment come from? The number of weddings were overstated or the kind of spend that we thought will happen but did not come through?

Vedant Modi: No. So I think there was definitely not a big challenge with number of weddings, especially in a quarter like this October to December. The major sort of -- at least from our perspective, we saw great conversions, good ASP, good sort of average basket size. Majority of our sort of alpha growth, which we should have seen was missing from a footfall perspective, which is, I think, where the main delta lies. And I think that is something which we are working towards, and which is what we really need to bring back. And this is, I think, the case with most of the other mid-premium retailers have faced.

Moderator: The next question is from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: Vedant, my first question is on the demand in AP and Telangana. There is another listed player who happens to be in ethnic wear, name Sai Silks. 60% of business comes from AP and Telangana, right? But the commentary given by the company, as numbers reported by the company has quite contradictory to what you are mentioning. Because they said categorically that there is no slowdown in wedding consumption. Their SSSG growth has been 7% while top line growth is 16% plus.

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Could you please throw some light why -- and also a supplementary question to it, is it we are facing challenge more on Mohey side in these 2 particular states? Or is it broad-based weakness in both the brands? Yes, that's my first question.

Vedant Modi: Yes. So I think this is a question which we also have sort of raised to our internal teams, and we did see sort of these numbers. But a majority of what we understand from this is brands which are closer to us in their offering, which are more men's celebration wear brands, that is where the pain has sort of lied in that market. So it's very difficult for me to compare to a company that has a very different offering. Hence, it's sort of a difficult question to answer. But we have sort of a research going on in this space. And once we have more answers, I think I will definitely be happy to discuss that with you.

Akhil Parekh: Okay. But would it be fair to say like Mohey has done reasonably better in these 2 states as well, as you have highlighted for pan-India?

Vedant Modi: Yes. So women's performance would be slightly better. But i

n AP, Telangana, we actually don't have a lot of Mohey penetration because it's taken care by our brand, Mebaz. So majority of our women's wear offering and women's wear penetration is in the form of Mebaz. So Mohey doesn't actually have that much penetration in those markets.

Akhil Parekh: Fair enough. And second and last question on footfalls and conversion rate. I don't know if we maintain those data points. And how do the convergence and the footfall number look like, maybe on a per store basis as of now versus say pre-pandemic levels?

Vedant Modi: So broadly, the data that we sort of understand is we do about 75% to 80% conversion at a group level when it comes to our men's business and about 60%, 65% conversions now when it comes to our women's wear business. So, these are in line and have been doing pretty well. And in terms of footfall, if you look at the quarter, our ASP growth was about 1%. So, the remaining 1.5%, 2% growth, which came from an SSSG perspective, was all led by slightly higher footfalls.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Vedant Modi: Thank you. It is always great interacting with all of you. We strive to do the best and really focus on all our internal KPIs, and we have great plans of working very efficiently to sort of get good growth in the mid and long term. And thank you very much. Looking forward to interacting again soon.

Rahul Murarka: Thank you.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

Vedant Fashions Limited

Registered Office: 19, Canal South Road, Paridhan Garment Park, SDF-1. 4th Floor, A501 -A502, Kolkata: 700 015, Phone: +91 3361255353

Email: info@vedantfashions.com | Website: www.vedantfashions.com | CIN: L51311WB2002PLC094677

May 13 , 2025

To,

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, Plot No. C -1, Block -G,

Bandra Kurla Complex, Bandra (E),

Mumbai – 400051

To,

Dept. of Corporate Relations

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Fort,

Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q4FY25

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated April 30 , 2025

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call with the Analysts/Investors on the Audited Financial Results of the Company for the quarter and year ended March 31, 2025 (Q4FY25) , organized and held on Wednesday , May 07 , 2025 , is hereby enclosed and the same has been made available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investors -category/reports -results/earnings -call/>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thank you .

For, Vedant Fashions Limited

Navin Pareek

Company Secretary and Compliance Officer

ICSI Memb. No.: F10672

Encl – A/a

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"Vedant Fashion s Limited Q4 FY'25
Earning s Conference Call"

May 07, 2025

MANAGEMENT : MR. VEDANT MODI – CHIEF REVENUE OFFICER ,
VEDANT FASHION S LIMITED
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER ,
VEDANT FASHION S LIMITED
MODERATOR : MR. SAMEER GUPTA – IIFL CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conference Call of Manyavar, hosted by IIFL Capital.

As a reminder, all participant line will be in listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sameer Gupta from IIFL Capital. Thank you, and over to you, sir.

Sameer Gupta: Hi, good evening, ladies and gentlemen, and thank you for joining the Manyavar 4th Quarter Earnings Call. Without taking more time, let me hand it over to the management. Over to you, Vedant.

Vedant Modi: Thank you. Good afternoon and a warm welcome to all the participants. I am Vedant Modi , the Chief Revenue Officer of the Company . Thank you for joining us today to discuss the Vedant Fashions Limited Q4 and full Financial Year '25 Results . I hope everyone got an opportunity to go through our Financial Results and Investor Presentation , which have been uploaded on the Stock Exchange as well as the Company 's website.

In this quarter, we expanded our retail footprint by adding approximately 36,000 square feet of net retail area. We also rolled out one exclusive brand outlet of Twamev and one brand outlet of Mohey during the quarter. In the Financial Year '25, we have expanded our retail footprint by approximately 85,000 square feet of net retail area. We have also successfully rolled out three EBOs of Twamev in this financial year.

As of March '25, Vedant Fashion s' EBO area stands at 1.79 million square feet, spanning across 678 stores in 256 cities and towns globally. The national EBO footprint tally is at 662 stores, spread across 244 cities and towns. In Q4 FY '25, sales of our customers were Rs. 5,207 million, growing by about 1.9% compared to the same period last year. During Financial Year '25, sales of our customers were Rs. 18,929 million, reflecting a growth of approximately 2.2% over Financial Year '24.

During the quarter -end and throughout the year, we implemented a comprehensive suite of marketing initiatives across marketing channels and brands, thereby further strengthening our brand 's reach, positioning, and consumer appeal. Our approach encompassed category -focused campaigns, occasion -based festive marketing, collaboration with celebrities, sports personalities, and influencers, as well as targeted in -store promotions. Collectively, these efforts elevated our brand visibility and reinforced our conn ection with consumers.

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Throughout the year, we executed successful campaigns across several brands to boost consideration. Our flagship campaign, “Aap Kab Ban Rahe Hain Manyavar ”, reinforced our strong association with the wedding category across platforms. Our Mohey brand campaign, Jab Aap Taiyaar Hum Taiyaar, also received widespread recognition, contributing to its strong performance during the year. We continued to build Twamev 's identity through the campaign, reflecting its truly youth philosophy , while Diwas gained early momentum, driven by new offerings and strategically targeting festive marketing.

Collectively, these initiatives have enhanced our brand presence and deepened consumer engagement. We have also partnered with leading quick commerce platforms to offer instant delivery of our Indian wear, alongside targeted campaigns to build the category . Additionally, our festive and celebration wear offering, Diwas, continued to receive positive response from

consumers.

The Company's performance in FY '25 was impacted by subdued consumer sentiments and severely impacted Q1 Financial Year '25, with extremely low/negligible

le wedding dates overall.

However, in the nine-month period from July to March FY '25, retail sales grew by 9.3%, with like-to-like sales growing by about 2.9%. Despite these challenges, the Company successfully maintained strong margin metrics and positive retail KPIs, reflecting resilient business fundamentals.

Looking ahead, we are confident in our business's strong foundation and preparedness, supported by relevant inventory and designs, a robust store network, multi-dimensional marketing initiatives, efficient auto-replenishment systems, and a strong backend infrastructure, positioning us well for sustained long-term growth.

With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of the Company.

Rahul Murarka: Thank you, Vedant. Namaskar and good afternoon, everyone. I would like to highlight the key financial performance metrics for 4th Quarter and Full Financial Year ended March 31, 2025.

Starting from Q4 FY '25 performance update:

Revenue from operations during the period was around Rs. 367 crores, with a growth of 1.2% over Q4 of FY '24. The Company continues to report an industry leading gross margin of 66.2%, and a healthy EBITDA margin of 45.6%. The Company reported a strong PAT margin of around 27.5%, and the profit after tax stood at around Rs. 101 crores. Sales of our customers during the quarter was around Rs. 521 crores, with a growth of around 2% over Q4 of FY '24.

Now coming to FY '25 performance update:

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The Company reported revenue from operations of around Rs. 1,387 crores, with a growth of around 1.4%. Sales of our customers during the year was around Rs. 1,893 crores, with a growth of 2.2%. The Company continued to report industry-leading gross margin of around 67.2% and a healthy EBITDA margin of around 46.6%. The EBITDA during the period stood at around Rs. 646 crores. The Company also reported a strong PAT margin of 28%, and the profit after tax stood at around Rs. 389 crores.

Our performance during the year got majorly impacted because of subdued consumer sentiments and a very exceptional Q1, with almost negligible wedding dates nationally. However, during the remaining nine months' period from July to March '25, sales of our customers grew by 9.3%, with FSG growth of 2.9%. Despite these challenges, Company has been able to achieve healthy profitability matrices, along with positive retail KPI, reflecting resilient business fundamentals.

Thank you and namaskar, everyone. We can now move to the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Gaurav Jogani from JM Financials. Please go ahead.

Gaurav Jogani: Thank you for the opportunity. Sir, my first question is with regards to, if you can throw some light on what is leading to this tepid demand overall? Would you allude this to the overall slowdown in the macro environment? Was it also due to the lower store openings during the year? What exactly would you like to pinpoint this to?

Vedant Modi: Thank you for the question. I think there are multiple factors here. And firstly, I feel overall the mid-premium side of consumer businesses have seen weak consumer sentiments overall, which has been the biggest cause of the relative slowdown.

Secondly, in our case, if I talk about the full financial year, Q1 had a major impact in terms of our overall financial year numbers, having close to no wedding dates.

Thirdly, like I had mentioned in the last earnings call, AP-Telangana played a detrimental role this year for us, where even if I look at the full financial year, overall, our EBO SSG is flat if we remove AP-Telangana data. And at the Q4 level, it's positive if we remove AP-Telangana from the data. And our overall exposure to that region is much higher than typical

retail companies,

both because of higher demand of Indian wear over the course of years from Manyavar Mohey and the acquisition of Mebaz combined. So, that has been another big impact overall from our perspective.

And lastly, we do acknowledge the fact that we are operating in a market where, over the course of last two to three years, a significant number of newer players have entered the market with a

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huge number of store openings across. So, that is again another factor where I feel the impact is

relatively much smaller compared to the other three points I had mentioned before.

And finally, again, like you mentioned about the store openings. So, at a gross level we opened about 1.8 lakh square feet this year, which is entering the most important markets of India where we were not present or expanding our presence in our important existing markets. The net looks a lot smaller because we have been a little aggressive on consolidating our fleet, which is not required as per today's business needs.

So, all in all, while we would have liked to have a little more net area, given the kind of retail inflation we have been seeing on the ground, it has been a challenging environment to open stores with a lot of speed. And all that said, I think the current need of the business is to really focus on like-to-like growth and ensure we are able to deliver on that.

Gaurav Jogani: Thanks, Vedant, for this detailed answer. My second question again is with regards to the overall category as a whole. If you can highlight something on how the category has grown over the past two to three years. Because FY '23 is when we really saw a good spurt of demand there, and which I think follow-up attracted a lot many players in the system. But how has been the condition of those players who have been entering into these markets? Has any of them been able to gain significant market share? Anything that you can throw some light?

Vedant Modi: So, pretty interesting question. I think the way this can be answered is I definitely think that the Indian men's market has definitely not gone down, it has definitely been stable or growing. And in one part to it, the other question that you have regarding competition, the number of stores might have tripled over the last two to three years that were there in India doing men's Indian wear. So, there has been a large influx.

However, has one player taken any market share? That has not been the case, certainly. It's a large number of players opening a few stores, that is what we are seeing on the ground majorly. And if I give you an example of a city like Raipur, we used to have one exclusive brand outlet which we operate. And maybe another 25, 30 stores would have opened in that market. But we are still able to operate at Rs. 90 to Rs. 110 compared to the Rs. 100 mark we were at before these amount of stores opened.

So, in retrospect, it also gives us or shows us the strength of the brand that even with so much competition opening, we have been able to stand our ground in that market. And if we look at the financial data of all these numbers of stores opening, hardly any of them are at a mark where business is sustainable in the mid-term also. So, certainly there is a lot of macroeconomic pressure which we have seen. But overall, the category will definitely grow in the future.

Gaurav Jogani: Sure, Vedant. Thank you for this. I will come back if I have any more questions.

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Vedant Modi: Thank you.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: Yes. Hi, Vedant, thanks for the opportunity. Vedant, just you broadly touched upon this in your opening remarks and the previous questions also. But what specific measurable actions are we taking to reverse

se our current growth deceleration? And more importantly, how are we tracking or validating the effectiveness of those initiatives?

Vedant Modi: Great question. Thank you for that. So, firstly, I would also like to raise one important point here. We are not trying to be defensive as a Company when we say that these were the reasons. I think there is certainly a need to do better in everything that we do. Times are tough, but we need to take hard measures to ensure that we are able to grow in the future. And some of those initiatives, I would rather break them into three components: product, marketing, and operations. So, I would say these are the three core pillars of the Company.

In terms of product, what we ensured in the last financial year, and we will double down on that strategy as we move forward, is we tremendously increased the number of new designs that we launch in the market. So, if we used to launch one design, this year we did close to 2.3 x, 2.4x of the number of designs. Ensuring if there's any trend in the market, we are able to understand them early and have it available across our fleet. We want to double down on this, we want to ensure that there is no trend of India that we are missing and want to be more fashionable than we ever were. So, we will be working a lot harder in ensuring our production times are faster, our turnaround time for the stores is faster, and continue focusing on that.

The second part is marketing. There is a large change in marketing ecosystem over the last few years, according to what we have been witnessing in the industry. Majority of the companies had very high offline spends. And what has happened is, if you look at the last three to four years, any new apparel player that has become big, has become big after becoming a big online player and then opening retail stores. So, it does show us the imminent need of being a digital-first marketing Company, which is the sort of strategy we have been following for the last three years. But in a more hybrid model, where our budgets are deployed both towards the big

campaign outdoor TV spends, along with focus on digital.

But I think what we are now strategically taking a call on is, is there a high need to be 100% digital and to have a lot more focus on how campaigns are done with rapid speed, and instead of one or two big campaigns, doing 12 to 13 mini -campaigns. So, this is something which we have been discussing quite heavily on, and I believe this is something we will be going after and really changing the way modern marketing has been functioning.

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And finally, when it comes to operations, we have also highlighted this in our investor's presentation, worked on a lot of fundamental aspects. One of the biggest innovations that was done by us this year, is we created our own app, which we call VFL Parivaar. And every single fashion advisor in our ecosystem is sent a one to two-minute training material every morning. And what we are able to do is connect a lot better with our retail employees and teach them something new on a daily basis.

Otherwise, in typical retail, training is done two to four times a year for each store. And the learning is lost in that quarter or in the six month s' period. But by reinforcing it on a daily basis, we are seeing upt ick in our KPIs, which we are training them on. And I think this has been a game changer in terms of how training should be done in the future. So, these are just a few examples, but we are also ensuring that we take any other measures that are needed.

Tejas Shah: So, Vedant, thanks for a very detailed answer. So, the second part of that question was that , let's say if you have rolled out this initiatives in 10% or 15% of our network, are we seeing materially different outcome in terms of numbers versus the rest of the network, or is it like a very ea

rly

stage where we have not rolled out at all?

Vedant Modi: Yes. So, when it comes to product, I think we have certainly seen good changes in some pockets of the market where we have taken specific focused actions for. So, if I give you an example of Bihar, there were specific product actions taken for that market, and we saw a significant delta in that state over the other states throughout the year. So, similarly, we are enacting on this strategy for our other important markets.

When it comes to marketing, like I mentioned, this is something which is due to happen. We are in the process of having this transition. But what we also witnessed is taking strategic actions, especially in a market like Raipur, we are seeing a very good d elta in our Q1 per formance, which is 1st April to -date in that market, majorly on account of what we have done outside the store in that particular market. So, there are initiatives showing us results, and now the core focus is on how do we focus on key m arkets and really ensure that these efforts are bringing us the delta growth we are looking for.

Tejas Shah: Sure. And if I may squeeze in the last one, so Vedant, our model completely relies on our ability to recruit franchise partners. Now, historically, our franchise partners also would not have seen such a difficult period. So, any comment, any insights on the mora le of the franchise partners and our ability to attract that capital, which is very crucial for our growth?

Vedant Modi: So, I think there are two sides to this question. One is attracting newer partners. So, the way our Company functions is we sign a store without finding a franchisee partner. So, the business development team does not look at the fact that do we have a partner ready for this market. The goal is to first sign the property. So, till now we have never faced a situation where there has

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been a dearth of a partner. Rather, even now I would say that has not been a challenge at all and is still one of the easier things to achieve.

The second part is regarding existing partners. Now, certainly with lower revenue per square feet, their overall ROF falls, but given how profitable our model has been for them, they continue to make decent money. So, there is no challenge when it comes to franchisee profitability in majority of cases . However, we do have a lot more conversations and business reviews happening on the ground on how we can get their business back to the levels they were or even beyond that point. So, there is a lot of drive f rom our partners as well who have been associated with us for many years and understand the situation of the market and understand the need of the hour and where they need to focus on as well.

Tejas Shah: Perfect. Thanks, and all the best for coming quarters.

Vedant Modi: Thank you so much.

Moderator: Thank you . The next question is from the line of Varun Singh from AAA BMS. Please go ahead.

Varun Singh: Yes, t hank you for the opportunity. Sir my first question is, maybe if you can throw some light over the last one year with regards to store closures which would have happened. So, what are your key learnings from that? That 's my first question.

Vedant Modi: See, when we look at the closures we have done, these are majorly markets which have stopped performing for any brand. So, there are multiple examples where a market moves from one place in the city to another place in the city. So, we have already opened a much better store in that newer market, and that older market is now where we have removed the store from. So that 's one big use case.

The other big use case that we have seen is , there are certain Tier-3 towns in the overall market where we had a very small store . But either in that same town or in a very nearby town we have opened a flagship store, making that really small store redun

dant. So, these two, three are the

major use cases in terms of closure. And some larger stores have been proper relocation, where, let's say, in Allahabad we had a close to a 10,000 square feet store which we have closed to shift into a 16,000 square feet s tore in the next building.

Varun Singh: Understood. So, none of the closures would be related with regards to the underperformance of the store due to competition. That understanding would be fair, right?

Vedant Modi: Not in the larger ecosystem, not at all.

Varun Singh: Sure, understood. And secondly, given the price points where we belong to, you think that this price point is maybe significantly scalable to make the overall retail area maybe 3x, 4x, 5x from

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the current level? Or you believe that maybe similar to trend the way they started a different format itself, Zudio, at half the price point, that 's opportunity for us you think, I mean, given that we have created a specialist brand image for ourselves in this category itself . So similar to Mohey, in Manyavar franchise itself or with a similar brand name, I mean , if you can throw some light with regards to this, improving the addressable market for us . And in that context, on Mohey also if you can throw som e light with regards to how much we have been able to scale and the scalability potential with the way we are looking at it over the next one to two years.

Vedant Modi: Sure. I mean, a very interesting question again . So just answering your first part , our understanding of long -term Indian consumer is that upper middle class is where brands typically flourish if you look at it globally as well . And this is one area where brands have really benefited throughout the entire globe . And that is the target audience we go after. Sadly, last two to three years, as we have seen, consumer sentiment in this part of the market in the retail industry has been very weak and tepid, and value has done a lot better, just as you mentioned.

Varun Singh: Sorry, Vedant, to cut you over here, but I think my earlier understanding was that our category is immune to subdued consumer sentiment, given that wedding is an essential thing and the exposure that we had to wedding, that had a larger role to play. So, I mean, how consumer sentiment in our case would explain the revenue growth underperformance ? That is something, I mean , I am sorry I could not track you over the last two to three quarters if you would have already mentioned about this.

Vedant Modi: Yes. So, again , here the major piece is that, if you look at our revenues, 40% -odd revenue comes from the grooms and the brides, and the remaining 60% comes from the family/wedding attendees. Now when we say consumer sentiments impact us, it will impact how much 40% is willing to spend, but they will still continue to buy . But the 60% behaves very similar to the other lifestyle markets of India, where consumer sentiments demand how much they will actually buy, will they buy a brand or what will they sort of consume during this festive period as well. So, that is one major piece from our end.

And sort of coming back to the earlier point I was trying to make, longer term perspective we still think that the Rs. 5 lakh to Rs. 50 lakh income bracket Indian is going to grow rapidly, which has been at a bit of a pause in the last two to three years . But it will definitely, from a five to 10-year horizon, be the meatiest part of consumption market in India, which is where we want to sort of stick.

And when you sort of talked about Mohey, there has been quite a large delta in terms of growth. So, Mohey would have a close to 25% odd delta in terms of the Company from a growth perspective . We have taken a large strategic shift from saying we are a bridal wear brand to transforming ourselves into a wedding wear brand . And this strategy has worked very we

ll in

our favor. We see improved footfalls, we see lot more conversions happening on the floor. So,

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overall, this strategy is working for us . And having understood this, we are doubling down on this in the current financial year.

Varun Singh: When you say from bridal wear to wedding wear, I mean , you mean that to sell more of a lower

ASP product?

Vedant Modi: So, relatively lower ASP to a bridal lehenga, but still women's wear has a lot more work involved, so it will still be a higher ASP compared to the companies at the GSP. So, if I give you more perspective, bridal lehengas in our Company are at an average ASP of about Rs. 22,000 to Rs. 23,000, and the other products of Mohey are at about Rs. 7,000 to Rs. 8,000, while the Company's ASP average is Rs. 4,000, Rs. 4,500. So, the growth that we are seeing is coming from the other categories in Mohey, like sarees, skirt tops, lehengas, stitched suits, and these are the categories we are really doubling down on.

Varun Singh: But you think that Mohey is taking more time than we expected to maybe fine-tune the business model and then rapidly scale it up? I mean, what's your current understanding on Mohey?

Vedant Modi: So, I mean, there are two parts here, right. One is that Mohey, we have been growing a lot faster than any other brand in the Company. Even from a retail footprint perspective, close to about 40% of the retail area we opened was Mohey this financial year. In terms of our existing stores as well, we have been increasing the kind of Mohey merchandise. Even if you look at our overall working capital days, it's increased on account of adding more Mohey stock to existing stores. So, there is a lot of initiative in terms of driving Mohey's business.

Even in terms of EBOs we have now reached a sort of five, six EBOs, and we continue to open stores across India where we feel that there is potential for a Mohey, but no Manyavar Mohey store is present in that area as of now. So, those actions are also being taken. And last earnings call, I had mentioned that the productivity levels of Mohey is growing a lot faster. So, once we reach a decent level, we will be in a place to sort of even be more aggressive with the brand. But as per our understanding, last year Mohey did the budgeted numbers, which we were happy with.

Varun Singh: Yes, sure. But honestly, only five, six EBOs is not, I think, inspiring much to us as an investor. Because, I mean, we see so many companies doing retail expansion, etc. 10 to 12 stores, I mean, I do not know that what is stopping us to grow at a relatively faster rate given our business economics, cash flow situation, and everything. So, I mean, maybe if you can offer some comments with regards to what is FY '26 target and how are you looking to scale up this franchisee? That's my last question.

Vedant Modi: Yes. One easier piece which I think has to be sort of explained again is Mohey has close to now 2.5 odd lakh square feet. So, it is not that we have not continuously expanded with Mohey. If you understand the Indian retail landscape, there are top 100 markets in India. Each of these 100

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markets have a flagship Manyavar Mohey store. So, we have already covered the best of the best markets with a large Mohey square feet presence wherever we can. It is the remaining markets where we might have only a Manyavar store where we are continuing to add Mohey flagships in the form of EBO. So, we will continue to deploy EBOs.

But one important factor to not be missed is, Manyavar Mohey continues to be the primary channel for Mohey as a brand. And majority of the time investment that the Mohey team does is towards those stores, ensuring that Mohey grows more and more within this ecosystem. Because the footfall we generate because of Manyavar also has a gre

at sort of effect on sales for

Mohey. So, we want to ensure that we are capitalizing on all these things. And if required, we will increase the space of Mohey in these stores. If required, we will open even larger stores to incorporate better size for Mohey, but having the rub effect of both consumers is great for the business overall.

Moderator: Thank you. The next question is from the line of Perna Jhunjhunwala from Elara Capital. Please go ahead.

Perna Jhunjhunwala: Thank you for the opportunity. Just wanted to understand, how is the demand now, I mean, how has April been? And are you seeing the impact of the higher number of wedding days in this quarter against last year? Some initial feelings would help.

Vedant Modi: So, I think there are two perspectives here. So, overall, we do see green shoots, majorly on account of having wedding dates this year versus negligible wedding dates last year. So, business is better on that account. But overall, in terms of expectations, I would say that still overall sentiments we can see from the market are weak and not the best. So, while there are green shoots in the business, it is majorly on account of better wedding dates. And we sort of expect all the strategies we have been working on to start firing from Q2, mid Q2. And so, any results of any new work we do on marketing our product will be seen in the later part of the year.

Perna Jhunjhunwala: Okay. And how are you looking at space expansion, because last you had mentioned was that you would go slow on space expansion, so how should we look at that?

Vedant Modi: I mean, one important piece here is, as a Company we feel business is dynamic. The need of the hour is to have extreme focus on like-to-like growth and driving that. While opening newer stores remains to be an important KPI, we will focus a lot more on L2L this year. On the other hand, as retail inflation starts to come down, which is something we have been seeing now in a

few markets, we will continue to open stores wherever we see potential and ensure that a decent number of stores are opened by the end of the year.

Perna Jhunjunwala: Okay . And could you also elaborate on your LFS or MBO strategy, if any, to gain geographical reach or customer reach across the country?

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Vedant Modi: Absolutely. So, overall, when it comes to LFS, we stick with fewer number of partners but try to go deeper with them . This ensures better inventory control , and better experience at the ground level . So, we have been continuously expanding with a few of the partners we have and are going deeper with them overall to have better reach. On the other hand, when I speak about MBOs, with the addition of Diwas to our portfolio, our overall platform for MBO has become a lot deeper, because there were multiple kinds of multi -brand outlets, some want mid -premium products, some want slightly more festive based value offering . So now that our booking has increased significantly with Diwas, we feel that last year was a trial, and bookings that start in May will actually show us how Diwas will be helping this side of the business . And there 's a lot more focus in terms of improving the overall Manyavar business there as well . And it certainly does help us reach Tier-3 end market and the Tier -4 markets, just like you mentioned.

Perna Jhunjunwala: Okay. And how are Andhra and Telangana markets doing now, I mean, do they continue to drag?

Vedant Modi: You mean in Q1 of the current financial year?

Perna Jhunjunwala: Q4 as well as Q1 because we do not know about Q4 as well, right?

Vedant Modi: No, so like I mentioned, even if I talk about Q4, our like -to-like growth will actually become positive if we remove the numbers of AP Telangana . So, it was a big drag to the Company 's numbers in Q4 as well. Q1, I think we have only seen one month. Whi

le the one-month

performance has been decent there, it 's still, I think, too short a time frame to comment on anything.

Perna Jhunjunwala: AP Telangana is your Mebaz network, or do we have Manyavar stores as well there? I mean, just trying to understand, is it Mebaz which is impacting, or is it Manyavar as well?

Vedant Modi: Both are equally as big in the market . So Manyavar Mohey sales would be equal to the sale of Mebaz in AP Telangana broadly, and both are heavily impacted. And the same when we validate with similar mid -premium brands operating in the men 's industry, whoever we are closer to, we see similar deltas with those brands as well. So, for a lot of the brands AP -Telangana has been hit in comparison to the rest of India at similar levels.

Perna Jhunjunwala: Any particular reason why AP -Telangana particularly are hit?

Vedant Modi: I think the challenges are a lot more macro in nature , that is why a lot more brands are facing the heat in that market . And we see a lot of other challenges with the market as well, reflecting a slower economic sort of slowdown in that entire belt.

Perna Jhunjunwala: So, people must be shifting to unorganized players for price points , that could be a fair assumption?

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Vedant Modi: I think , again, if that was the case, then our dealer network would have showed us better growth or would have told us that they are seeing better numbers from their stores. But even with our MBO players across AP -Telangana belt, we see similar de -growth happening . So, we do not see that being the real reason at all. It has got something to do at a more macroeconomic level.

Perna Jhunjunwala: Okay. Okay, Vedant. Thank you so much for the detailed answers. I will come back to the question queue for more. Thank you.

Vedant Modi: Thank you.

Moderator: Thank you. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Ankit Kedia: Hi Vedant . Two questions from my side. One, you mentioned that Mohey would have around 2.5 lakhs square feet. Is it fair to assume 14% of AVR revenue also they would be 12% to 14% levels, or in throughput, they are still significantly lower than Manyavar today?

Vedant Modi: So, while we do not give the exact numbers, it 's ballpark in that region. It 's lower than Manyavar. It 's not exactly as close as Manyavar. It 's slightly lower, but it 's catching up.

Ankit Kedia: Sure. I have a second question for Rahulji. Why has the inventory and receivables both gone up in the quarter? I can understand we would be expecting a better quarter, and hence inventory build -up, but even receivables have gone up from some franchises.

Rahul Murarka: So, basically, inventory build -up we did strategically because in this year Eid was at the end of this quarter, which is March. So, when Eid is there, we have a lot of artisans and workers wherein the production is disrupted during that period. So, that is why strategically we pre -planned our production process, and the inventory levels were increased because of that. And, of course, with

the upcoming Q1, which we believe has a good number of weddings, so that is why the inventory levels were good. And in last year if you see, Eid was in April, and the Q1 also had like negligible wedding dates. So, purposefully we had a lower level of inventories in last year. In terms of receivables, you see an increase in receivables, majorly because of the store additions which we have done during the year.

Ankit Kedia: Yes. But we have also closed stores, right, so net EBO addition is not significant. So, if I look on a net basis, then why is that receivables?

Rahul Murarka: So, look, our receivables have increased by around Rs. 50 crores, okay. And it is majorly because of the store addition, we had 85,000 - 90,000 square feet net addition during this year. It was

more than 50% because of that only, because of store area addition.

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Vedant Modi: And if I just may add a small point, it's broadly 50% plus comes from new stores, and the remaining comes from adding Mohey and Twamev in some of the existing stores as well.

Rahul Murarka: And if you see, look, our primary, secondary growth, it is moving in the similar direction, right? It is similar growth which we have seen in both primary and secondary.

Ankit Kedia: Right, which means we have pushed more inventory to the franchises, right, and we are not getting the same sales?

Rahul Murarka: No, but if that would have been the case, the growth in primary and secondary would not have been similar, no?

Ankit Kedia: No, so except of the new stores. So, that would be new stores. But from Vedant's point of Mohey and Twamev, that means that inventory is not moving for the remaining 50% of the receivables.

Rahul Murarka: No, no, no, that is not the fact. As I mentioned, the majority of the increase in return is on account of store addition, okay? And if you look at our growth in primary as well as secondary revenue, our primary revenue has grown by 1%, and our secondary revenue has grown by 2%. So, what you are mentioning is not actually collating with the facts. So, replenishment is a phenomenon of what is selling there, and it moves in a similar direction as we have seen historically as well, both primary and secondary revenue.

Ankit Kedia: So, if next year we add another 1.5 lakhs square feet, receivables will further increase?

Rahul Murarka: Yes, of course. I mean, as a model, as and when we increase our square feet area, the debtors would increase to that extent.

Ankit Kedia: Understood. My last question is on the rental cost. How do you see now, with more bigger stores opening, you are taking more rentals on your books? And in such a scenario where SSG is negative and a low single digit, that pressure is coming on to the margins. How do you balance that in medium term?

Vedant Modi: I think there are multiple things we are doing here. I think, financially, we are a prudent Company, and we take conservative measures. So like I mentioned, we have been slow in terms of the overall number of stores we have opened, majorly on account of not signing wrong stores at wrong prices, because these are 10 to 12-year leases, and we do not want to make those wrong decisions. So, we are trying to ensure we are not signing the wrong stores in the first place. The second is, where we have not seen great SSG, but rent escalation demands have come, we are renegotiating those contracts and ensuring that we do not have to pay any escalations.

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And thirdly, in places where we see that, overall, this store is not making sense for us anymore as a market, which we did last year, when market has shifted from one area of the city to another, but rents have stayed at similar levels. We are taking hard calls in closing those stores. So, this is the overall scenario where we want to ensure that rent OC is kept as low as possible. And overall, it might have gone up by about 1.5% to 2% this year at the Company's books level, majorly on account of having a negative operating leverage.

Ankit Kedia: And just to follow up on that rental part, till last quarter we mentioned we have closed the smallest stores, right, some 1,000 - 1,200 square feet stores. And now you are saying that we also closed stores which the market has moved. So, can you quantify both the stores which we have closed, how much is because of business and how much is the small store strategy which we are closing?

Vedant Modi: It's a mix of both, rather, if I explain it in details. Typically, the small stores are the ones we had signed eight to 10 years ago, 12 years ago. And at that time those markets were

growing, and these

are the markets which are now shifting. So it's not one or the other. In the majority of the cases, this is hand in hand. The small stores did exist in the markets that are now moving out now.

Ankit Kedia: Understood, fair point. Thank you so much, Vedant.

Vedant Modi: Thank you.

Moderator: Thank you. The next question is from the line of Sameer Gupta from IIFL Capital. Please go ahead. Mr. Sameer, I would request you to please unmute your line and speak.

Sameer Gupta: Thanks for taking my question. I just wanted to understand this competitive aspect in a little more detail. Now, in your experience over the last decade of running Manyavar, have you witnessed this kind of competitive frenzy, when even in any particular micro-market, it need not be at a pan-India level, that so many stores, so many people have opened so many stores?

Vedant Modi: We have certainly witnessed competition in the last two decades of us operating this brand. Nothing at these levels, for sure. And typically what we have noticed is people open up a single store in a city, do decently well. And as they sort of scale up to a state level, to a region level, that's when things start to go south. This industry has to understand the hack of sort of understanding consumer preferences and understanding data at a very deep PIN code level, because what works in one part of the city does not work in the other part of the city.

This is what has been our core moat over the last few years and continues to be. And this is something which is detrimental to anyone opening a sort of business in this particular industry.

But we have definitely not seen this number of stores ever opening up, because it has all

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happened in a very short period of time, last two to three years. Earlier as well when there was competition, there were a few stores here and there, but nothing at this scale.

Sameer Gupta: And so just trying to understand then, what is the trigger now? I mean, it's not like the overall consumption is booming, or suddenly these players have got funding from somewhere. So, why now, and what's so special?

Vedant Modi: Well, on the lighter side of things, people say it was our market cap three years ago, and that might have attracted a lot of people. But overall, I think this space just seemed interesting and without many brands, with only one large player operating. So, probably why it attracted a lot of competition. And yes, I think it's again a difficult question to answer why exactly.

Sameer Gupta: Okay. So let me ask another question on a similar line. By when do you expect consolidation? Because what I understand is that you only said that none of them are doing well. So, I mean, by when do you see consolidation here in this market?

Vedant Modi: See, this is very difficult to answer, because it's answering from other people's perspective, and it really depends on how those businesses would have had identified the strategy. But, like I mentioned, the majority of the people that have opened stores do not have great financials as of now, which is what we understand. But will they consolidate, and when will they consolidate is again a very difficult thing to answer.

What we have witnessed in our tracking is that people who have been a lot older competitors of ours in terms of being in this market have had a reduction in the number of stores they have from last year to this year. So, the legacy competitors, we have seen the number of stores go down compared to last financial year. But on the same hand what we have seen is the other newer players adding the stores.

Sameer Gupta: But in your experience, let's say in any particular micro-market you might have faced this situation, anything then you had witnessed that it takes these many years for people to consolidate, or nothing like that?

Vedant Modi: I

wouldn't have access to this kind of data, actually.

Sameer Gupta: Okay, no worries.

Vedant Modi: We haven't seen frenzy like this before, like I mentioned.

Sameer Gupta: Got it, that's very clear. Second and last question on retail area. Now, this year has been on both sides, so there has been a consolidation, and there has also been a lower than what your usual increase in retail area is, even at a gross level. So, FY '26 onwards, at least the consolidation part, are we done, or do you expect more store closures to happen, and, of course, the retail area

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addition will depend on a number of things, but it used to be a 14%, 15% retail area growth. Any guidance or any tidbits on what is the expected strategy as it looks like today, that would be great.

Vedant Modi: So, if I am being extremely honest here, FY '26 is one financial year where we will take some hard decisions wherever it's needed on account of higher rentals where we have newer stores next to it. So, wherever, whatever decisions are required, we will take those. However, at maybe 3rd Quarter onwards, I think we are quite sure of getting back on decent retail area growth, and, most importantly, one thing which I want to sort of bring some light on is quality retail area will

grow tremendously from a complete financial year perspective.

Any sort of cleanup that needs to be done with retail area, which is not adding too much value to the business, and when it comes to signing new stores, we will ensure that low-rent OC, high-productivity stores are being signed. So, the goal is to add very high-quality net retail area to the business in the entire financial year, and the hopes are high that retail inflation sort of comes down by Q1, Q2, so that we can get back on the retail store expansion spree as well.

Sameer Gupta: Got it. That's all from me, and thanks, and all the best.

Vedant Modi: Thank you very much.

Moderator: Thank you. Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Vedant Modi: Thank you very much for attending the call. It's always amazing interacting with all of you. We have come out of a difficult year, but, as a Company, we are more driven than we ever were, and we will ensure that no stones are unturned with whatever we can do as a Company to ensure that we are able to get on a path to much better growth. Namaskar and thank you very much.

Rahul Murarka: Thank you.

Moderator: Thank you. On behalf of IIFL Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: Aug 2025

Vedant Fashions Limited

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August 07, 2025

To,
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block -G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
Dept. of Corporate Relations
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q1FY26

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated July 24, 2025

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call with the Analysts/Investors on the Unaudited Financial Results of the Company for the quarter ended June 30, 2025 (Q1FY26), organised and held on Thursday, July 31, 2025, is hereby enclosed and the same has been made available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investors-category/reports-results/earnings-call/>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thank you .

For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl – A/a

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"Vedant Fashions Limited Q1 FY'26
Earnings Conference Call "
July 31, 2025

MANAGEMENT : MR. VEDANT MODI -- CHIEF REVENUE OFFICER ,
VEDANT FASHIONS LIMITED
MR. RAHUL MURARKA -- CHIEF FINANCIAL OFFICER ,
VEDANT FASHIONS LIMITED
MODERATOR : MR. GAURAV JOGANI -- JM FINANCIAL LIMITED

Vedant Fashions Limited
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Moderator : Ladies and gentlemen, good day and welcome to Vedant Fashions ' Q1 and FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch -tone phone. Please note that this conference is being recorded. I now hand over to Mr. Gaurav Jogani from JM Financial. Thank you and over to you sir. Gaurav Jogani : Good afternoon, everyone. On behalf of JM Financial, I would like to welcome you all to Vedant Fashions ' Q1 FY '26 Earnings Conference Call. From the management, we have with us today, Mr. Vedant Modi , Chief Revenue Officer; and Mr. Rahul Murarka , Chief Financial Officer. Thank you and over to you.

Vedant Modi : Good afternoon, and a warm welcome to all the participants. I am Vedant Modi , the Chief Revenue Officer of the Company . Thank you for joining us today to discuss the Vedant Fashions Limited quarter one Financial Year 2026 Results . I hope everyone got an opportunity to go through our financial results and investor presentation which have been uploaded on the stock exchange as well as the Company 's website.

Vedant Fashions is India 's leading wedding and celebration wear Company . The 1st Quarter of financial year '26 saw a rebound in wedding calendar compared to the same quarter last year. Sales of our customers for the quarter ended 30th June 2025 was Rs. 4,057 million , which grew by around 23% over Q1 of FY 2025. In Q1 FY '26 , we continued the momentum built over the past few quarters of our sustained focus on enhancing customer experience, retail training, data driven merchandising and replenishment, omni -channel integration , and KPI monitoring, which has further contributed to strong SSG growth of approximately 17.6% over the same quarter in the last financial year. We are pleased to report that our retail KPI has also grew in healthy and sustainable manner.

With respect to our rollout expansion strategy, in light of the current retail environment, we anticipated a measured pace of retail openings during the period , to ensure that our openings are both strategic and business sustainable. As of June 2025, Vedant Fashions EBO retail area network stands at about 1.78 million square feet globally. During the quarter, we strategically scaled up our marketing efforts across multiple channels including social media and our various other brands, which contributed to our performance. Our focus on digital marketing alongside traditional mediums further supported this growth. Notably, our category specific initiative, the Vedant Fashions Limited
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Rajwada collection targeting grooms and the groom squad has helped establish a sustainable category growth strategy.

Additionally, we successfully executed campaigns for Mohey, leveraging influencers and in -store activations aimed at brides and bridesmaids, reinforcing the brand 's position as a go -to wedding wear choice for all women. The launch of our Twamev Sunset Soiree Collection, supported by extensive digital and extensive digital and social media campaigns and select in -store events , further bolstered both brand and category. We also ran successful social media campaigns for Diwas, emphasizing celebration, expanding our reach.

Collectively, these marketing initiatives have played a key role in enhancing our brand positioning and appeal across platforms with the positive impact reflected in the performance. Looking ahead, we remain firm focused on our core strengths, supported by well-prepared inventory and designs, comprehensive marketing initiatives, efficient auto replenishment

systems , and a robust store network. A strong backend infras

tructure has positioned us well for sustained long -term growth ahead.

With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of the Company . Thank you.

Rahul Murarka : Thank you, Vedant. Namaskar and good afternoon, everyone. I would like to highlight the key financial performance metrics for the quarter ended 30th June , 2025.

During Q1 of FY '26 , the Company witnessed a rebound in wedding season as compared to Q1 of FY '25. The Company reported revenue from operation of around Rs. 281 crores , delivering a healthy growth of 17.2% over Q1 of FY '25. The Company also witnessed healthy growth in sale of our customers and SSG by 23% and 17.6%, respectively, as compared to Q1 of FY '25. The Company continues to report industry leading gross margin of 66.9% , and healthy EBITDA margin of around 43.2%. The Company also reported a healthy PAT margin of around 25% and the profit after tax stood at around Rs. 70 crores with a growth of 12.4% compared to Q1 of FY 2025.

Thank you and namaskar, everyone. We can now move to the Q&A session.

Moderator : Thank you. We will now begin the question -and-answer session. The first question is from the line of Tejas from Avendus Spark. Please go ahead.

Tejas : Hi. Thanks for the opportunity. First question pertains to Vedant you partly answered that other expense s has sharp ly increase d this quarter. So, is this now from here on structural in the sense we need that much investment to keep the brand and business or the momentum going in our favor?

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Vedant Modi : Sorry, is this question in regard to marketing?

Tejas: Yes, so it is part of other expenses, right? So other expenses also.

Vedant Modi : Yes. So Tejas, you know actually this quarter the marketing spend was in line of how much we have always spent historically. The reason why it looks higher than the same spends in the 1st Quarter of last year, is because if you remember, the 1st Quarter of last year and the second quarter of last year had negligible wedding dates. So, last year we had taken a strategic call of spending close to no money on marketing in the first two quarters. Hence, even though the number looks larger compared to the last financial year, it is actually in line with how much we have been spending at a quarter level, usually. So, this is the kind of spends that we have typically done and even though slightly more than last year, at a financial year level, it should not change at a percentage level.

Tejas : Very clear. Second question is on our store count and our footprint and square footage. So even though sequentially we have increased the store count, but square footage has gone down. So, any rethink on our store size?

Vedant Modi : So, we are going to continue with our strategy of focusing more on the concept of flagship stores. The reason why this quarter 's data looks like this is majorly on account of a larger number of SIS stores opening. So, because these counters are typically about 150 square feet to 200 square feet, that is why you see a higher number of store openings vis-à-vis still slight bit of de -growth in terms of retail square feet.

Tejas : Got it. Any guidance or numbers you would like to share for this year or coming period on store expansion?

Vedant Modi : So, this year, strategically, the focus is to really ramp up our SSG. That is the core KPI for the Company . That said, we will still be quite healthy in terms of the gross openings that we do this year. So, we are still targeting to open a good number of stores. However, on the other side, we are also sort of consolidating a lot of the older stores and some of the different kind of concepts we tried in the past two years to three years , which have not worked for us. So, at the end of the year, while the net square feet expansion will not be a very lar

ge number, the quality of stores

that we operate will have significantly improved. So that is the major focus for the year along with delivering good SSG numbers which is what we are focusing on.

Tejas : Got it. And last one, if I may squeeze in, if you can share your observation on current competitive landscape and demand outlook in general.

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Vedant Modi : So, overall, I think the consumer sentiments remain weak across the mid premium industry. This is something which we hope that bounces back in a couple of few quarters. However, we have not seen any positive shift yet. It continues to be how it was till let us say about last quarter.

Tejas : Got it. That is all from my side and all the best for coming quarters.

Vedant Modi : Thank you very much.

Moderator : Thank you. The next question is from the line of Prerna Jhun Jhunwala from Elara Securities. Please go ahead.

Prerna JhunJhunwala : Thank you for the opportunity. Just wanted to understand demand more in detail in terms of footfalls, conversion percentages that you are witnessing, bride versus guest purchases, how they are panning out. That would be my first question.

Vedant Modi : Thank you for the question. So, I would say footfalls was in line with the kind of growth we delivered, and conversions also were in a uptick, having improved just slightly by a few basis points compared to the last financial year. At the same time, given that there were very few wedding dates in the last year same quarter, we did see our groom business improve faster than the non-groom business, majorly on account of better wedding dates. So, all in all that is where we stood. ASP also slightly increased, and the remaining growth came, the majority of the growth came in terms of volume.

Prerna JhunJhunwala : Okay. And if the mix was better, I am just trying to understand why margins were under pressure in this quarter versus last year?

Vedant Modi : See, again, margins can slightly shift by about 80 basis points from one quarter to another. But at a financial year level, there is no change at all.

Rahul Murarka : So, the PAT margin when you compare, we had 25% this quarter vis-à-vis 26.1% in Q1 FY 2025. The major reason is the marketing cost. This year the marketing cost was 5.6% of revenue and last year Q1 it was 2.3% of revenue. So, that is the major reason basically. But overall if you see, then we have a very healthy margin metrics.

Prerna JhunJhunwala : Okay. Last question, if I can squeeze in, in terms of Andhra Pradesh and Telangana regions, have they started to bounce back for you or they still remain under constraint?

Vedant Modi : I would say one of the best positives of the 1st Quarter was seeing a sharp rebound in AP, Telangana, which has led the growth momentum for the Company in this quarter. So, that was a big positive for us to see.

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Prerna JhunJhunwala : Okay. Thank you and I will come back to question queue for any further questions. Thank you so much.

Vedant Modi : Thank you very much.

Moderator : Thank you. The next question is from the line of Archana Menon from Morgan Stanley. Please go ahead.

Archana Menon : Hi. Thank you for the opportunity. So, my first question was on the growth side. While there are nuances on the wedding day calendar shifting and things like that. But if you look at, the FY '25 numbers even from a little longer-term lens, say from a three-year, four-year CAGR, that number is a little, still a little low. So how do you assess them? I mean, what do you think are the major challenges that you face? And is there any change in your expectation for steady state growth?

Vedant Modi : Thank you for the question. You know, like I was mentioning, even though the numbers from an absolute level compared to last year look decent, we would have liked to do bet

ter in all

honesty. And one of the core reasons why we feel that the growth could have been better is because consumer sentiments remain to be subdued as we witness across mid premium discretionary companies. And that is something once it rebounds, that is which will allow us to, sort of get to much higher growth levels.

From a Company's perspective, there are three to four things which we can really work on. One of the major elements being product, there has been a very large focus on having a lot more variety. As I was mentioning in the last earnings call as well, almost 2.3x to 2.4x the number of variety, compared to last year is something we have worked on, which has enhanced our conversion rates and lovability.

The second lens being marketing. So, there is again a large shift both in terms of the teams we have internally and the kind of campaigns we do. So instead of doing one big campaign for a brand, we are breaking it down into multiple mini campaigns run digitally, allowing us to be a little more viral and have a larger word of mouth spreading throughout the quarters and the year.

And finally, coming to operations, we have spent a lot of money on investing in modern age technology. The big project being the VFL Parivaar app where we train our fashion advisors almost for two minutes to three minutes on a daily basis, instead of focusing on the two to three times training per year, which was typically done in the retail industry. On top of that, we are also investing more in terms of the omni-channel and endless aisle technologies to improve conversion rates alongside better and enhanced training through the use of AI intelligence.

So, we are trying to do as much as we can from a Company's perspective by focusing on these initiatives alongside building the newer brands that we focus on, Mohey, Twamev, and Diwas.

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But given the weaker consumer sentiments, overall things have been relatively slower than we would have liked them to be.

Archana Menon : Understood. Thanks, Vedant for the detailed response. Just for continuation to this, do you think that the benefit of some of these initiatives that you have taken has already been reflected in your growth? Or do you think that even if we assume that the consumer demand environment remains as is, we should see a growth pickup in the quarters ahead as these initiatives start helping you?

Vedant Modi : This is a very tricky question to answer because one thing , which I have learnt over the last couple of years of working, is no initiative is sort of a ceteris paribus. So, an initiative which we as a Company take can take three years to show us results, whereas something can show us results in the first month itself. So, it is a very difficult question to answer. But that said, the goal is to do as much as we can in terms of investing in our people, in our technology, investing in great customer experiences to satisfy the needs of all. And if we are supported by the macro, then no doubt the growth should be tremendous.

Archana Menon : Understood. The second part of the question was in the margin side, because for the last four quarters we have seen your other expenses growing quite sharply. So, one aspect of it is marketing, but is there any other element which is taking that number up?

Vedant Modi : So, if we talk about the last financial year, then I would say it was majorly on account of operating deleverage, because of the lease costs, because these costs are fixed. So, if the SSG number is not what we anticipate, then that kind of hurts the margins. But from the 1st Quarter perspective, I would say it was a very positive quarter in terms of margins, because all the operating leverage kicked in. Marketing, which is a variable cost, which is something we actually plan at an annual level, not at a quarter level, is the major reason why almost

300 basis points

extra was spent on marketing. So, I would request you to not look at that at a quarter level, but to look at something like marketing at an annual level.

Archana Menon : Got it. Actually, what I was trying to check was, has there been any impact of say, you opening more stores under the model wherein you guys pay the lease over the franchise, or any strategic change that is getting reflected in these numbers?

Rahul Murarka : So, there are two things which are important as far as our PL margins are concerned. One is the gross margin, which has been pretty stable across, and another is the lease cost, which comes under lease cost as well as under ROU depreciation. Now, as you are aware that we have been opening stores in last couple of years, but the revenue has not grown to the extent it should have. So that is the reason there is a negative operating leverage which is there on account of the lease cost. So, once we are back with our normal revenue levels, then of course the margins would improve. And of course, the lease cost is another element apart from the gross margin, which is important.

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Vedant Modi : And lastly, to your question, yes, there has been a slight shift, not large enough, where the percentage would have moved slightly towards stores where we bear the lease cost versus where the partners bear the lease cost.

Archana Menon : Got it. Thank you so much for this. Just last question from my end. Strategically, Do you think that there is an opportunity for you , because your EBITDA margins are still very healthy, I would say, is there a strategic decision between growth and margin that you can make in terms of spending more and if you think that could drive up more growth? How do you think of growth versus margin?

Vedant Modi : Well, it is again a very interesting question. So, I think we are a highly growth focused Company . Now, there are two - three kinds of things when it comes to margins. So, there are things which are more long -term in nature, let us say lease cost, for example. So, these are areas where we would not want to sacrifice our operating leverage. But on the other hand, there can be a dynamic need where a marketing campaign really works for us, and we would like to spend a lot more money than we had anticipated. We will absolutely push the pedal and make that investment. So, depending on, if the action, long -term margin, destructive or accretive, those decisions and calls will be made. And if anything makes sense from a long -term perspective, we will absolutely take those calls for growth.

Archana Menon : Understood. Thank you so much.

Vedant Modi : Thank you.

Moderator : Thank you. The next question is on the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani : Hi. So Vedant, my question is with regards to the competitive intensity, and it is more so not from the organized players , but from the unorganized player lens. If you can highlight how the

competitive intensity has been over the past quarter and has it seen any change versus the previous periods?

Vedant Modi : So, like we have been mentioning, over the last 8 quarters - 10 quarters, we have definitely seen a large number of store openings. However, given how closely we track them and monitor them, majority of these Me-too brands, the performance is something which makes us question if the intensity of openings can keep up. So, we have already seen it slow down, and our common sense would tell us that this slowness in terms of the openings should be there from now on.

Gaurav Jogani : Sure. So, you expect the competitive intensity to moderate going ahead, if that is the right understanding?

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Vedant Modi : So, again, while I cannot give you an objective answer, qualitatively, we feel the intensity of the store o

penings would definitely slow down.

Gaurav Jogani : Sure. And Vedant, would like to have your comments on the other brands' performance, like Mohey or even the freshly launched Diwas. How have they been trending? How are their KPIs trending, if some color you can throw on there.

Vedant Modi : So, with Mohey, we have had a strategic shift in terms of how we look at the brand. So, we have invested a lot in terms of moving, from it being a bridalwear brand from it being a wedding wear brand. That has really worked in our favor. We have continuously being beaten the Company average when it comes to Mohey's SSG, and overall growth has also been positive. So, with this strategy in mind and the evolved digital marketing strategy, we feel we are poised to continue growing Mohey. And I think the way the stores are now looking; we have just come back from a store visit in Hyderabad. We seem very confident about the brand overall, and how it is going to perform in the next couple of quarters as well.

In terms of Diwas, the last festive was when the brand was launched. It did decently well although at a very small base. We saw very positive response in terms of the trade shows we have recently done in the last two months. So that was a great thing to see for Diwas. But the real test for Diwas is going to be in the upcoming festive season, when we will actually be prepped from an inventory perspective, and we will see the power of the brand on the multiple marketplace channels where we operate and our own D2C website.

Finally, coming to Twamev, again from an SSG perspective, it is been doing very well. We will also have one, very strategically important EBO opening in this financial year for Twamev in the heart of Bombay. So, with all of these things running, I think with Twamev as well, we are very confident about our product mix and portfolio and continued growth momentum.

Gaurav Jogani : Sure, Vedant. Thanks. That is all from me.

Vedant Modi : Thank you very much.

Moderator : Thank you. The next question is from the line of Rahul Agarwal from Ikigai Asset. Please go ahead.

Rahul Agarwal : Hi. Very good evening. A few questions and I am sorry I joined the call a bit late, so if it is not repetitive, I will read up the transcripts.

Vedant Modi : No worries.

Rahul Agarwal : On AP, Telangana, what is your assessment in terms of the growth bounce back? I mean, should we assume right now, is this the time to assume that this growth, obviously not 17%, but in terms

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of direction, this growth should be sustainable going forward or was there some seasonal impact or maybe some state behavior which caused this?

Vedant Modi : So, there are two - three aspects here. We have actually just come back from a visit to Telangana. And the kind of numbers we saw in Telangana in 1st Quarter were actually much better than the Company average itself. So, there is definitely the impact of having weddings in this quarter versus not having weddings in the 1st Quarter of the last financial year. But given the intensity of growth, we would feel there are other macroeconomic elements as well which have led to the growth in walk-ins. So, this is something we would like to see for one or two more quarters before commenting on this. But the 1st Quarter numbers, and I would even go on to say the current quarter two numbers which we see in July, have also been decent for AP, Telangana.

Rahul Agarwal : Got it. So, it needs like couple of more quarters for even the right assessment in terms of the direction to call out. Is that correct?

Vedant Modi : Absolutely.

Rahul Agarwal : Got it. Second question was on these emerging brand. I think Gaurav already asked that. But just in terms of the thought process, like scale and size, let us say five years out, Mohey obviously is going to be the largest one out of Mohey, Diwas and

Twamev. But just on Diwas and Twamev,

what is the vision here? Let us say if we talk about three years to five years. Could you just help in terms of the thought process, what you have, where do you see these brands in terms of scale and size?

Vedant Modi : Great question. So, in terms of Twamev, I would say the real goal from a three year to five-year perspective for us to have a large market share in the bridge to luxury category. This is the market where typically boutiques and small designers operate today. And given the unorganized nature of working, the kind of product being delivered and at the kind of price point, we feel we can do a much better task at having better products at better price points because of the supply chain we have. And so, the goal is to open the best store in the top 30 to 40 markets of India, and have a large market share of those markets. So, this is something we are focused on in terms of Twamev and to carry a big brand legacy of a premium brand as we sort of move on with this journey.

In terms of Diwas, we want to be the flag bearer of Indian wear when it comes to anything and everything festive. If you look at India, there are 50 plus festivals that India celebrates. At an individual level, each individual in India celebrates four to five festivals. Yet, when you look at the men's Indian wear industry, it is still very small. So, majority of Indians are not even buying a single piece of Indian wear annually today. With Diwas, we want to change that. We want to ensure that every Indian has the ability to afford and celebrate the festival of their choice, wearing the right product for that festival.

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So, given the channels that we have chosen, very focused on the e-commerce route through marketplaces, through diwas.com, along with the multi-brand outlets and SIS route which we are taking, we feel we can really change the aspect of the festival game in India when it comes to a three year to five year perspective. So currently, for the next one year to two years, the goal is to have a much higher market share of marketplaces. But as we grow the brand, we want to improve the industry's market share of festive wear. That will be the larger focus for Diwas.

Rahul Agarwal : Got it. There are just two follow-up questions on the same question. So essentially how do you achieve this? So, let us say if we have to achieve a higher industry market share for every celebration through Diwas, how do we change that behavior, as in terms of go-to-market, right? If you could share a couple of examples, that would help.

And the second is, both for Twamev and Diwas, in terms of obviously the TAM, we are talking about very large numbers, but from a Vedant Fashion's perspective, would you have or could you share something on, let us say, you foresee Twamev or Diwas as a Rs. 500 crores brand, five years out, three years out, something like that. If you could quantify that, that will help and give a direction to us.

Vedant Modi : Very interesting question. So, when it comes to the overall go-to-market strategy, this is something we have delivered in the past with Manyavar. So, two decades ago, organized Indian wear did not exist as an industry. So, if you go to our YouTube page of Manyavar, and I love to do this sometimes, and I go sort of looking at the videos from the oldest videos to the newest, there is a sort of journey to organize that industry and to make Indian wear aspirational along with making it value for money, which democratized the aristocracy of India, making sherwani's affordable for a lot of Indians. So, that is one journey we have done with Manyavar, which has to be done with the kurta wear industry for festive wear, which is what we are attempting with Diwas.

Now there will be a big marketing strategy behind that, but if I give you one example of Calcutta, which

is where we live, if you walk around the city in Poila Baisakh, you will see majority of the people here wearing a yellow kurta. The city being cultural, we have kept up with those values. And if the same values were to replicate in each city of India, for their respective festive occasions that they celebrate, that is all we have to do. And this is one thing which we truly believe from our hearts, adds so much cultural value to the country. The kind of happiness that can be felt across the city when something like this happens, is also truly beyond words.

So, this is something which we will truly work hard towards as we build the category and build the supply chain to cater to the amount of people we want to. Again, to your second part, which was to give numbers, this is something which we do not do. We would not like to give any guidance as such. But the goal is to be much larger in terms of both Twamev and Diwas, where

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we stand today, and also, while we build those brands, increase the TAM of those brands also significantly.

Rahul Agarwal : Got it. And just last thing, on the same store sales growth, the retail area additions, where are we on the store consolidation journey and how should we think about new store additions? Coupled

with that, the question was also on lease rentals because you mentioned that overall lease rentals still in metro markets are higher and even Twamev will need top 30 cities - 40 cities will have that kind of impact. So, both things together, in terms of how do you think about new store additions? And how are the lease rental trends and what should we expect for Vedant Fashion s overall?

Vedant Modi : So, to your second part, retail inflation continues to remain high. So, while we see some pockets, the inflation slowing down, these are the pockets where we are again going strong on expansion. But where the inflation continues to be very high, where we do not see that sort of rental yield for us overall, rental lease cost makes sense, those are the markets we are sort of still slow on in terms of expansion.

Secondly, to your question of the overall growth numbers, I feel again at the end of this year we will have decent growth in terms of gross numbers, which is opening newer stores. However, when it comes to closure, there is definitely consolidation of older stores. But on top of that we are also rectifying some of the strategic, sort of new things we tried in the past 2 years to 3 years which did not work for us.

I will give you one small example. Rajouri Garden as a market is strategically very important for us. But inside the market, the stores are very old and there are no large stores. So, we had a small store doing very good business for us. So, we took a call where we opened a 15,000 square feet to 16,000 square feet store right outside the market. However, that is something which did not work for us. So, now we are moving back into the market with a store which is half the size of this flagship we had opened , so about 7,000 square feet to 8,000 square feet, which is still the largest store inside the market.

So, while we have cut down in terms of square feet inside Rajouri market, we will still do much better in terms of revenue. So, these are some of the mistakes we want to clear out, where square feet number might reduce, but the quality of business will actually improve by a lot.

Rahul Agarwal : Got it. So, from a gross addition perspective, is there a count here or how should we think about that?

Vedant Modi : So, again, I do not want to give a particular guidance as such, but ballpark from a gross number, it should be between 8% to 10% of where we stand at the end of the last financial year.

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Rahul Agarwal : Perfect. And with much more higher throughputs, which will help overall sales to be higher

her

despite the net ads being lower. Got it.

Vedant Modi : Absolutely. So the goal is to improve the quality of retail significantly.

Rahul Agarwal : Perfect. Thank you so much for the patient answers, Vedant, and wish you all the best for the rest of the year. Thanks.

Vedant Modi : Thank you very much.

Moderator : Thank you. The next question is from the line of Aliasgar Shakir from Motilal Oswal Mutual Fund. Please go ahead.

Aliasgar Shakir : Yes. Thanks for the opportunity . Just a question on growth, follow up on the last question. So, now that you are indicating that, while gross number will be initially at least 10%, but will have a lot of closures, so, net numbers may not be there.

So, I think growth will be more led by, as you mentioned, SSSG . So, just if you can share some more color on how the SSSG trends keeping up this quarter because there will be multiple levers in play, right. One is the restructuring of the non -performing stores. Second is that we have seen now two years of negative SSSG, your base will be low and there were very weak wedding season also. So, that benefit should also be there.

But when I see from a very short -term point of view, I think last year, probably, September and December quarters were very good. So, maybe you may be impacted from there. So, if you could just share some color in terms of how we are looking at the SSSG performance and each of these levers playing out in your favor because that I think will be the lever of growth for you this year.

Vedant Modi : Thank you for the question. So, again, we do not give any guidance as such. But from a qualitative perspective, the goal every year is to do decently well in SSG. So, firstly, there is the lever of ASP where we want to grow by about 3% to 4% within each of the categories we operate in. Alongside the category improvement because the share of Mohey and Twamev is increasing in the Company , there is again a 80 basis points to 90 basis points jump in ASP at a Company level, every single quarter because of this. So, that is one big lever which we have.

Aliasgar Shakir : Sorry, how much did you say?

Vedant Modi : So, 3% within the categories and I would say 70 basis points to 80 basis points because of a larger share of Mohey and Twamev of the Company .

Aliasgar Shakir : Okay.

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Vedant Modi : So, all in all, 3.6% - 3.7% is something which we sort of target as ASP growth, which is one lever. The second big lever for us is improving our average basket size, which, again in terms of the kind of training which we deliver, the kind of lay outing which we do in our stores, we have been able to improve it quite decently, well over the last couple of financial years.

The third aspect is to continuously improve on footfall. This is the one major area where we have lagged in the last many quarters and the last two financial years overall, which is something with both very good marketing and rebounds in the macroeconomic environment, can really help us step up the overall, sort of, footfall numbers, driving a lot more bill counts.

And finally, there is a large play in terms of our retention strategy, in terms of ensuring we are able to recall a lot of the 80 lakh to 90 lakh customers that have already purchased from us, the data with which we carry in our systems. So, these are the overall growth levers in terms of having good SSG growth.

That said, there are a lot of micro KPIs that we work on, which I have mentioned for an earlier question, which is in terms of product, in terms of marketing, in terms of the operation standards.

And the real goal is to ensure that we do the best justice to every single guest walking into our store, making them feel extremely happy with what they have purchased.

Aliasgar Shakir : Got it. This is very elaborate and detailed. Thank you so much. Just one quick follow-up

. Last

two years, we were indicating that we will have a double-digit footprint-led revenue growth.

Now that this year, we are not having net level strong footprint growth, do you think that double-digit growth will be difficult or you think that SSG should be able to compensate for whatever impact we will have from lower net store addition?

Vedant Modi : So, again, see the goal of the Company is to always deliver on the best financial performance.

This year, we believe improving the quality of retail is more important than improving the number of square feet we operate in, which at a net level, will be much more beneficial to us.

So, for any retail Company, having a tail is the worst thing possible because that means great inventory gets stuck at the back of the non-performing stores, along with the overall operating deleverage that comes with it. So, the goal is to ensure great SSG along with improving retail quality, making us poised for good growth at the end of the financial year. So, if there is any market where we do not operate in, we will absolutely open a store. There is no reason to slow down in terms of store openings. It is just we want to do it in a manner which is sustainable and has great financial outcomes in both mid-term to long-term as well.

Aliasgar Shakir : Okay. Got it. Thank you so much. This is very helpful.

Moderator : Thank you. The next question is from the line of Jignesh Kamani from Nippon Mutual Fund. Please go ahead.

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Jignesh Kamani : Yeah. Hi, Vedant, thank you. I just want to know about the, like, consumer sales grew around 23% versus reported sales growth of around 17%. So, since last seven quarters or eight quarters, consumer sales growth has been much higher than the reported sales. Generally, it moves hand in hand and if there is any deviation probably one quarter or two quarter it will reverse. So, just want to know reason behind it, are the store having very high inventory two years ago and that is why reported sales looks weak because they are clearing the inventory?

Rahul Murarka : So, on a full financial year basis if you look at the growth in primary and customer revenue moves in the similar direction. On a quarterly basis, it can vary depending upon what is the upcoming quarter which is coming up.

Jignesh Kamani : Last eight quarter it is happening.

Rahul Murarka : Sorry?

Jignesh Kamani : If you take out last eight quarters, except fourth quarter, every quarter consumer sales growth was higher than the reported sales growth.

Rahul Murarka : No, so that to some extent it can be. Generally, if you look at full financial year like FY '25, if you look at, it was in the similar direction. It was moving in the similar direction in FY '25. So, what is important is to look at the full financial level. Like, if I tell you last year our primary revenue growth was 1.2%, okay, and our customer revenue growth was 2%. So, it was similar. So, that is what we are saying that if you look at financial year level, it will move in the similar direction. But in any particular quarter, there can be variations because our model is auto replenishment. Every replenishment happens automatically. There is no manual intervention. And the replenishment happens based on the demand and supply, how is the season in the upcoming quarter. So, these factors play a role, and it is fully automated. There is no manual intervention at all. So, that is why we are saying, it is important to look at the full financial year level rather than quarter to quarter.

Jignesh Kamani : Let me ask this differently. Over the last two years or three years, have you seen increase in the

inventory per store, either in number of SKU or the absolute amount ? And how is it currently?

Vedant Modi : See, it again depends from a store -to-store perspective, at an overall level, our receivables have not change

d dramatically. They might have improved for some stores where we have taken a strategic call to add Mohey and or Twamev or both. So, in those stores you would find that inventory levels in terms of MRP have increased. Because each store can only carry a certain number of pieces. But the moment we decide that we will change, let us say, 10% of the inventory from Manyavar to Twamev, the overall store's MRP value actually moves from 100 to about 130, because Twamev carries a much larger revenue. So, that is one reason why
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receivables increase from a store -to-store perspective. But as a Company we love to be a Company that has very high inventory turns overall.

So the goal is never to fill up stock. We look at our stores to be beautiful retail environments. We do not want them to look like warehouses, and the goal always is to have only the optimum inventory on the floor level . But yes, when we move from Manyavar to having a little bit of Twamev or Mohey, both the receivables and the inventory lying at the store increases because of the change in ASP of the products.

Rahul Murarka : But on an overall level if you look at, in TTM June 2025, our receivables days are 71 days, whereas in FY '25 it was 77 days. So, it has actually come down compared to FY '25.

Jignesh Kamani : Yes, sure. And second question on the SSG, like last, almost two years SSG has been very soft. So are we seeing the franchising partner, you can say there is a fatigue created at their end because their pivot period has elongated and ROI has been much deteriorated because of the overall condition . And in account of that are we seeing higher number of closer or when you want to open a new store, interest from the existing franchise for the second or third store has been slightly weak now?

Vedant Modi : So, then I will take this question in multiple levels. So, from a workflow perspective the way we function is, our business development team signs the store and after signing a property, we look for a partner from the existing network or from outside as needed, and that has never been a challenge for us, including even now. That is rather one of the easiest part of the operations we run.

Coming to the ROI of our partners, majority of our partners are well established retailers having worked with us for many -many years. They understand what the mid -premium discretionary spend is going through. They are wary of the facts, and the best thing is that even two years ago, we operated at ROIs which were extremely high. So, while that number would have come down slightly for the partners, it is still very healthy and positive. That is the reason why there is a lot of hard work that needs to be put in by our franchisees and the Company . However, there is no sort of story of negative ROI as such. Hence , all partners remain to be committed towards the overall growth of the brand.

And finally, when I talk about closure, majority of the closures that we take up are actually led by the Company itself, which is more strategic in nature due to the reasons I mentioned. Very rarely do we have closures coming from the partner's end.

Jignesh Kamani : Understood. And my last question is on --

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Moderator : Sorry to Interrupt sir, but I may request you to rejoin the question queue for the follow up question.

Jignesh Kamani : Okay.

Moderator : Thank you. The next question is from the line of Devanshu Bansal from Emkay Global . Please go ahead.

Devanshu Bansal : Hi. Most of my questions are answered. You can move to the next participant. Thank you.

Vedant Modi : Thank you.

Moderator : Thank you. The next question is from the line of Sameer Gupta from IIFL Capital. Please go ahead.

Sameer Gupta : Hi. Good afternoon. Thanks for taking my question. I am sorry if somebody has asked this, I joined the call a little late. I was of the impression it starts at four. First thing, on the EBITDA margin. Now, historically, if I look at EBITDA margin in 1st Quarter and full year, normally, it is in the same range. This quarter has started on a very unexpectedly lower note at 42% to 43%. Now, how should we look at it? Is it that ad spend this quarter have been disproportionately higher and you expect some phasing, or this is a normal level which you think will sustain going forward? So, just if you can elaborate on that, please?

Rahul Murarka : Hi, Sameer. So, this time the marketing cost is the main reason why we see a decline in EBITDA margin because last year, in Q1 FY '25, we had a very negligible marketing cost because of, there were negligible weddings last year in Q1 FY '25. So, that year in Q1 FY '25, the marketing cost was only 2.3% of revenue, wherein in this quarter, we have spent 5.6% of revenue in marketing cost. So, around 3.3% is impact of marketing cost only. So, that is a major reason where we see that the EBITDA margins are looking lower compared to last year 's Q1.

Sameer Gupta : Understood. But if 5.6% is going to be a consistent number for the full year, that would mean that, all things equal, 43% is also going to sustain for the full year, right?

Vedant Modi : No, no .

Rahul Murarka : No. The point here is, look, there are multiple things which play a role. Another thing, one is the marketing cost. Another is, there is operating leverage as well , when we look at the full financial year, Q3 is the highest revenue generating quarter for u s. So, by the time we reach a nine month period, of course, the revenue levels are very different compared to the cost, right? So, of course, the margins at EBITDA level also look different because of positive operating leverage.

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Vedant Modi : So, just for reference, quarter one advertisement cost was 5.6%, and last year 's entire year 's financial year advertisement cost was also similar to that level, if not slightly higher. So, at a financial year level, advertisement costs are always at that level. It is just we have strategically decided to save money last year 1st Quarter to spend more in the second -half, which we decided not to do this year. If we remove that, then we also had operating leverage, improving the overall margins and that 80 bps that came down from a gross margin level is more of a quarterly thing, something which will fix itself in the remaining financial year.

Sameer Gupta : Got it. A little bit of follow -up over there. So, I am noticing the GM contraction, it is still not high, but it is happening for the last three quarters and the reasons we still are not sure. I mean it is something similar that we have mentioned last two quarters also. So, what exactly is happening over there?

Rahul Murarka : So Sameer, on the gross margin if you look at, in Q4 FY '25, we had 66.2% of gross margin and with current quarter we had 66.9% of gross margin. Now, our point here is, that it is always better to look at gross margin at an annual level. On your point of quarter -on-quarter we have actually improved on gross margin . But our recommendation would be to look at annual level and as a management, we are very comfortable with a gross margin of anything above 65%.

Sameer Gupta : Okay. So, let me ask this in a different way , I was actually looking at Y -o-Y contraction, so 80 bps is the contraction this quarter, last quarter was 90 bps, prior to that was 50 bps. This is what I was referring to.

Rahul Murarka : So that is what Sameer, I mean, look , at the full financial level if you look at, last year we had 67.2% of gross margin in FY '25, right? And now we are at 66.9% of gross margin in Q1, right ? So, there is only 0.3% of difference which we are talking, that also can be of different reason on a quarterly basis. So firstly, it is

important to look at a financial year level, that is what we are trying to say, because quarterly it can always vary.

Vedant Modi : I would also just like to add one thing, FY '24 gross margin was 67.2%, FY '25 gross margin was 67.2%, absolutely the same, and quarter one FY '26 is just 30 bps lower than that, 66.9%.

So, all we are trying to say is, if you look at it from a full financial year level, you will hardly find things moving here and there. That said, as a Company , the goal is to improve our gross margin within each category of a brand. With Mohey, Twamev and Diwas growing its share of the pie, at Company 's revenue level, managing the same gross margin we operate, is becoming more and more difficult, but somehow, we are able to manage to stick to the same levels. And that is something which I would say is a great achievement by our merchandising team. And t he goal is, if we are able to maintain these numbers, that means significant improvement in the departments that are operating Mohey, Twamev and Diwas.

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Sameer Gupta : Got it. And just sorry, just to blabber on this point again. So logically, if a Mohey, Twamev or Diwas is giving higher growth versus Manyavar, there should be a natural contraction in GM, is that correct understanding.

Vedant Modi : See that is a correct understanding . But that is what I am trying to say , even though they have grown much better than the Company average, still the FY '24 gross margin and the FY '25 gross margin was absolutely the same. Even the current quarter 's gross margin is almost the same at 66.9%. So, we are actually improving a lot on our gross margins when it comes to within the brand level.

Sameer Gupta : Got it.

Vedant Modi : So, there is a lot of improvement happening. So, the goal is to actually maintain the Company level average for which we will actually have to do a lot of hard work within the brands.

Sameer Gupta : This is very helpful, Vedant. Thanks for sticking around and answering this in detail. Second question, if I may?

Moderator : Sorry to interrupt sir, but I may request you to rejoin the question queue for follow-up questions.

Sameer Gupta : Sure. I will do that. Thanks.

Moderator : Thank you. The next question is from the line of Vishal Dudhwala from Trinetra Asset Managers . Please go ahead. The next question is from the line of Jignesh Kamani from Nippon Mutual Fund. Please go ahead.

Jignesh Kamani : Hi, Vedant. I just want to know more on the you can say Mohey and Twamev. There, I believe, since Manyavar is more established brand versus while Mohey and Twamev is more on the seeding stage right now. So, your revenue per square feet will be slightly weak there and as you said their ASP is 30% higher. So, your inventory amount will be higher and inventory turn might be weak. So, from the franchising point of view, ROI on the Mohey, Twamev will be slightly inferior versus Manyavar. So, are we compensating them enough for them to make it motivated because when I interact with some of the franchising partners, they were not keen to promote more Mohey, Twamev because from their perspective, they will dilute on the ROI?

Vedant Modi : Well, I would like to take this answer up in two parts. So, when I talk about Twamev, when we talk about having Twamev within Manyavar Mohey stores, then it will always add ROI value to any partner that operates with us because Twamev is added in the same space where Manyavar is kept.

Jignesh Kamani : Okay.

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Vedant Modi : In basically nutshell, it increases the ASP of the store and also improves the average ticket value of the customers because of having better ASP products and satisfying to the already existing demand. So, it will always be improving the ROI for our partners. Now, when I talk about Mohey, what we have seen is, in the

larger stores, Mohey actually has tremendous value in terms of the growth it gives to that particular store. And on the second part, when you are building a store, let us say 5,000 square feet store versus 7,000 square feet store, the amount of Capex you spend for that incremental 2,000 square feet is much lower than the average of the 5,000 square feet you are spending because there is economies of scale when you are building that store. The second part is in the store operations as well. So, there are some larger cost components, let us say, the store manager. Now the same store manager is able to handle both Manyavar and Mohey, and you do not need to have another person doing that job. So, even from operations economies of scale, having Mohey makes so much more sense than not having it when we have a larger space. So, from an ROI perspective, when I look at Mohey as an incremental perspective to the Manyavar store that was already going to open, it will be at a very similar ROI level. So that is what our understanding is, and majority of the partners we interact with across India, everyone is now pretty happy with Mohey and very happy to have Mohey in all the new stores that are opening. Hence you will find 40% of the --

Jignesh Kamani : What about the existing store? Understood about the new store, but existing store which are already doing the Manyavar, there you are replacing part of the area of Manyavar with Mohey, there the ROI will get compromised, right?

Vedant Modi : No, because I would say two years ago that exercise was completed.

Jignesh Kamani : Okay.

Vedant Modi : So, in the last two years, we have never really transferred a Manyavar store to be Manyavar Mohey because any store where there was enough space and we could have done that, we have already done that. So that opportunity does not exist anymore.

Jignesh Kamani : Understood. Thanks a lot.

Moderator : Thank you. Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to the management for closing comments.

Vedant Modi : It is always a pleasure interacting with all the analysts. Thank you very much for joining. Looking forward to interacting again the next quarter. Namaskar and thank you very much.

Moderator : Thank you. On behalf of Vedant Fashions, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Vedant Fashions Limited

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November 06 , 2025

To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block -G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q2FY26

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated October 24, 2025

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call with the Analysts/Investors on the Unaudited Financial Results of the Company for the quarter and half -year ended September 30, 2025 (Q 2FY26) , organised and held on Friday , October 31, 2025 , is hereby enclosed and the same has been made available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investors -category/reports -results/earnings -call/>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thank you .

For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl – A/a
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"Vedant Fashions Limited
Q2 FY '26 Earnings Conference Call "
October 31, 2025

MANAGEMENT : MR. VEDANT MODI – CHIEF REVENUE OFFICER –
VEDANT FASHIONS LIMITED

MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –
VEDANT FASHIONS LIMITED

MODERATOR : MR. DHIRAJ MISTRY – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Vedant Fashion Limited Q2 FY '26 Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note this conference is being recorded.

I now hand over the conference over to Mr. Dhiraj Mistry . Thank you, and over to you, sir.

Dhiraj Mistry: Good afternoon, everyone. On behalf of ICICI Securities, we welcome you all to Vedant Fashion Earnings Call. We have with us Mr. Vedant Modi, Chief Revenue Officer; Mr. Rahul Murarka, CFO.

Without further ado, I would like to hand over the call to the management, and over to you, sir.

Vedant Modi: Good afternoon, Namaskar, and a warm welcome to all the participants. I am Vedant Modi, the Chief Revenue Officer of the company. Thank you for joining us today to discuss Vedant Fashions Limited Q2 and H1 FY '26 results. I hope you have got an opportunity to go through our financial results and investor presentation, which have been uploaded on the stock exchange as well as the company's website.

During the second quarter of FY '26 , sales of customers were INR3,494 million, reflecting a growth of 4.6% over quarter 2 of FY '25. The quarter saw significant operation transition following the government's GST rate rationalization effective of 22nd September. We responded swiftly with comprehensive system in stock realignments, process integrations, barcode updates ahead of the peak season. Although dispatches were briefly affected during the transition, operations have since normalized, strengthening our long -term efficiency.

During H1 FY '26, sales of our customers was at INR7,551 million, reflecting a growth of 13.8%. Further, SSG during the first half of FY '26 stood at 8.2% compared to the first half of FY '25. With our continued strategic focus on enhancing customer experience, strengthening retail training, driving data -led merchandising and replenishment, fostering omnichannel integrations and disciplined KPI management has driven consistent improvement in key retail performance matrices.

In line with prevailing market conditions and evolving retail landscape, we pursued a focused and disciplined approach to expansion, prioritizing strategic and sustainable store openings. While we continue to open new stores and expand our footprint, we also undertook selective rationalization of underperforming locations, leading to a modest net addition of 3,500 square feet in retail area during the quarter.

We also strengthened our international presence with 2 new stores in Australia and the UAE. As of September 2025, Vedant Fashion's EBO footprint stands at 1.79 million square feet across 671 stores in 257 cities and towns globally.

During the quarter and first half period, we deployed a comprehensive suite of marketing initiatives across multiple brands and channels, leveraging both digital and traditional platforms

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to amplify brand visibility, strengthen positioning and deepen consumer engagement. These initiatives included category -led campaigns, new wedding collection launches, festive and occasion -based marketing, store -level events and activations and influencer collaborations, thereby collectively reinforcing brand equity and consumer connect.

Mohey's latest campaign, "Mohey Rang Do ", themed celebrating every shade of Mohey, celebrates the brand's rich colour palette from Coral pink and midnight blue to Dusty, Cerulean and Mini Green, symbolizing self -expression and India's vibrant festive spirit. The campaign strengthened Mohey's pos

sitioning as the go -to destination for expressive colourful fashion, contributing to its strong performance during the quarter and the first half period.

Manyavar further reinforced its category leadership in wedding wear through high -impact campaigns such as "Aap Kab Ban Rahe Hain Manyavar " deployed across outdoor and digital

platforms, supported by the launch of the "Aran ya collection " and engaging programs like "Manyavar Wedding Ambassadors ". These initiatives deepened brand affinity, boosted recall and cemented Manyavar's identity as the definitive wedding wear brand.

In the premium segment, Twamev continued to build momentum by amplifying its Truly -- you brand proposition through product is king storytelling and curated experimental activations. This included marquee events such as wedding Asia and Art Brew at select stores. These efforts translated into strong and encouraging performance for the brand during the period.

The Diwas marketing initiative executed across digital and social platforms during key festivals such as Raki, Ganesh Chaturthi, Navratri, Durga Puja, Diwali and Chhath Puja successfully celebrated the spirit of festivity while expanding brand reach and engagement. This approach significantly enhanced visibility, deepened consumer connection and contributed a solid performance across the period.

Collectively, these initiatives built on our core strength of a well -curated inventory, distinctive designs and efficient replenishment systems have enhanced our brand positioning, reinforced our leadership within the category and deepened consumer engagement, thereby reinforcing Vedant Fashions as the definitive house of brands for all wedding and celebration wear needs, while paving the way for the next phase of evolution and growth.

With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of the company. Thank you.

Rahul Murarka: Thank you, Vedant. Namaskar, and good afternoon, everyone. I would like to highlight the key financial metrics for the quarter and half year ended 30th September 2025. Starting from Q2 of FY '26 performance update, the company achieved growth of 4.6% in sales of our customers compared to Q2 of FY '25.

The reported revenue from operations was approx. INR263 crores and the profit after tax stood at around INR56 crores. This quarter also witnessed a significant operational transition following the GST rate rationalization implemented by the government effective 22nd September 2025.

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We completed all the actionable in relation to implementation of GST rate changes, including revised MRP tag in the warehouse and stores, which was really a challenging aspect considering the upcoming season. Due to this, our dispatch process were impacted for about 15 -20 days, affecting our reported revenue for the quarter.

Now coming to H1 of FY '26 performance update. During H1 FY '26, the company reported revenue from operation of around INR544 crores with a growth of around 7.2% over H1 of FY '25. During this period, the company continued to report industry -leading gross margin of around 66.1%, along with healthy EBITDA margin of around 43%. The company also reported healthy PAT margin of 23.2%, and the profit after tax stood at around INR126 crores.

Moreover, during the trailing 12 months period of September '25, the company reported healthy cash conversion ratio of approx. 79%, which has been computed based upon operating cash flow to PAT, excluding finance income. During H1 FY '26, the revenue from sale of our customer was around INR755 crores with a growth of 13.8%, while our SSG grew by 8.2%, respectively.

Thank you, and Namaskar, everyone. We can now move to the Q&A session.

Moderator: Thank you very much. We will now begin the Q&A session. Is from the line of Sameer Gupta from India Infol

ine.

Sameer Gupta: First, just a clarification. I didn't get the 15 -20 days disruption. Can you just repeat and probably elaborate a little as to what exactly happened?

Vedant Modi: Sameer, thank you for the question. So basically, as you're aware that GST rates across all our products sort of got changed. So this sort of impacted the price change across the company. And what we had to do is remove the barcodes physically in the warehouse on each and every product. We had more than 1 million pieces and put new fresh barcodes on that. And hence, this process took us a lot of effort to change.

Sameer Gupta: I'm sorry, I'll just interrupt you. Your voice kind of is echoing. I'm sorry. I'm not able to really get what you're saying.

Vedant Modi: Is it fine now?

Sameer Gupta: Yes, it is fine.

Vedant Modi: Okay. Sorry, I'll repeat it again. So as you're aware that GST rates got changed from 22nd September. And what we had to do is because majority of our products were affected by this, we had to actually physically change the barcodes of all our products in the warehouse. So last 15, 20 days, our dispatches were sort of hampered.

Hence, this is sort of reflected in the difference in primary revenue and secondary revenue growth by about 6 %-odd. There's a delta. And one of the main reasons for that is the barcode

changing in the warehouse and overall dispatches being slow during that period.

Sameer Gupta: Got it.

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Vedant Modi: Didn't affect secondary revenue at all.

Sameer Gupta: So suffice to say that you've grown at 5% on a secondary revenue basis. If this disruption wouldn't have happened, net sales would be close to 5%...

Vedant Modi: Absolutely. Absolutely, that's right.

Sameer Gupta: Okay. Fair enough. Now coming to my questions. So there is a gross margin contraction of around 270 basis points. Now I have asked this question earlier quarters also, and this is being persistent now. Like for the last 3 quarters, we have seen a contraction. This quarter, the quantum is a little higher.

So I mean, just understanding what are the reasons here? Is it changing mix in favour of Mohey Diwas, higher inventory markdowns, any write-offs taken? Is it a function of store closures? I mean, if you give these like major reasons which is leading to this? And how should we look at it going forward?

Rahul Murarka: Sure. Thank you, Sameer, for your question. I'm Rahul Murarka. So gross margin, quarterly, it can vary due to various factors, including product mix, wedding, non-wedding aspect, quarter, etc. This year, Q2 was a normal non-wedding quarter, while Q2 of previous year had weddings in July. And hence, the gross margin for both periods are actually not comparable. So it is better to look at H1. If you look at H1 period, we have been able to achieve gross margin of 66.1%...

Sameer Gupta: Which is still a contraction on a base first half, right? And I would assume the first half is still comparable?

Rahul Murarka: So first half, look, I mean, again, it can always change because last year, first half, this year, first half was different, Sameer. And if we look at a full financial year basis, generally, that is the best thing to do. Like if I talk about first half of H1 FY '24, which was there, right, then the gross margin was around 66% plus only. However, by the year-end, it improved. So I'm saying quarterly or H1-wise, the gross margins can always vary. So it is always better to look at the full financial year level.

Sameer Gupta: Fair. So my limited point is that it has got nothing to do with the changing mix or anything of inventory markdowns. It's a normal vagary which can reverse in future. That's the implication that you're stating, right?

Rahul Murarka: Yes, absolutely, yes.

Sameer Gupta: Got it. Fair. Sir, second question is on the EBO addition part. So this quarter, we have

seen a net

closure of 13 EBOs. I remember last year, we had a large store consolidation exercise. And the indication at that time was that usually happens in around 3, 4 years' time where you take a large consolidation.

And going forward, you do not envisage any larger store closures. So just wanted to reiterate, this is more of a normal store consolidation exercise? Or is there something more that one should see? And going forward, how do you see the EBO store addition panning out?

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Vedant Modi: Yes. So Sameer, as we've been discussing in the past couple of quarters earnings call as well, is that we are really in a journey of improving the overall quality of the retail that we open. And that has resulted in a few sorts of closures that are not performing or where markets have changed, where they've moved from one market to another.

So that's majorly the kind of store closures we've taken. If I talk about this quarter, particularly, majority of that net is a result of SIS doors moving back to MBO doors. So that's the core reason.

So one challenge that we also see when explaining these numbers is of the 13-odd net difference, 9 of that is actually SIS stores. So that's also an important point to be taken.

Sameer Gupta: And how many out of the total are now SIS?

Vedant Modi: So it's broadly 150, but I'll get back with the exact numbers to you.

Moderator: The next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Rahul and Vedant, my first question is with regards to the overall the industry scenario. Now we have been seeing that the industry has kind of struggled over the last couple of years, especially post the COVID surge that we have seen and then the competitive intensity has also increased then.

But now are you seeing any signs of the competitive intensity going down? And in addition to this, you have also worked a lot on improving the quality of the retail also the merchandise, et c.

So what has been the initial signs or things that you're seeing, if you can comment on that?

Vedant Modi: Thank you for that question. So something which I've repeatedly sort of said is we are extremely confident about our moats from across directions. That said, we've been very closely monitoring competition, stores that have opened up across India from all a spect. And like I mentioned, just thinking out loud from a common -sense perspective, what was happening earlier with the amount of openi ngs didn't make a lot of sense.

So all the players that we track from our end, we've seen around overall number of stores staying flat quarter -on-quarter. So overall, no -- at a net level, no new stores have opened from an industry perspective is what our reading is at least for now, whi ch makes sense given the kind of financial pressure most of them were facing. And finally, your merchandising, etc ., questions was for our company, right?

Gaurav Jogani: Yes.

Vedant Modi: Yes. So like I've mentioned earlier as well that from a merchandising angle, we are taking a lot of inputs from across the market, and we've almost 2.5x the number of designs we test in a given financial year. So teams are working extra hard to ensure that we don't miss out on any design language that the company should be attempting to try and really trying to make the most out of whatever we can do.

Gaurav Jogani: Sure. So the question is we know all these things. Are you seeing any green shoots in that sense that is the competitive intensity now abating and probably that should help you to grow better?

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And also what has been the results of this merchandising 2.5x new designs being introduced? What kind of results are you seeing? If you can quantify that or maybe any qualitative answer on that?

Vedant Modi: Sure, sure. So to your firs

t point, I mean, this is something we'll have to see given it's just started

to slow down. So I think it's better to comment on this maybe after a quarter or 2. And to your second point around merchandising, I think definitely, o ur repeat customers feel that our ove rall design sense has improved.

Our overall quality has improved over the last couple of 3 to 4 years. And at the same time, conversion rates are also improving by certain basis points every single quarter. So overall, these things are quite positive to see.

Gaurav Jogani: Okay. And my second question is with regards to the -- just on the balance sheet side. We have seen this quarter around, there is some capex of around INR11-odd crores. So specifically, just wanted to understand what is that regarding to? And the other bit on the thing is why I see that the inventory has come down from March level. However, the receivables still continue to be a bit higher. So anything spec ific that you can call out there?

Vedant Modi: So I'll take the first part, and Rahul you can take the second. So coming to your question around the capex of INR11 crores. So for a while, we wanted to experiment on running a few retail stores that are flagship stores by the company. And this is a pure outcome of trying out a lot of experiments, which can be very costly to run in some cases.

And this was one of the ideas and themes that we wanted to do. So we've taken over a few stores in Bangalore, which we wanted to experiment with. So that's where the capex of INR11 crores comes from. And Rahul, we can explain the second.

Rahul Murarka: So net receivable days, Gaurav for TTM September '25 is around 79 days. And in FY '25, it was around 77 days. So there is no major increase in the net receivable days. The main thing is about the revenue thing. As soon as we get back to the revenue growth trajectory, then we don't -- we will not see the increase which we are seeing now. So majorly, it is because of the primary revenue, wherein we see that the debtors have slightly increased. So nothing major increase we have seen in that.

Gaurav Jogani: Okay. And just a clarification. So when you see that a few retail the factory floors. So for that, I think the capex that is done by -- I mean, this would be kind of a CO CO store investment...

Vedant Modi: Correct. Correct. So strategically, we remain a COCO company. We've done just a few COCO stores in Bangalore to test out things rapidly to see if something is working, then we can actually ask our franchisees to roll it out pan -India.

Gaurav Jogani: Got it. So would you -- any guidance that you would give on the capex for this year, given this experiment has been done?

Vedant Modi: No, no, that's about it. There will be nothing in addition to this.

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Moderator: The next question is from the line of Resham Mehta from Green Edge Wealth .

Resham Mehta: So the first question is, while you did explain the gap between the reported revenue growth and the primary sales for the Q2. But even if we look at Q1, there is a significant gap of almost 500 basis points. So what is that attributed to typically the gap between the primary sales and the retail sales and the reported revenue growth?

Rahul Murarka: So the reason is same actually, if you look at Q2, it was moving towards the same direction. So it is because of the Q2 September dispatch, which was impacted we can see that 6% gap, majorly, I say. So the major reason is that only.

Resham Mehta: No, no, I'm asking for Q1. So a similar gap is seen in Q1 also. Q2, you have explained that it is because of the GST transition. But even in Q1, we see a similar gap, like the reported revenue growth was 17%, while the retail sales growth was around 23%?

Vedant Modi: So actually, to be very honest, if we look at it at an annual level, these numbers always end up falling in place. So sometimes

what happens is our supply chain teams have a very core KPI, which is to improve inventory turns. Higher inventory turns at store means that you have slightly less products left at the store, but doing better business.

So sometimes what happens is in a quarter if we get something right, we can actually do lower primary but better customer revenue. And from a business angle, that's an amazing thing to be - for us to be achieving because our cash flows would stay in line with how our secondary revenue is doing. So the core KPIs for us is secondary revenue growth. And sometimes it can vary, but at an annual level, things will again move back to being very similar.

Resham Mehta: Other thing, if you could elaborate on -- so I was not being able to understand the divergence between the men and women ethnic wear demand, right? So if you look at the saree-based retailer in South, they've done almost 35% revenue growth in H1. And if you look at one of our other listed peers and even us, the kind of H1 revenue growth that we've done is much lower than the 35% growth that the women's sari wear retailer has reported.

So is it that there is a divergence in terms of wedding wear demand across men and women because I believe that the wedding calendar was decently good in H1. So if you could just comment on this? And also, is it that, let's say, because they are South, the demand was much better in AP Telangana. And if that is the case, then did Mebaz perform better for us because it's more AP Telangana heavy. Your thoughts here would be very helpful.

Vedant Modi: Absolutely ...

Resham Mehta: Sorry, your voice is breaking. Sorry to interrupt.

Vedant Modi: Hello, can you hear me?

Moderator: Yes, now it's better.

Vedant Modi: Okay. Sorry. So again, I'll also reiterate a point that for us, South too, which is AP and Telangana, did extremely well as well. So I would not go down into one level of breaking it down into men

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versus women or by categories. As we all know, AP and Telangana as a region, which I mentioned in the past, did not do very well last year.

It was one of the big dragging points for us for the entire last financial year. And what I understand from the industry, it was very similar for majority of the players in that market. But this year, overall, things have been very different. And even we've done extremely well, similar to the numbers you were mentioning in the AP and Telangana market.

Resham Mehta: So would it be fair to say that in H1, we would have also grown by around 35%, specifically in AP and Telangana or it's not that number you can quote, then at least, let's say, north of 20% or north of 30%, something.

Vedant Modi: North of 20% is what we would have grown. -- in AP Telangana.

Resham Mehta: Got it. And any particular reason that this can be attributed to that AP Telangana saw a bounce back?

Vedant Modi: It's very difficult for us to describe this. In fact, a lot of members of the senior management spent almost a week in AP Telangana last quarter. And the reasons which we get from the market are very macro in nature. So it's very difficult for us to explain. From our perspective, they were all related to footfalls. Last year, footfalls were missing, and this year, footfalls are back. So from our perspective, that's the main KPI, but the reasons we were getting were too macro for us to explain right now.

Resham Mehta: And just the last question. So one is how do you measure customer loyalty? And do you think that in the last 2 years where the competitive intensity has increased, have these numbers come down? And lastly, the Divas brand, so it's more in the economy segment. So how is the traction there? And how are we seeing the demand pan out in the economy range?

Vedant Modi: Sure. Thank you for that question. So from a loyalty perspective, we have 2 core KPIs

hat we

really monitor, rather 3 main KPIs. So the first big one here is retention rate, which is what percent of our business this year is coming from existing customers. The second KPI, which we monitor is repurchase rate, which is, let's say, if I had customer data of 100 people before the end of last financial year, how many of those 100 customers have come back this year to shop? And finally, what are the NPS scores we are getting from every shopping experience, which basically is an indicator that they will come back in the future or not. All the 3 for us have been doing really well. Rather, I would say our customer life cycle management team has brought in the most amount of customers for us. So that's been a very positive sort of vertical for us. Sorry, what was your last question? It was on.

Resham Mehta: Divas brand. So it's an economy brand. So how is the traction there and the demand in the economy range?

Vedant Modi: So we would not call Divas an economy range. For us, it's our festive range. We feel it caters to a completely separate set of needs of our audiences. And overall, we've been very happy with the kind of performance Divas has shown us. especially because it aims at improving our other

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channel business, mainly geared towards the online and MBO side of things. And overall, given the kind of festivals India celebrates, we've really been happy with the kind of performance we've seen in Q2 and the early parts of October.

Moderator: The next question is from the line of Aditya Sen from Findoc .

Aditya Sen: So sir, we understand that key metrics to measure the -- or rather forecast the demand for our products, wedding products is forecasting the number of wedding days. And in the last 2 to 3 years, we have seen a declining trend. So is it somehow possible that we, as a company, Vedant as a company can forecast the number of wedding days in order to maintain the inventory and anticipate the sales of the coming 2, 3 years?

Vedant Modi: So that is something which we absolutely do. It's a bread and butter for us because we sort of take wedding days as a data point in order to judge what kind of sales we would achieve in a particular quarter. So our FP&A team, along with our inventory planning teams really rely on this data.

The challenging part here is it's not I mean there's a big correlation to how many wedding dates you have. But it's not, let's say, if you have 10 wedding dates in a quarter and 20 wedding dates in a quarter means that you do double the business. There are many other factors also which make this analysis very tricky and qualitative.

So I'll give you an example, India prefers to get married in winters. So a single date in December or January will always have more wedding than a single date in April. So we'd like to ensure that all these parameters are also kept in mind when sort of judging our planning.

Aditya Sen: Sorry to interrupt. So your last line was not audible. Could you please go again with the last line...

Vedant Modi: So what I was mentioning is that given there's no absolute direct correlation. So sometimes India prefers to get married in winters. So a single date in December is actually a lot more important than a single day in April.

Aditya Sen: I truly understand that. perspective about it. And how reliable can our forecast be? Let's say, we forecasted, let's say, 20% growth next year. So does that come with 100% accuracy or there is some margin of error also?

Vedant Modi: I mean there will always be some volume of error. I think it's very difficult to get planning right. But at our company, what we try to do is be very real with it. So if mid-quarter, we understand that our planning is not going correct. We will take corrective measures within the quarter itself. So if you notice in the past 2 years, while we have not been able to

meet our revenue targets, we

were able to maintain our gross margins. This will typically never happen in a retail company unless they are taking day-to-day calls and understanding how inventory levels are and sort of levelling down on production if needed in some cases.

Moderator: The next question is from the line of Archana Menon from Morgan Stanley.

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Archana Menon: My first question was more on the demand environment. So if you could just help us understand the demand trends in the festive period a little better. So how is the consumer sentiment this time around? Also, there's been some shift of premonition in the festive calendar now October is behind us. So if you look at festive on a like-to-like basis, how do you think the demand would have been?

Vedant Modi: Thank you for this question. So overall, from a demand environment perspective, while we've only seen a single month of Q3, which is October, one thing which we are seeing on the ground is there's excitement with the GST rationalization. So while our company didn't directly sort of benefit from the cuts in GST because for us, majority of the rates increased. However, the consumer sentiments are really good, given that 99% of India's products saw cut in GST -- so there's definitely some frenzy around that and some happiness. So I would be in a much better stage to fully give you an answer at the end of Q3. But overall, things look decent as of now. And from an October perspective, things were decent, but we would really like to stretch on that answer once Q3 is done.

Archana Menon: Understood. So you're kind of happy with the festive performance is what I'm taking out of this. Also Okay. Understood. Second part is just on the wedding side, firstly, a basic question, but we see a lot of wedding days in November.

So typically, how many months in advance do you see demand coming in? And if there are a lot of wedding dates in November that we see both in terms of the calendar and anecdotally around us, would you have seen some benefits of that in October as well?

Vedant Modi: Yes. So typically, post Navratri, people start shopping for weddings and even during Navratri, but the biggest week for us typically is the week after Diwali for weddings because that's when the sales typically end up peaking. So if I give you sort of an answer on how many days before do people actually buy for us, men's buy 10 to 15 days in advance and women buy about 30 to 40 days in advance in our case.

Archana Menon: Okay. And the last 2 years have been disappointing both in terms of festive and in terms of wedding -- wedding demand because of a bunch of reasons. But do you think we are now over that base? And are you more optimistic while you can't share any numbers, but are you more optimistic about the festive and wedding season this year?

Vedant Modi: Archana, to be very honest, I'm always an optimistic person. So I will continue to always be optimistic. But as a company, I think we've always been on the right track, doing the right things. And if macro supports us, I'm of a very strong belief that these numbers will bounce back very strongly.

Archana Menon: Understood. And sorry to ask one more question on this aspect. In addition to the wedding dates itself, do the other trackers that you would be tracking in terms of either banquet bookings or some of the other elements that you would be tracking, do they also indicate towards a good wedding demand -- wedding season this year?

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Vedant Modi: Yes. So we try to do it, but I would say we are not at a level where it's very accurate. So we do try from our local networks trying to understand how the banquet bookings are. But something which we actually now have started using is some states report the amount of marriages that have been

reported to the government. So whichever states report that, this is a post-quarter analysis. So this is now something we've started to do, which is a post-quarter exercise, which also gives us a good understanding of what's happening.

Archana Menon: Understood. And just last question from me. On the GST side, at a portfolio level, what would be the net-net MRP increase?

Vedant Modi: This is a very difficult question to answer, but I'll give you a kind of explanation that will get you to a broad level. So as a company, wherever we had to pass on the benefit to the consumer, we've done that. And wherever we had to take a price hike in order to sort of make up for the 12% to 18% increase, we've done it in a calibrated way where we've judged the performance of a product, see the kind of value that product has and then increase the price.

So in some cases, it's taken the full hike. In some cases, it's taken a medium hike. Now the reason I'm not able to answer this question to you directly, even though I have the numbers, is because after changing the GST, we have not seen how the performance of the same products has changed over that due course.

So once that data comes in over the next -- this quarter or so, which is quarter 3, I think we'll be able to give you a much more accurate answer. But when the GST changed, majority of our products moved from 12% to 18%.

Moderator: The next question is from the line of Aashish from Invesque PMS.

Aashish: So Vedant, I mean, most of the conversation has been around macros not being good for the business for the last so many quarters. But don't you think that it's mostly to do with the competition being -- coming up and there are a few other brands in the market which are kind of coming up, which give a good competition to your business.

And secondly, I would like to understand different brands that we have. If you could give us some sense of how these different brands are performing and anything to see, look forward to that something would help perk up the growth rates of the company because it's not been as good

for the last so many quarters now. Being investors, we are kind of struggling with that question, why with your company that's happening.

Vedant Modi: Sure, sure. Thank you for that question. So taking your first part, while competition has increased overall across India from a number of stores perspective, what we've seen is we judge the performance of our own Manyavar stores, which are next to competition doors versus Manyavar stores when no competition has opened.

And even in quarter 2 of this year, we see a 5% positive delta in the Manyavar stores where competition has actually opened next door. So when we look at this sort of data, it takes us back to a point that other macro pieces are hitting us more than just competition. So while competition is a factor, it's definitely not the largest factor overall from our industry perspective.

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Secondly, when I start breaking down overall the growth path for each of our brands, Manyavar has continued to be our flagship product. And as I've been mentioning, one thing which we are really trying hard is trying different marketing initiatives in order to increase our footfall significantly.

In terms of Mohey, we've really shifted our strategy from being a bridal heavy brand to doing a lot more non-bridal categories and focusing on categories like stitched suits, saris, Crop top lehenga. This has not only dramatically increased our TAM but also allowed us to cater to audiences which are a lot easier than the bridal, I must say. So these audiences have also really helped us improve the Mohey business.

Twamev is absolutely doing really well, both within the Manyavar stores and in the EBO format. And Bridge to luxury is about to become a really large market in India. And with the kind of

products that we have in Twamev, with the kind of supply chain we've built for the brand, I think we are highly confident that this will be able to scale into something very good.

And finally, with Diwas, India has about 50 festivals. Given that this is just the second year of the brand, and it's not even fully completed its first year, the kind of results we've seen have been very encouraging. And I think with time, we can build it into something very, very good, mostly in terms of the volume growth we can get across India.

And one thing which keeps me very excited from a diverse perspective is if India truly starts to dress in Indian wear across all festivals, this will really change the way we look at culture. And each and every city will look a lot more festive than before.

Aashish: Okay. So what takes us out of this issue of revenue stagnation to say that? I understand that as a business, you might be doing many things and with the legacy that we had in terms of building this category -- I mean, the category leader. So what will it take now? Because you've been trying so many things for the past so many quarters now, but somehow, it struggles to be -- the struggles to be an answer to all that. So help us understand that. How do we view it? Because now the base is also kind of there where growth should kick in somewhere. So anything to share on that?

Vedant Modi: No, I think absolutely a right question to ask. And as management, we are really committed to bringing back footfalls. So marketing is a very key theme for us, where we are spending a lot of time trying to understand what more can we do, what can we change and hence, a complete drastic shift in marketing this year is one big pivot that we've taken, which we've never done historically.

So to give you one example, in about 10 to 12 days, we launched the Manyavar Shadi show.

While I don't want to spill a lot of the secrets, I think when you see the show in the next 10 to 12 days, you'll realize what we're trying to do with marketing and how we are trying to change the game. So it's efforts like these, which I feel can add to the footfall, and that's something we are really focusing on this year.

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Aashish: Okay. Lastly, if I may. I mean, we have so many brands. But from a customer perspective, does he recollect these brands which are -- I mean, except for Manyavar, when he has to shop for that particular attire?

Because I think it's a bit too confusing when so many brands are there, sub-brands are there. So that's what I would say as a customer that I don't recollect when I have to shop for a different maybe festivals or weddings, except for Manyavar, nothing comes to my mind actually. So that's what I struggle with. I don't know. I mean you guys might be having an idea about it ...

Vedant Modi: Yes, again, a very interesting sort of question. So from a consumer angle, Mohey is now quite a

well-known brand. So when we do an awareness campaign across our TG, we see a 70% plus sort of level for Mohey's brand awareness. So Mohey is definitely a brand which across India, people know. From a Twamev point of view, Twamev's goal is to be really famous within the top INR3 crore s to INR4 crore s Indians.

So that has been able to achieve now in the cities where we have stores. So in a market like Southex of Delhi, there people will talk about Twamev. So that again is going to become a big point for us in the bridge to luxury market, especially through Twame v EBOs. Finally, from a Diwas point of view, we have just started the journey.

And because the brand is called Di was by Manyavar, it is more viewed like a subline as of now. But the plan is to, in the next 3 to 4 years, take out the B y Manyavar aspect. So again, once it starts to scale across marketplaces, it will really sort of bring in that brand recollection of Di was. Aashish:

Okay. Do you see H2 being better on the numbers on a growth basis?

Vedant Modi: So H2 for us is definitely the larger half of the financial year. And everything that we sort of from a strategy point of view, are doing in this company is to bring growth in H2. So we don't give any guidance as a company. However, all the efforts being p ut by everyone is to bring in growth during H2.

Moderator: The next question is from the l ine of Ankit Kedia from Phillip Capital .

Ankit Kedia: Vedant, if I heard you right, you said we have not taken the full price increase for the GST increase. So after the Q3 festive sales number, we could take further price increases for the categories of products we haven't taken price increase. Is that right ?

Vedant Modi: Again, a very, very tricky question. So not exactly. We've already done the price changing in majority of the products that we had to. But when asked about the price increase, it's a very difficult question for me to answer. So if I give you one example, w e've tried to see the positive in this whole change.

And if I explain Manyavar Kurtas to you, our old price point in Manyavar Kurtas was INR3,000 for a Kurta Pajama. And what we've been able to do is INR3,000, we would pay 12% GS T. And inclusive of that, it would be INR3,000.

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Now we've brought the entire MRP down to INR2,624, which allows us to play a much better defensive game across anyone in this industry. So we've taken such sharper calls in this whole process that to give an exact price change number is sort of difficult because the sales of each SKU will also chang e because of the kind of price changes we've done.

Ankit Kedia: Sure. So in certain product or certain SKUs, we might have absorbed the GST increase. Is that the right understanding then?

Vedant Modi: To a certain level, to a certain level.

Ankit Kedia: Understood. Second is, given that there is -- now you are playing at 18% GST, unorganized market would not be paying GST. Are you seeing that the unorganized market is more aggressive going forward and them getting market share? Because for a long period o f time, you maintained that the MBOs didn't have market share gains versus you. Now that the differential is 18% in GST, do you see them making a comeback and making some dent versus organized?

Vedant Modi: Definitely not yet. I mean that's something which you don't see. Also from our own experience, every MBO I deal with, which are the larger MBOs of this country, I think not paying GST is not such a big challenge across MBOs of India right now because the k ind of price points we deal with, we don't see MBOs at s imilar price points not in GST.

So that's an issue which I have personally not seen across the industry and our sort of price point levels. So if we talk about really an organized sector, which I'm not exposed to, I won't be able to answer it. But in our price point and the kind of peopl e we deal with, almost everyone pays GST.

Ankit Kedia: And last question is, what happened in Mohey that you had to pivot from wedding to occa sion wear because be it Lehenga or gowns or Saree , last multiple quarters, the commentary was very positive. But why did you have to pivot from wedding wear to occasion wear in Mohey then?

Vedant Modi: So I don't think it's a question of why, but more a question of how. So when we had started Mohey, we had started off with all categories. And we realized, and this is back in 2016. And within the first 3 to 6 months, we understood that what we have done i s wrong. As a company, we can't do all categories a t once.

So that's when we decided to only focus on le hangas . But with time when we had more data and we started to excel in Lehenga , we started piloting other categories in parallel. And once we understood those categories sometime late 2023, early 2024, that's when we really started to

bump up their inventory and their stock within our stores. And then the kind of performance

we've seen, we've understood that pivoting to being an entire wedding curer for Mohey is a much more beneficial thing for the brand.

Ankit Kedia: So what would be the contribution of, say, Lehanga versus non -Lehanga today in Mohey?

Vedant Modi: Lehanga would be somewhere about 30% of our business, which is bridal Lehanga, which has moved from about 50%, 55% to being 30% now over the last 2, 2.5 years.

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Moderator: Next question is from the line of Rahul Agarwal from IKIGAI Asset Management.

Rahul Agarwal: Just three quick questions. Firstly, in your sense more longer term, 3 years out in terms of growth, I think we're not talking about guidance, but what I'm trying to achieve is just your views on sustainability of same -store sales growth and new store additions. My sense is the entire rationalization exercise should be completing in the next 6 months is what I'm assuming.

So fiscal '27, '28, do we go back to adding about 150, 2 lakh square footage? And secondly, on sustainable SSGs, you've mentioned in the past that high single digit is something which makes sense. I think this year, we're going to end about 8%, 8.5% range. Would that be a range even for more longer term? So that's the first question.

Vedant Modi: Thank you for the question. So starting off with SSG, I think broadly, the way we look at it is we break down SSG into 4 parameters which we want to grow in. So from an ASP level within the categories, we sort of plan to have about 2.5% to 3% increase within the categories itself. And given that luxury such as Twamev products and also Mohey products are having a better share of the company's pie, that is also creating a 0.5% to 0.6% shift in mix that we deal with. On top of this, what we want to grow in is volumes, both from an average basket perspective, plus increasing the footfalls that come to our store.

And at the same time, something which I discussed in the call today is our repeat rate. So bringing in more of our repeat customers back to the stores. So all in all, the goal is to definitely from a mid - to long -term perspective, have good single -digit growth in the range of 8% to 9%. But from this year perspective, I won't be able to give you any guidance.

And when it comes to store openings, again, from a long -term aspect, we want to grow pretty decently when it comes to square feet. But as I mentioned, this year, we are really focusing on improving the quality of retail that we have rather than focusing on just pure quantity. And hence, just a slightly different pivot we've taken.

And I think you've rightly mentioned that 6, 7 more months is what we need for the complete rationalization, which we've been doing in the past few quarters. And post that, given that gross addition is still decent, we shall be able to continue with converting those gross into actually being net as well.

Rahul Agarwal: Okay. So in terms of long -term store openings, we should -- forgetting about these weak macros, sustainably, we should easily add 2 lakh square footage as a business category, right?

Vedant Modi: So again, I don't want to give you a particular number, but from a mid - to long term, we should definitely grow pretty well in terms of store openings. India has a lot of opportunities. So any location that has more than 1 lakh attachment for the ...

Moderator: Sorry to interrupt, sir you are not audible.

Vedant Modi: So, I was saying that any market that has catchment of more than 1 lakh is fit for the brand. So there are many, many such markets that are left for us to open a store in.

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Rahul Agarwal: That. Secondly, similar question on margins. Like assuming that SSGs recover and they sustain 8% to 10%, what

kind of operating leverage benefit we could see on EBITDA margins wherever we are right now, would you say that 8% to 10% SSG, I'm assuming that first half operating margins are not something which are recurring basis. I'm sure this will recover once SSGs are better. So any quantification can you give in terms of if you do like 8% to 10% SSG, what is the EBITDA margin flow -through?

Vedant Modi: Broadly, [inaudible 0:53:21] my understanding is 3% to 5% SSG...

Rahul Agarwal: Sorry, Vedant, sorry to interrupt, but your network is volatile, and hence your voice is not audible intermittently.

Vedant Modi: Sorry for this today. Get our systems changed after this call, but can you hear me now?

Rahul Agarwal: Yes, this is better.

Vedant Modi: Yes. So what I was saying is our understanding is doing an SSG of about 4% to 5% means being flat from an operating leverage perspective because rentals typically, the deals are increasing rents by 15% every 3 years. So our broad understanding is if SSG is 4% to 5% at a year level,

that means you're flat from an operating leverage standpoint. So anything more means that we'll have operating leverage, anything less means we'll have operating deleverage.

Rahul Agarwal: Perfect. Get that. And a smaller question was because of this entire barcode changes, was there a one-off expense booked as operating expenditure, which will not be a recurring number going forward? Is there anything you can quantify?

Vedant Modi: No, not really. I mean the cost of the barcodes would be under a few lakhs. So nothing significant at all.

Moderator: The next question is from the line of Perna Jhunjhunwala from Elara Securities.

Perna Jhunjhunwala: Just wanted to understand the store expansion and performance as well. So if I were to see the negative same-store sales growth of 2%, and you have been refurbishing stores over the last 6 months plus. So can you help us understand what is the performance of a mature store versus a refurbished store? And how is the traction in new stores because they are coming at a refurbished rate already. So some clarity over there would help us understand the impact of the same?

Vedant Modi: Thank you for the question. So one thing which I want to clarify is Q2 looking at it from a pure minus to SSG perspective would not be right. Last year's Q2 had wedding dates. This year, Q2 has no wedding dates. It's been by far the best Q2 we've ever had. So I think overall, we were quite happy with the performance of Q2.

And hence, achieving the numbers we did even from SSG standpoint overall was in line with what we had thought as a company we will achieve before the financial year had started. To your question, which is how do we look at -- let's -- I'll just break it down into 3 kinds of stores.

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Typically, any store which has not been 5 years old sees higher SSG than stores which have been there for more than 5 years. And then once the stores which have been there for more than 5 years have a onetime boost once it's renovated. So these are broad 3 case scenarios that we see.

Perna Jhunjhunwala: Okay. So just a follow-up here. Am I audible?

Vedant Modi: Yes, yes.

Perna Jhunjhunwala: So just a follow-up here, then I'm just trying to understand, okay, if you're saying that there is -- there were no wedding dates in this quarter. And this is the -- so typically, on a like-to-like basis, what would have been the SSG then?

Vedant Modi: In what sense, sorry?

Perna Jhunjhunwala: Like if there were no wedding dates last year...

Rahul Murarka: [Inaudible 0:57:04]...

Perna Jhunjhunwala: Rahul, I cannot hear you. I'm sorry, your voice is not audible.

Moderator: Sorry to interrupt, sir. Your voice is not audible at all.

Rahul Murarka: Can you hear me now?

Moderator: Yes, we can hear you now, sir.

Rahul Murarka: Yes. So what I was trying

to say is that, look, in terms of SSG, I think the more relevant way to look at it would be at H1 level at this point of time rather than Q2 because Q2 of this year is not comparable with Q2 of last year. So answering to your question, I think the more appropriate manner of looking at SSG would be to see at H1 where we are at currently at 8.3% SSG.

Perna Jhunjhunwala: Okay. That is helpful. Sir, second question is on how do we -- like wherever we've talked about brands like Twamev is doing well, Di was is doing well, AP and Telangana is doing well. So where are the challenges in the system to drive growth or where -- what are the challenges that you're facing, which -- or which areas the challenges are maybe brand-wise or geography-wise, that you can help us understand are dragging the numbers down?

Vedant Modi: No. So I mean from our perspective, H1 has been decent and Q2 was pretty good. So that is our understanding. If I talk more from a last financial year aspect, then broadly, the one big area was footfall in our men's segment was weak, which was the main sort of lag on growth driving.

Perna Jhunjhunwala: Okay. So is the challenge at Manyavar level is how we should see at?

Vedant Modi: No. So again, when I say Twamev is doing good, at the end of the day, when it's a Manyavar retail store and if a customer is buying Twamev, they think of Twamev as luxury Manyavar. So from a consumer's aspect, the way we see it internally is Manyavar plus Twamev when it's a Manyavar store. So from that angle, when we start seeing, what I would like to say is if the

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footfall was slightly better by 5% to 10%, it would have solved for majority of the growth-related issues in the past financial year.

Prerna Jhunjhunwala: Also, one macro question at industry level, celebration wear earlier was largely growing at 20 - odd percent when we got listed. Now in your opinion, as a category, what will be the growth for celebration wear...

Vedant Modi: Unfortunately, this number right now, I wouldn't have with me. We haven't sort of done industry research in the past 2 years. However, once we do it, I'll be happy to share it with you. But my understanding is Indian menswear is still at a very nascent stage. Even though India has so many festivals, 1 crore weddings annually, the market is hardly any thing in terms of overall size.

So it will absolutely rapidly grow in the upcoming years. As India's middle class grows, there is no reason that this industry will not boom. But for that to happen, India's middle class will have to grow in big numbers.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Vedant Modi: Thank you very much to all the analysts and everyone who had joined this call. It's always great interacting with you. We will see you post a big festival calendar and all the weddings in Q3.

Thank you very much.

Moderator: On behalf of Vedant Fashions Limited and ICICI Securities Limited, thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Vedant Fashions Limited

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February 19, 2026

To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block -G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q3FY26

Ref: Intimation under Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated February 09, 2026

In accordance with Regulation 30 read with Schedule III of the Listing Regulations, this is to inform you that the transcript of the Conference Call with the Analysts/Investors on the Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2025 (Q3FY26), organized and held on Friday, February 13, 2026, is hereby enclosed and the same has been made available on the Company's website.

The transcript can be accessed on the Company's website from the link given below:

<https://www.vedantfashions.com/investors-category/reports-results/earnings-call/>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thank you.

For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl – A/a
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"Vedant Fashions Limited
Q3 FY'26 Earnings Conference Call"
February 13, 2026

MANAGEMENT : MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –
VEDANT FASHIONS LIMITED

MR. NIRAJ SARAF – GENERAL MANAGER
FINANCIAL PLANNING AND ANALYSIS AND HEAD
INVESTOR RELATIONS – VEDANT FASHIONS LIMITED

MODERATOR : MR. GAURAV JOGANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Vedant Fashions Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gaurav Jogani from JM Financial. Thank you, and over to you, sir.

Gaurav Jogani: Hello, everyone. On behalf of JM Financial, I would like to welcome you all to Vedant Fashions' Q3 FY '26 Earnings Conference Call. From the management today, we have with us Mr. Rahul Murarka, CFO; and Mr. Niraj Saraf, GM FP&A and Head Investor Relations. Thank you, and over to you, sir.

Rahul Murarka: Good afternoon, Namaskar, and a warm welcome to all participants. I'm Rahul Murarka, the Chief Financial Officer of the Company . I'm accompanied with Mr. Niraj Saraf, GM, FP&A and Investor Relations. Thank you for joining us today to discuss Vedant Fashion Limited Q3 and 9-month FY '26 results. I hope you've had an opportunity to go through our financial results and Investor Presentations , which have been uploaded on the Stock Exchange as well as the Company 's website.

During the quarter, sale of our customer was around INR 692 crores. And during 9 -month period, it was around INR 1,447 crores with a growth of around 5.4%. Further, SSSG during the 9 months of FY '26 stood at 1.8%. As highlighted in our earlier discussion, this year, our focus remains firmly on strengthening the quality of our retail business. This is reflected in the improvement across our retail KPIs during the quarter as well as 9 months period.

Our continued strategic emphasis on enhancing customer experience, deepening design offerings, introducing attractive price points, strengthen retail training, leveraging data -led merchandising and replenishment and maintaining disciplined KPI management has collectively supported an improvement of key retail KPIs and also improved inventory turns.

In line with this calibrated approach, we pursued selective store expansion while rationalizing smaller format and underperforming locations, resulting in net addition of approximately 5,500 square feet during the quarter.

Additionally, we launched another flagship store , Twamev exclusive brand outlet of 9,000 square feet in Mumbai, which further strengthened our premium retail presence. During the year, we executed an integrated marketing strategy across our brands and channels, leveraging a balanced mix of digital and traditional platform to enhance brand visibility, sharpen brand positioning and deepen consumer engagement. Our initiatives included category -led campaigns, new wedding collection launches, festive and occasion -based promotions, store level activations, and influence collaborations.

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A key highlight during the quarter was the successful launch of "The Manyavar Shaadi Show ," a 6-episode YouTube podcast hosted by famous celebrity, Karan Johar. The series explored interesting take on modern India wedding planning, blending humor , celebrity conversations, and expert insights.

It features well -known celebrity personalities, industry experts, celebrity couples like Kriti Kharbanda and Pulkit Samrat, covering themes across wedding fashion, styling trends, photography, bridal entry, and evolving customer expectations.

The series also explored topics such as real wedding stories, the evolution of wedding fashion, the growing influence of social media and the importance of preserving wedding memories. The show has delivered strong viewership and very positive

feedback, which further strengthened long-term brand equity through celebrity -led storytelling, reinforcing our connect with the modern Indian wedding customers.

Additionally, we continue to strengthen our brand portfolio through focused campaigns across levers. Mohey carried forward its "Mohey, Rang Do Campaign " , celebrating its India's vibrant

festive spirit and Twamev built further momentum around its "Truly You " proposition through new collection launches and influencer -led storytelling.

Mebaz launched its new campaign "Celebration begin with Mebaz " and Diwas executed targeted digital and social media initiatives during key festive periods to expand reach and engagement across marketplaces. Collectively, all these efforts have enhanced brand positioning and consumer appeal across platforms with a positive impact expected to play out sustainably over the long term.

Now , I would like to highlight the key financial performance metrics for the quarter and 9 months period 31st December 2025. Starting from Q3 FY '26 performance update. Revenue from operations during the period was around INR 492 crores. The Company continues to report healthy gross margin of 65.7% and healthy EBITDA margin of 44.6%.

The Company reported best -in-class PAT margin of around 27.4% and the profit after tax stood at around INR135 crores. Now coming to 9 months period, the Company reported revenue from operation of INR1,036 crores with a growth of around 1.7%. The Company continued to report healthy gross margin of around 66% along with healthy EBITDA margin of around 44%. The EBITDA during the period stood at around INR 453 crores.

The Company also reported healthy PAT margin of 25.2% and the profit after tax stood at around INR 261 crores. Moreover, during the trailing 12 period December '25, the Company reported strong and healthy cash conversion ratio of 95%, which has been computed based upon operating cash flow to PAT excluding finance income . During Q3 of FY '26, our overall performance was significantly impacted due to December month, on account of fewer wedding dates in December and no wedding dates in January, coupled with muted consumer sentiment ...

Moderator: Sorry to interrupt sir. Sir, your voice is breaking.

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Rahul Murarka: However, we have had positive overall L2L sales growth in view of festivities and weddings during the period . Furthermore, our premium brand Twamev is doing very well with an overall growth of 40% in Q3 and YTD along with SSSG growth of 12% in Q3 and around 16% in the YTD . Encouraged by the robust traction and rising premiumization trend, we plan to further accelerate and scale this segment faster in the future .

Going forward, we remain firmly focused on our core strength, supported by various ongoing initiatives to drive sustainable long -term growth. We are optimistic that various government initiatives already undertaken will support a revival in consumer sentiment over the coming periods, and we are fully prepared to capitalize on the improving demand environment.

Now we can move to the Q&A.

Moderator: The first question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: We have seen compression in gross margin without commensurate acceleration in growth. So if you can start by kind of sharing your thoughts on gross margin compression and how to think about this trade -off that, let's say, if gross margin goes down, can we expect some acceleration in growth or both are not related at least in the current market construct?

Rahul Murarka: Thank you for the question, Tejash. So in the earlier periods, Tejash, we have been able to achieve exceptional gross margin. This time in the current Q3, the gross margin got impacted majorly because of GST because as we have discussed earlier, in 90% of our products, GST rates have increased from 12% to

18%. However, following a balanced approach from a consumer lens and consumer perspective, we have not increased MRP of all the products. And hence, we wanted to deliver products which are aspirational yet value for money. So accordingly, there is some level of onetime GST impact, which has come on our revenue as well as margins and profitability, which we believe that will get normalized to a large extent in the upcoming period. As far as growth is concerned, we are working on different aspects. We are taking a lot of initiatives around designs, varieties, price points to be more competitive and how we can bring more fresh products for the consumer, how we can improve their consumer experience. And we are doing different things. We are also taking lot of marketing initiatives, like we started the Manyavar Shaadi Show with Karan Johar. We have also started a new campaign with Rinku Singh. So we are doing lot of new initiatives which we were not doing historically, which we feel will help in improving the brand positioning, brand visibility .

On gross margin, I'll just start from the beginning to be more relevant. So on gross margin, in the earlier period, we have been able to achieve exceptional gross margins. And during Q3 and this period, the gross margin was impacted because of GST. And you are all aware that in our segment, GST has increased from 12% to 18% in 90% of our products. However, we have not increased our MRP to that extent, considering the balanced consumer approach and to ensure that we deliver products which are aspiration al get value for money.

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And as a result, there has been onetime impact of GST in our revenue as well as profitability, which we feel will get normalized to a great extent in the upcoming periods. However, as a management from a gross margin perspective, we are very confident that we'll be able to achieve 65% plus of gross margin as we have informed earlier as well.

Tejash Shah: Sure, sure. Second question on so we don't have a like -to-like peer set as such. But when we see names or numbers of Aditya Birla Fashion's ethnic portfolio or Sai Silk..... at least from context of that peer set, it seems that we are losing market share. So how would you frame your relative market position in this context? And is this divergence more cyclical, regional or execution led? How would you kind of try to explain t hat?

Rahul Murarka: Sure. So on competition, one part is that we have a lot of market surveys at the ground level, and we have been closely monitoring competition at our end. What we see is that there has been overall multiple level of consolidation at the industry level.

Because what we're seeing are the organize d two players who have started very recent ly 1, 2 years in recent times. But at the industry level, we are actually witnessed lot of multiple consolidations, even we have seen few players having 5, 10 stores at Pan -India level winding up their business .

So we are very confident on our moat which we have, and we feel that as far as competition is concerned, we fundamentally should go forward in terms of our growth. And as for the few players which you mentioned, the base is very low for them. And as a result, at a low base with, you know, new stores opened in the last 1-2 years, I mean, it is very obvious that the L2L growth or the numbers will show very positive.

But from our perspective if you ask me, like, you know, also if you talk about Tasva you know, one of the brands you have been mentioning. So we'll talk about premiumization to a bit extent. So look, currently what we see , when we talk about consumer sentiment, premiumization is actually in play.

So our brand Twamev, also has been doing exceptionally well during Q3 as well as the YTD period , which is a premium segment. And it is, of course, a base is low as the other competitors

also you mentioned. So when we talk about our brand Twamev, which is a premium segment and doing pretty well, exceptionally well, I would say.

In Q3, we report 12% SSSG growth. In YTD, we reported 16% SSSG growth. And overall, we reported 40% overall growth. And with the kind of figure which we have, it is very encouraging, and we have plans to faster expand it in the near future. So that is how we look at competition as of now.

Moderator: The next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Sir, firstly, I understand there has been a peculiarity due to wedding days this quarter. But even when the quarter started, you would not have expected a decline in sales. So there would be some more additional factors that have come in this quarter. Would it be helpful if you could

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highlight some of those as to what exactly has happened apart from, of course, the wedding dates mismatch ?

Rahul Murarka: Sure. So I'll give the entire conversation on the Q3, why Q3 got impacted and which will cover the other factors also, Sameer. Thank you for your question. So basically, our Q3 performance got impacted because of January month. Because this year, there were no weddings in January at all, no single date of weddings vis -a-vis last year, there were 11 wedding dates in January. Furthermore, in December also, this year, there are only 3 days till 6th of December, wherein last year, it was pretty staggered till 14th of December, and there were 6 wedding dates. So of course, there has been a major impact of December month because ov erall, when we look at our October plus November performance, we have done decent business and our business performance was positive.

Furthermore, what has happened is that this time, festivities have started very early. So like Navrat ri last time started in October. This time, Navrat ri started at the end of September only. So as a result, some part of revenue also got booked in September. So if you look at our business performance from September to November, again, we were able to do very decent good business positive both L2L and over all growth.

However, it is the month of December, which got so significantly impacted that the overall Q3 performance got impacted. But the good part is that with all these happening, we are all retail KPIs, say ABS, AB V, everything has been doing very well because of the hard work which we have done at the ground level. So that is a very positive sign from business fundamental aspect. Now what more important factor which is playing, as you mentioned, Sameer, that what we were not knowing is that the impact of consumer sentiment. Like this was one thing. This again, we felt that with all the initiatives that government has taken on the GST and various other things, we were also very optimistic that the consumer sentiment would drastically go up or will significantly go up, I would say.

However, we did not see any major shift in that consumer sentiment, especially in the middle-class segment because Manyavar is catering to the middle-class segment. So we have seen that the value and premium are still doing very well. But middle class is a segment which is getting affected where Manyavar is getting affected.

So if you look at our brand like Twamev, which is a premium segment brand. So that has done exceptionally well because premiumization is in play. So these are the various aspects which have impacted. But the point that is, as a management, we have been doing a lot of hard work at a ground level.

We have taken a lot of initiatives for price point design, marketing initiatives. And we feel that once the macro level environment gets better in upcoming periods, whatever hard work we have done as a management, as a Company, should show that positive results going forward.

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Sameer Gupta: Great, Rahul. That's very helpful. Second question, so I mean, this is the third consecutive year of subpar performance. Now I'm not asking particularly for this quarter, but if you analyze data over the past 3 years, you would have identified some pain points. So just wanted to understand like what are those pain points that you have identified? You mentioned the middle class is seeing a challenge.

Is that kind of being validated in your data that it is the mid-end where the growth has been slower? Or is it entry price points? Is it non-wedding merchandise, smaller stores, stores where there is competition that has come up nearby? Is it certain geographies that are lagging behind? Any kind of analysis on this will be helpful.

Rahul Murarka: Sure, sure. So look, on the in last 2, 3 years, last 1 year, at least what we have witnessed is that, as we discussed, that the middle-class consumer sentiment has actually been muted, and it has affected all the consumer companies, and we are also one of them. And because we also are wedding-based discretionary.

So while when wedding happens, of course, the bride and the groom will wear. But what happens is that the other attendees and the family members, that is where the impact starts coming and which is affecting us also. That is on the consumer sentiment, which has been affecting us for last at least 1 year, I would say.

On the competition, as I explained that, of course, after we did the IPO, lot of stores have opened, more than organized, I would say, unorganized, a lot of players have opened. But we are seeing a lot of consolidation, multiple level of consolidation also at the ground level, which we are already seeing and even the new players, even the organized players who started opening 2-3 years back stores, even they have closed the stores.

But major consolidation has already been started happening at the ground level for the unorganized player and overall industry level. So of course, competition would have some impact. But when we monitor performance of our store where competition is there and where competition is not there, we don't see any major delta.

In fact, I mean, the data which we come across of a store where just nearby competition has come up, we see a slightly positive delta also, which also surprises in a way. So that is where we understand that there's something else which is there apart from the competition. And of course, so that is why consumer sentiment is something which we felt.

And as far as price point is concerned, look, as I mentioned that we have taken a lot of initiatives on ensuring that we have entry price point also we have done a lot of work like I'll give you an example like for Kurta-set and jacket. There's one price point call INR 2,624. We have strengthened a lot in this price point to ensure that our products are very competitive at a very attractive price point.

So after GST, it was good for us also and more helpful for the consumers. So we have done a lot of market surveys on the price point and how we can improve ourselves from a price point

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and from a designing prospect also and have done a lot of groundwork at the ground level so that whenever things improve, we will be in a position to leverage that positivity.

Sameer Gupta: So just a follow-up here. So competition is consolidating, your efforts are in place, but recovery on growth still is contingent on overall macro pickup. Is that a fair understanding?

Rahul Murarka: Absolutely. Absolutely.

Sameer Gupta: Or you feel there is like confidence now that next year, you will probably add retail area, which has been missing this year.

Rahul Murarka: Yes, that is another thing. You have rightly highlighted that, Sameer, because this year, strategically, we were focusing on improving the

quality of our retail footprint to improve the overall quality of our business from a long-term sustainability perspective. But we feel that our store expansion should start normalizing from next 2-3 quarters.

So of course, from the upcoming financial year, we expect that the store openings should also start normalizing. So that will be another lever of growth for us, because strategically, we were not focusing on that, it was not there. So that will also help a lot in future.

Moderator: The next question is from the line of Priyadarshini from FIL.

Priyadarshini : So I would once again like you talk about the growth aspect. So I mean, I just want to ask if we look at our performance over a year, over trailing 12 months or something, I think within that period, the number of trading would be normalized, right? I mean that should be our assumption. So I think if we are still not able to grow, is it because the category itself is losing relevance and trends that we used to mention that we are moving to more traditional wear during weddings, etcetera. And that sort of that trend has stalled.

And secondly, in this GST environment, are the unorganized players at an advantage given that, you know, they I don't know, I mean, whether they would be keeping properly or something like that, because of which and there would be discounting more? Are these factors also playing out?

Thank you.

Rahul Murarka: Thank you for your question. So as far as the trend of traditional wear is concerned, we have been the lead player motivating people for encouraging people to wear Indian wear over the years. And that has really played a lot positively across. And that is where we can see a lot of competition also coming up.

So, if we also look at recent high-profile weddings, then we have seen that even foreigners are wearing Indian wear and attending the weddings and 99% plus people attendees are wearing Indian wear. So from an industry perspective, Indian wear is actually into play, and it is doing really well, not only in wedding, but also across festivities and celebration.

And thankfully, we have been able to have those campaigns, which have helped in bringing improvement in sentiment and overall motivating everyone to wear Indian wear over the years.

So from an industry prospect, and that is where so many players we see both organized and Vedant Fashions Limited

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unorganized coming and opening this store in this industry. So from an industry prospect, it is a very growing industry, and there is no challenge at all.

Now as far as unorganized player is concerned, look, what we did earlier, we got a survey done a few years before, 80% of our market is unorganized player. And of course, in last 3, 4 years, a lot of stores have opened in the unorganized segment. And we acknowledge that there would be some impact of competition in our business.

But having said that, the major reason of the business performance, which we see in last 1 year or so is because of the consumer sentiment and macro aspect, which has played a more important role and a major role in our business performance rather than competition.

And as far as competition status is concerned, while many unorganized players have opened the stores in the last 3 years, but we have seen a lot of consolidation also at the ground level and at the industry level. As I mentioned, there are also a few players which were having 5 to 10 stores at pan-India level, they have also wind up all the stores.

So our industry is a very challenging industry. There are various moats which are required, and we are very confident on our moat, what we have been able to develop in the last 2 decades because understanding customer taste and preference across pan-India, working on the supply chain and also look retail, generally, retail and apparel work from discounting mode.

Earlier, there was

s only 1, 2 months in a year where discounting used to happen in the EOSS. But now you would say a normal apparel play retail players having discounting EOSS across the year. Now in other segments, EOSS is something which generally doesn't give more benefit to any other retail player because if you put Sherwani in 50% discount, nobody is going to buy unless there's a wedding.

So there are a lot of challenges in our industry, which is not possible for any unorganized player to cope up with. And they are having very small working capital. So obviously, in 1, 2 years, it looks exciting. But once the overall liquidity gets stuck because the inventory is not moving because EOSS discount doesn't play a role, that is where the consolidation starts.

And good part about us is that, look, overall, all our KPIs have been increasing across year-on-year. Every year, we are seeing every quarter, while, of course, the revenue-wise overall, we have not been able to grow to a great extent. But as far as retail KPI is concerned, which is the main fundamental and basics of running retail, that is growing every quarter and every year, which is the most important thing.

And we have been able to fundamentally maintain our margins also at a pretty good level. So that is where we feel that as soon as the macro environment improves, we would be the first person, and we would be in a very advantageous situation basis whatever initiatives we have taken in last 1 year at the ground level.

Moderator: The next question is from the line of Rahul Agarwal from Ikigai Asset.

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Rahul Agarwal: Just a couple of questions, then I'll get back in the queue. Firstly, you mentioned about store consolidation still going on and then next year should look better. Could you elaborate a bit?

Could you give more color? Where are we on this journey? What have we seen in this 9 months?

We have seen some more shutdowns in third quarter. Just a bit of elaboration on what is the thought process right now? And how do you see next 2 years evolving on a top-down basis, that will be the same. That's the first question?

Rahul Murarka: Thank you, Rahul, for your question. So strategically, as a management, we focused on improving the quality of our retail footprint, which will result in improving the quality of our business. That would be helpful for a long-term sustainability of the business from a long-term prospect.

So that is where we were focusing on our retail footprint, which existing we have. And there were some store closures, which we have done last year and current year also because of various reasons, because if you see, our majority store expansion are having in the flagship segment. We are opening more larger stores. So in order to improve the overall brand identity and customer experience, we have been closing smaller store of 1,000 square feet and less, including the SIS stores. So that is one reason.

Secondly, generally, because Indian environment is very dynamic, many cities in India are also dynamic. New markets are evolving. Old markets are getting old. So there are a lot of market shifts also which are happening within a city. So that is another reason what we are doing is that we are closing the markets, store in markets which are very old and now where the market is not doing so well because it has shifted to another location.

So that is another reason. And third is, of course, there are certain stores which are not very much performing as per our KPIs. So that is why we are consolidating on those things. And what we feel and I'm very confident as a management is that once this exercise is over in next 2, 3 quarters.

So to answer your question, Rahul, we feel that this exercise should get over in next 2, 3 quarters.

And from there on, we feel that the quality of business and the overall productivity should be very

good. And as far as store expansion is concerned, we have not seen much store expansion this year strategically. But we feel that the store expansion should start normalizing from next 2, 3 quarters.

Rahul Agarwal: Right, right. So if I look at the store count, right, I mean June '23, we had similar stores, 664 - odd. This is going into next 3 quarters, are we going to see an absolute decline here? Or we're going to see though we're not going to see net additions, I understand, because it's going to be gross plus some closures, but we'll maintain this count going forward. Is that understanding correct?

Rahul Murarka: So to be very frank, how we judge and how we monitor square feet store expansion is based on square foot area. And why you see a decline in count is that because as I mentioned, we have

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been opening larger stores and the closures which are happening are smaller stores, which are there.

So because 1,000 square feet and less smaller stores are closing, so that is why count-wise it is going down. But I think the kind of store opening which we do, it varies from 2,000 square feet to 20,000 square feet. So that is why the right way of monitoring, which we also do is based on square feet area rather than count to see how we are progressing on the expansion.

Rahul Agarwal: Got it, Rahul. I understand that. I understand. And just last question on balance sheet. Given the slowdown and moving of demand between quarters, I think wedding days for Feb '26 is a very strong month, I would imagine almost double-digit wedding days. So me flow-through we have seen in January, some comments on that. And on inventory, is there anything to worry about?

Rahul Murarka: So on the inventory side, we have built a lot of efficiency around there as a result of efficiency in supply management and inventory management and demand planning. As a result, we have seen improvement in inventory turns as well, which is actually something amazing to have from a business prospect because we are able to do much more business with lesser inventory turns. So basically, from that prospect, inventory levels have really improved at our warehouse as well as at the store.

As far as January is concerned, as we discussed, there were no wedding dates at all in January. Considering that aspect, we have been able to do decent business in the month of January.

Moderator: The next question is from the line of Aashish from InvesQ PMS.

Aashish: Yes. Sir, just wanted to understand because we have stalled on opening new stores. And I would assume that we are still a long way to go in terms of penetrating the markets that are available in India for our sort of products. I mean, it sounds like the ROIs on those investments may not come immediately or maybe might be lower than what your Company ROIs would be or paybacks would be.

But does it make sense to just stall the entire process because you think that the markets are not supportive enough because maybe the ROIs are not like maybe 30%, 40% or maybe it's like 20%. So as a businessman, how one would approach this?

Rahul Murarka: Sure. Thank you for your question. So 2 things are there. First of all, look, last year, if you look at FY '25, on a net basis, we did open 85,000 square feet. And that too is also on a net basis because there were closures also. So at a gross level in last year, we did decent openings. And we did pause on store opening acceleration. And this year also, we have opened store at a gross level, but we have closed also because of reasons we have discussed.

And as a result, on a net basis, it looks like we are just 2,000, 3,000 square feet area expansion. But we have been expanding also. And the reason we have been doing is, first of all, to improve the quality of our retail footprint so that the quality of business improves.

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Secondly, 1 year back when we discussed, there were a lot of inflation in the lease rentals.

Because of which also we had paused the acceleration of store expansion because whenever we enter into lease rental, it is for a very long period. It is for 10 to 15 years.

So if we enter into a commitment with a very high lease rental, then it is a long-term impact on our profitability. And that is why because of these reasons, we did pause the manner in which we were accelerating the growth of retail opening.

But having said that, the fact is that we have been still opening even last year and currently year also, we have had some gross openings. And we feel that this exercise of consolidation will get over in next around 2 quarters. And from there on, we feel that the store expansion will get normalized as it was happening earlier.

Aashish: A follow-up on that would be, would you say that the paybacks on the new stores has elongated versus what you used to see in the past?

Rahul Murarka: Not really. Actually, to avoid that, we have done this because as I mentioned that to avoid a scenario wherein we get into a very commitment of very high rental, we didn't want to get into that situation. And that is why because we are into a franchise business. So we are very cautious and we have a very proper approach on store opening so that we ensure that wherever we open stores, we ensure that not only we make money, but the franchisee also makes money.

So we open the store only with the context where both of us are able to make good amount of money. So the point is not that we were seeing that the ROI will not be good. But if you look at our store expansion, in the last 2, 3 years, we have opened at least around net on a net basis, around 7 lakh stores in the store area, which is a huge store expansion.

So we also wanted to review those ones, which we have already opened. But the question was

not on the ROI. The question was how we can improve the existing fleet, which we already have and how we can wait for the right moment to come when we can accelerate our store expansion. So store expansion is already in our hand because we have all the mappings of the market, the cities where we need to expand. It is just about the right moment we are waiting. That is there. We will accelerate that in the next few quarters, as I mentioned.

Aashish: Okay. Actually, sir, is it likely to be a problem with the festive wear category itself because there are different retail businesses having different directions because in certain mass retail, we are seeing that the SSSGs and everything is growing very well. So would you comment on that? Is it specific to category or generally, the market is not great because numbers speak something different for other people?

Rahul Murarka: So overall, this industry has been really doing very well, as we discussed. Overall, the industry has been doing very well, and that is where we see so many players coming up as well as consolidating.

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But the point is that this industry itself is very difficult to work upon. It is not a very easy industry to work upon because consumer taste and preference are very different in every region, every city. India is a complex country with different taste and preference across markets, cities, and states.

So it is a very difficult industry to work and survive and grow from here on. So that is the reason we see some consolidation already happening. But from an overall industry prospect, it has been really doing very well.

When we compare with any mass or a value retail or a premium retail, as I mentioned, in India, middle class segment is something which has actually got impacted in last 1 year when it comes to consumer sentiment.

But if we talk about value or when we talk about premiumization, these

are the areas which have

actually not got impacted. So that is where we see, as I mentioned that our premium brand, Twamev is doing exceptionally well, while Manyavar being in the middle class, mid-premium segment has been impacted because of the current macro environment.

Moderator: The next question is from the line of Azharuddin from Sameeksha Capital.

Azharuddin: Most of my question was already answered. So just one question on we took some initiative on our COCO stores in last quarter, and we invested around INR11 crores as a capex as well. So just can you please share the initial performance insights, how are these stores performing in terms of revenue per square feet, store level EBITDA and payback period compared to FOCO stores? And based on the pilot results, do we see a larger rollout of COCO stores ahead?

Rahul Murarka: Thank you for the question. So look, as a model, we will continue with the franchise model, which we have. So from future prospect also, largely our expansion would come from franchisee store only. As we mentioned in our earlier call, we had converted some franchisee store to COCO store to do some experimentation and to try new things to see what is the outcome of that.

So from a future perspective, the expansion would be largely from franchise only and not COCO model. As far as performance of these stores are concerned, it has been doing decently well, apart from the December reason and whatever is there. But overall, when we compare to the other stores in the same region, it has done decently well. They have done in parity what other stores have done.

Azharuddin: Okay. And how are you tracking the, let's say, average selling price across your different brands?

Let's talk about the Manyavar or Twamev or Mohey or Mebaz, so is there any data which you are tracking across your new product launch in the particular brand? I just want to know the blended realization across the brand compared to your peers.

Rahul Murarka: So, we are having a complete track of ASP brand-wise. So typically, because we have access to all the cost sales, which is happening in the franchise store. So our ERP is fully integrated for us, wherein we have full visibility of at what price, what products are being sold to which customers.

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So that is not a problem. So look, blended ASP for us is around INR5,000 if you look at current YTD. And of course, the ASP of Manyavar would be below that. And Twamev would be higher, it could be in the range of INR15,000 ASP, INR15,000 to INR16,000 and Mohey would be in

the range of INR7,000, INR6,000. So that would be the breakup of A SP.

Moderator: The next question is from the line of Miten from Fractal Capital.

Miten: Sir, your gross GST rate, as I understand, is about 17%. Could you help us with the...

Rahul Murarka: Can you please rejoin, because the voice coming very low, not able to hear properly.

Miten: Yes. Sir, your gross GST rate is about 17%. Can you help us with the net GST rate?

Rahul Murarka: So our GST rate on all products above 2,500 is 18%.

Miten: Yes, yes. So blended, I calculated about 90%...

Rahul Murarka: So basically, 90% of our products are in that bracket only. And only 10% of product would be in a bracket where the GST rates are 5%. So overall, if you ask me, maybe it would be in the range of 16% types.

Miten: And could you sort of give us some sense of the net GST rate after considering the benefit of input tax credits?

Rahul Murarka: Input tax rate in our case, the fabrics which we purchase are generally at 5%, whereas our output is at 18% for the manufacturing, which we do. So basically, at a net level, if you reduce 5%, you'll get the net GST rate for that.

Miten: But do you have other reasons as well, right, on rent, etcetera, you would have credit input tax?

Rahul Murarka: Rent?

Miten: Yes.

Rahul Murarka: No, we don't take anything on rent actually. We don't have any rental model. So there are other input credits on services if you are coming to that like lease cost and other things. So those inputs are there. But broadly, at a net level, I would tell you that it would be net of everything, it would be in the range of high single digit, I would say.

Moderator: The next question is from the line of Prashant Shah an Investor.

Prashant Shah: Just an analogy. I mean you mentioned in your earlier comments that the middle -class sentiment has not turned up as the Company would like to be. As an analogy, I mean, gold prices have gone up exponentially. But still, I mean, jewelry companies have reported fantastic numbers.

The quantity sold has may have come down, but the realization, the design, almost all of them have reported a fantastic numbers. And so my point is and I mean, pardon me if I'm very blunt.

Has there been some sort of slip up in reading the consumer sentiment, which has impacted our

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quarterly sales? Or is it that, I mean, the consumer is not finding a value, which is why he is looking for alternatives and that is impacting our sales? That is my first question?

Rahul Murarka: Sure. Thank you for your question, sir. So look, we are not an expert on jewelry companies, but the basic thing, what our understanding was is that considering the price of jewelry, which has gone up significantly in last 1 year, I mean, that would be one important aspect to consider from a growth prospect for them.

And secondly is that in India, jewelry is not a discretion, it is an investment. It is for both. I mean, even in the large Company, which we were dealing with jewelry, less than 50% is based on wedding for them. And more than that is other than wedding. And in India, people look for jewelry from an investment perspective also.

So I think I was able to explain the rush, which is there on silver and gold, which may be driving the overall growth for the jewelry players. And the jewelry as a segment is not an expense but also considered an investment from an Indian culture perspective. So not very comparable to be very frank with our segment.

So from our reading, sir, the actual reason is because we have been closely monitoring our products performance, all retail KPIs. We have been doing market surveys at the ground level. We have been discussing with various people at the market.

We have been discussing with various players also, so our understanding seems to be that the overall consumer sentiment at the middle -class level are actually impacted, which is majorly affecting our business, apart from the wedding date play, which did play a very important role. Because if you look at overall revenue also, as we mentioned, if we exclude December month, then in the festivities and celebration, we have been able to decent business. But of course, with more positive consumer sentiment, we could have done better as well. But overall, when we talk about Q3 performance, it is majorly because of December and January wedding led (46:39), along with the muted consumer sentiment, of course.

Prashant Shah: Well, I mean, we'll have to go with that. But because I mean, jewelry was one example. But otherwise, if you see wedding venues, airlines, hotels, wedding coordinators, I mean, all of them seem to be doing a rolling business. But if you say so, I mean, fair enough.

I mean my second question was, in one of your earlier calls, you had mentioned that lease rental inflation, you consider at 4% per year. So a growth below 4% would be a degrowth. Is my understanding correct?

Rahul Murarka: So, thank you for your question. I actually don't recall that we did give any commentary. What we mentioned is that we have generally lease term of 10 to 15 years. And every 3 years, generally 3 to 4 years,

there's an escalation clause, which is there for around, say, 5% or plus of escalation in the lease rental.

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So that is how we are. And because we enter into lease rental for a long-term basis, say, for 10 to 15 years. So if we commit - on an environment where the lease rental at a high rate, then it becomes a long-term commitment for us.

Prashant Shah: So in light of the recent -- I mean, what you just explain...

Moderator: Sorry to interrupt Mr. Prashant, may we request you to join the question queue...

Prashant Shah: Madam this is add on to that only. I mean this is the last one. Is the Company thinking of renegotiating any of the lease rentals and right, I mean, in view of the recent business trend?

Rahul Murarka: Yes, yes, absolutely. So look, I mean, we do renegotiate lease rental wherever we feel that there's an opportunity considering the overall market situation. We always do that as a normal process.

Moderator: The next question is from the line of Perna Jhunjhunwala from Elara Securities.

Perna Jhunjhunwala : Just wanted to understand the mix of cities, how the demand has been panning out, whether it is pain in some segment of cities like Tier 2, Tier 3 because you are the widest available brand in the organized space. So is there any opportunity or challenge that you see in Tier 1, Tier 2, Tier 3 that may have been affecting you in some way or is now available for opportunity? In both ways, I would like to understand the geography of our brand visibility.

Rahul Murarka: Thank you, Perna, for the question. So at a YTD level, we don't see any gap geographically, to be very frank. But on a quarter-on-quarter basis, there are various reasons why different geographies do behave differently. Like in case of South too, we saw that overall, at a YTD level, it has done good positive business.

But when you look at Q3, it was more impacted than other regions because they have their own un auspicious period, which started earlier called Mudham, which started earlier this time in November end, which generally started in December mid. But apart from that, we have not seen much major difference geographically at a pan-India level.

Perna Jhunjhunwala : So a follow-up to this is that we're seeing difficult time across geographies given that our SSSGs have been declining. So is that a right understanding, not even for this quarter, but from a 9-month perspective as well?

Rahul Murarka: So to be honest, if we exclude the December month, which has been exceptional December month, which we have not seen at least in last 5 years, wherein there have been no weddings in January. If you look at the core wedding and festivity period, we've actually done decent positive business. But it is just because of this December month that our overall performance has got impacted in Q3. And of course, as well YTD levels have also got impacted.

As I mentioned, if you look at September to November or October to November, then we have done decent positive business, both overall as well as L2L, but the December month was so drastically impacted that it actually impacted the entire quarter.

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So to be very frank, when it comes to festivity and wedding, there was another question that others are also doing well. So we have also grown only during that period. But just because of the wedding calendar, because of the December month, it got so much affected in quarter 3.

Perna Jhunjhunwala : Okay. So my second question is on brand-wise performance. Given that your premium portfolio continues to do better, could you just help us understand how the brand mix has changed over the last 3 to 4 years? And how do you foresee it going forward? And whether Manyavar as a brand, what kind of investments would you see if that percentage is declining meaningfully?

Rahul Murarka: Sure. So with the growing brand, of course, the pie of new brands, percentage of mix have been improving. And of course, we expect that to further improve along with Manyavar because Manyavar also, we are very confident that it will grow along with other brands also. But yes, of course, there has been some percentage slight, which has also overall other brand, if you see that has improved over Manyavar.

But from a future perspective, we are very confident that all our brands, along with our flagship

brand will have a very strong growth potential. So difficult to comment on how the mix would change going forward. But yes, we see a healthy growth in all our brands from a future perspective.

Prerna Jhunjhunwala : The current mix would help if you could share?

Rahul Murarka: Actually, I'm so sorry, but we are not currently sharing the mix percentage. But yes, in future, at some point of time, we would definitely do that.

Moderator: Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, Sir.

Rahul Murarka: Namaskar, and thank you, everyone. It was a great pleasure interacting with you all, with all the analysts. Thank you very much for joining. Looking forward to interact again in the next quarter. Thank you.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Vedant Fashions Limited

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Email: info@vedantfashions.com | Website: www.vedantfashions.com | CIN: L51311WB2002PLC094677

May 14, 2026

To,
National Stock Exchange of India Limited
Exchange Plaza, Plot No. C -1, Block -G,
Bandra Kurla Complex, Bandra (E),
Mumbai – 400051

To,
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai – 400001

NSE Symbol: MANYAVAR

BSE Scrip Code: 543463

Madam / Sir,

Sub: Transcript of the Conference Call of Q4FY26

Ref: Intimation under Regulation 30 (and other applicable provisions) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations") and our earlier intimation dated May 07, 2026

Pursuant to Regulation 30 read with Part A of Schedule III (and Regulation 46, as applicable) of the Listing Regulations, we wish to inform you that the transcript of the Conference Call with the Analysts/Investors, organised and held on Monday, May 11, 2026, in connection with the financial results of the Company for the quarter and financial year ended on March 31, 2026, is hereby enclosed.

The said transcript has also been made available on the Company's website and can be accessed at: <https://www.vedantfashions.com/investors-category/reports-results/earnings-call/>

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thank you.

For, Vedant Fashions Limited

Navin Pareek
Company Secretary and Compliance Officer
ICSI Memb. No.: F10672

Encl – A/a
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"Vedant Fashions Limited
Q4 FY26 Earnings Conference Call"
May 11, 2026

MANAGEMENT : MR. VEDANT MODI – CHIEF REVENUE OFFICER –
VEDANT FASHIONS LIMITED
MR. RAHUL MURARKA – CHIEF FINANCIAL OFFICER –

MODERATOR : MR. TEJAS SHAH – AVENDUS SPARK INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Vedant Fashions Limited Q4 FY26 Earnings Conference Call hosted by Avendus Spark. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tejas Shah from Avendus Spark. Thank you, and over to you, sir.

Tejas Shah: Thanks, Nirav. Hello, everyone. On behalf of Avendus Spark, I would like to welcome you all to Vedant Fashions fourth quarter FY26 Earnings Conference Call. From the management today, we have with us Mr. Vedant Modi, Chief Revenue Officer; and Mr. Rahul Murarka, Chief Financial Officer. Thank you, and over to the management for opening remarks.

Vedant Modi: Good afternoon, Namaskar, and a warm welcome to all the participants. I am Vedant Modi, the Chief Revenue Officer of the company. Thank you for joining us today to discuss Vedant Fashions Limited quarter 4 and financial year '26 results.

I hope you've got an opportunity to go through our financial results and investor presentation, which have been uploaded on the Stock Exchange's as well as the Company's website.

Vedant Fashions is India's leading wedding and celebration wear company. During the fourth quarter of FY26, retail sales, that is, the sale of our customers, stood at approximately INR 561 crores, reflecting a growth of 7.8% over Q4 FY25 with SSG of approximately 4.6%. FY26 marked an important milestone for the Company as retail sales of our customers crossed the INR 2,000 crore's mark, reaching INR 2,008 crores and reflecting a growth of 6.1% over FY25.

Our strategic focus on enhancing customer experience, retail training, data-driven merchandising, and replenishment, omnichannel integration and disciplined KPI management drove a same-store sales growth of approximately 2.7% for the full year. We are pleased to report that our retail KPIs have improved in a healthy and sustainable manner, both for the quarter and on annual basis.

Consistent with our stated priorities, our focus this year has been on strengthening the quality of retail as foundation for sustained long-term growth. Reflecting this philosophy and in the context of prevailing market conditions and an evolving retail landscape, we adopted a focused and disciplined approach to network expansion, prioritizing strategic sustainable store openings. During the year, we selectively added new stores while also rationalizing underperforming locations, resulting in a net addition of about 4,200 square feet to our retail area. We also successfully expanded our Twamev brand through a new EBO during the financial year. As of March 2026, Vedant Fashions' EBO network stands at about 1.79 million square feet, spanning across 669 stores in 252 cities and towns globally.

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Across the quarter and throughout the year, we executed a powerful and wide-ranging marketing initiatives, spanning multiple brands and channels, seamlessly integrating digital and traditional platforms to elevate brand visibility, sharpen positioning and foster deeper consumer engagement.

Our efforts encompass celebrity-fronted campaigns, a podcast and a lifestyle series offering wedding planning guidance featuring real couples and celebrity guests, category-specific campaigns, social media activations, new wedding collection unveilings, festive and occasion-driven outreach, in-store events and influencer partnerships, all working in concert to reinforce brand equity and strengthen our connection with consumers.

A defining highlight of our marketing

calendar was the launch of the landmark Made for Each

Other campaign, featuring Rashmika Mandanna and Vijay Deverakonda. Conceptualized as a

high-energy musical rom-com by celebrity composer, Amit Trivedi, the campaign beautifully captures the couple's playful dynamic around wedding attire, celebrating how their differences make them perfectly matched, a narrative that mirrors the modern stylish fusion embodied by Mohey and Manyavar.

The campaign resonated powerfully with audiences, surpassing 1 billion-plus views and becoming the most liked organic branded collaboration on Instagram in India, generating more than 11 million likes, a testament to the strength and cultural relevance of our brands. This was also one of the fastest campaign turnarounds that we've ever done from receiving the confirmation from the celebrities to production in just 6 days.

We further deepened our consumer connect during the year through the launch of the Manyavar Shaadi Show, a 6-episode YouTube podcast, hosted by renowned celebrity, Karan Johar. The show brought together multiple personalities, including Kriti Kharbanda, Pulkit Samrat, the Mohan Sisters, Vishal Punjabi alongside many industry experts.

The idea was to explore modern Indian wedding planning through humour, candid conversations, and expert insights, spanning themes from wedding fashion and styling to photography and evolving consumer expectations. The show garnered strong viewership and an overwhelmingly positive audience response, further strengthening brand equity and deepening our connect with the modern Indian wedding consumer.

Adding to this momentum, our Manyavar social media campaign, featuring cricketer Rinku Singh, amplified brand visibility, and engagement across platforms, complemented by the successful launch of Aranya Collection.

Our brand building momentum extended confidently across our wider portfolio as well. Mohey deepened its cultural resonance through Mohey Rang Do campaign, while Twamev advanced its Truly You proposition through fresh collection launches, influencer-driven narratives, and curated experiential activations.

Mebaz reinforced its positioning through the Celebrations Begin with Mebaz campaign, keeping the brand firmly anchored in its core wedding and occasion wear identity. Diwas executed sharp Vedant Fashions Limited

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targeted digital and social media initiatives during the key festive windows, broadening reach and driving meaningful engagement across marketplaces.

Collectively, these initiatives have significantly strengthened our brand presence and deepened consumer engagement across our entire portfolio. As we look ahead, we remain confident in the strength of our business and firmly committed to our core strengths of brand equity, operational efficiency, and customer experience.

Our robust store network, relevant inventory and designs, multidimensional marketing initiatives, efficient auto-replenishment systems, all anchored by a strong back-end infrastructure, position us well for long sustainable growth and value creation for all our stakeholders.

This confidence is further reinforced by our strong structural moats, a resilient business model, a disciplined approach, overall giving us significant advantage of cross-brand leverage across our portfolio.

With this, I will now hand it over to Mr. Rahul Murarka to take you through the financial performance of the company. Thank you.

Rahul Murarka: Thank you, Vedant. Namaskar, and good afternoon, everyone. I would like to highlight the key financial performance metrics for the fourth quarter and full financial year ended 31st March 2026.

Starting from Q4 FY 26 performance update. Revenue from operation during the quarter was around INR 399 crores with a growth of 8.7% over Q4 of FY25. The Company continued to report industry-leading gross margin of 65% and healthy

EBITDA margin of 45.6%.

The Company also reported strong PAT margin of around 28.6% and the profit after tax stood at around INR 114 crores with a growth of around 13% over Q4 of FY25. Moreover, sale of our customer during the quarter was around INR 561 crores with a growth of 7.8%, while SSG grew by 4.6% over Q4 of FY25.

Now coming to full financial year FY26 performance update. The Company reported revenue from operation of around INR 1,436 crores with a growth of around 3.5%. The Company continued to report industry-leading gross margin of around 65.7%, along with healthy EBITDA margin of around 44.3%. The EBITDA during the period stood at around INR 636 crores. The Company also reported healthy PAT margin of 26.2% and the profit after tax stood at around INR 376 crores.

Moreover, during FY26, the Company reported strong cash conversion ratio of approx. 98%, which has been computed based upon operating cash flow to PAT, excluding finance income.

Sale of our customer during the year was INR 2,008 crores with a growth of around 6.1%, while SSG during FY26 grew by 2.7% over FY25 .
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As we look ahead, we remain firmly committed to our core strength, brand equity, operational efficiency, and customer experience, supported by a range of strategic initiatives designed to drive sustainable and long-term value creation for all our stakeholders.

Now we can move to the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rahul Agarwal from Ikigai Asset Managers.

Rahul Agarwal: Three quick questions. Firstly, on your outlook, Vedant, on how do you see the SSG continuing the momentum going into next year, fiscal '27 and the new store openings, if you could just comment on that? How are you thinking and what's the plan ahead?

Second question was on input inflation. Just wanted to know your thoughts in terms of how are we booked on fabric and other input materials for the festival season going forward? How should we look at gross margins?

Apart from the mix in GST, I understand that's going to be a favourable thing going forward in terms of base, but just incrementally, just from an input cost inflation perspective, if you could just guide us on gross margins and operating margins? Guidance, as in, not like looking at specific numbers, just directionally, how does the company deal with it?

And third was on the gap between the retail sales and net sales. I see the gap is increasing on a full year basis, fiscal '26 over '25. This number has almost gone up to 29%. Just wanted to know what is changing here. So these are my 3 questions. Thank you.

Vedant Modi: Sure. I think you've covered majority of the questions for the entire earnings call but thank you for those. So starting off with SSG. As a Company, I think we are very optimistic, and we always remain very optimistic. So our goal is to work on everything that we can internally, starting from working on footfalls by continuing to make campaigns similar to the ones we made with Made for Each Other, working on improving our conversion rate through multiple tech initiatives we've actually taken on the ground level.

One thing which I would like to reflect on is that due to the kind of pressure we were feeling in the last 2 years, our ASPs have not moved as quickly as they've typically moved in the past. So this is one thing which we will be changing as we move ahead and focusing on improving our ASPs that would also help us improve SSGs. And finally, continuous investment in terms of training to improve our average basket size.

So while I can't give you a particular guidance on what SSG do we aim to achieve for the next financial year, what I can tell you is that anything and everything which we should be doing as a company to achieve better SSG numbers is

something which we are targeting.

From a business development point of view with regards to new store openings, the period we are currently, in the cycle of the Company, we feel the main goal for us right now is to focus on SSG, which is what we have been doing. So while gross openings will remain stable in the next

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financial years, and we continue to -- we will continue to open a decent number of stores, some level of consolidation will remain.

So one thing which I would like to emphasize on is the quality of new stores that we open will be much better than the quality of the stores that we will close. So net-net, the quality of retail should actually improve quite a lot. So this is broadly what I would like to speak on in terms of SSG and business development.

And there are also a lot of plans in terms of further improving our business when it comes to our other channels such as multi-brand outlets through the SIS format and also working extra hard on our online segments, especially with Diwas now starting to scale up there.

Moving to your second point, which was on the cost and the -- how are we looking at the cost inflation, majorly on account of the war. Typically, fabric is a very large part of COGS for most companies. In our case, one good thing is that fabrics as a component is not a very large part of our overall COGS.

So I'll give you an example. A product of INR 100 MRP, fabric will typically be INR 8 to INR 10 of the overall cost. So in our case, we do anticipate about 50 to 150 basis point increase in the total sort of this number, which is, let's say, on a INR 100 product, we can see an impact of INR 1 to INR 1.5 on the cost. But I think, with time, we will be able to manage this pretty well.

Finally, I would let Rahul ji take the question on retail sales versus net sales.

Rahul Murarka: Sure. Thank you, Vedant. So typically, as we have been mentioning that this year, after revised GST rules were -- rates were rolled out in September '25, that has affected our sales and PAT both, including the gross margins. So the difference which we are looking at between the primary sales and the secondary sales, 71% and 73%, it is majorly on account of the GST aspect, which we understand will get normalized to a great extent from the upcoming financial year.

Rahul Agarwal: Got it. So basically, that means the gap will go back again to like 25% -- 26%, 26.5%, right? That was the past average, right?

Rahul Murarka: No. So basically -- look, I mean, the right way to look at it is that how much is my growth in primary and secondary? Generally, in all financial years, you will see that it was moving in the same direction. But this year, there's a gap of 2% to 3%, 2.5%, 3%. It is mainly because of GST only.

The margin aspect which you are mentioning, it is a combination of our 2 models. One is 18% and 29.5% plus GST. So it all depends upon which store we are opening at what percentage. And majorly, it is 18% store we are opening and 29.5% also. So that does not play a big role. It is important that the GST aspect, which I mentioned, that is the main reason why we see a difference, which should get normalized from the upcoming financial year.

Vedant Modi: So I'll just add on to that. So basically, what happens is consumer sales minus the GST component and the franchisee margin is our reported revenue. Now the average, pre -GST change, was -- approximately 10% was our blended GST, which has now increased slightly.

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And hence, this difference is here to stay now between the 2 numbers at a decent level. But the growth levels will now start to follow the same trend is what Rahul ji is trying to say.

Moderator: Next question is from the line of Rishi Mody from RDM Advisory.

Rishi Mody: Yes. Hi, Vedant . Can you hear me?

Vedant Mo

di: Hi. Yes.

Rishi Mody: Yes. So a few questions from my end. Just continuing on the store addition piece for the coming year, right? Should we expect the net addition growth to be similar as this year? And secondly, the inventory quality or the inventory ASP in the new stores, is it higher than the company average today?

Vedant Modi: Sure. So to answer your first question, the way I would say is that we will see net openings happening in the coming -- in the new financial year. However, majority of our growth will stem from SSG. That is the kind of stance we've taken as a company, that we want to focus on improving the quality of retail and really focusing on driving much higher throughputs.

Even though at a gross level, we will have a lot of openings happening in important parts of India where we currently don't have a store, we do feel that from a net perspective, next financial year is when things will get a lot better.

To answer your second question, there is definitely a slight advantage when it comes to our newer stores. There, our ASPs on average are better. This is also because the kind of stores that we are opening now are slightly larger, allowing us to carry more inventory in a lot of these stores. So there are many nuances that comes to this answer. But yes, on average, a new store has a much better ASP.

Rishi Mody: Okay. And the willingness for franchisees to invest in the coming year is also there, given the lack of wedding dates in the coming year?

Vedant Modi: Rishi, honestly -- to be honest, there is no challenge in terms of wedding dates. If you ask me, when we analyse the entire financial year, May as a month carries Adhik Maas. So May will be slightly impacted. But hopefully, June should take care of that because July has wedding dates versus last year not having any wedding dates in July.

From second half perspective, last year had an early Navratri. So we had Navratri in September, which is typically very good for us. And this year is normalized with Navratri now happening in October. So these are the 2 big differences. But at a core level, there are not any large wedding date challenges that I would say.

From a franchisee perspective, to be very honest, the way our company functions is that we are the ones that sign majority of the stores. So there has not been a single case where we've signed a store and faced an issue with franchisees. So that is something which does not exist at all.

The challenge fully lies in the current real estate market where rentals are so high that we want to actually sign stores that we are confident we can sustain for the next 12 to 15 years at the

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rental levels we are signing them on. So that's the big challenge and not at all anything like around franchisee partners.

Rishi Mody: Okay. All right. Got it. Second, on the marketing piece, right? We've tried all 3 types of marketing in this quarter, especially, right? You've got the influencer marketing, you've got the YouTube series and then you've gone kind of back to the traditional way of us doing our marketing with, say, movie stars and a slightly festive way of doing it on the more generic platforms. What would you say has contributed to the SSG? And is there something that we are planning for the next year, basis this observation?

Vedant Modi: So this is a very difficult question to answer because, in our case, every time we've done marketing mix modelling, we've gotten very funny answers, so to say. So the way I would break it down is that something like -- campaign like Vijay -Rashmika helps us for the next 5 to 6 years, similar to the Virat -Anushka campaign we did in 2017.

So these are those big milestone campaigns that keep us on top of mind of any consumer that could potentially come in our TG in the next 2 to 3 years. So these campaigns should continuously happen in a period of ever

y year or 2 years.

From a -- the wedding podcast, which we did with Karan Johar, the idea behind that was that today, all modern wedding couples do a lot of research online. So how can we be a central part of that. So the goal was that people who don't really have a great way of researching about how to do a wedding can actually watch our podcast to get this information, and this also keeps Manyavar top of their mind.

Finally, we do a lot of influencers, et c. But one thing I would say that we invest a lot now on is the search keywords because anyone in market is typically searching for a sherwani or searching for an Indo -Western. So that is also one place where we spend heavily. So it's a mix of everything that keeps us top of mind and helps us drive people to the stores.

Rishi Mody: Okay. Final, just a quick question. Diwas, any plans of adding physical stores?

Vedant Modi: Sorry? For Diwas?

Rahul Murarka: Adding physical stores.

Rishi Mody: Yes.

Vedant Modi: So regarding this, I think currently, for this financial year, we are not planning to do anything. Maybe we do a pilot just to have concept ready internally, but there are no plans of opening these properly as of now. But what we are going to pilot is kur ta stores but under the Manyavar brand.

So this is something which we are actively working on where there are a lot of opportunities in, let's say, high -throughput neighbourhoods of Bangalore, where we want to open a 1,000 square feet Manyavar store, but we want to do it in a slightly differentiated manner where we primarily

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keep kurtas and jackets as categories. So this is something which we are actively working on right now.

Rishi Mody: And these will be, say, associated with some sort of quick commerce like, I don't know, Zilo or something? Like I don't know how that model works, but I'm assuming it works well for this.

Vedant Modi: Unfortunately, no quick commerce companies are willing to use our stores' inventory. So typically, be it a Zilo or a Blinkit, everyone wants to keep Manyavar products in their own warehouse. So that is the model that all of these work in today. If we do s omeday decide, then we will have to launch our own quick commerce service on our website or make an app out of it to enable all our stores to act as dark hubs as well.

Moderator: Next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Vedant, my first question is with regards to the revenue.

Moderator: Gaurav, sorry, we are not able to hear you. Your voice is feeble.

Gaurav Jogani: Hello. Am I audible now?

Moderator: Yes.

Vedant Modi: Yes. We can hear you, Gaurav.

Gaurav Jogani: Yes. So sir, my first question is with regards to the revenue growth for the quarter. Despite Jan being a non -wedding month, still we were able to report an 8% kind of a growth. So just wanted to know what led to this, how progressively the growth has come by? And is it still sustaining? So that is the first question.

Vedant Modi: Thank you for the question. So, if I speak about the quarter, majority of the quarter growth actually came from March itself, which actually was a tremendous month for us. And overall, we saw that footfalls had improved pretty decently. And this also gave us a lot of excitement for the upcoming financial year. And overall, April has also been decent as a follow -up to March. But what is interesting now to see is how would May work for us, given that there is Adhik

Maas, but June should again then be exciting, given weddings in July. So that is how we are looking at things. Overall, I think consumer sentiments were turning to be positive as the quarter progressed.

But given that the war started in the later parts of end of Feb, early March, that's when I feel that consumer sentiments, not to a large extent, but then again became sort of neutral. So we'll

have

to see how these things pan out. And if things continue to be the way they are, we could potentially have decent green shoots in the upcoming financial year.

Gaurav Jogani: Okay, sure. And just on the multiple campaigns and the multiple initiatives that you have taken not only towards rationalizing the nonperforming stores or the quality of the poorer stores, at the same time launching new merchandise, new collection, et cet era, so has that helped you improve the conversions or the footfalls? Have you seen any changes in both of these metrics that gives

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the confidence to you for the future coming years that your actions are panning out the way you are envisaging?

Vedant Modi: Yes, absolutely. So if you look at it from 2-3 different perspectives, if I speak about just the last quarter, we saw footfalls improving by low single digits. Although that low single digit looks like a low number, it's -- after many quarters, we saw that increase happening.

Conversions on the other hand, have remained stable. They're already very high. So as the competitive intensity in this industry has escalated quite a lot, just because we've been so quick with our merchandising and been doing almost 2.5x designs now last financial year, it has helped us remain at the same conversion levels, which has always been very high. So broadly, these are 2 points. And at the same time, our average basket size also improved by about 1.5%, further helping us achieve better volumes in the last quarter.

Gaurav Jogani: Sure. Thanks. And just last one from me is on the competitive intensity. I know, as you highlighted, that it has been a bit escalated over the past couple of years. So how do you see that now? There was a view quite some time back that, given that the majority of these pop-ups stores will struggle, given that they come in, come out and profitability is not really there. So have you seen the intensity in any way fading or moving as per your expectations that you had thought before?

Vedant Modi: So we track any competition in any market very closely. And what we've seen in the last 7 to 8 months is that the players who had entered in 2022, they have started to close down, whereas players who entered recently in the last 1 to 2 years have still continued to add stores at a pan-India level. So all in all, what we saw is that net, quite a few stores closed, but also a few stores opened, but in a consolidated manner, net new openings didn't exist in the industry. So that is one aspect.

My understanding about the regional competition -- I can't comment on the larger national groups because their dynamics are very different, but the regional players, and there are many, many of them, is that typically, when they open a new store, the first year is very exciting because it's a new store, new investment that they've put in.

Second year, when sales are not coming to their expectations, that's when they invest even more money in the form of marketing, in the form of investment into new types of merchandising.

Third year, due to all the pain, they start to have heavy discounts, try to liquidate. And fourth year is typically when the store closure happens.

That is my understanding of how regional players who don't have a lot of equity backing typically function. So this is what we have understood from the ground, and this is a cycle that is sort of natural in retail.

Moderator: Next question is from the line of Sameer Gupta from IIFL Capital.

Sameer Gupta: So firstly, if you -- so improving retail quality is an aspect that you have highlighted. If you break down the performance of stores which you would classify, let's say, as newer or better quality, are you seeing any big delta in the SSS growth versus those that you intend to replace?

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And how many such st

ores typically are still existing in the system? And a follow-up to this is, how much was the gross retail area addition in FY26?

Vedant Modi: Sure. So I'll answer the last question first. So we added about 1 lakh-odd square feet at a gross level in the last financial year. To your second question, I will give you a broad understanding.

At a broad level, revenue per square feet of the new stores that we open versus the ones we closed is about 85% better. So any closed store versus any new store. So that's the difference in the revenue per square feet that we see.

And thirdly, to answer your question, I would say, right now, we would have about 5% to 6% retail area that falls in that category, which we don't love. In any retail company, I would say the normal rate of closure is typically 2% to 3% because markets within cities can move, creating this requirement every financial year. But currently, we sit on about, let's say, 5%, 5.5% of our entire retail area being in that category.

Sameer Gupta: So just a follow-up on this. So when you say 85% better, let's say, the store that you're trying to close is 100, then new store that you open with a better area, or something is 185 on a higher area -- on a revenue per square feet basis?

Vedant Modi: Correct. Correct.

Sameer Gupta: And this is from day 1?

Vedant Modi: I am giving you averages. So for example, all the stores that we opened in FY26, their average revenue per square feet versus the stores that we closed in FY26, their average revenue per square feet.

Sameer Gupta: Got it. Got it. Fair. Second question is, when you say ASP increase, that is one thing you'll focus on, is it larger stores, which is resulting in better mix, as you highlighted to one of the participants? Or are you also looking to take price increases in the portfolio?

Vedant Modi: I would say neither from that perspective. So category mix is something which we drive through training. And that is an endeavour that we continuously have where we want to cross-sell Manyavar consumers to become Twamev consumers or Manyavar consumers to buy more Mohey products with both these brands actually having higher ASP than Manyavar.

But the point I was trying to make is, as a company, what we do is we upgrade our merchandising every single financial year with the goal in mind of improving ASP by about 3%, 3.5% in each of the categories we operate. So we will not be taking any price hikes in existing products, but the goal would be to upgrade our collection. So for example, if Manyavar's core kurtas -- the best kurtas exist today at INR4,000, some of the new collection that we make will be in the INR4,500 bracket, to give you an example.

Sameer Gupta: Got it. So it's largely mix and that too via upgradation?

Vedant Modi: Correct.

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Sameer Gupta: Got it. Last question if I may squeeze in. So gross margin contraction of around 150 basis points during the year. I understand it is still in the broad range of 65% plus. But still if you could highlight the reasons for the contraction this year? Is it higher provisioning, mix impact, GST impact? If you can just classify it within these buckets?

Rahul Murarka: So the gap which we are seeing, Sameer, it is majorly on account of GST only, which has impacted our revenue and gross margin as well.

Sameer Gupta: Okay. So it's largely GST? Fair enough.

Moderator: Next question is from the line of Shravan Vohra from Morgan Stanley.

Shravan Vohra: I just wanted to dwell a little deeper on your comment around March. And could you just talk a little bit more about how was March and what actually changed? And any region-wise divergence that you saw in March?

Vedant Modi: Well, you see, I could go deeper into this, but our business is very dynamic. And certain months can perform much better also because of the way wedding dates can move

between quarters. So

I think that is one of the core reasons why March was much better than any other month in the last quarter.

On the other hand, from a region perspective, what we saw is that, overall, all regions did decently well. We did see that some of the pockets that we operate in performed a little better than others.

Shravan Vohra: Right. Got it. And just the second question, I just wanted to understand the other expense line a little better going into F '27. This quarter, on a decent top line growth, the other expenses were down about 7%. So how should we look at this other expense deceleration that we saw in this quarter and also going into F '27? Any colour around that? What's driving this deceleration?

Rahul Murarka: So the other expenses comprised of a lot of things actually. The major things which were there as a result of which it has gone down. One was, if you see our inventory, we are bringing efficiency in the inventory thing. So as a result, our job expenses have gone down. Our marketing costs overall were higher than last year. But if you look at only Q4, it was a bit lower. So on account of these things, our other expenses have gone down in Q4 compared to last year's Q4.

Moderator: Next question is from the line of Harsh Shah from Bandhan Mutual Fund.

Harsh Shah: Am I audible?

Vedant Modi: Yes.

Harsh Shah: Hi, Vedant . Vedant, you mentioned about focusing on getting the SSG momentum first, right, and then thinking about store expansion. So in that sense, what would be a marker for you as to when to start pursuing store expansion? As in, would 3, 4 quarters of consistent mid -single-digit SSG be a marker, let's say for example, for you guys to start trusting and delivering that, okay, fine, you've got the SSG momentum now and this is the phase to kind of start going into expansion? So I just wanted to get a brief sense on how are you thinking on those lines as well ?

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Vedant Modi: Yes, I think that is definitely a key factor where if we are able to sustain very good SSGs, that also allows us to move faster into new markets that we have not explored. So that definitely remains as a large factor. On the other hand, rentals have become so expensive in the newer parts of India that we want to experiment with, that we've also been a little cautious.

So with improved SSGs and higher revenue per square feet that our model can then carry, this will also allow us to explore new areas and, even at higher rental levels, sign these stores. So they sort of go hand in hand, which is what I've been sort of trying to refer to. But at the same time, there are also a lot of existing areas that we want to open our store in.

If I give an example very close to majority of you, then we don't have any store in South Bombay beyond Lower Parel. I think there is definitely scope for 2 stores in that area regardless of rental levels. But our goal is that even though rentals are high , we want to get a property which really has a high visibility value. So there are also many markets in India where we have been trying to get a very good store, but it's just when an existing tenant actually quits that we will be able to get this opportunity.

Harsh Shah: Okay. But I just wanted a directional sense with that, as in how long would you kind of wait and see the momentum sustain before you take the call of going again into expansion mode ?

Vedant Modi: See, I think the goal is to be at higher SSG numbers and then take those sorts of calls . But broadly, if you ask me, like I was mentioning, typically, a retail company closes about 3% to 4% of their retail area in a given year. This year, we might again close 5% to 6% and still try to have net square feet positive growth. I think by next financial year, we will be in a position where openings start to normalize, and that is when things should sort of t

urn around in terms of openings.

Harsh Shah: Okay. And when you spoke about this new India opportunity, right, what exactly -- I mean what kind of cities and towns are you alluding to here in this new -- the new India kind of remark here?

Vedant Modi: So broadly, if I give you one example, let's take a city like Bhopal. So in a city like Bhopal, I think we want to open a very large store. But, for example, the challenge lies in the rental levels even in markets like Bhopal, where if we expect the rentals to be x, they are currently 1.3, 1.4x. So that is the kind of fight we're having across the country where we want to get stores at very good rental levels, and it's being very difficult to find those stores. But we continue to invest resources into ensuring we continue signing stores at rental levels which we feel are sustainable for the next 12 to 15 years for a retail store.

Harsh Shah: Okay. Got it. And just one question on the inflation bit. You said that there is 100, 150 basis points of RM inflation, which you would be able to absorb over time. So there might be some hit for us initially, and then probably, we'll be able to make it up for it. Is that the right understanding?

Vedant Modi: So the thing here is that majority of our orders for current SKUs are already placed in the existing prices. So the new products for which we are ordering the new fabric takes into account these

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prices. So broadly, my understanding is that it should not affect our gross margins much. But 10, 15 basis points here and there is something which might happen. But broadly, they should not impact anything.

Harsh Shah: Got it. And just lastly, on this capital allocation thing for the cash balance we have with us, any kind of thoughts there in terms of returning it back to shareholders or retaining it for, let's say, inorganic expansions or something of that sort?

Vedant Modi: So again, a very interesting question. Up until now, what we've been doing in the history of the Company after IPO is that we've been doing about 50% profits as dividends. So that is a model which we've been doing.

Regarding the current policy, this is something that we have been actively discussing internally.

And while I don't have something concrete to tell you right now, I think hopefully, by next earnings call, we will have a very concrete answer on this.

Moderator: Next follow-up question is from the line of Rishi Mody from RDM Advisory.

Rishi Mody: Two questions from my end, rather quick ones. First one, any inorganic opportunities, Vedant, that you see in the market now that you mentioned players from 2022 have shut down and I'm sure there might be some stress in some regional players?

Vedant Modi: Sorry, did you mention inorganic opportunities?

Rishi Mody: Yes.

Vedant Modi: All right. So broadly, if you ask me, we do track every single company in the space. While there is nothing in the pipeline that we have, or nothing that we are actively exploring, the way I would put it is, overall, we do have the cash in our books to explore acquisitions, but there is nothing that we have currently in the pipeline.

Yes, we feel that the Company has advantages where we could really turn around the bottom line of a company like in the case of Mebaz, which is something which we have done. So we are open to acquisitions. But again, we are not currently looking at anything or exploring anything because nothing in scale exists in the kind of sector we currently operate in. So all these players are too small where the cost of acquisition would actually be a lot higher than just opening stores in that area.

Rishi Mody: Okay. Understood. Second, just if you could give me the store mix, like how many Manyavar - Mohey, how many Twamev, how many Mohey standalone, how many Manyavar standalone do we have? And if you have to rank the sales per square

feet by each format, how would you rank them?

Vedant Modi: Yes. So we have about 8 Twamev EBOs and similar number of Mohey EBOs. Broadly, from a revenue per square feet point of view, Twamev would be slightly better off than Manyavar EBOs and Mohey would be slightly lower than that, but broadly all of them would be similar lines.

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Rishi Mody: The mix between, say, Manyavar - Mohey combined versus only Manyavar?

Vedant Modi: You mean revenue-wise?

Rishi Mody: No, no. In store-wise as well, like, if you could just help me understand how many stores where there is still scope of making Manyavar - Mohey combined versus where we have only a Manyavar store?

Vedant Modi: Any store where we could have added Mohey, that exercise has been long completed. So it's not feasible to add Mohey in any of the existing Manyavar stores. However, what we are doing is that wherever we have very high revenue per square feet in a Manyavar store, we are actively looking for a bigger store where we can also add Mohey.

Rishi Mody: Okay. All right. And do we have any pipeline like where we know we want to do this?

Vedant Modi: Yes, of course. I mean this is an exercise which we do on a quarterly basis, where we track every store and try to understand if there is opportunity for Mohey or opportunity for a bigger store, and then we go deep into that and try to find the larger stores. So this is something which we actively do on a quarterly basis.

Rishi Mody: And the plan for Twamev remains the same, 30 stores pan India first, and then decide on expanding?

Vedant Modi: Absolutely. So the top markets of India and the best stores within these markets, that is the core strategy, and we are actively trying to sign stores in the next set of 5 to 6 stores now.

Rishi Mody: All right. But it won't happen in the coming year. The 8 to 30 jump won't happen in the coming year for Twamev?

Vedant Modi: Unfortunately, Rishi, the problem with Twamev EBOs is that majority of the properties we are signing are build-to-suit. So let's say, if we sign a property today, the store actually opens 18 months from now to 20 months from now. So there is a lag in terms of that because majority of the buildings are new and they are actually breaking down old buildings and creating new ones where Twamev is going in.

So I hope that we will actually end the financial year with a lot of signed Twamev EBOs, but openings might be staggered over the next financial year and maybe a few in first 2 quarters of financial year '28 or '29 as well.

Rishi Mody: Okay. All right. So in the next 2.5 years, we should get to 30 is the target?

Vedant Modi: I would not say 30, but the idea is that we open quite a few stores. I would not say the word -- number 30 yet.

Moderator: Next question is from the line of Tejas Shah from Avendus Spark.

Tejas Shah: A couple of questions. Am I audible?

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Vedant Modi: Yes, yes.

Tejas Shah: Yes, hi, Vedant. A couple of questions. So first, looking at how macro is developing and what happened yesterday in terms of government discouraging foreign travels or travel as much -- as less as possible. So just wanted to know, let's say, hypothetically this year, there are no overseas destination weddings. So such scenarios actually work in our favour, or they are neutral because people in any case buy here and then go abroad?

Vedant Modi: To be very honest with you, my honest answer here would be anyone doing an overseas wedding, that wedding family is typically not our target audience at all. These are very premium weddings. So it should not change much for us. And on the other hand, if those weddings are happening in India and people are actually inviting guests and foreigners from across the world, that is a very strong audience for us because for

them, Manyavar is a no-brainer in terms of the kind of quick turnaround that we have.

Tejas Shah: Perfect. Second, looking ahead on this year, what are the 2, 3 key projects or initiatives you are excited about that if they deliver as per your expectation, we can materially change the growth trajectory that we are having for the last 2, 3 years?

Vedant Modi: So a couple of things that we are really working on very hard is on improving our retention rate. As a Company, we had never focused on working on the existing consumers. So right now, we have almost 90 lakh consumers with their data in the Company. So one big goal that we have for the year is how can we call back a lot of these consumers again this financial year. So this is one project which I'm very excited about because the opportunity is a lot from a revenue point of view, and we've never done a lot of work for this segment. So it's a very greenfield sort of a project as well. So this is one very exciting area for us.

The other area, which I would not speak from an excitement perspective, but which I already mentioned is ASP is something which was lagging for the last 2 to 3 financial years. That is something we will go back to, and that should also help us grow a little more within each category that we operate in.

Finally, something which I am truly excited about, and this is something which whenever I meet analysts in person in the office, I would be very happy to show, is the kind of investments we are making in AI.

I think AI will change the way retail companies function, and we are making significant investments across the departments to enable agentic AI where each and every function can actually have their own agents talking to each other so that the kind of communication you have in retail company between product, marketing, supply chain teams can actually become a lot better.

So we've already taken major steps and initiatives already showing us very good results. If I give you a small example, let's say, when you do a Google campaign, there are about 20,000-line items on which you are spending on Google Search. Top 20-line items, senior management

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would review. The next 200-line items, middle management would review. And maybe only the top 600, 700-line items is what any human would actually analyse.

But now we've created an AI system that is analysing all 20,000 keywords and making changes on its own. So those efficiencies, which would never exist are now possible, and we are literally working on training every member of our team to understand AI and start deploying agents across the Company.

Tejas Shah: Interesting. And has this been deployed or in process of deployment?

Vedant Modi: So I think easy use cases, we've deployed them and any tough use cases, that actually have a linkage to a larger system, all of those are in progress.

Moderator: Thank you very much. Ladies and gentlemen, that will be the last question. I'll now hand the conference over to the management for closing comments.

Vedant Modi: It is always a pleasure interacting with all of you. I think we've been through a weak last 2 to 3 years in terms of overall financial performance. But as a Company, we are doing everything possible to create a infrastructure in place, both in terms of back end and front end, where once the macro headwinds turn into tailwinds and we are able to also see consolidation in terms of competition, we will be set for much better growth as the Company moves into the future.

I think one positive is that even though times are tough, we are able to stand our ground and not make any decisions that we feel will be wrong for long-term. So I think we, as a Company, have that mindset of sticking towards making decisions that only help us grow from a long-term

perspective. So thank you very much for attending the call and look forward to interacting with you soon.

Moderator: Thank you very much. On behalf of Avenir Spark, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.